

Zydus Wellness Ltd. (ZYDUSWELL)

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Call: May 2023

Zydus Wellness Limited

(a subsidiary of Zydus Lifesciences Limited)

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May 22, 2023

Listing Department Code: 531 335

BSE LIMITED

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Mumbai-400 001

Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

Bandra (E),

Mumbai-400 051

Re: Transcript of the Earnings Conference call held on May 17, 2023

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q4 FY2023 Earnings Conference call held at 4:00 p.m. (IST) on Wednesday, May 17, 2023.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY

Encl.: As above

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"Zydus Wellness Limited
Q4 FY '23 Conference Call "
May 17, 2023

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN – ZYDUS WELLNESS LIMITED

MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER – ZYDUS WELLNESS LIMITED

MR. GANESH NAYAK – DIRECTOR – ZYDUS WELLNESS LIMITED

MR. UMESH PARIKH – CHIEF FINANCIAL OFFICER – ZYDUS WELLNESS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Zydus Wellness Limited Q4 FY '23 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: Hello, everyone. It's a wonderful good morning, good afternoon, good evening, depending on the part of the world you are joining this call from. Representing ICICI Securities, it's our absolute pleasure to host the management of Zydus Wellness Limited for the results conference call. The company is represented today by Dr. Sharvil Patel, Chairman; Mr. Tarun Arora, CEO; Mr. Ganesh Nayak, Director; and Mr. Umesh Parikh, the CFO.

Without much ado, over to the management for the opening remarks, post which we'll open the floor for Q&A. Over to you, sir.

Tarun Arora: Thank you, Manoj. Good afternoon, and welcome to the post results teleconference of Zydus Wellness Limited for quarter four financial year 2022, '23. We have with us, like Manoj mentioned, Dr. Sharvil Patel, Chairman; Mr. Ganesh Nayak, Director; and Mr. Umesh Parikh, our CFO.

The quarter has seen gradual recovery in consumer sentiments. The urban demand is still better than rural. However, rural demand slowdown seems to have bottomed out and recovering is expected going forward. In spite of the inclement weather throughout the country in March still in uptick the company has registered a net sales growth of 11.8% during the quarter on -- year-on-year basis, of which 4% is volume-led. For the financial year 2023, we have achieved a growth of 12.8% year-on-year on net sales.

With the appropriate price increases taken across portfolio during the previous quarter and inflation getting stabilized of the imports, except for milk, the company has caught up with last year gross margins for the quarter 4 and reduced the gap over the last financial year that was built in first 3 quarters of the current financial year. The gross margin for quarter 4 stood at 50.6% on net sales for the quarter 4.

Let me take you through the highlights of the consolidated financial performance of quarter 4 financial year 2022, '23. During the fourth quarter of financial year '22, '23, our net sales grew by 11.8% to INR7,099 million. Our total income from operations grew by 11.4% to INR7,130 million. EBITDA grew by 2.2% year-on-year to INR1,446 million. The company continued to witness high inflation in alternative fuel and labour costs as a result of which other expenses grew by 36%. Also it was accentuated by temporary outsourcing of manufacturing of Glucon-D to third parties.

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Almost half of the increase in other expenses is onetime in nature. The change in manufacturing footprint, coupled with cost optimization programs shall result in reduction of expenses in coming quarters. Reported net profit was up by 9.0% year-on-year at INR1,453 million. Adjusting for exceptional items, the net profit was up by 14.4% year-on-year to INR1,525 million.

Coming to the annual consolidated financial highlights. Our total income from operations increased by 12.8% year-on-year to INR22,426 million during the year. Our EBITDA was down by 2.2% year-on-year to INR3,372 million. EBITDA margin as a percentage to total income from operations stood at 15.0%. Reported net profit was up by 0.5% to INR3,104 million. Adjusting for exceptional items, the net profit was up by 3.7%. Our consolidated cash position stood at INR1,081 million.

on, including investments made in the liquid funds. Our consolidated capex for the year was INR489 million.

With that, let me share some of the highlights of operations for the year gone by. We continued our thrust on marketing initiatives to grow the categories and increase our market share of our brands during the quarter. To narrate a few, on Glucon-D front, with continued marketing efforts towards driving growth and recruiting new consumers, the brand continued its strong momentum for the financial year.

We continued our focus on innovations and launched various extensions like sachets, Kaccha Mango under Immunovolt and mango under flavoured glucose powder during the financial year.

The Glucose powder category has grown by 10.7% at the MAT level. Glucon -D brand continues to maintain its number one position with a market share of 60.1% as per MAT March 2023 report of Nielsen, which is an increase of 159 basis points over the same period last year.

On the Complan front, the health food drinks category has witnessed a slowdown during the financial year, and the brand performance is a reflection in similar lines. As the category has seen a shift in trends from refill packs to jar and jars to sachets and pouches, the brand has been able to timely intervene and enjoy a wider market play with category parity packs. Brand was supported by 360-degree campaigns throughout the year across the mediums of TV, print, digital and social media and influencer campaigns.

The Health Food Drink category has degrown by 1.1 percentage at MAT level. Complan market share stood at 4.5% in the category as per the MAT March 2023 report Nielsen. On the Sweeteners front, Sugar Free brand witnessed a revival in uptake during the latter half of the financial year as a result of Sweetener's portfolio has registered a mid-single-digit growth for the quarter 4 on a year-on-year basis. We continue to build Sugar Free Green franchise with aggressive media campaigns throughout the year. Sugar Free continues to maintain its leadership with a market share of 96% as per MAT March '23 report of IQVIA.

On the personal care front, Everyuth brand continues to outpace category growth during the quarter 4 of the financial year. We continue to support our core portfolio of face wash, scrubs, peel off and body lotions through TV and digital campaigns throughout the year. The face scrub category has registered a growth of 9.1% at MAT level. Everyuth Scrub continues to maintain its leadership position with market share of 41.9% in the facial scrub category, which is an

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increase of 68 basis points over the same period last year as per MAT March 2023 report of Nielsen.

The peel off category has registered a growth of 4.5% at MAT level. Everyuth peel off has maintained its number one position with a market share of 78.4% in the peel off, which is an increase of 7 basis points over the same period last year as per the MAT March 2023 report of Nielsen. Everyuth brand is at #5 position with a market share of 6.2% at overall facial cleansing segment level as per the MAT March 2023 report of Nielsen.

With good summer season, Nycil brand has witnessed a strong comeback for the financial year. The Prickly heat powder category has grown by 13.4% at MAT level. Nycil has maintained its number one position with market share of 35.4% in the Prickly heat powder category, which is an increase of 157 basis points over the same period last year as per the MAT March 2023 report of Nielsen.

On the dairy and spreads category front, Nutralite brand has delivered a robust growth for financial year gone by, backed by well-planned digital and on-ground activations. We continue to focus on recovery of margins and improving profitability in the new financial year. Thank you, and we will now start the Q&A session. Over to the coordinator for Q&A.
Mode

rator : Our first question is from the line of Ajay Thakur from Anand Rathi.

Ajay Thakur: I had a few questions. I just wanted to understand, firstly, what would be the absolute quantum of one-off in the other expenses during the quarter? If you can share that number.

Management: Absolute quantum of one-off, you're asking for these other expenses, right?

Ajay Thakur: That's right.

Management : That is almost half of increase, half of the increase in expenses.

Ajay Thakur: Secondly, I wanted to understand what would be the repercussion of this Bournvita issue that we -- the industry has been facing? Can we expect to actually have adverse effect on the segment, the HFD segment? And/or can we also expect some bit of market share gain because of Bournvita kind of getting under fire from the consumers?

Management : I don't think there is a significant impact both in consumption and a market dynamics level as of now. We'll wait and watch. I think there have been discussions around these sugar and other elements, but one has to look at these products in totality from a nutrition point of view. So I think right now, it's too early to say anything.

Ajay Thakur: And can we expect some kind of gain because of the same? Is Bournvita kind of losing because of the similar issues? Can we gain some bit out of that?

Management: I'm not sure. That doesn't seem right now, so we cannot really comment on that.

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Ajay Thakur: Also I just wanted to understand how has the traction been? You obviously mentioned about March having some inclement weather impact on the summer portfolio. Given the fact that we have quite a bit of summer product portfolio and that also carries towards Q1 of the current year. How has the trend been in the April and May month so far? Maybe more of a qualitative kind of understanding of how the things are moving in terms of summer product portfolio?

Management: So we've got a good pipeline fill, but March and April have seen some bit of inclement weather. We'll have to see how the overall season plays out before commenting on this because people - there is a mixed view. One is there has been inclement weather. There is also a view that it will be a longer summer, so we'll wait and watch before we can really comment here. I'm hopeful things will get better.

Ajay Thakur: Lastly on the international business, if you can just share some bit of colour in terms of the international business growth momentum and how it is panning out in terms of geographies?

Management: So international business continues to be about 25 countries, like we mentioned, where the top 5 contribute about more than 3/4 of our business and 2 brands; Sugar-free Complan constitute about 75%, 80% of our business. During this financial year, we had a challenge between quarter 2 and 3 where there were supply issues in New Zealand and some local economic issues in Nigeria, which are 2 of our largest markets, which pulled down our growth level. On a longer-term basis, we continue to believe a high double-digit growth and growth, which will contribute -- which will be accretive to our domestic business. So we are back at growth after those couple of quarters of difficult pace. Now we expect continued good growth momentum.

Ajay Thakur: So for FY '23 in the international business would have seen some bit of a growth? Or it would have actually been more like a flattish number?

Management: It would be more flattish because of what we faced through in FY -- in the 2 mid quarters.

Moderator: Our next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.

Kaustubh Pawaskar: So my first question is on sugar free. Recently WHO has come out with the notification stating that you cannot claim non-sugar substitute as a low-calorie product. So in that context, do we see any impact on the

sales of some of our products under the sugar-free brand? And a related question to it is, what -- if we have any study, what percentage of our sales come from actual diabetic patients who are using this product? And what percentage of our sales is coming from the customers who are actually looking -- considering it as a lower calorie product?

Management: So let me just first clarify. I don't think it can be debated by anyone, including the regulators that sugar substitutes like stevia, sucralose, or aspartame actually offer lower calorie than sugar. So I don't think that's up for debate. They have clarified circumstances, which necessarily is not in line with their earlier stances, but I think we will understand and they are also saying country-by-country, these issues will differ. So right now, I'm not seeing any significant impact. We'll have to study and also work with the regulators and do what is right best for the consumers. We do not see any significant impact as we speak now, and we'll work on this as we go forward.

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Kaustubh Pawaskar: And will it have any change in our marketing strategy of this product or change in the branding side because Sugarlite, I think which product -- which specifically look from that perspective only. So will there be any change in the strategy for the brand or a product?

Management: As of now, we've not envisaged. We'll study and we'll see if we need to make any shift. But as of now, I think we hold what we are doing. We have sufficient scientific evidence to back what we do.

Kaustubh Pawaskar: And in India, I just wanted to understand, from the consumption pattern, whether the diabetic patients are having issues, some of it related to sugar, are having more traction to these products?

Or it's a mix of both people who are looking towards the low-calorie products are largely from the healthy substitute point of view are also using sugar free as one of the substitute?

Management: It's a mix of both, and there is good reasons from a health perspective for both of them. So we believe it remains consistent.

Kaustubh Pawaskar: And my next question is on the new product launches, what you have done. So what is our current contribution from the new product? And in the coming years, what are your new product pipeline?

Management: So new products constitute about 3.5% of our share of our sales, products launched in last few years.

Kaustubh Pawaskar: And just one more question to what Ajay just asked earlier about the strong traction to the summer products. So this quarter, we have seen our volume growth at around 4%. We have seen demand environment slightly improving. So considering the strong summer and a little bit of

improvement in the sentiment, should we expect this volume growth momentum to improve in the quarters ahead? Or do you expect it to remain at 4% to 5% in the near term?

Management: Hard to guess how the whole thing will shape up because the weather is a very, very volatile thing, and it just changes every week, especially in summer. We are happy that there has been a slight improvement over the last quarter in volume growth. We just hope that things get better, inflation stabilizes and consumers are coming back and spending more, which should help us focus on volumes and new consumer traction. But that really remains our focus. Hard to put a number to what it would be like in the next couple of quarters.

Moderator : Our next question is from the line of Mayur Parkeria from Wealth Managers India Private Limited. Please go ahead.

Mayur Parkeria: So I had just one small question actually. Just trying to understand, on Nutralite side, we did visited a couple of restaurants and health -related focused players who are big in the regional markets. Obviously they are unorganized, organized, both put together. And the feedback we got was that it actual

ly it scores was very lower, even compared to Amul in terms of the B2B acceptability for the brand. Would you like to highlight any specific reasons for it? Is it lack of understanding more clearly? Is it actually some tweaking more needs to be on the product side?

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Or is it your availability and other issues. So just your feedback on that, your understanding on that, please?

Management: So I'm not sure which are the markets you visited. But we can take it off -line. But at an overall level, we are seeing a good traction on Nutralite in both volume and value levels. So we are quite positive about Nutralite's acceptance and more trade.

Mayur Parkeria: Which segment?

Management: B2B specifically, yes.

Mayur Parkeria: So the positives which you are seeing, are these specific to any specific geographies which you are seeing in terms of? And can you add some colour on that, please?

Management: I think our growth is coming across the country, while North and West are the largest of the market, but even the South and East, which are relatively smaller parts of the market, are also showing a good growth traction for us.

Mayur Parkeria: Secondly, on the Everyuth side, the personal care, this category is very large, and it's growing in terms of as the income levels are increasing. I'm talking about a little macro trend here and a lot of people focusing in the right from a young age of teens now focusing on products like this. Where do you see in the next 3, 4 years, what can be the size of Everyuth brand for us? And what are the product gaps which you see over there, if any?

Management: So Everyuth, if I were to take this question in 2 to 3 parts. I think, first, we have seen a consistent double -digit growth except for the disruption years like COVID or one or more. But largely, we have seen a very consistent trend of good double -digit momentum on Everyuth and largely led by us growing -- focusing and growing the segments, which we play strongly in, which is the scrubs as well as the peel off masks.

And even the new spaces that we addressed the tan removal that's also helped us grow. So that's really been our strength, and we have built around it. We have extended our product. We already have face wash. So a broader facial cleansing. We've also gone into lotions and other skin benefits. So we continue to believe that Everyuth has a strong double -digit growth potential over the years and can be a sizable brand for us, being a strong player in, especially facial cleansing and some of the extensions that we may choose to that.

Mayur Parkeria: Sir, we see a lot of application for apricot, coffee, xyz, in these kinds of -- I'm sorry, but I needed to be more specific. We don't see that in Everyuth. So just to feedback that when we talk to some of the youngsters, and what is missing in this brand, these are some of the variants. I don't know if they are available and not in specific markets or they are not available. But in general, I don't see, so some of these variants if you can see and look at it.

Management: Not, sure. So we look at it and we take your feedback, and we'll look at it also what we can do to widen our portfolio. If there's some more suggestion, you can take it off -line.

Moderator : Our next question is from the line of Alok Shah from Ambit Capital. Please go ahead.

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Alok Shah: My first question is on the distribution side. So while you highlighted on the distribution

expansion guidance for FY '24. Just wanted to check, there was automation and digitization efforts also been rolled out about 2 quarters back. So where could the company be on that? And where all we can see the benefit, whether you see more happening on the fill rates? Or is it more on the sales force efficiency costing? So where can we see that benefit percolating?

That's my first question.

Management: So Alok, just to address, I think, first of all, the field force automation, we have 100% of our field force now digitized with the digital support. And that clearly gives us a better control and better efficiency of the field force. It also helps us drive specific SKUs in a broader rate selling through these people. So that's one benefit. The other is also in terms of our available -- the data being available and being able to sharply target our products for the right store types and the markets which we see. This is from the frontline digitization.

At the back end, our digital efforts are more towards our operations planning, which is more at stronger inventory planning, some of which we've been focused and we are trying to drive as we move forward on those.

Alok Shah: And would you be able to share with respect to this new distribution expansion that will happen this year, any specific markets or geographies that will look to expand into?

Management: Yes. So there are certain states and certain geographies that we have actually targeted, but they are very specific in nature rather than a broad brush where we see that there is a potential from where we are to go deeper and wider. And those are the markets and city by city planning has been done looking at data and the brand tractions that we have decided. And there will be also a plan to go after those specific opportunities as we go in.

Alok Shah: And just a follow-up on that.

Management: Now our focus, just to close that, will be more to drive overall reach over the next 2 to 3 years to 3 million outlets. And that, I think, will give us much better outcomes.

Alok Shah: And just a follow-up to the previous one. So the new cities and the target markets that you look to expand into this year, whether those markets will be serviced through a wholesaler as of now and now you're looking to go through the distributor route or those markets are completely sort of untapped as of now?

Management: I think with our branch and the market shares we have, most of these markets don't tend to be untapped. Some of it actually ends up taking over from indirect servicing to our direct servicing, which allows us for a better, wider range availability. But quite often, some of these outlets have some of our products already in there.

Alok Shah: My second question was in terms of -- so while you've given revenue share from new launches at about 3.5%. So I just wanted to check conceptually that when you look to introduce a new product or a brand. So what are the typical markers that are defined and those products, how they would have fared on those markers? If at all you can share something qualitatively on that?

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Management: So we look at -- for us, a new product is which has not existed for us. We don't count as variants and flavours, it's just the new products, but we count as more of products which are either new in technology or new benefit from our consumers' perspective that we count on this. Typically we make a good mix between substantive innovation versus platform innovation where substantive takes a much larger share of investment and therefore far and few. So those are the guiding principles that we work with.

Alok Shah: And in terms of some of the markets, would it be more like geographic reach in first 12, 24 months? Or would it be more like a brand size that you look to achieve? So what are the broad markets that are sort of defined for a brand manager as a new variant or just intermediary is launched?

Management: So a new launch has typically a go-to-market plan, which covers the distribution target and repeat purchase targets where the brand acceptance is one of the things that we track and see what we are -- there could be some course corrections, which can be done after first year's learning.

And therefore, there is typically a simulated test market in a research, which is been played out in the marketplace, both from a market execution on ground, repeat purchase and investment statistics and those are three.

Alok Shah: And lastly, just from a bookkeeping perspective, I just wanted to check that would it possible to share the volume growth particularly for the quarter? I'm not sure if you gave for the full year and your broad revenue breakup across brands, at least some ballpark numbers, if you can share.

Management: So by brand, we can't give, but for the full -- for the full year, you can take it at 4.8 as a volume.

Moderator: Our next question is from the line of Karan Bhuwania from ICICI Securities Limited. Please go

ahead.

Karan Bhuvania: Sir, the first question was the price hikes that implemented close to 7.8%. So if you look at the gross margins, it was in FY '21, it was close to 54%, 55%. And currently we have a gross margin of close to 51%. So do these price hikes take care of moving the gross margins back to those levels? If you can guide on that?

Management: Yes. So price hikes have in the last quarter, we have a couple of the price hikes. And last quarter, we have taken about 6.5% price hikes. So at the year -end, it's noticed that the price hike has taken care of the gross margin for the -- as compared to the last year. Now if we compare it to the 2021, the margin which you are talking about, there has been a certain inflation where things, which actually like maybe inflation, which we have not been able to pass it on. And that's the only thing which probably is -- so over the next few quarters, will further take price increases to get back to those levels. So we've been able to cover the last year's number in the last quarter gone by, but we will take further price increases as need be to go back to our earlier .

Karan Bhuvania: So secondly, on looking at the working capital, so inventory and receivables have increased. So if you look at the receivable, total receivables change and which has included some INR140

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crores to INR210 crores and inventory also increased from INR360 crores to INR457 crores.

Any reason for this stock up of inventory and increase in receivables?

Management: Yes. So receivable was mainly year -end credit passed on to the customers, our distributors, and customers, and that's temporary in nature. The inventory increase, which you see is on account of the stock, which we had at Uttarakhand factory and it's under legal approval and we did not have access to it. And the second reason is that we had accumulated some inventory as a strategic backup for our manufacturing team.

Management: And that will correct now.

Management: Yes, in the half year reporting, you will see that correction.

Karan Bhuvania: Early on one more thing, sir, that we saw a news article that Sugarlite brand, just there was a news article that some Delhi marketing has been given the right to Sugarlite brand. So if you could highlight what are the plans going ahead for that particular brand? That will be helpful.

Management: So we have gone to the higher court and it get -- we believe it will get sorted as we move along.

Moderator : Our next question is from the line of from Disha Seth from Anvil Shares and Stock Broking. Please go ahead.

Disha Seth: Sir, I just wondered if you can throw some light, what is the sales contribution from Glucon -D, Everyuth, Complian and all the categories and also gross margin -wise contribution?

Management: We don't share that.

Disha Seth: Or if you can just say highest to lowest, in both the category.

Management: We don't do product wise. We don't do.

Disha Seth: No, no. If you can just tell us which is the highest contributor to your sales from ? €!

Management: Glucon -D is the highest.

Management: Brand size.

Ma

Management: We do not give more detail.

Disha Seth: And sir, in this -- in the coming year, the gross margin should continue as all the inflation is coming down or the raw material inflation except milk is coming down. So gross margin should improve on a year -on-year basis compared to last year.

Management: Yes, absolutely. That's the part we are working.

Moderator : Our next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

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Pritesh Chheda : Sir just, I didn't understand why you mentioned that you need to take further price hike to recoup the margins, especially when we see the bridge on Slide 9, where the GM -led impact is not there in the quarter. And we have a slide on all the material prices drop, except milk. So on one side, we said we need a further price hike . And on the other side, we said we'll recoup the margin just on the previous participant's question. So which one we should refer to.

Management: So there are specific opportunities of price hike. For example, Complian, which have got impacted, and we will take those price hikes as is required. There will be a mix impact also. There will be some raw material or packaging material where the costs have come under control.

And there are some products where we will still have opportunities of price increase. We will consider that. And therefore, we still have our distance to cover to reach to our FY '21 gross margin levels.

Pritesh Chheda : And the FY '22 gross margin, which you lost about 200 basis points, that you'll recoup at least or even that you ?

Management: That we recovered already.

Pritesh Chheda : From last quarter, we have already recovered, which means you'll recover this 200 basis point at least. And for you to recover FY '21 GM, you have to take price hikes.

Management: Mix of cost reductions are due to the material price improvement as well as some price increases, will deliver.

Pritesh Chheda : And the last year's price increases that you have taken, how much of it will still flow to FY '24 growth?

Management: So two third has already flown in, one third will flow too.

Moderator : Our next question is from the line of Kapil Jagasia from Nuvama Wealth Research. Please go ahead.

Kapil Jagasia : Sir, my first question is on the increase in other expenditure, which you had mentioned in the presentation, the first one being the third -party manufacturing of Glucon -D going up because of seasonal demand. So this scenario would have been the same before COVID times because these 2 years of COVID were impacted. So what was the scenario pre-COVID? Even during that time, there was increase in the third -party manufacturing?

Management: We used to have, before the acquisition, we used to have a third -party manufacturing. We had completely taken it in -house. Now that we have shut down our Sitaranj plant and we were expecting a good summer. We tied up additional quantities, just in case if the volumes go beyond the regular levels, then we should have a backup plan. And therefore that's one of the reasons we covered it.

Kapil Jagasia : So would this other expenditure be going off in next quarter in Q1 also?

Management: No.

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Kapil Jagasia : So all the expenditures have been accounted for.

Management: Yes.

Kapil Jagasia : And the second thing, again, on the margin, sorry, I joined in late. Like you had mentioned your journey of operating margins towards 20%. Most of the raw materials being in control now, and you have taken price, further pricing to government table. So can we expect the journey towards 20% operating margins in FY '24? Or it would still take some time, probably more than a year for that level to be reached?

Management: It will take some time for us to get there because gap in gross margin itself is substantial. We

first want to get our gross margins back with the scale, obviously, and with operating leverage, we should get that. So it will take a longer period of time.

Kapil Jagasia : Just on a broader level, if you could answer like in each of the product segments, which product segment would have reached the gross margin level as it was before this inflation scenario cropped up?

Management: Compliance will be the most challenged, but otherwise .

Management: Most others are getting there. So are there or almost getting there.

Moderator : Our next question is from the line of Ajay Thakur from Anand Rathi. Please go ahead.

Ajay Thakur: I also wanted to understand on the ad and sales promotion spend, which has actually come down for FY '23. What would be the outlook for the same going forward into FY '24 and FY '25?

Management: We continue to remain interested in taking it up to 12.5%, 13%. We've -- but we balance given what our P&L can afford, and that's why we balanced it. When the gross margins can afford, we'll push it back to those levels.

Ajay Thakur: So 13% is broadly what we are looking at in terms of ?

Management: That is, again, is the range we tend to operate. It's also a function of some of the initiatives, which can sometimes drive it up to 13%, 13.2%, sometimes below tariff . So that's the range we'll operate in. We have covered our gross margin.

Ajay Thakur: And you also mentioned about one of the earlier calls about tax rate guidance. So what will be the tax guidance for '24, '25? I believe for '25, you had mentioned about taxes coming back to the full tax rate. Will that be the case?

Management: So up to '24, '25, we will not have any cash payment of tax. Thereafter it will be in the normal region of cash payment.

Ajay Thakur: So no taxes for even '25, you're saying?

Management: Yes.

Moderator : Our next question is from the line of Akshay Krishnan from ICICI Securities. Please go ahead.

Akshay Krishnan : So my question is on the Complian business. So we had this economic unrest in Nigeria and also the supply chain issue down in New Zealand. So I want to understand what will be the contribution on both on the international aspect and also on the domestic side for Complian business?

Management: Could you repeat, sorry, I didn't get it clearly.

Akshay Krishnan : Yes. So my question is on the Complian business. So we had this supply chain issue down from New Zealand and also the economical unrest in Nigeria. So I just wanted to get to know the brand contribution between international and the domestic line for Complian as a whole, on a Q-o-Q and on a Y-o-Y basis? What is the growth that we have seen in spite of this political and economic unrest?

Management: So we review them separately. And therefore, most of our answers are separate. But 7% to 8% of India business is done outside, in the international, it's all I can give you.

Akshay Krishnan : And just a follow-up on that. Now with the milk inflation prices and also the powder prices down that we get from New Zealand. Now how are you capturing the RM pressure just for Complian?

Management: So outside India, there is no significant pressure because the milk prices are actually ...

Management: It's produced outside.

Management: Yes, these products, New Zealand product is -- so we have third-party locations in New Zealand as well as Oman, which cater to most of the Complian requirements outside India. And there the milk prices are actually coming down substantially. So there are no -- not very similar pressures that we face in India.

Akshay Krishnan : And then my follow-up question is on the Everyuth. So now when we see the market share change that we see a capture on between facial cleansing and the scrubs. Now towards -- who is the competent that we are gaining and are also losing these? Because I find scrubs business,

you're getting a 68% market share increase on a Y-o-Y basis on a bps basis. And also the facial cleansing, some 30%. So are we getting some competition from the other players say on the natural segment?

Management: So it's still very small segment, and there are still marginal players. I think our focus is to grow these segments because the opportunity is much, much larger in terms of driving it. Obviously the smaller players who are not able to impact are the ones who lose out in this.

Akshay Krishnan : And then the final question, sir, on the rural aspect, since we have a step on the rural aspect continuing. Are we getting any hints from the rural consumers on the SKU rationalization? Are they looking at this lower SKU packs or they are comfortable on the mid-teens segments of these SKUs?

Management: The voice is not clear. I'm not able to follow your questions clearly. So if you could.

Akshay Krishnan : Sorry, sorry. So I just wanted to understand, on the rural demand, so I just wanted to know, at a rural aspect, what are the consumers' preference? Are they looking at the lower SKUs? Or are they looking at the SKU price-reduction point? So my point is, are they looking at SKU price points of 5, 10, 15 bucks? Or is the demand overall been impacted?

Management: So I think both are at play. I think overall demand has been impacted in rural. Obviously some traction has moved towards higher access packs, which are the lower price packs, which has helped us stay in the game, but it's a mix of both. There is a general reduction in demand and LUPs have filled in part of that demand, whatever exists. And therefore there's a downtrading as well. So it's a mix of the 2.

Akshay Krishnan : So can you just highlight what will be the contribution from the lower SKU packs, like INR5, INR10 pack, what will be the majority contribution from the total sale compared to the normal?

Management: So for us, that's not such a significant driver of numbers beyond a point on LUP. So Complian, like we are doing, but it's not just the rural, it is also in other markets. Glucan-D, we just launched the sachets, which are more on the go than rural. In Everyuth where we have a good realization on the sachets, there -- I think that's been growing fairly well and the contribution continues to go up. So that's largely how it is. But I think at a market level, I will explain to you.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Management: Thank you, everyone, for your questions and your suggestions. We will meet next quarter. Thank you.

Moderator : Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

Zydus Wellness Limited

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CIN: L15201GJ1994PLC023490

August 9, 2023

Listing Department Code: 531 335

BSE LIMITED

P. J. Towers, Dalal Street,

Mumbai-400 001

Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

Bandra (E),

Mumbai-400 051

Re: Transcript of the Earnings Conference call held on August 3, 2023

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q1 FY2024 Earnings Conference call held at 3:30 p.m. (IST) on Thursday, August 3, 2023.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY

Encl.: As above

ZY.dUS Wellness _____ –

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"Zydus Wellness Limited

Q1 FY '24 Earnings Conference Call "

August 03 , 202 3

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN – ZYDUS WELLNESS LIMITED

MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER – ZYDUS WELLNESS LIMITED

MR. GANESH NAYAK – DIRECTOR – ZYDUS WELLNESS LIMITED

MR. UMESH PARIKH – CHIEF FINANCIAL OFFICER – ZYDUS WELLNESS LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Zydus Wellness Q1 FY '24 Earnings Conference Call, hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities. Thank you, and over to you, sir.

Karan Bhuwania: Thank you. Good afternoon, everyone. It's our pleasure at ICICI to host Q1 FY '24 results conference call for Zydus Wellness Limited. From the management, we have today, Dr. Sharvil Patel, Chairman of the Company, Mr. Tarun Arora, CEO, Mr. Ganesh Nayak, Director, and Mr. Umesh Parikh, CFO.

I now hand over the call to the management for their opening remarks for which we can open for the Q&A. Thank you.

Tarun Arora: Good afternoon, and welcome to the post results teleconference of Zydus Wellness Limited for quarter 1 financial year 2023-'24. We have with us, Dr. Sharvil Patel, Chairman, Mr. Ganesh Nayak, Director, and Mr. Umesh Parikh, CFO.

On the onset of the first quarter of the financial year 2023-'24, the business has started with a mixed bag. On the revenue front, while the net sales growth is about 1%, the portfolio without Glucon-D has witnessed closer to double-digit growth, supported by volume growth of 4.5%. Similarly, as explained in the last quarter, we continue to see improvement in gross margins for our non-milk based portfolio in excess of 100 basis points over the same period last year. We are taking appropriate price increases to address the milk inflation in the coming quarters. The country witnessed erratic weather patterns with unseasonal rains across various states, sales of our key summer season brand, Glucon-D, which contributes a significant proportion of overall sales in quarter 1 is also impacted due to the same.

Let me take you through the highlights of the consolidated financial performance of quarter 1 financial year 2023-'24.

During the first quarter of financial year 2023-'24, our net sales grew by 0.9% to INR6,992 million. Our total income from operations grew by 0.8% to INR7,021 million. EBITDA decreased by 21.3% year-on-year to INR1,165 million. Other expenses grew by 13.6% on account of high cost of alternative fuel and statutory wage rate increase, which continue to impact our overall manufacturing cost.

The company has incurred onetime expenditure of INR142 million towards onetime settlement with workers, legal charges and provision for inventory write-offs. Savings on account of cessation of Sitarganj plant is partially captured in our HR costs and remaining balancing the steep increase in wage costs and alternative fuel costs in other plants. Zydus Wellness

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Reported net profit was down by 19.4% year-on-year at INR1,104 million. Adjusting for exceptional items, the net profit was down by 10.9% year-on-year at INR1,246 million. With that, let me share some of the highlights of the operations for the quarter, which will also cover the category growth, market share numbers as per MAT June '23 report of Nielsen and IQVIA. We continued our thrust on marketing initiatives to grow categories and increase market share of our brands during the quarter. To narrate a few. On the Glucon-D front, unseasonal rains across various key states of country coupled with Cyclone Biparjoy during the key summer season has impacted category sales during the quarter.

Further to boost trials for the new launches, we launched new campaigns of Glucon-D sachets and Glucon-D Mango Blast variant, which are our new offerings for the season. The glucose powder category has degrown by 3% at MAT well. Glucon-D brand continues to maintain its

number one position with a market share of 59.9%, which is a decrease of 57 basis points over the same period last year.

On the Complan front, in response to competitive actions of aggressive LUPs and price reductions, we had revised the pack price architecture for Complan in last financial year. This was focused on reviving volume growth for the brand. Complan has registered a growth of 12% in terms of number of household usage at MAT level, which has collaborated with growing volume uptakes for the brand.

The health food drinks category has registered a growth of 2% at MAT level. Complan market share stood at 4.5%. On sweeteners brand, Sugar Free brand has continued the uptake growth momentum in quarter 1 on a year -on-year basis. A new communication that focuses on motivating consumers towards embracing healthier lifestyle with small chains was launched in quarter 2, the approach is embodied in our thematic expression of Katrina's Fitness wali chai, a concept designed to demonstrate a small change of adopting fitness into one's daily routine. The brand continues to maintain its leadership with a market share of 96.2%.

On the personal care front, the face scrub category has registered a growth of 6.5% at MAT level. Everyuth scrub continues to maintain its leadership position with a market share of 42.4%, which is an increase of 42 basis points over the same period last year.

The Peel -Off category has registered a decline of 0.3% at MAT level. Everyuth peel -off has maintained its number one position with a market share of 78.7% , which is an increase of 19 basis points over the same period last year.

Nycil brand registered strong growth for the quarter backed by support through media campaigns for talc and body mist. The prickly heat category -- powder category has degrown by 4.5% at MAT level. Nycil has maintained its number one position with a market share of 35.5%, which is an increase of 117 basis points over the same period last year.

On the dairy and spreads category front Nutralite brand has delivered yet another strong set of numbers, thereby registering robust growth for the quarter. T

he company is focused on volume led growth, which will further be accelerated by innovations in the coming quarters, with Zydus Wellness

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Bangladesh subsidiary becoming operational during the quarter, the company aspires to strengthen its international presence. The company also plans to take forward its digital journey by implementing data analytics and warehouse management systems.

Thank you, and we will now start the Q&A session. Over to the coordinator for the Q&A.

Moderator: Thank you. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: I've got three questions. My first question is on the prickly heat powder category. Nycil has seen good market share gain. Here my question is your key competitor acquired a brand a few quarters back and now they have become on a combined basis, a number one player. Again, that -- the market share gain is a good performance. I wanted to understand how the industry dynamics has changed, what are you doing different? And the 17 bps is a good market share improvement. Is it also correlating with the growth you have seen in the past few quarters because many times we see market share gives a different trend and actual performance could be a bit different? Tarun Arora: Thanks, Abneesh. On Nycil, I think we have a very strong brand. It is the number one cooling space, and we continue to drive the brand on fundamentals. We believe the latent equity of this brand is much more, and that's really what we've focused ourselves. We continue to communicate to consumers the benefits which are unique to it for a family consumption and continue to drive on execution on ground through distribution expansion. I think these have really been giving us the results and that's really what it is. And I think the gain in the market share also reflects our internal performance as well.

Abneesh Roy: But my question was your key competitor has now become, on a combined basis, bigger than you. Is that impacting any way your ability to really keep maintaining the number one brand -- on an overall basis, they are bigger, but you are still on a brand basis, you're still the number one. I wanted to understand industry dynamics any change?

Tarun Arora: I have not seen any changes. I think, we are focused on gaining new consumers, and that's really where I see the advantage coming to us that we are being able to continue to focus on gaining consumers, and that's what we are getting. I think from a competitive point of view, I think each of the brands are trying their bid in terms of market share. But at our ground, I don't see any significant dynamic shift.

Management: And these are not the wholesale -- I mean these are not brands which -- I mean these are real brands. These are not replacement products. So I don't think you can combine two brands and

say, become number one like that because each brand has its own capability and own customer set. So you don't replace just because -- you don't combine brands like that. Otherwise, you combine categories also.

Abneesh Roy: My second question is on HFD. So you mentioned the aggressive behavior by the large player last year due to the overall pricing architecture went for a change, there was the LUP being introduced by the market leader. So from there on, the milk, which is the key raw material has seen massive inflation. So now where do we stand in terms of price hike in the last one year in Zydus Wellness

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your HFD portfolio? And what would be the plan going ahead because now it seems that milk prices are stabilizing. So would you still look at a price hike given that now the raw material is stabilizing. And what is the way forward? Because here again, you have lost market share at a very small market

share, you have lost market share. So I wanted to understand what is the way forward here?

Tarun Arora: So I think there are three, four things that matters in this whole portfolio. I think the action by the leader is about 1.5 years, 2 years back, which has disrupted the market and where possible an intention to grow the market and go deeper. We had less than fair participation in certain segments like sachets, etc., which we've corrected. It's still very small, but we have a better participation and we also have a price point play through pouches, which we are participating in. Having said this, I think we are seeing good gains in terms of new households acquisition, which is a critical benchmark for our brand, and that's why we mentioned 12% gain in households and a volume share shift, which we are seeing on the brand.

I think going forward, we are looking, as the milk prices are stable, we are seeing a good buildup of the brand and the market share loss that you may attribute is more about not participating in a certain price segments, which we have less than fair participation. On a stable level, I think some of the key states and key markets and key packs, we continue to hold the consumer base that we have held. So I think there is a structural shift that was introduced, which we have addressed and we should be able to build it going forward. Milk price is stable is a good news. We are taking price increases, calibrated price increases, which will help us recover the EBITDA margins that we have commitment towards.

Abneesh Roy: One last follow-up there. So when you say 12% increase or gain in number of households, but then when I see market share has come down by 31 bps, also the entire industry growth rate in HFD is not something which is very great in terms of volumes. So what does the 12% gain in household mean when your market share is reduced? Where is the definite?

Tarun Arora: So I think we -- for us, there are two or three things that matter. I think the inflation, because these are relatively higher priced categories. There was a point in time when this category was much smaller, and there were consumers who will, despite inflation buy the same quantity. There is possible reduction in per household usage, but we acquire more consumers and that's, I think, are very critical for us. We're also seeing a volume share gain, which I think will translate into value share gain that you are attributing us to. And that is...

Moderator: Sorry to interrupt, sir. We have lost the audio.

Tarun Arora: Did he get what I said?

Moderator: I'm not sure, we lost the audio from your line for the last few seconds.

Tarun Arora: Okay. So I'll just repeat, I think the critical part is that we have to gain new consumers, which we are. In a hyperinflation situation, there may have been a reduction assumption, which is why there's a difference in the household category growth and the value numbers. Zydus Wellness

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We have, in last few quarters, seen a volume market share recovery and value will start also reflecting sooner or later as things get more normalized.

Moderator: Thank you. The next question is from the line of Tejash Shah from Avandus Spark. Please go ahead.

Tejash Shah: Sir, first question if you -- I logged in a bit late, but what would be the volume and price mix breakup for the quarter?

Tarun Arora: So total level, we'll have a negative about 5.2%, but if you were to reduce Glucon-D, which is

an exceptional season for us, without that, we would have about 4.5% increase in volume growth.

Tejash Shah: Second question was on HFD extension of the previous participant's question also. That even leader indicated degrowth in the category in this quarter. Now with all the interventions and marketing efforts that leader would have made along with obviously participants like you also

in the category. And when we look at it in perspective of very low penetration of the category, which was the base argument for somebody to bring in money into this category. Why this category has not responded at all in the last four, five years in terms of growth?

Tarun Arora: So while this is a larger strategic question, I think there are two or three things that I could think quickly talk for this want of time. One, I think there have been nutrition now has two, three parts. One, there are segmented consumptions, and we have seen adult consumption going up while the kids consumption, people have alternatives, which could be in terms of cereals, which could be in terms of juice and other nutritional items and daily food product also consumers are more conscious of other nutrition. So that's one.

The other thing -- factor that I think which has hurt brands like us, which have a premium to others and have largely a main pack plays significant inflation puts pressure on the marginal households, which impact the category. So those are factors, which I'm seeing. I think the second one is temporary in nature where the inflation settles down. The structural one we'll have to provide a better reason for consumers to continue to use this category versus other alternatives they will have for total nutrition or specifically on nutrition point, which is why we are focused on building superior nutrition and clinical-based claims. But a larger thing...

Dr. Sharvil Patel: I think also this whole -- the lower price point architecture that got introduced, I think, has a detrimental effect on the overall category. So maybe short term, it looked very good, but it has destroyed the whole pricing architecture.

Tejash Shah: And in value terms, I can understand, but even on volume terms, you believe that it has kind of made the category less appealing to the consumers?

Dr. Sharvil Patel: I think you have to give the right proposition when it -- and a relevant proposition to the consumer. So I think with better claims on product, which we believe we'll be able to -- which we have and which we'll be able to show, I think that is going to matter as we go forward. And obviously, adjacencies in terms of age groups and extensions that one can look at in terms of growth. That is obviously going to be also very critical as to how do we move forward from this. Zydu Wellness

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So I think in the last quarter, as Tarun said, we have seen a good uptick in terms of volume in certain states, which are pretty critical for us, so we hope we are on the path of recovery after this last couple of four quarters, five quarters.

Tejash Shah: And next question is on this WHO's assessment, which there is a lot of controversy around that whether aspartame is carcinogenic or not. And you have also kind of mentioned it in your PPT.

So any early reaction from consumer, whether they have -- like have you lost any consumer base because of this speculation or you believe that consumers have kind of taken it in stride, like most of the allegations which we have seen in the past also in some of the categories. So just wanted to understand early reaction of consumers that you would have picked up.

Dr. Sharvil Patel: I think one is on the consumer reaction. I think we just have to wait. We haven't seen any drastic differences. But again I have yet to wait and see what impact some of this have. I think one thing we have to understand that it has been a very selective way of dissemination of information that has happened that has come out from the WHO or not from the WHO but how it has been reported.

So I think we have to work very hard to make sure this is correct and the right perception about what has been written. The category that it falls in and the daily requirement and dosing of the daily intake that is allowed is significantly below a

any consumption levels that exist today here.

I think we have to do a lot of education, which is the effort that we have to put to the consumer in any form possible and also make sure that the right information is disseminated and not selective information. But whether we have -- we will have some impact we have to wait and see. It's still a little too early to know whether what kind of an impact this could have.

Tejash Shah: And the last one on margin. So finally, almost after 2 years, 2.5 years, we are seeing some early signs of inflation kind of cooling off. So let's assume hypothetically as the year progresses, we have this tailwind, which we have seen right now continues. Would you have kind of a flexibility to let it flow to the margins? Or you believe that business and the current demand environment will require a lot of investment to kind of not allow that to happen in the near future?

Dr. Sharvil Patel : I think Tarun can take it, but I think end of the day, we have to make sure that we improve our profitability. So I think with this deflation in commodities other than milk related portfolio, we have seen an improvement in our gross margins. And definitely, with the right product mix, if we are able to maintain, we should see that come down through into the operating leverage. Now obviously, it's a question of making sure that we have the right product mix that we are able to sell. And there has been a lull in the market right now. So we have to wait and see how the next few months go on in terms of the demand generation. But otherwise, I think other than milk I think we have sufficient -- more than sufficiently covered our gaps.

Tejash Shah: But any guidance would you like to give for two years , three years that we are here what parameters, maybe you want to see the margins down.

Tarun Arora : For sure, like we've said, last time also, we believe that in the next two years to three years, we should be looking at recovering back to 17% to 18% because we dropped down to 15%, we Zv.dus Wellness

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should be looking at two years to three years back to 18 before we get down to further beyond. Because we have to invest back also.

Moderator: Thank you. The next question is from the line of Madhur from Counter Cyclical PMS. Please go ahead.

Madhur Rathi : I have two questions. One is when will our revenue start growing? And with the increases online and MT proportion, is there -- will margins decrease and working capital increase structurally.

Thank you.

Tarun Arora : I think it's a good question, and that's most important for us is to get revenue growth. And I think there are things that -- beyond our control, but we do believe that we have the right mix for growth. And that's why we have isolated the growth factor where on a seasonal part, which did pull us down. Otherwise, we do believe we have all the right mixes to get growth and we should continue to see growth coming back. As far as working capital ...

Umesh Parikh : Yes. Sure. So as we said earlier also, we hope to see the improvement in the working capital cycle by 10 days to 13 days as reported last year from whatever we put it last year.

Tarun Arora : We are protecting our margins for across channels purposes. So that it should not impact. I think you also asked that will the growth and all in organized trade rate impact our margins . I think we are reasonably protected on that.

Tarun Arora : It may impact working capital, which we are balancing and margins will be fair. Next question?

Moderator: Thank you. The next question is from the line of Alok Shah from Ambit Capital. Please go ahead.

Alok Shah: My first question is that while you mentioned the erratic weather impacting the sales of Glucon - D? And number two Umesh's presentation mentioned the same. I was just wondering, why would that not impact the sale of Nycil als

o? Or was that impact quite too Glucon -D side ?

Tarun Arora : I think there are two factors that play out. One, I think Glucon -D has even a shorter cycle than Nycil and the timing of that cycle, which is more April, May. Secondly, Nycil because of prickly heat has linka ge to both perspiration. And therefore, the humidity plays also to the advantage of Nycil.

Moderator: Ladies and gentlemen, thank you for patiently holding. We now have the lines of the management reconnected. Over to you, sir. Mr. Shah.

Tarun Arora : So Alok, should I repeat? Or were you able to get before the call got disconnected?

Alok Shah: No, I got it because of the longer seasonality because the summer does humidity related issue, which has Nycil. Got it. Got it. Second point was with respect to performance of Nutralite, which has been pressing in fairly well. So just wanted to check how would the performance within that of the new launches choco spread new etc etera would be doing? And would it have gained sizable share? Or it's the base Nutralite which is still sort of growing at a fast lane? Zv.dus Wellness

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Tarun Arora : What is doing well in Nutralite is the base for sure has continued to do well. The dairy portfolio has done well, the butter and ghee. Within the new launches, on the spread side, I think chocolate spread is much lower than our expectation. So we have to see what we want to do with it. Mayonnaise, I think, we have covered a certain mass. I think there is potential to do more for

which we are doing some work, which will help us get right as we build forward on that.

Alok Shah: And my last bit was on the marketing spend. So ATL plus BTL put together, now that the margins will potentially start to look much better, except for the milk, most of the commodities should be gradually benign. How are we thinking in terms of overall spends towards pushing the product as the communication with the consumer. So is there a scope to increase any spend over there, which can help in terms of the growth? That's it from my side.

Tarun Arora : Alok, it's a fair question and we are titrating it because we would want to balance and ensure as the gross margin goes up, we are able to spend on it, but we are doing a calibrated calls on that quarter -to-quarter because like , we explained, our gross margins have gone up for the non -milk but at an overall portfolio, once it starts going up, we will be more confident on pushing certain investments up.

Tarun Arora : And I think for the next six months to eight months, six months, at least, I think Sugar Free and Everyuth will -- we will think properly in terms of how do we spend for that to grow because those are important brands for us and have done well. So we need to make sure that we do the right investments in those. The others will be more measured in terms of how do we invest depending on the uptake and demand.

Alok Shah: Just to confirm you said Sugar Free and Everyuth. Did I pick up rightly ?

Tarun Arora : Yes.

Moderator: Thank you. The next question is from the line of Kinjal Mota from Banyan Tree Advisors Private Limited. Please go ahead.

Kinjal Mota: I have a couple of questions. My first question is in the context of skincare, particularly in the realm of facial care, the face wash market is witnessing growth. However , the market for peel -off and scrub product does not seem to be experiencing similar growth trends. So what are the challenges currently impacting the growth of peel -off and scrub products in the market overall?

Tarun Arora : So I think peel -off market has a linkage more to the occasions of consumption, which is largely festivities or wedding season. And therefore there is swing that happens in between. Otherwise, we've seen in last one year a good offtake. Similarly, scrubs has also been considerably good uptakes and we have been building our ma

arket share.

The only thing is that Nielsen numbers that we quote , are the best estimates we have for the category. But our belief is that it will continue to grow and grow well. Also, some of the growth which Nielsen does not capture happen also online sales. Unfortunately, despite our request to Nielsen, we have not been able to capture it as a full picture of the category. But we do see scrubs and peel -off will continue to be large potential opportunities for the category growth. Zydus Wellness

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Tarun Arora : And at least for us, until year -to-date they have contributed well.

Kinjal Mota: My second question is, has the introduction of products like Sugarlite, which competes with your existing product that is Sugar Free resulted in any cannibalizations?

Tarun Arora : No. Actually, Sugarlite is positioned more as a sugar and therefore, we have not seen any level of cannibalization.

Kinjal Mota: And under what duration does the tax benefit which is currently arising out of MAT credit and accumulated losses remain accessible?

Umesh Parikh : Typically, until March '25. Up till March '25 we will have a normal tax rate.

Moderator: Thank you. The next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.

Kaustubh Pawaskar: Sir, my question is on the sugar free category as a whole, this quarter, again, we have seen mid -single -digit growth . And it has indicated that because of the issues related to aspartame , you have not seen any kind of an impact...

Management: Sorry Kaustubh, there is a lot of disturbance in the line. Not able to hear clearly.

Kaustubh Pawaskar: So my question is on Sugar Free category as whole. So this quarter also we have seen mid -single -digit kind of a category. And you have alluded to the point that you are not seeing any impact of the issues related to aspartame. So I just wanted to understand where are we losing ? Because earlier we used to see that this category used to grow in good double digits and we are the market leader and we used to gain because of that. So what is issue related to the category, why we are seeing growth in single digits? And when can we expect growth to come back to double digit for Sugar Free?

Dr. Sharvil Patel : So I will just take one question. The effect of what has happened. We have to still wait and see.

As I said, it's too early for us to comment on what could be the impact of the current news that was there. As I said, we would n't be able to do to make sure we give the right correct information for the consumers to make the right choices. But as I said so we have to still wait and see whether

the impact takes longer, it doesn't happen so suddenly. But so far, we are focused with regards to how to grow the category and areas that you are talking maybe Tarun can say
Tarun Arora: So overall, the consumers talk about a couple of reasons due to which is the reason for lower adoption of this segment is -- or this business is, one is the relevance because somehow a large portion of impressions or positioning has been that it is more suitable for diabetics and therefore, we've had a large amount of effort, both for diabetics as well as non -diabetics to adopt. So that's one effort that we make consistently.

Second is it's not related to just this episode of WHO announcing certain things. There has been a lot of negative publicity about this segment over the years on various online spaces, which creates a certain amount of concern on people, which holds people back sometimes. So we are Zv.dus Wellness

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addressing both these parts consistently. It has impacted and created headwinds for the segment. And then I think we should be able to address.

In particular, we've seen when we look at our Stevia -based products which is natu

ral and is

positioned. So we've seen high double -digit growth and a much faster adoption. The challenge is how do we make people shift even harder is something we are working on and we should be able to do. There is obviously the third element, which is price a Iso which comes through. But we believe with the right positioning and the right continued effort, we should get -- improve our adoption.

There is the last piece, which I could add which could be linked to , leveraging this brand to get into other food spaces, some of the experiments we have done, pilots we have done on chocolates and online space. I think we still have our work to do and we'll also explore some of those things over the next couple of years. But that's where we are in terms of our effort to grow this back.

Kaustubh Pawaskar: So the related question to the same . As you said that Stevia is doing good for you. And in the presentation also, there is a mention that you will be launching more produc ts under the Sucralose and Stevia, which is a subsegment under the Sugar Free so is it to create a right portfolio for you so that -- on which you can leverage and see a better growth going ahead?

Tarun Arora: Yes, we are looking at launching more products under the Sugar Free, like I said, on leveraging and also drive consumers to overcome the perception challenge, which may be existing with aspartame but to focus more on Sucralose and Stevia. That's largely what we want to do, as I explained.

Moderator: Thank you. The next question is from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur: So I wanted to understand first on the Glucon -D. I understand that the category actually had faced the headwind s. But can you just also throw some light in terms of color on which regions actually have go t more impacted because if I were to look at it, the category volume decline has only been 3%. And if I were to do some bit of math, I believe our volume decline would be maybe slightly higher than that. So just trying to understand that part of you -- the kind o f move on this ...

Tarun Arora : So I think if I were to give you a sense of it, I think while we report quarter -to-quarter numbers, a substantial portion of our business gets done over two quarters, quarter 4 and quarter 1. At quarter 4 plus quart er 1, I think our growth rates are higher than the category growth. Though I can also tell you, regions which have done well are largely East and South where the rain impact was relatively less, and we have got a better response. And therefore, the season was more supportive. North and West are more impacted. But at the overall level, we have done our internal growth rates are better than this.

Dr. Sharvil Patel : I think this quarter was highly skewed in terms of RoCE but first half, if you look at it, we did better than the category. Zv.dus Wellness

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Ajay Thakur: Secondly, I also wanted to understand a bit more on the growth momentum. So if I were to put it, first, we are still ta rgeting around 18% , I understand 18% kind of EBITDA margin for FY '24 possibly. I think we are hoping for that. But if I were to look at the next two quarters, obviously, we have much lower margin because of the seasonality factor and our portfolio mix. So are you

kind of hoping that we would be able to kind of at least reach within that kind of a limit? Or you believe it will be kind of difficult with the current either the raw material trends or given the fact that the mix of how the our performance has been in Q1?

Tarun Arora : So our focus remains our gross margins and EBITDA margins for each quarter. Structurally, the next two quarters are lower because the fixed costs remain very similar around the year, but the operating gross margins and therefore, the EBITDA margins drop because of the mix and the fixed costs. And then

before, it works in that reverse way there will be leveraging of the operating leverage working in opposite directions. So I would say, we are still focused to continue to get better growth over last year, over next two quarters. But obviously, and that's how it will be, that's how it structurally is.

Ajay Thakur: And sir, lastly, just to understand, we have been doing almost like, double-digit kind of revenue growth. And we still have 5%, 6%, I believe, in terms of the price, which is here. But then currently, you have given the high base of Q1, can we still be looking at a double-digit kind of revenue growth momentum or just because of this Q1 kind of a miss, do you believe we would be looking at something like a more like a high-single-digit kind of growth for the FY '24?

Tarun Arora: I'm not sure of the forward-looking things, but I think we still have a shot at it. We still have three quarters to go and a large quarter 4 also. So I'm hopeful that we should be able to pull that through, but we'll have to play it as it goes.

Moderator: Thank you. The next question is from the line of Mayur Parkeria from Wealth Managers India Private Limited. Please go ahead.

Mayur Parkeria: So sir, actually, this is not necessarily a question with a negative intent but we just to understand, so because the -- at an overall company level, this is not at an individual segment level understanding number at an overall company level, do you see we being able to structurally demonstrate volume growth which can be in region of closer to double-digit or higher single digits or something like that? Or do you see that in the current product segments, categories also that we will have to do something different firstly, or do you think that we will have to acquire certain product gaps, which you have mentioned in the presentation also in terms of bolt-on acquisitions?

The reason -- the background with which I'm coming is, we have seasonality in the product baskets. And some of our products are very highly penetrated and some of that category itself is facing challenges in terms of the growth. So how do you see at the overall company level from an overall investor level this ability to deliver volume growth, which is structurally over the next three, four years, sir?

Tarun Arora : So I think, we do not have a doubt in terms of the fact that we can deliver a consistent over three years to four years, double-digit growth. Last financial year was there. We've missed because of Zydus Wellness

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the season. And every three years to four years, if you look at last 10 years data also, we've seen there is one-odd seasons, which go down and there is a seasonality impact or some other disruptions, but double-digit growth is absolutely a doable thing, given our portfolio. Of course, other things that we buy or if we launch will add to it, but we do believe the portfolio fits in into a double-digit growth.

Can this double-digit growth be purely volume-led? Intention, yes, but there is a certain amount of inflation which is inherent to business and will always be part of that mix. Our focus is to grow our consumer base by recruiting new consumers. And therefore, we have a single-minded focus on that. Inflation is just to work around the cost structures as well as a competitive perspective. And therefore, we're quite committed to doing that.

Mayur Parkeria: Sir, do you see this coming from any changes which we are assuming in terms of certain product categories, which will add like what you mentioned about Sugar Free, some of the extensions, or do you see that the current when you answer this? Is it based on the current product itself or some major changes which you have in built there?

Tarun Arora : So really speaking, I think if I look at last 8 quarters to 10 quarters, except for couple of brands, where

we've had some challenges, and we are working on those. I think most of our brands have clearly demonstrated that, and we don't see a reason where brands over three years to four years of Glucon-D, Nycil, Everyuth, Nutralite have any challenge in demonstrating over next three years to four years or in last couple of years, any double-digit growth challenges.

Complan had a more structural level and an industry level issue, which I think we'll figure out a way to come out of and we'll launch extension and work around. Sugar Free has also seen single-

digit growth. We are working on how to pull that forward. But as an overall portfolio, I don't have a reason any believe there is a challenge at a business level. And therefore, the new products will support our belief in that.

Mayur Parkeria: Sir, last one, very small question on the bookkeeping side. Will you be in a position to just give us some qualitative understanding how much Everyuth would be at a category level at the overall annual sales business?

Tarun Arora : We've already given at the overall level between Nycil and Everyuth but individual breakups, we are not giving.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to the management for their closing comments.

Management: Thank you very much, and see you in the next quarter. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you. Zv.dus

Wellness

Call: Nov 2023

Zydus Wellness Limited

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CIN: L15201GJ1994PLC023490

November 10, 2023

Listing Department Code: 531 335

BSE LIMITED

P. J. Towers, Dalal Street,

Mumbai-400 001

Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

Bandra (E),

Mumbai-400 051

Re: Transcript of the Earnings Conference call held on November 6, 2023

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q2 FY2024 Earnings Conference call held at 4:00 p.m. (IST) on Monday, November 6, 2023.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI
COMPANY SECRETARY

Encl.: As above
ZY.dUS Wellness _____

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"Zydus Wellness Limited Q2 FY24 Earnings
Conference Call "

November 0 6, 202 3

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN , ZYDUS WELLNESS
LIMITED
MR. TARUN ARORA - CEO, ZYDUS WELLNESS

LIMITED
MR. GANESH NAYAK - DIRECTOR , ZYDUS WELLNESS
LIMITED
MR. UMESH PARIKH – CFO, ZYDUS WELLNESS
LIMITED
MODERATORS : MR. MANOJ MENON – ICICI SECURITIES
ZY.dUS Wellness ZY.dUS Wellness
fl ICICI Securities
Zydus Wellness Limited
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Moderator: Ladies and gentlemen, good day and welcome to Zydus Wellness Q2 FY24 Conference Call hosted by ICICI Securities.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you and over to you, sir.

Manoj Menon : Hi, everyone. It is a wonderful good morning, good afternoon, good evening depending on the part of the world you are joining this Conference Call from .

As always, it is our absolute pleasure to host the Management of Zydus Wellness Limited to discuss the recent Quarterly Results .

The Company is represented today by Dr Sharvil Patel – Chairman , Mr. Tarun Arora – CEO , Mr. Ganesh Nayak – Director , and Mr. Umesh Parikh – CFO.

Without much ado, over to the Management for the opening remarks post which we will open the floor for Q&A. Over to you, sir.

Tarun Arora : Thank you, Manoj. Good afternoon and welcome to the post results teleconference of Zydus Wellness Limited for Quarter 2 Financial Year 2023 -24.

Like Manoj mentioned, we have with us Dr. Sharvil Patel – Chairman , Mr. Ganesh Nayak – Director , and Mr. Umesh Parikh – CFO with us.

The FMCG segment witnessed a mixed quarter in terms of demand recovery , while urban segment continued to grow, the rural segment lacked recovery in demand due to rising food prices and uneven weather patterns across the country. The Personal care segment registered a high double-digit growth aided by growth in Nycil brand due to hot and humid weather in many parts of the country. The growth was further accentuated by strong traction of E veryuth brand. The Company's Nutralite brand also saw a strong surge in volume demand, however, value led growth was suppressed due to reduction in market driven prices.

In line with category, Complian brand has seen revival while continuing to increase penetration.

In the Sweetener segment, growth remained muted due to absence of sales of Sugar Lite on account of continuing

trademark litigation of the brand and sectoral headwinds. As a result, the Company's food and nutrition segment witnessed a flat quarter in terms of growth. The Company registered consolidated net sales growth of 2.6% on a year-on-year basis. The Company continues to recover the gross margin during the quarter aided by moderating rates of key inputs and calibrated price increases taken earlier. As a result, the Company has registered ZY.dUS Wellness

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an improvement in consolidated gross margins on net sales by 198 basis points on a year-on-year basis.

Let me take you through the highlights of the consolidated financial performance of the Quarter 2 Financial Year 2023 -24. During the second quarter of the Financial Year 2023 -24, our net sales grew by 2.6% to Rs. 4,379 million. EBITDA grew by 3.7% year-on-year to Rs. 168 million. Reported profit before tax grew by 4.9% to Rs. 86 million. Reported net profit was down by 30.6% year-on-year at Rs. 59 million mainly on account of deferred tax liability which is a non-cash item.

With that, let me share some of the highlights of the operations for the quarter which will also cover the category growth in market share numbers as per MAT September 23 report of Nielsen and IQVIA. We continued our thrust on marketing initiatives to grow the categories and increased market share of our brands during the quarter. To narrate a few, on the Glucon-D front, we continue to drive consumption of our new variants of sachet in mango flavor during the quarter through active digital engagement with consumers. The Glucose powder category has

grown by 1.2% at MAT level. Glucon -D brand continues to maintain its number one position with a market share of 60.0%.

On the Complan front, the Company has registered ahead of the category volume offtake growth with continuous efforts and necessary interventions we have witnessed growth in penetration by double digits. The health food drinks category has registered a growth of 4.3% at MAT level. Complan's market share stood at 4.4%.

On Sweetener's front, the Sugar Free brand continues to show good offtake growth during the second quarter as well. We continue to air our new communication campaign with celebrity, Katrina Kaif for driving Sugar Free Green. We also participated in several key PR initiatives like Dr. Mohan's International Diabetes Update 2023 and seeding Vernacular KOL-led videos on digital platforms to strongly counter any negative perceptions around non-nutritive sweeteners. The brand continues to maintain its market leadership with the market share of 96.1%.

On the Personal Care front, Everyuth brand posted yet another quarter of strong growth. The face scrub category has registered a growth of 6.2% at MAT level. Everyuth scrub continues to maintain its leadership position with market share of 43.4% which is an increase of 162 basis points over the same period last year. The peel off category has registered a decline of 0.5% at MAT level. Everyuth peel off has maintained its number one position with the market share of 78.9% which is an increase of 75 basis points over the same period last year.

The Prickly heat powder has degrown by 2.1% at MAT level. However, Nycil has registered double digit growth and maintained its number one position with a market share of 35.2% which is an increase of 19 basis points over the same period last year. ZY.dUs

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On the Dairy and Spreads category front, Nutralite brand has registered double digit volume growth for the quarter aided by fiscal sales. The Company hopes for a further recovery in demand due to upcoming festive seasons and we are working towards maintaining its gross margin recovery. Thank you and we will now start the Q&A. Over to the coordinator for Q&A.

Moderator

: Thank you, sir. We will now begin the question and answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead, sir.

Abneesh Roy : Just one question I had, so on Complan and your Dairy business, in terms of price hike last 1-2 years the entire industry and you must have taken price hike, there is a correction in the milk prices, so do you see your margins bottoming out once the inventory level, etc., corrects? And second related question on Complan is the market leaders are volume dip in Q2, so specific to Q2 how is your volume performance in Complan?

Management : So, with the milk prices stabilizing I think we do hope that across the dairy-led value chain, we should see margins only improving. In terms of our volume like I mentioned Complan has seen a volume improvement in Quarter 2 specifically.

Abneesh Roy : But are you calling that out as a good structural improvement given your base etc., I understand was a bit soft and market leader is also taking lot of activation, promotion, sampling etc., so how do you judge this from a 2-year perspective, Y-o-Y I understand?

Management : For me, the structural shift is because we are seeing a penetration going up and that is a good sign because we are recruiting new consumers and I look at over last 4 years, every year we have been widening our consumer base and that I think is a good sign which is really aiding the volume growth. Yes, you are right, there was a dip, but about couple of years back if I look at it, there was also a substantial volume increase during the COVID times, so over 3-4 years period, I think this is a very positive thing. We just have to focus on sustaining and building around it.

Moderator : Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah : My first question is on, if you can disintegrate growth for the quarter in terms of volume, value and all, so if you can give qualitative indication of which brands actually did better than the Company average and which did relatively poorly?

Management : I think we have started giving a little bit of separate numbers to help you understand, so first of all, I think at a volume level we have had a flat volume growth because some of the brands have had higher and some others, just to look at it, I think Food and Nutrition like we explained is flat for the quarter and Personal care both the brands have aided the double digit growth. Within the Food and Nutrition, while we have seen Nutralite because it is more reflective of the underlying oil and other ingredients impact, we have seen a high double-digit volume momentum at a price level because we have to give corrections like any oil-based brands, therefore it pulls down the price realizations. So, those are the major drivers of these volumes. ZY.dUs

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Tejas Shah : Second question pertains to Sugar Lite, you called out the litigation disrupting the business for a while, so just wanted to understand what percent of total turnover comes from that which would have got impacted this quarter and any visibility, I understand it is under litigation, so any ballpark visibility that you can give in terms of and by when do you expect to see the back of this crisis?

Management : It is about 3 -5% of our business in the lower quarters for us. We don't have any visibility. We are just hoping for a quicker resolve and we are engaging with Supreme Court to clear the injunction that we have .

Tejas Shah : And sir, you spoke about after many quarters we are seeing some tailwinds on gross margin side, so coming second half and then beyond that in near term, how are you reading this tailwinds timing out in terms of gross margin visibility and where do you see this year we handling upon this number?

Mana

gement : I think we are clearly seeing the non -dairy portfolio leading the improvements in gross margins which you talked about, now dairy is also stabilizing with the minor drop I think we are hoping even that stabilize s we are looking good to continue this improvement in margins. I cannot give you a specific answer, but only should remain same or get better than this mainly on improvement versus last year.

Tejas Shah : And sir, last quarter, we had some concerns pertaining to this WHO guidelines on aspartame, now this quarter, you at least in the presentation it seems that we are not as much worried as we were last quarter and even I see aspartame prices that you have shared as the raw material that has also not shown any weakness and then perhaps I am over reading it, but just wanted your insights on the same?

Management : So, we look at two or three levels we are reading from the market through the social listening about the talk on aspartame and concerns, our own tracks, I think that huge amount of impact that was there in terms of conversations that has actually died down, it is reduced. Even our track is picking up less. From an offtake perspective given by IQVIA, it is showing a positive movement and that is really what we are hoping will build. In market it still has to translate into back to normal thing, it hasn't. So, we are just hoping that it will slowly translate into positive regular numbers.

Moderator : Thank you. The next question is from the line of Mr. Umang Shah from Banyan Tree Advisors. Please go ahead.

Umang Shah : I just wanted to confirm what was the contribution of Sugar Lite brand for the last 6 months ?

Management : So, it is about closer to 4% in the weaker quarter, the annualized will be half of that.

Umang Shah : And sir, this litigation is going on since 2020, right , the first filings, so do we see this will result in this coming year or will it be pushed to next year , any idea? ZY.dUs

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Management : We are hopeful of it getting sorted, but the litigation is not in our control.

Moderator : Thank you. The next question is from the line of Mr. Devang, an Individual Investor. Please go ahead, sir.

Devang : My question is on EBITDA margin , why are the better margin are so low compared to the peer group and as an industry as a whole for the quarter?

Management : I think if you look at it, we have a seasonality and therefore the EBITDA margins need to be looked at in total because we have a high seasonality and therefore quarter 4 and quarter 1 have tend to be significantly higher and Quarter 2 and 3 tend to be much lower because seasonality is impacted , so better to look at either a trailing 12 months or an annual full picture.

Devang : But even in the previous quarter, it was only 14 %-15%, can you guide what is our aspirational level for the EBITDA margins?

Management : So, we had said that while we were at 17 %-18% due to huge inflation over the last 2 -3 years, we have seen those dropping to closer to about annualized level of 15%. We expect over next couple of years , we will claw back to a 17 %-18% level and then plan further steps to improve it.

Devang : And, sir, the next question is revenue growth is significantly below inflation levels and what would be the key triggers for the next few years and pathway to increase RO E over the next few years?

Management : So, there is a mixed impact. I think some of the brands have actually done significantly well. There is also the demand impact which, like in my starting point, I mentioned that there is certain demand which is impacted in the overall FMCG space also. We hope and expect that we should be back at double digit growth in the coming quarters . The demand should get better by at least quarter 4 and that festive season also most of us are hoping should lead to a better demand and

by quarter 4 should be back to better demand and better growth numbers.

Devang : Sir, any light for long term picture like 2 years, 3 years , not quarter wise Q4?

Management : So, from a medium -term perspective we are committed, and we do believe we have a strong portfolio which can deliver continued double -digit growth on the back of growing our categories, expanding the consumer base and also competitively we are well placed to win in that marketplace. So, we do believe good double -digit growth is what we should be looking at over 3-4 years.

Devang : And sir, any light on R OE?

Management : So, ROE, as you know that because of the acquisition , ROE tends to be generally lower because of the inclusion of goodwill , but as we go forward, we have earlier given a guidance that we will be touching R OE of 10% in 3 years' time. ZY.dUs

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Devang : And my last question is, as we are more of a Wellness Company than an FMCG Company , is there any plan to expand into Ayurvedic space and build any brand around that or acquire any Company in that space?

Management : So, business development is a constant part of our effort whether it is internal innovations as well as acquisitions, we have reasonable capability around some of these things, but no specific plans to share at this moment . When we have something specific, we will be able to share it.

Moderator : Thank you. The next question is from the line of Mr. Madhur Rath from Counter Cyclic Investments Private Limited. Please go ahead , sir.

Madhur Rath : Sir, my question was regarding the similar to what previous participant has asked, sir our revenues have not grown above the inflation rate , so if you could just explain the growth part, then we will do a double digit and how we will achieve revenue growth as well as margins , it could be very helpful ?

Management : So, if you look at it , last financial year, we did grow at 12% . This year , I think especially the first 4-5 months have been substantially impacted by one larger component has been our largest brand , which has a seasonality and due to weather impact has had challenge, mainly Glucon -D and that actually has pulled down the overall growth if I were to say. We do expect that things should be back to normal starting quarter 4 and even now as festive season starts, things should only start getting better from a growth point of view . Over next 2-3 years as an earlier caller had asked, I think we do expect back to a normal double -digit growth for us.

Madhur Rath : So, regarding the buyback that we had discussed over the last quarter, sir is there any momentum on that ?

Management : There is no discussion on buyback .

Madhur Rath : No, we were asked for the buyback for a while that is why I am asking has there any momentum on that.

Management : No.

Madhur Rath : I just wanted to understand, sir with Complian in our portfolio right now , will there be a decline in seasonality going forward or will this seasonality be continued for the next 2-3 years ?

Management : Seasonality is part of our portfolio mix where two of our brands, Glucon -D and Nycil actually have a substantial share in the summer seasonality and that is part of the mix with Complian, Glucon -D, Nycil, all the brands being there in the portfolio. So, I don't think structurally I see any change while we have committed to build on non -seasonal brands, but I think the overall structural shift, I don't see in over next 2 years. ZY.dUs

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Moderator : Thank you. The next question is from the line of Mr. Karan Bhuwania from ICI CI Securities. Please go ahead , sir.

Karan Bhuwania : Firstly, I wanted to get your views on your international business performance, how the performance in this quarter ?

Management : So, if I

look at first half of the year, we had double -digit growth on international business, but it is slightly lower than our expectation because one of our major markets, Nigeria particularly had a severe currency devaluation due to which some of our business had got stuck. I think with things getting now streamlined, it should only come back . All the other markets continue to grow in good double digits. So, overall , I think for first half we are in double -digit zone. We can do much better as these are external factors which we will have to deal with as we keep building this business organically.

Karan Bhuwania : Secondly, if I look at your ad spends, the ad spends have been flat in absolute terms year-on-

year, right and if you look at most of the other FMCG companies, they have been increasing their ad spends significantly, so somewhere between 30% to 35%, most of the FMCG companies, so will this under investment in ad spends could impact our growth in the future or how do you look at it?

Management : So, we are equally concerned about any advertising cut. So, I think over a 2–3-year period, if you look at it, I think we won't have been much lower in terms of spends direction. More importantly, I think we have also taken significant actions in terms of optimizing our investments in terms of our cost efficiencies around some of these things. Going forward, I think as the gross margins expand, we will continue to invest back on advertising as the biggest priority for us.

Moderator : Thank you. The next question is from the line of Mr. Shirish Pardeshi from Centrum Broking Limited. Please go ahead, sir.

Shirish Pardeshi : Looking at the slide on raw material, slide 6 and 7, I think barring apart milk, RPO has come down, aspartame and stevia prices were also looking sequentially down, so just wanted to check if milk from here slides another 10%-15%, is it safer to assume that second half of our gross margin will be significantly higher, say from 44.9 what we have reported in this quarter?

Management : So, we do believe we have seen 200 basis points improvement or 198 basis points improvement over last year and Quarter 2. That is the kind of trend over last year we will see in HY 2, more led by of course non-milk prices, but milk also being stabilized and slightly, I think we should be able to. That is our view as well. It should only get better.

Shirish Pardeshi : Sir, just wanted to check, just to continue, do you think second-half our ad bill will be higher because right now the consumption and the discretionary is taking toll, but if there is a significant improvement, do you think the ad spend will inch up in next quarter and the EBITDA will reach towards 14%-15% range? ZY.dUs

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Management : I think our ad spends will be in line with what we have been doing last year. I don't think there is a disproportionate increase, but we will be looking at significant opportunities specifically in quarter 4 as the business gets larger and with the better margins, we should be able to invest back more aggressively.

Shirish Pardeshi : My last question on the Everyuth, I think over last 5-6 quarters, we have done a lot of work in terms of penetration distribution, I think what is helping the growth if you can, peel off we are undisputed leader, so there is no question but the other two segments we have done revamp of packaging and other thing, our distribution focus is also there, but what is it when we see the double-digit growth in that segment?

Management : So, we are seeing double-digit growth. There is no reason. Actually, sometimes Nielsen, because of being smaller segments doesn't do justice to what the brand is doing and that is why we have given a Personal care which captures both Nycil and Everyuth and Everyuth is a significant portion of Quar

ter 2 numbers. So, you can take from us that not just one quarter, but over several quarters we are seeing consistent good double-digit growth.

Shirish Pardeshi : One follow up, do you think we need to expand the other segments of Personal care over every brand?

Management : Absolutely with you on that. So, I think scrub and peel off have demonstrated what we can do with this brand and how the strength of this brand is. We are clearly evaluating 2 things to build on, one is body lotions, which will help us deseasonalize, while face wash has also grown well for us but more so in specific channels. We will be looking at more innovations, more work to expand the portfolio and see how Everyuth can be a much larger brand given what we have seen in terms of traction and lead segments.

Shirish Pardeshi : The reason why I am asking because on e-commerce, our salience has already reached 10%, so is Everyuth is under index in the alternate channels for example modern trade?

Management : Not really, so overall, our business is about 20% between modern trade and e-commerce, 20%-22%, and Everyuth specifically leads this in these channels. So, it is not under leveraged.

Actually, it has been always ahead of the rest of the businesses. Actually, the lower side is branch like Glucon-D, Nycil which have a larger rural presence and a wider, deeper presence because of more SEZ, BMC, but Everyuth does very well on e-commerce. So, we are doing well across channels. So, we have the sachets which reach out to lower population and the larger packs which go for e-commerce and modern trade.

Moderator : Thank you. The next question is from the line of Mr. Manoj Menon from ICICI Securities. Please go ahead, sir.

Manoj Menon : Just only one question, on the sales vector of growth, whether it in terms of numeric distribution or whether in terms of line selling, if you will just talk a bit about let us say how that has panned out in the last 2-3 years and how do you see the medium term? ZY.dUs

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Management : So, if I look at it over the last 2-3 years, we have done specific actions across our channels to expand GT in terms of direct distribution, which used to be about 3-3.5 lakhs about 3 years back, we have taken it to 6 lakh plus. On e-commerce, clearly before COVID, which was 1%, which we started doing about 8%-9%. Modern trade, which went through its own challenge, we have really expanded our portfolio. Food service because we tried, we have taken a focus action. So, across the portfolio we realized that if we have to grow our brands and we being leaders, sales would be a critical element of driving this activity. The outcomes of each of these is where we have seen e-commerce playing a very good role in terms of both expanding our portfolio as well as our market share within this, so it doesn't get reported in Nielsen and therefore some of those actions get missed. Also, we have come out with specific packs in modern trade and e-commerce to drive this agenda, which I think is a requirement of this organized trade and which we are working on. From our food service also, we have seen our portfolio Nutralite really helping us expand. I think GT has been, I would say something which we think we have invested consistently, we have expanded our distribution, but the outcomes are less than satisfying, which is not just true for us, but I hear other FMCGs also talking of a similar thing where the share of general trade has fallen. So, we continue to drive our efforts because we feel access will continue to play a very critical role in category expansion and therefore we stay focused on it. We are taking multiple actions now where we are saying one is of course to continue increase our distribution but also increase our efficiency pack productivity also, more SKUs

per outlets that

we cover, so that we are able to get better value out of general trade, but that is a little bit more external factors which are driving it. So, overall, I think satisfied with the effort, we can continue doing it and used to be 1.8 million availabilities as reported by Nielsen at a combined business level when we acquired. Today, it is more than 2.5. My wish list is we could cross 3 million outlets stocking Zydus Wellness products and that is really where we would want it to be in next couple of years, maybe.

Moderator : Thank you. The next question is from the line of Mr. Devang Saraogi, an Individual Investor. Please go ahead, sir.

Devang Saraogi : As the promoter is on the call, I want to ask him whether they are interested in buying more shares from the open market, if they can comment on this?

Management : So, currently, I don't think we have any additional comment because the promoter family group decision is not made in this room. It is made separately where we are not involved as part of the decision.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Management : Thank you, everyone. Season Greetings and Happy Diwali. We will see you after the next quarter.

Moderator : Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. ZY.dUs
Wellness

Call: Feb 2024

Zydus Wellness Limited

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CIN: L15201GJ1994PLC023490

February 13, 2024

Listing Department Code: 531 335

BSE LIMITED

P. J. Towers, Dalal Street,

Mumbai-400 001

Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

Bandra (E),

Mumbai-400 051

Re: Transcript of the Earnings Conference call held on February 8, 2024

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q3 FY2024 Earnings Conference call held at 5:00 p.m. (IST) on Thursday, February 8, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI
COMPANY SECRETARY

Encl.: As above

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"Zydus Wellness Limited Q 3 and 9 months FY '24
Earnings Conference Call "

February 08, 2024

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN , ZYDUS WELLNESS
LIMITED
MR. TARUN ARORA - CEO, ZYDUS WELLNESS

LIMITED
MR. GANESH NAYAK - DIRECTOR , ZYDUS WELLNESS
LIMITED
MR. UMESH PARIKH – CFO, ZYDUS WELLNESS
LIMITED
MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES
Zv.dus
Wellness ZY.dus
Wellness
fl1c1c1 Securities
Zydus Wellness Limited
February 08, 2024

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Moderator : Ladies and gentlemen good day and welcome to Q3 and 9 months FY '24 Earnings Conference Call of Zydus Wellness Limited hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhu wania from ICICI Securities. Thank you and over to you.

Karan Bhuwania: Thank you. Good evening everyone and welcome again to the Q3 FY '24 Results Conference Call of Zydus Wellness.

From the management, we have Dr. Sharvil Patel – Chairman, Mr. Tarun Arora – CEO, Mr. Ganesh Nayak – Director, and Mr. Umesh Parikh – CFO

I will now hand over the call to Mr. Tarun Arora for his “Opening Remarks ”. Post which we can open for the Q&A session . Thank you. Over to you, sir.

Tarun Arora: Good afternoon and welcome to the post -results teleconference of Zydus Wellness Limited for Quarter 3 Financial year 2023-24.

Like Karan said, we have with us Dr. Sharvil Patel – Chairman, Mr. Ganesh Nayak – Director and Mr. Umesh Parikh – CFO.

It is always a pleasure to interact with all of you. Wishing everyone a great 2024.

During the quarter gone by, the FMCG sector continued to witness demand pressure on a sequential basis similar to last quarter . As expected, buoyancy in rural demand continues to lag. The same was further accentuated by macroeconomic factors like low agricultural yields impacting rural demand, delayed winters and late festive season.

However, some of the consumption segments continued to beat the trend. The pe rsonal care segment witnessed yet another double -digit growth for the quarter with Everyuth portfolio continue to gain good traction , which is further aided by Nycil .

The food and nutrition segment continues to face some brand specific headwinds plus demand pressure impacting overall portfolio growth. Similar to last quarter, Nutralite brand continued to witness good volume demand but had negative value growth due to market -driven prices.

The Sweetener '

s portfolio growth was also impacted due to very low sales of Sugar Lite as the Honorable Supreme Court allowed to clear the existing inventory towards the end of Quarter 3 and let the litigation continue at the trial court. ZY.dUs

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The company registered consolidat ed net sales degrowth of 3.1% on a year -on-year basis. The consolidated gross margin on net sales is on an upward trajectory , showing an improvement of 279 basis points on a sequential basis and 418 basis points on a year -on-year basis.

Let me take you through some other highlights of the consolidated financial performance of Q3, financial year 2023 -24. Our net sales degrew by 3.1% to Rs. 4,001 million. The company reinvested some of the gross margin gain into brand building. As a result, advertisement expenses grew by 11.8% year -on-year. Other expenses grew by 17% year -on-year. Cost of strategy consultant and increase in mi nimum wages at Ahmedabad and Aligarh facility drove up the other expenses. EBITDA decreased by 51.1% year -on-year to Rs. 127 million. The company reported profit after tax of Rs. 3 million, which includes Rs. 34 million of deferred tax liability, a non -cash item.

With that, let me share some of the highlights of operations for the quarter, which will also cover category growth and market share numbers as per the MAT December '23 report of Nielsen and IQVIA. Zydus Wellness portfolio bra nds were available in 2.9 million outlets as per the revised

reporting on Nielsen for MAT December 2023. Therefore, we are readjusting our plan for availability to 3.5 million outlets over the next three years.

We continued our trust on marketing initiatives to grow the categories and increase our market share of our brands during the quarter. On Glucon -D front, the glucose powder category has grown by 4.4% at MAT level. Glucon -D brand has grown faster than the category and registered strong growth for the quarter, where brand has maintained its number one position with a market share of 60.0%.

On the Complan front, the brand has registered ahead of category volume off-take growth. With continuous efforts and intervention for demand generation, Complan has witnessed 16% growth in penetration at MAT level. The health food drink category has registered a growth of 5.8% at MAT level. Complan market share stood at 4.3%.

On the Sweetener's front, we continue to push consumption of Sugar Free Green with our media campaign with celebrity Katrina Kaif which was further amplified with digital campaign during the 2023 Cricket World Cup. The brand maintained its market leadership with market share of 96%.

On the Personal Care front, Everyuth brand registered yet another quarter of strong growth. The face scrub category has registered a growth of 7.6% at MAT level. Everyuth scrub continued to maintain its leadership position with a market share of 44.4%, which is an increase of 263 basis points over the same period last year.

The peel-off category has registered a growth of 4% at MAT level. Everyuth peel-off has maintained its number one position with a market share of 79.5%, which is an increase of 113 basis points over the same period last year. ZY.dUs

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The Prickly heat powder category has grown by 2% in 2023 MAT December. Nycil brand has grown faster than the category and maintained its number one position with a market share of 35.1%.

As we speak, we have finished our season's preparedness and have started replenishment of fresh inventory across trade channels. Our demand generation and brand-building efforts will continue which will drive the growth of the company. The company's journey towards innovation will propel the growth further.

Thank you and we will now start the Q&A session. Over

to the coordinator for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Sanket from Ambit. Mr. Sanket? Since there is no response, we will move on to the next question from the line of Kinjal Mota from Banyan Tree Advisors. Please go ahead.

Kinjal Mota: So, my question was related to the deferred tax adjustment, which was mentioned during this quarter. Could you please give some details on what it is? And the second thing is, why is the nine-month FY '24 tax rate negative? These are the two questions if you could help around.

Umesh Parikh: So, this is because on conservative basis, we created a deferred tax asset in the earlier quarters and because there are, in the standalone entity of ZWL, there are profits, and we have to reverse this as a deferred tax liability and therefore you see it as a line item in the P&L.

Umesh Parikh: It is a non-cash item.

Kinjal Mota: And second question is, what is the MAT credit entitlement, so the amount is adjusted for 188 million, which is mentioned in the note?

Umesh Parikh: Yes, so MAT entitlement was mentioned even in the last year's balance sheet as well. So, you know, because we are in the zone, in the Sikkim where we have this availability.

Kinjal Mota: And what is the tax rate that we could expect for this FY '24?

Umesh Parikh: So, FY '24 and FY '25 will be in the nil tax rate and thereafter we will be paying the normal tax.

Moderator: Thank you. The next question is from the line of Madhur Rath from Counter Cyclical Investments. Please go ahead.

Madhur Rath: Sir, I wanted to understand, when I look even on a Y-on-Y basis, our sales have declined, but we have gained share in a lot of our products where we are already market leader, we have gained additional share. So, if you could just help me understand why is that the FMCG market is growing but it's not moving into our sales growth? ZY.dUs

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Tarun Arora: So, I think, if you look at FMCG market, I think overall there has been a challenge. While for the last quarter, Nielsen has reported a 6%, but most of the categories are struggling to get

growth. For us also, if you de-average the whole business, Personal Care is showing a fairly good growth, and which is what we have also reported. It's the other food and nutrition which has not grown. So, I think the impact is category by category. Overall, there is pressure on demand and the categories are a bit of stress. Fortunately, because of our actions, we are in a good competitive situation. Our market shares are going up despite the market pressures or category pressures and we believe as we move forward, as the demand improves, I think the category growths will be back and we should expect improvement in overall growth and specific to those categories where we have had brand-led pressures.

Madhur Rathi: Sir, when can we see, so you said that demand, but is there a time line in your mind as well as some kind of quantity, like number if you can say that we can grow a t for FY '25 as well as FY '26?

Tarun Arora: So, if you look at it, I think we had even in the last call also mentioned that quarter four onwards, we should see the growth. So, even in the last call, we had said that we expect growths to be coming back from quarter four and that's what I think it's looking like, that demand is improving though early days and it's only green shoots. But we expect growths to be coming back to normal starting quarter four and our wish list is or our expectation is that F Y '25 should be back to normal double-digit growths that we worked for.

Madhur Rathi: Sir, so there is some kind of growth that we see in Glucon -D for this Q4 as well as Q1, earlier year, which was not very well for us?

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Harvil Patel: So, the earlier year, as you said, was subdued, but we still have to wait until March and April to understand how the season is going, but the start is good.

Moderator: Thank you. The next question is from the line of Karan Bhuwania from ICICI Securities. Please go ahead.

Karan Bhuwania: Sir, firstly on Sugar Free that you have mentioned in your PPT also that despite the headwinds, there has not been good optics in terms of volumes, right? So, if you could elaborate more on that as to how has the demand been of the Sugar Free products, especially the products that are based on Aspartame?

Tarun Arora: So, let me give you an overall sweetness portfolio and how our business has been. I think we have had two things that have affected overall Sugar Free business. One has been Sugar Lite not being there for a major part of the business and Aspartame has had a muted run post WHO. Most of the growths are being driven and we have seen now several, 11, 12 quarters of consistent growth of Sugar Free Green, which is a stevia-based product which is covering up for it. We are seeing good off-take momentum coming from Nielsen and which we hope will help us recruit more consumers as we move forward. A lot of concerns over what is affected seem to be ZYdUs Wellness

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reducing and we hope to be able to convert into better improved penetration over the next coming quarters.

Karan Bhuwania: Sir, if you could just highlight what was the contribution of Sugar Lite which was not there in this quarter, so that would be helpful to understand the growth better.

Tarun Arora: So, Sugar Lite at an overall level, annual level has about 1.5, 2%. Of course, in the smaller quarters, it gets more ex-inflated.

Karan Bhuwania: Secondly, sir, on Complian, are you seeing any increased competitive intensity versus previous two quarters? Is there any change in terms of competitive intensity, in terms of pricing or say, distribution that you are seeing right now?

Tarun Arora: Not really. It is the usual. It is a very competitive category, and it continues to remain so. So, the good part is that we have been able to take some price increases and with the milk getting stabilizing, we expect it to be in a better shape, both ways.

Moderator: Thank you. We have our next question from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Sir, my question is on what was the volume growth for Q3?

Sharvil Patel: Volume growth for the quarter is in line with the total of the growth.

Tarun Arora: So, it is almost the same parity of minus 3.

Priyank Chheda: My next question is on, how do we look into the growth of negative 5% for food and nutrition segment? It comprises a portfolio which is very different and very unique to each other. If you can help us, I might have missed on the category growth numbers that you spoke. But if you can also help us dissect negative 5% growth, say in Complian or Nutr alite or Sugar Free or Glucon -D, how has been the growth in each of the brands, would give us a light which are the brands which have been doing well and where the action is required.

Tarun Arora: So, like I explained in my initial conversation, I think one part of it is Nutr alite where there is a because pricing has to be adjusted basis of the input prices. And therefore, we have had a reverse mix where the prices have to be brought down. The volume growth is higher than the value

growth. There have been also impact on the value for sweeteners like I just explained in the last thing. Otherwise, overall these are two major factors if I were to look at and a bit of impact on Sugar Free led by Aspartame .

Priyank Chheda: So, that's Nutralite and Sugar Free . What would have been the growth for Complan in the current quarter?

Tarun Arora:

Sorry? ZY.dUs

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Priyank Chheda: So, Complan remains one of the largest brand within food and nutrition, right? What would have been the growth for that?

Tarun Arora: Complan is not the largest brand. Glucon -D is the largest brand for our annually. We don't give quarter -to-quarter breakup of numbers but annually Glucon -D is the largest brand.

Priyank Chheda: So, what would have been the growth for Glucon -D? Would have been in line with the segment decline?

Tarun Arora: So, YTD, Glucon -D like I explained has been due to seasonality has been under pressure , though last quarter , of course , on a much smaller base it has been more positive. But YTD has been under pressure because the season got impacted and we have explained in quarter one how due to season it got impacted.

Sharvil Patel : So, I think for the quarter if you look at it , obviously , Glucon -D doesn't have the large part of the realization and Complan is. Complan is , I think we still need some time to see how Complan moves forward in its growth trajectory, but we are seeing some improvement. So, we are hoping that in this coming year with measured investments and not over-the-top investments we see a better performance on Complan . But other than Complan , I think our strategy for 2024 is quite aligned.

Priyank Chheda: I am sure, if you can help me. So, as our portfolio is kind of a seasonal as well as wide , it would be great if you can focus more on each of the brand and their categories where in if you can stress up more , what are the kind of strategic pillars and the steps that we are taking to revive the Complan , that would be great.

Tarun Arora: So, I think for Complan , I don't think in terms of our overall 2024 plan , Complan we were still required to continue to build on the current strength that it has , which is better protein, superior protein and the aspects of how it helps in growth and height and other benefits. So, I think that proposition will continue with the improvement in gross margins and others we will see that trickle down in terms of better profitability on Complan . So, Complan , I think , currently , it is to manage with the current base of business that we have and grow it in that line with measured investment. The growth and the growth for the overall business will be driven by obviously the other brands and the skin care brands , which are doing extremely well.

Priyank Chheda: How should we look into the gross margin for the full year ? On the YTD basis, we are up by 100 basis point. Would we end our FY '24 in a similar way or should there be impact of June quarter, sorry, impact of the March quarter where base is very low, so there can be a further expansion into the gross margin for the full year?

Tarun Arora: On the full-year basis, we are expecting further improvement in the gross margin and good improvement in the gross margin with the commodity prices and milk prices stabilizing. So, we are yet to see further gain in the gross margin. ZY.dUs

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Sharvil Patel : So, Quarter 4 , you will see a higher gross margin than Quarter 3 .

Priyank Chheda: And on the distribution front, if you can help us, what are our plans to accelerate the distribution into the categories which have a very low penetration ? Plus we were tracking our data on the household gains for our Complan brand . If you can help us update on that ?

Tarun Arora: So, first of all, in distribution, Nisalsen has revised numbers for availability across our brand portfolio. They have now stated, restated our availability at 29 lakhs, 2.9 million for 2023, which was earlier stated at 25 lakhs. Over the next three years, we are looking at how do we reach 3.5 million outlets from a GT point of view. We continue to drive our gains i

n both non-trade and

in e-commerce and our clearly distribution focuses to make our products more widely available, not just in quantity numbers, but also a wider range across the outlets that we cover. Over next three years , we are looking at adding at least 50,000 to 1 lakh more outlets in a direct distribution drive that is planned end of the season, which is post the summer season.

Third part on the Complian expansion of our households, I think we continue to see double digit. In fact, in my initial speech also, I mentioned we have seen a 16% increase in household penetration for Complian. So, largely, Complian is growing on the basis of volume and increased penetration, which is aided by our packed price architecture, which is making it more accessible price points without compromising on margins.

Priyank Chheda: Sorry, if I can squeeze in further one question. So, if there is a 16% expansion into the households penetration for Complian, would it be very suffice to say that even the brand would have grown at, say, at least 10% for the YT D number?

Tarun Arora: Not really, not really. But we have seen some improvement in volume market shares like we mentioned, but not really. I think some of these data come from different sources. They look from a trend point of view in the right direction, but they don't exactly match. If you need more, but the second point is that it will also add on to our future growth for the brand, which is what this feeds into. So, it's more of a early measure, early indicator of what we could build Complian with.

Priyank Chheda: So, how should we look into, if there is a household expansion that is happening?

Tarun Arora: I have a small suggestion. If you have more questions, please reach out to our Investor Relations. We will be happy to do a more detailed call to help you with this.

Moderator: Thank you. We have our next question from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: So, how would you explain the divergent trend that we have seen in food and nutrition versus personal care? ZY.dUs

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Tarun Arora: So, like I explained earlier also, I think the personal care shows that both the brands are in good shape and they are driving and there has been a consistency. Food and nutrition is a diverse portfolio. We have had a mixed bag. Clearly, brands like Nutralite, like I mentioned, continue to be on a volume track and delivering growth and profitability. There have been some challenges in sweeteners and nutrition portfolio, which are sizeable, and therefore, they have impacted. But we believe, clearly, sweeteners portfolio we should be able to address with our actions. In very short term, nutrition portfolio should turn around but may take a longer to get to a full momentum as we see. So, it is a quarter which has got impacted from our overall view.

Tejas Shah: Sir, the second question is from many quarters you have been calling out that Sugar Free Green has been doing very well almost since last 11 quarters, as you have mentioned and where other variants had very undesigned headwinds also aspect in as you called out. Despite that Sugar Free has just reached overall business 7% contribution. So, just wanted to know, so that growth is also not materially higher than the overall portfolio growth, is it?

Tarun Arora: So, Sugar Free Green is 7% of the Sugar Free portfolio. That's what we have called out and it has actually moved substantially from almost 2% about 3, 4 years back and we believe it is growing at a pace where it will disproportionately impact the overall growth of Sugar Free. So, I think it's moving in the right direction and we do believe it will help us keep driving the penetration of Sugar Free, which got impacted over last 2, 3 quarters after the WHO. Earlier

also, there have been ups and downs with the Sugar Free, but this should help us overcome this substantially.

Sharvil Patel: But I think to your point, one thing is important to understand that Sugar Free Green is at a higher price point than the other SKUs. So, I think, as I said, it's a strategy that combines all the three brands and we cannot just only build on Sugar Free Green, but in the long term, 3 to 5 years, Sugar Free Green will see significant traction in terms of higher market share in the overall sugar-free space. But both the other two brands also in both in the culinary and in tea and table top also have to have the right mix. So, I think that's what the team is working on to make sure that the healthy mix remains obviously strongly aided by the growth of Sugar Free Green but with equal opportunity on Sugar Free Natura also and maintaining the base with Sugar Free Gold with the headwinds that we have faced, we have tweaked some things for the brand and in the coming quarters, we would see a positive impact for that.

Tejas Shah: Very clear sir. And last one, sir, when you look at CY '24, FY '25, what are the top 3 things or initiatives you are excited about and what are the top 2, 3 things that you are actually keeping your fingers crossed for?

Sharvil Patel: Fingers crossed for is very clear. It's Complian and Sugar Free we need to see how it trends forward. We hope for a good summer. Even a normal summer will be better than the summer last year. So, that should have a positive momentum and beyond that I think Tarun can talk about the major initiatives. ZY.dUs

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Tarun Arora: So, we have at least 3 to 4 reasonably large launches that we have planned in this year which is not just for this year but over the next 2 to 3 years that we will have, plus within these 2 brands, we have some couple of initiatives which should help us drive. Like I also mentioned, there is a distribution expansion drive. So, we have got our hands full in terms of how we are looking at it. We are putting some pilots in place to extend ourselves into some new needs spaces also. So, our activity calendar is reasonably full, and we still remain bullish on what we can do despite the challenges we face, especially in last couple of quarters.

Moderator: Thank you. We have our next question from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.

Kaustubh Pawaskar: Just wanted to understand on your initial comment of seeing a good improvement in Quarter 4, so is it because that there will be lot of uptick prior to the summer season? Is it because of that or overall, you are seeing some material changes in the demand environment?

Sharvil Patel: Sorry, good improvement in?

Kaustubh Pawaskar: Good improvement in performance in Q4?

Tarun Arora: So, I think there are two parts to it, of certain season build-up which happens across portfolio which happens where the wholesale and the distributor start building up in January, February or February, March because the season is coming, which is part of the portfolio and which will happen, which anyway looks good. But we are also seeing some green shoots of demand and we are expecting some of our initiatives playing out which we have put in place. So, put together, we believe that Quarter 4 should help us take it to the next level from where we have seen Quarter 2, Quarter 3 demand for portfolio.

Sharvil Patel: So, I think, as Tarun said, it's a summer skewed portfolio at least and Quarter 4 is loading. So, it happens every year. So, assuming that this is a normal summer, we would see better traction.

Kaustubh Pawaskar: And Q1 should also be good considering the fact that last year Q1 was affected by unseasonal rains and all. So, I think even Q1 should also be good for

us considering the base.

Sharvil Patel: If we have a better summer Q1 will be the main growth driver.

Moderator: Thank you. We have our next question from the line of Ajay Thakur from Anand Rathi. Please go ahead.

Ajay Thakur: So, wanted to check on two, three things. One was on Sugar Free. So, just about the Sugar Lite, can it be kind of, you know, just a one-quarter kind of a phenomenon or we can expect that Sugar Lite will be kind of hitting the markets sometime soon? And how are we looking at filling that gap in terms of Sugar Lite? ZY.dUs

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Tarun Arora: So, I think we have started at it. I think from March starting, we should be back with a normal momentum on this Sugar Lite or equivalent space. And we will in the next quarter be sharing a more detailed strategy where we believe because of this innovation and capability, we should be back to normal business in the following quarter.

Ajay Thakur: And, sir, I wanted to get more sense on the international business. So, you know, what would be our run rate right now for nine months in terms of international business as a percentage of overall sales? And what are the growth drivers that we are looking forward to for the next year in terms of growing it faster?

Tarun Arora: So, in the nine months gone by, we have had a double-digit growth. However, it's been impacted by specifically Africa market where we have had some challenges, specifically in our largest market, Nigeria, where there were macroeconomic challenges. But most of our other markets like Bangladesh Initiative, Middle East, are firing as per plan and good to build up right. But at an overall level, it will still be closer to 3, 3.5% because of the challenges we face. So, that's where we are.

Ajay Thakur: And for the drivers, you know, going forward, how are we looking in terms of growing the international business, say, for the next year?

Tarun Arora: So, like I explained, there are these three markets we have identified, Nigeria, Bangladesh, and Middle East. Nigeria, while we look for solving for the macroeconomic issues, in terms of our Bangladesh Initiative where we are investing, we created our subsidiary, and we are pushing stuff. We expect good traction. We have already seen some fairly good traction on that. Plus, we are launching new products, some of which are available in our investor deck for, we are starting with Middle East, and we will extend it to other markets as well on Sugar Free D'Lite.

Ajay Thakur: And sir, lastly, in terms of the price increase, so, I believe we have taken some bit of a price increase. But given the fact that, you know, in the current quarter, if I were to look at it, it is kind of a flattish price increase that we are seeing. Can you just give some bit of indication of how

this is like a trend in quarter four and onwards in terms of the price increases? Is there something that, you know, we can expect in terms of price increases going forward as well?

Tarun Arora: So, I think it's a mixed bag because like I explained, Nutrilite, we had to because the oil prices come down, so we have to pass on. The net margins are good. So, we will take calibrated price increases on some of the brands, but some others will not be. So, there are no overarching complete price increases, but we do expect to continue to inch up our margins, gross margins. And that's really the focus to get back to our FY '21 numbers.

Moderator: Thank you. The next question is from the line of Devansha, an individual investor. Please go ahead.

Devansh Shah: Actually, sir, if it's okay, then I can speak in Hindi also. The mix of that would be much more appreciated. Sir, Heinz India purchase, we have purchased Heinz India by 4,500 plus crores.

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company in 2019. I can see in the balance sheet the operating profit margin before that was 20% plus. In 5 years, we are nowhere near to this. So, is it a good purchase or is it like what has been happened and happened and you are now trying to survive only for all these days? Because you have a market, what we are seeing in the market, what we are seeing in the brands, where are we standing? Sir, really, I am an individual investor, sir. I am a retail investor. So, I have my own perception for that. Sir, after 5 years, we are nowhere near to some 18%, 20%. Dividend payout is also worst. It's going on worst part. Heinz India was a good company before that or after buying that, we have disrupted the company.

Tarun Arora: So, I will give you a short answer and if you need more details, you can contact our IR and we can explain a little bit more. I think there are two parts to this. So, there are two parts to this. I think at an overall level, there has been two or three fundamental changes from 2019 to now. One is a substantial GST budgetary support, which is sitting, which you have stated on records, which is almost 30 crores to the EBITDA, which is missing in the base number, which is not there.

Second is '21, on FY '21 after that, there has been substantial inflation, which has impacted gross margins for all FMCG companies, including ours, largely impacted by milk, oil and other factors and DMH etc, which has impacted us. While we manage that with a lot of our cost cutting, but like many other FMCG companies and much smaller than some other companies, our EBITDA margins have been impacted. Having said that, we do believe that over the next two years, EBITDA margins can go back to 17, 18 that we want to do and with our actions in place.

Talking on the top line, I think from what we acquired, the three brands that we acquired, Nycil was at 31% market share when we acquired. It's already at 35%. We believe our margins as well as all our actions in the place, we have increased the margins. We have increased the market share and the presence of Nycil, which has been more successful with us.

Even Glucon-D, which has had, should I say, a little bit of more volatile run, thanks to COVID and last year's summer season getting impacted, market shares have got consolidated from 58% to 60% plus. The category has gone through a pressure because we defined the category that there was a penetration hit in 2020, but post that our penetration and more consumers have come on board. We believe this will continue to build forward. We have a job in expanding the category to the next level, which is what we are working on. So, both these have demonstrated substantial consumer acquisition, margin improvement and better execution.

The third brand, which is more talked about and was already under stress under Heinz when we acquired, had already dropped from a double-digit market share to mid singles. I think it was a known challenge which we took on. We believe we will be able to do it better. Of course, there are challenges. We are still at a very similar level of market shares the one we acquired it at closer to 5%. We have probably lost 0.2% or 0.3% over that because the market has not expanded and to make it worse, the milk prices have impacted the margins.

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The good thing is that while the leaders drop the prices, we have held ourselves our nerve. We didn't drop the prices. We played with the price point and held us as well. We believe with more actions in place, like we have discussed, we are good to build this brand forward as the prices are getting better from the input prices. And the competition is also realizing that low prices is not the way to build brands. I think our margins will improve and we are at par to go

ting recover

our shares. But that's a little bit longer haul than we estimated at that point in time.

But at an overall level, despite all the macro and other things, I think the Zydus Wellness team has done an exemplary job of integration, making it one team and taking some of these brands forward. I think from where we acquired Heinz brands or so-called iconic brands that they were, they are in a better home, and they will become only larger from where we are. So, that's my view. More details, of course, we can share in a separate conversation.

Devansh Shah: Yes, that's a normal, I understood the thing. Otherwise, there should be some part on the annual report also regarding this and five years where are we standing? Sir, we can understand if FMCG or some sector is going through some of the hurdles or some of that they are not in the correct flavor of the market. That we also understand that FMCG is not the flavor of the market from last two years or three years. But sir, the retail guy will also understand I have never seen in my life milk price getting reduced at the inflationary point. I have never seen this in the last 20 years, like 20 years would be very small to justify something like this. But sir, my genuine question was regarding that before that company was having only 2, 3 brands, which were the market leaders. The operating profit margin was good and now you are telling that in two years, you are going to come back over there. That's a good part. That's only, that was the major question from my side or from the retail side.

Moderator: Thank you. We have our next question from the line of Mayur Parkeria from Wealth Managers India. Please go ahead.

Mayur Parkeria: So, actually, somebody just took away the thought and it was also similar. I also had a similar question, maybe a little more diplomatically and nicely put regarding the same Heinz portfolio. You have summarized your actions and what we have done over the last five years well and you have also tried to give us some understanding of how we look at over the next two years. So, that will help us.

I will just add a small aspect here and if you can clarify that also. And from a shareholders return perspective, now I understand that management can execute their strategy. Markets will do their own things, right? We know that, but over very long periods of time and five, six years are long period times, obviously, there was COVID. There are other aspects. We understand that.

But having said that, it's 5, 6 years and other companies have done relatively better, if not something very phenomenally good. But they are still continuing to do better than that. From that perspective, from a shareholder wealth perspective, do you believe, I am not asking a one-quarter, two-quarter, one-year, the kind of outlook on stock prices or something, but in general, promoters and owners are the largest shareholders here, and do you believe that now this quarter ZY.dUs Wellness

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marks the bottom as far as many of the aspects which were concerned with respect to demand, with respect to cost, with respect to initiatives, with respect to market share and brands and some of the changes which had to be done, do you believe everything is now largely behind us and we are on a trajectory where long-term investors and shareholder returns can see an uptick from here on?

Tarun Arora: From a cost point of view, I think this is the lowest we have seen. So, cost-wise we should be only getting better, hopefully with no crazy situations happen. Demand is clearly a situation which is dynamic in nature. Right now, we are seeing a positive moment and we do expect things to only get better from here.

Just from a market share point of view, we touched our peak of last five years across most of our

our portfolio and we remain positive about building on these market shares. So, competitively, we are in good shape. We are looking at hopefully demand only getting stronger. Cost-wise, we remain again positive that we will improve our gross margins and we will be able to take it to our bottom line.

Mayur Parkeria: Sir, 17, 18% kind of margins in two years will be largely led by gross margin improvement?

Tarun Arora: That will be the biggest driver and the operating leverage if demand plays out the way we are expecting at least. That's the largest two factors.

Mayur Parkeria: Sir, we have also reduced the debt over these years substantially and now practically debt-free kind of status. We are coming back to normalcy as far as the balance sheet strength is concerned.

Why can't we increase our direct reach or the reach? Just a theoretical question, but just to understand your strategy, why can't we reach 3.5 million outlets in one-and-a-half year instead of three years? Just a question, just a period because you mentioned, means what stops us to grow our distribution now we have the strength? Is it spending which is the curtail or is it just the market dynamics or our conservative approach in which we want to build this?

Tarun Arora: We are not conservative. Actually, when we acquired we had 2.4 lakh outlets. Now we directly cover more than 6, 6.5 lakh outlets. 2.9 million outlets is where our products are available but our direct coverage is only 6, 6.5. Overall, we have seen GT, the general trade being under

pressure over the last couple of years where a lot of consumers have shifted demand to e-commerce and non-trade. That accounts for almost 21% of our business. So, while we are driving our general trade reach, we are also conscious of our cost to serve. So, it's a balancing of expansion as well as cost parameters. We are reasonably bullish and capable, but we will do it in a calibrated way so that our costs are managed and not just driving it for the sake of it. So, it's a balancing the two sides.

Mayur Parkeria: Last question from my side on Everyuth. Apart from the scrub and the peel, is there any product which you see has potential to grow and which has over the next two years or long term it is possible, but over the next two years which is positioned in a manner compared to peers or in a ZY.dUs

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category which can give us, enhance this growth rate in a category which is there for the overall brand itself?

Tarun Arora: Simplistically put, I think scrub and peel off can give us all the growth that we need, but we have had at least two or three more initiatives. We have launched body lotion. We are working on channel-led specific initiatives on face wash. We have a couple of benefit-led segments like data and portfolio which will add to this growth. But our core will continue to drive based on increasing their penetration and reach is how we feel. There is enough scope within the skincare to grow of that.

Moderator: Thank you. We have our next question from the line of Malhar Sanghavi from Vama Financial Services. Please go ahead.

Malhar Sanghavi: I had a question on Immunovolt. Has the demand for that picked up as expected? And if not, then what's hindering the growth there?

Tarun Arora: So, it's still a small part of our portfolio. It is still very small, and we are working on driving it further.

Malhar Sanghavi: One more question just to follow up on the stevia-based Sugar Free. So, that's supposed to be a healthier based Sugar Free, if I am not wrong. And if that's the case, why is it not showing as much growth as it should? Like, why is it not picked up the way you are expected at a couple of quarters or a couple of last year?

Tarun Arora: Sugar Free Green as we call it, a stevia-based Sugar

Free, it is driving, it has been growing for

11, 12 quarters in high double digits and that's what we have talked about. So, it is actually driving the major part of the Sweeteners portfolio.

Malhar Sanghavi: And lastly, if I am not wrong Sugar Lite is doubling each year, right?

Tarun Arora: Sugar Lite, it was doubling each year. In the last few quarters, as we mentioned, there was a trademark litigation and that has impacted our business and impacted our sweeteners and overall business portfolio.

Malhar Sanghavi: Right. So, just wanted update on that like how...

Tarun Arora: Like I explained, we will come back in March. Post March, we should be back and selling it and, of course, that we will share in the next quarter our plans and study that.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Tarun Arora: Thank you everyone for your questions. We hope to have a good run in 2024 and wish you all a very nice, healthy 2024. We will see you in the next quarter results. Thank you. ZY.dUs

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Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. ZY.dUs

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Call: May 2024

Zydus Wellness Limited

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May 17, 2024

Listing Department Code: 531 335

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NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

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Re: Transcript of the Earnings Conference call held on May 14, 2024

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q4 FY2024 Earnings Conference call held at 4:00 p.m. (IST) on Tuesday, May 14, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY

Encl.: As above

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"Zydus Wellness Limited

Q4 FY '24 Earnings Conference Call"

May 14, 2024

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN – ZYDUS WELLNESS LIMITED

M R. TARUN ARORA – CEO – ZYDUS WELLNESS LIMITED

M R. GANESH NAYAK – DIRECTOR – ZYDUS WELLNESS LIMITED

M R. UMESH PARIKH – CFO – ZYDUS WELLNESS LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Zydus Wellness Q4 FY '24 Earnings Conference Call hosted by ICICI Securities Limited. Before we get started, I would like to remind you that the Q&A session is only for Institutional Investors and Analysts and therefore, if there is anybody else who is not an Institutional Investor or Analyst but would like to ask questions, please directly reach out to the Zydus Wellness Investor Relations Team.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuvania from ICICI Securities. Thank you and over to you Mr. Bhuvania.

Karan Bhuvania: Thank you Neerav. Good evening everyone and welcome to Q4 FY '24 Results Conference Call of Zydus Wellness.

From the management today, we have Dr. Sharvil Patel - Chairman, Mr. Tarun Arora - CEO, Mr. Ganesh Nayak - Director, Mr. Umesh Parikh - CFO.

I would now like to hand over the call to Mr. Tarun Arora for his opening remarks post which we can open for Q&A session. Thank you. Over to you, sir.

Tarun Arora: Good afternoon and welcome to the post results teleconference of Zydus Wellness Limited for Q4 FY '23-'24.

Like Karan mentioned, we have with us Dr. Shravil Patel - Chairman, Mr. Ganesh Nayak, - Director and Mr. Umesh Parikh - CFO of the business. During the quarter gone by for the FMCG sector, we witnessed a gradual uptick in demand and growth in rural demand which started converging with that of urban demand.

So we have seen some green shoots like I have mentioned in the last quarter as well. Most of our company's portfolio has seen demand recovery which was further fuelled by the demand of summer-led brands like Glucon-D and Nycil in the anticipation of good summers. The company further expects demand to pick up in the hope of good monsoon and improvement in macro-economic factors.

Most of the company's portfolio has seen positive volume momentum. As a result, the company registered consolidated net sales growth of 9.6% on year-on-year basis of which 5.5% is due to volume. The personal care segment continues to register strong double-digit growth for the quarter with both Everyuth and Nycil portfolio witnessing a good demand traction.

The food and nutrition segment also turned positive and reported a mid-single-digit value growth for the quarter on year-on-year basis. Both Complian and Sweetener's portfolio have seen positive revival in demand. For Nutralite brand, value growth trails the volume due to market-driven prices.

The company's research and development capabilities continue to be on the forefront helping the company to launch new products and extensions namely Glucon-D Activors, Electrolyte Energy Drink, a ready-to-drink format for on-the-go consumption in a couple of states. The company also extended its Sweetener portfolio with the launch of I'mlite, a unique formulation of sugar blended with stevia to offer consumers 50% less calories than regular sugar and new range of products under sugar-free delight range for the international business.

We continue to witness cross-margin expansion with the improvement of 377 basis points on a year-on-year basis for the quarter 4 of the financial year contributed by calibrated price increase taken earlier and efficient hedging strategy for key commodities.

Let me take you through some other highlights of the consolidated financial performance of quarter 4, financial year 2023-24. Our net sales grew by 9.6% to Rs. 7,780 million. We reinvested some of the gross-margin expans

ion into brand building as a result of which advertisement expenses grew by 41.6% year-on-year on a lower base of brand investment last financial year. Other expenses grew by 9.3% year-on-year basis. EBITDA grew by 12.2% year-on-year to Rs. 1,622 million.

The company reported profit after tax of Rs. 1,503 million. Adjusted PAT after eliminating exceptional items and one-time deferred tax assets impact in comparable quarter of previous year grew by 24.7% on a year-on-year basis. Coming to the annual consolidated financial highlights, our total income from operations increased by 3.2% year-on-year to Rs. 23,279

million during the year. Our EBITDA was down by 8.6% year-on-year to Rs. 3,082 million. EBITDA margin as percentage of total income from operations stood at 13.2%. The company reported profit after tax of Rs. 2,669 million. Adjusted PAT after eliminating exceptional items and one-time deferred tax assets was down by 9.1% on a year-on-year basis. Net debt stood at Rs. 77 million. Our consolidated capex for the year was Rs. 489 million. With that, let me share some of the highlights of operations for the year gone by which will also cover category growth, market share numbers as per MAT March 2024 report of Nielsen and IQVIA. We continued our thrust on marketing initiatives to grow the categories and increase market share of our brands during the year.

On the personal care front, Everyuth brand continues to outpace category growth and has registered a strong growth for the financial year. The face scrub category has registered a growth of 12.1% at MAT level. Everyuth scrub has maintained its leadership position with market share of 45.6% in the facial scrub category which is an increase of 369 basis points over the same period last year.

The peel-off category has registered a growth of 14.5% at MAT level. Everyuth peel-off has maintained its number one position with a market share of 80.2% in the peel-off which is an increase of 174 basis points over the same period last year. Everyuth brand is at number five position with market share of 6.5% at overall facial cleansing segment level.

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Nycil brand has also reported a strong growth for financial year. The prickly heat powder category has grown by 3.7% at MAT level. Nycil has maintained its number one position with a market share of 35% in the prickly heat powder category. Nycil has recorded its highest household penetration at 8.5% at MAT February '24 level with its volume growth ahead of the category.

On the Glucon-D front, with continued marketing efforts towards driving growth and recruiting new consumers, brand penetration has grown by 62 basis points versus last year as on MAT Feb' 24 as per Kantar Panel. The glucose powder category has grown by 4% at MAT level. Glucon-D continues to maintain its leadership position in its glucose powder category with a value market share of 59.5% at MAT level.

On the Complan front, the nutrition drink category has started showing signs of revival in the later half of the financial year from a slowdown in the last year. The brand performance is a reflection in similar lines. At MAT March 2024 level as per Kantar panel, brand penetration has grown by 26 basis points versus last year to 2.9%. We launched a new TV campaign with two popular celebrities namely Madhuri and Sneha which was backed up with our robust 360 degree campaigns across all medium. The category has grown by 6.4% at MAT March level. Complan market share stood at 4.3% at MAT level.

Sugar substitutes category has grown by 5.5% at MAT March level. The sugar-free brand continues to dominate sugar-free substitutes with a market share of 95.9%. Sugar-free green continues to grow at high double digit led by volume offtake growth.

On the Nutralite front, the brand registered good volume growth during the financial year. However, the negative value growth

due to market-driven prices, the brand was supported by various customer engagement activities like chef meets and participation in food exhibitions. The brand's digital initiatives like Nutraverse, the world's first cookery show on Metaverse, received numerous awards from the marketing fraternity.

With the indicators of good summer season and a normal monsoon expected to augur well for the company's significantly contributing seasonal portfolio. The recent introduction of hub-and-spoke model will further strengthen company supply chain capabilities and add to timely availability of company's products in the key markets.

The company will continue to innovate further to meet the evolving consumer preferences. Better macro-economic indicators along with company's resilient front-end and back-end capabilities are likely to result into good growth for its brands in the coming quarter. Thank you and we can now start the Q&A. Over to the coordinator for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Tejash Shah from Avendus Spark. Please go ahead.

Tejash Shah: Hi team. Thanks for the opportunity and congrats on good recovery and robust profitability after long. More importantly, the quality of earnings looks good prima facie. Sir just wanted to know

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you called out in your presentation opening remarks that there is a gradual progression in selected consumer space. So just wanted to know more insights on the constituent of this progression and also sustainability of the same?

Tarun Arora: So I think what we are seeing is some categories are showing better resilience and better response namely especially the personal care spaces with both the brands we have seen over the whole financial year and even now a good response from the demand side. Similarly, some of the other factors which is running across our food and nutrition portfolio we are seeing a far better pull from a consumer's side and across channels therefore we hope that this will build as a lot of people are talking about in the industry as well that it can build up as we see.

Tejash Shah: Sure. And so we are in the middle of a very good summer season. So how is the retail offtake. Can understand that perhaps fourth quarter had some element of stocking up before the summer, but what's your initial sense on retail offtake? Is it in line and can we expect a good start of the fiscal year?

Tarun Arora: Yes, hopefully yes, because it's still part of the quarter gone by. So far, whatever we've seen is a positive movement from the retail.

Tejash Shah: And sir across portfolio or because your market share slide on both Nycil and on Glucon-D still is showing a downward trend. So just wanted to know is it that market is actually doing better or slightly there's a lag in this number will show up in coming quarters in terms of market share gain for us?

Tarun Arora: So I think there is some bit of catch up for Nielsen specifically in the personal care space where we've seen they've been at a category level showing only a 2% to 3% growth for last year as well as continuing. So I think there is a lag and I hope Nielsen shares will catch up with our internal growth because that's been sustained. So I would say it's a mixed bag. We do see, like many other companies local players springing up, competition heating up, but our full growth are not fully reflected in some of the market shares.

Tejash Shah: Considerable jump in our A&P spend for the quarter. Was it to support new launches or was it the existing competitive intensity in the existing portfolio is very high?

Tarun Arora: So there are again two factors. One is that we've been optimising our advertising spends as the gross margins were under pressure over the last two financial years. Now, as we've got the opportunity to with the gross m

argins improving we float back that money because we believe it has to support the demand generation to build our business in the right direction. Yes, we have some launches, but it's more to build more demand and also deal with competition challenges that come along with it, but we think we'll reset this level and need not have to invest continuing at the same growth levels.

Tejash Shah: Sure. Last on gross margin or raw material situation as it is today. How should we think about EBITDA margin because we have given quite margins in the last 2 years, 3 years. So how should we think about that number from here on?

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Tarun Arora: So going forward we expect the inflation to be normal which is a manageable 4%, 5% or 3%, whatever that we've seen over the last 8 to 10 years rather than the extreme inflation that we saw over the last 2 years. Within that, I think we hold our wish list to be a much higher 17%, 18% EBITDA in the next 2 years. I think we will continue on our journey. Gross margins is a starting point. I think over the next few quarters I think this should build up into some operating leverage as well.

Tejash Shah: Thanks sir. That's all from my side and all the best for FY25.

Tarun Arora: Thank you.

Moderator: Thank you. Next question is from the line of Ajay Thakur from Anand Rath Securities. Please go ahead.

Ajay Thakur: Thanks for taking my question. So my question was again on the summer portfolio. So you did elaborate on summer sales kind of witnessing good kind of attraction, but have we seen any weather related kind of disruptions at any kind of regions or how is it versus the last year if you can throw some more so from the more like April-May perspective rather than the Q4 perspective?

Tarun Arora: At an overall level I think we still see a good season. Of course, there are patches like some markets which will have those things and no year is completely even across the country. So right now at an overall level we are seeing a good uptick and we believe that's a good way to look forward. Regarding last year, we saw especially the biggest of the markets like North had a significant rainfall which depressed temperatures. So that we are of this year. That should persist

as of now.

Ajay Thakur: Secondly, I wanted to get a more sense on the growth. You referred to the growth in Complan actually coming through. So can you just elaborate on what kind of growth we are seeing in the category itself and also how are we kind of looking at further kind of improving our shares in the category? So that could be helpful.

Tarun Arora: So at the Complan level the category has seen some revival and like I mentioned at MAT level we are seeing about 6.5% kind of growth levels. We are also positive that as the category builds up we will continue to build along with that. We have seen penetration levels grow in double digits. Of course, it's not fully translating into same level of growth because of inflation and other factors. The consumption is not keeping pace with the increased penetration.

So our view is right now we continue to like we said in the past, hold and build step by step.

Good part is with the milk prices being stable we will continue to improve our gross margins.

We look at holding our market shares or step by step building it and reasonable level of growth.

We have some interesting more initiatives over the next few quarters which will help us to take it to the next level and we will share it as and when they are out in the market.

Ajay Thakur: I understand. Sir, I also wanted to understand more on the sugar-free side of it. We have been witnessing some bit of a competition especially in the modern trade in the sugar-free category.

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What is your take on the same? A lot of competition coming from the equal and their branding.

So are you also w

itnessing the same in the market and if you can throw some light on the sugar-free category?

Tarun Arora: So there has not been any significant competition perspective. I think our single-minded focus on sugar-free and sweeteners overall is to build the category. As a significant number one focus is to recruit new consumers. We have found over the period of time since a lot of negative things happened, sugar-free green thanks to its natural equity plays a very strong role.

That's seen a good double-digit growth consistently over now 10 or 12 or maybe 13 quarters. So we continue to build driving that as a lead recruiter variant on the sugar free. And we have also now launched I'm lite. So at the overall sweetener level, we are hopeful that we should be over the next couple of years, see a good enhancement of growth.

Ajay Thakur: So lastly on the tax front, if you can just guide us on the tax rate for next year and the year after, FY 2025 and 2026?

Umesh Parikh: So for this financial year ending 2025, we won't be paying any tax. And of course, there will be a deferred tax liability would be there, but there won't be any cash outflow on the tax front. In the year 2026-27, there would be partial tax outflow because we will have benefit of Sikkim facility as well, ATI. So for financial year 2027, we will have some tax outflow. But this year, certainly there won't be any tax outflow.

Ajay Thakur: So 2026, if you can throw some light specifically?

Umesh Parikh: 2025-26.

Ajay Thakur: So 2026 also, we are not looking at any tax rate in terms of...?

Umesh Parikh: No, we are. For 2025-26, I am saying because of the Sikkim facility, we will have partial tax outflow.

Ajay Thakur: So what kind of tax rate can we build in for modeling purpose?

Umesh Parikh: Yes. So, you know, you can talk to me separately. I'll take you through that.

Ajay Thakur: Okay. Sure. Not an issue. Thanks for that. That's it from us, sir.

Moderator: Thank you. Next question is from the line of Kaustubh Pawaskar from Sharekhan By BNP Paribas. Please go ahead.

Kaustubh Pawaskar: Yes. Good evening, sir. Thanks for giving me the opportunity and congrats for a good set of numbers. So my question is again on the sugar free. So last quarter we have seen because of some bit of negativism and even the Sugarlite sales got impacted...

Moderator: Kaustubh, sorry to interrupt you. Can you please speak through the handset?

Kaustubh Pawaskar: Is it better now?

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Moderator: Yes, thank you.

Kaustubh Pawaskar: Yes. So I have a question again on sugar free. So last quarter we have seen sugar free sales seeing a degrowth on a year-on-year basis and there were reasons to it and a lot of negativism

was built up, you know, around the brand. This quarter we have seen growth coming back again. So I just want to understand the reason for the growth. Is Sugar Free Green only the green driver for the growth? And can we expect this growth to be consistent and with the new addition to the portfolio, it should improve further maybe in quarters ahead?

Tarun Arora: So we have seen consistent, after the WHO and other impact that we had and the impact of Sugarlite, the sweetener portfolio did come under pressure. We have seen that progressively improve and clearly a reasonable revival of growth on this in the last quarter. We expect going forward, we'll further build on it and see a consistent growth as we envisage for sweeteners as a portfolio with both Sugar Free Green and I'm lite being the key leaders or drivers of growth back.

Kaustubh Pawaskar: So overall food portfolio, so we are seeing personal care consistently there has been a good growth this quarter. Also, we have achieved double digit kind of a growth. Food, this quarter it was mid-single digit kind of a growth. With overall recovery in some of the key category groups, should we expect FY 25 to be a double digit kind of a revenue gr

owth? Considering the fact that even in Q1 FY 24, there was an impact of seasonal impact on your summer portfolio. So that impacted the overall performance of Q1. So considering all these factors, should we expect double digit kind of growth for FY 25?

Umesh Parikh: Yes, I agree. We should see a double digit.

Kaustubh Pawaskar: Okay. And personal care should be something which should continue to grow in double digit with a fair bit of recovery in the food and nutrition. Is it a right understanding?

Umesh Parikh: Yes.

Kaustubh Pawaskar: And on the distribution front, what is the current touchpoint for us? And 25-26, where do we expect this distribution touchpoint?

Tarun Arora: So I think there are two or three things that factors we should look at when we look at distribution, factors that the organized channel continues to lead demand because there are consumers who are shifting and these platforms are getting deeper and wider. So maybe whether it's quick commerce or whatever be the kind of initiatives they may be doing and expansion of stores by some of the offline organized retail, the share of organized trade will continue to go up. It's about a 20%. We expect it to continue to 21%-22% over next one year or two years. From a traditional trade point of view, our products are available close to about 3 million outlets. Our journey or our plan would be to how do I build it to be available at 3.5 million outlets. That's one. So what does it take to get there? So whole set of initiatives we are putting in place.

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The second more important call that we are doing at least in the next few months our priority will be to expand our range within the direct outlet reach that we have about 6.5 lakh outlets that we have directly cover how to expand our portfolio within that. So we have more lines or more SKUs sold within those stores. That would be priority one.

Of course, then we can follow it through if we need to expand our direct distribution as well. But these are set of input parameters, but the whole value will be when I can take my 3 million outlets availability across my portfolio to a 3.5 over next two years. That would be my maybe a little ambitious, but target given that how we envisage to build our business.

Kaustubh Pawaskar: Thank you, sir. Thanks for the understanding and all the best for the future.

Moderator: Thank you. Next question is from the line of Jay Modi from Emkay Investment Managers. Please go ahead.

Jay Modi: Okay. So my question is around Complian. So with recent controversy about reclassification of the category, have you seen any end consumer demand getting impacted?

Tarun Arora: Not really. I think it's just about nomenclatures which I think has nothing, no impact on consumers. This is largely more regulator-led issues. So the demand stays consistent. Like I mentioned, at MAT level, the category has seen a revival with 6.5% growth. We are hopeful that it will stay on course and build further.

Jay Modi: Okay. And sir second was around the industry level demand. So now that the input inflation is much stable than what we've seen in past years, and a lot of initiatives taken by you and the leader for the category penetration, do we expect this category to grow in double digit going forward?

Tarun Arora: It's hard to say, but our own view is that we will build our strategy around a double digit growth around the nutritional space that we operate with Complian leading it. The category may or may not see a double digit growth because there are factors which play both ways. And therefore that's how we'll operate.

Jay Modi: Got it. Sir, can you give us a rough indication as to how much would Complian be as part of our food portfolio? Just a rough number, not the exact. I mean, if it is 20, 30...?

Tarun Arora: No, we don't share. Sorry, we do not share this data.

Jay Modi: Okay. And lastly was around the chann

el. So we've seen our share on e-commerce going up.

Now, are the margins on this channel in line with our traditional trade or is it margin diluted for us? Any rough indication?

Tarun Arora: At gross margin levels, we are able to balance across channels because we have to. We're quite focused on it.

Jay Modi: Okay, sir. Great. Thank you and all the best.

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Moderator: Thank you. Next question is from the line of Mayur, Wealth Managers. Please go ahead.

Mayur: Good evening, sir. Am I audible?

Moderator: Your voice is coming a little muffled. Can you speak through the handset, please?

Mayur: Hello. Is it okay now?

Moderator: Yes, thank you. Please go ahead.

Mayur: Thank you for taking my questions. Actually, just a very high-level, top-down question. Over the last couple of years, we have seen many of our things falling in place after this quarter results when we see after the there was a Heinz portfolio which had to be integrated. Then Covid came in place. Those issues were behind us, now behind us. We have become a debt-free company. The raw material pressure has been now behind us and we are looking back on the growth path. With this background in place, will we look at increasing our expectation and should we look at increasing our expectation and look at middle, double-digit kind of growth over the next two, three years or will we, still as management, continue to believe that we'll be somewhere the current growth rates to continue in that segment of maybe around 10-ish kind of level or do you think there is a scope for us to now start looking at higher growth rates and look at our target of Rs. 3,500 crores as the revenue target?

Tarun Arora: So we do believe that we have the right capability inputs as a company to build on a double-digit growth path. We have part of the macro environment we operate and that's why there was some challenges in the past but we think with a stable environment we are on the path to deliver a consistent double-digit growth over the next few years.

Mayur: So I understand but do you think Rs. 3,500 crores is three years away or do you think is it more than that? A simple understanding so that we have a better understanding on what do you mean by the kind of growth rate we are looking for?

Tarun Arora: I do not have a specific number to share as we don't work on specific guidance but yes we are committed to a double-digit like I mentioned.

Mayur: Sir, on the margins front also you did mention that we will look at 17%-18% kind of EBITDA over the next two years, right? Did I get that right?

Tarun Arora: Yes, that's what we want to do. We know it's a little ambitious given what we have done this year but we will work towards it and we do believe we have a shot at it. We will see how far we can achieve.

Mayur: In fact, I had a different way to look at this. Just by the sheer reversion to mean in terms of the last year low margin scenario which we had and which is now slowly coming back in terms of gross margin improving. If we just do the simple mean reversion and see the previous year, wouldn't it be fair to say that we would already be reaching around 16% in this year itself with the margins go the way they are but the simple base effect coming back to normalization. So do

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you think 17%-18% will be a tough task or it's just that the simple mean reversion itself will take us?

Tarun Arora: So I think, well, the math is simple but there is two things you need to keep in mind. That is, costs continue to build up on your fixed costs as well as we have managed last couple of years which was extreme inflation by optimizing some costs and investments that we need to build on the business. So we need a tight rope walk on balancing our EBITDA wish list as well as investing on the brand to build it for the future.

So therefore, I would not hu

rry on either of these sides and balance that and therefore 17%-18%

is a reasonably optimistic or tough or challenging task we have taken and I think because we

want to build it sustainably.

Mayur: Okay. So last final question I had. We have, I saw in the cash flow rate of Rs. 50 crores inflow on debt side borrowing. What would be that?

Umesh Parikh: That was temporary working capital inflow that has been repaid now.

Mayur: Okay. So it was only for the March quarter or something like that?

Umesh Parikh: Yes.

Mayur: Okay. Thank you so much. Sir, what would be the cash levels now after this?

Umesh Parikh: So we have mentioned that we are now debt free and at the net cash level, like that debt is about Rs. 80 lakhs.

Mayur: Okay.

Umesh Parikh: Rs. 8 lakhs. Sorry.

Mayur: Sorry?

Umesh Parikh: Rs. 8 lakhs.

Mayur: Rs. 8 lakhs?

Umesh Parikh: And it is practically zero. Rs. 8 lakhs.

Mayur: Okay. Thank you so much.

Moderator: Thank you. Next question is from the line of Shirish Pardeshi from Centrum Broking Limited.

Please go ahead.

Shirish Pardeshi: Hi Tarun. Good evening. Thanks for the opportunity. I have just two basic questions. When I look back last two years, we had a bigger challenge, consumer traffic, a consumer offtake is marred with the discretionary spends. So just reference slide number eight, what you have

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mentioned that in FY' 24, our food and nutritional portfolio has just remained flat while personal has grown 17%. So this is one observation.

And second, you mentioned that our direct coverage is aspiring to get from 6 lakhs to 7 lakhs.

So I'm just trying to build a scenario that though we know what are the problems which discretionary spends are looking, but internally, maybe what are the top two, three things other than the ad spends are supporting the brand which we are trying to change in FY' 25 for food and nutritional portfolio?

Tarun Arora: So, Shirish, thanks for this question. I think I've kind of tried to explain this earlier. I think food and nutrition portfolio, though, if we look at last financial year, one of the biggest drivers of our flattish numbers was the fact that we had a hard summer where the temperatures were much lower than they should be in our key markets and that clearly pulled out and it's one of the largest plans we have that impacted us. Secondly, we had double trouble in our sweetener portfolio where WHO decided to create a warning with some ways of putting it and our sugarlite came under trademark litigation.

With those two, three largest of the things and if I can add maybe Nutralite when the oil prices dropped, our value growth reduced, volume was better. So overall, therefore, our value growth looked much lower than what it could have been or should have been in a normal situation.

Having said this, I think as we come back to normalcy and any medium period of time, two to three years, we should see a double-digit growth.

We should see Glucon-D coming back on growth path and we have no reason to believe anything less than that. All our actions are in place. Similarly, for sweeteners, we are already seeing a revival with Sugarfree Green leading it but other portfolios are not losing so much. And similarly, we have launched I'm lite, which will take care of our blended sugar opportunity.

These put together, Complan is seeing good single digits right now. So we should see at least that category seeing a good single digits growth.

We should see a decent double-digit opportunity on food and nutrition. Personal care anyway has been on a double-digit despite the market and our belief is that we are gaining from competition in some of these spaces. So we are well-equipped to build our business. Your question on traditional trade distribution, I think like I mentioned to some earlier participants, my priority will be to take our 30 lakh outlets or 3 million outlet availabil

ity to 3.5 million outlet

availability. 6 to 7, because we have 6.3-6.2 lakhs, which varies depending upon the category and season. That we do want to take it up but the eventual goal is have more products going through the same outlets.

So widening my portfolio within what I cover and overall my distribution or availability going up to 3.5 million. So those are few things that we are driving. We anyway know organized trade, which is mix of offline modern trade as well as e-commerce are building up and we are participating reasonably well while gaining shares in those markets. So we are well-rounded on this whole growth journey.

Shirish Pardeshi: Well that's really helpful. I'm just trying to build in mind that when you move from 6 lakhs to 7 lakh direct coverage and you added 3 million to become 3.5 million. So which category will have given the current scenario, if it continues another one or two quarter, which category will have the positive effect to our numbers. I'm just trying to derive, not trying to build the numbers.

Tarun Arora: So across the portfolio, I'm seeing clearly personal care categories. Nielsen has not caught up with the numbers. Both Nycil and Everyuth distribution, given the smaller price packs have expanded substantially in these categories for us, they should have captured much more.

So we do expect those are clear drivers. Similarly, in the food and nutrition portfolio, we've been able to expand our presence. So there also most of the brands including say Complan or Glucon-D could also expand on that.

Shirish Pardeshi: So this distribution expansion is largely within the cities where we are present or this is the newer markets we are opening?

Tarun Arora: Substantially within the markets we are already available. Of course, in some of the lower POPs will go deeper as well. It's a mix.

Shirish Pardeshi: Okay. My second question is that when you look at Rs. 2,300 crores portfolio number, what is the international contribution and what are the plans which we are trying to build this business over the next 2-3 years?

Tarun Arora: So at international business level for the full year, we are about 3.5%-4% range. This been range bound because if I were to break it down into three geographies or three focus markets, namely we've talked about it, Africa led by Nigeria, India sub-continent which is Bangladesh, Nepal, and there is GCC in the Middle East. We've seen good double-digit growth in both GCC as well as India subcontinent and we believe these will be a significant growth drivers for us over the next 3-4 years.

Nigeria which is one of our largest markets has been under pressure in last one year because of the macro-economic and currency issues, demonetization and whole lot of those things. Once that is sorted, we believe one of the strongest equity for our brands is there. So all of these markets can really help us double our business every three years maybe if I were to look at it - maybe faster.

We'll have to see those numbers, whatever it plays out, but they can definitely increase the share of overall business to 7-8 that we want to do sooner than later.

Shirish Pardeshi: Okay. My last question on the margin. When I look at this quarter, our ad expenses reached up, obviously we had the gross margin lever. So what kind of expense we should build for FY '25?

I don't want the number. If it is remaining at similar level, we'll go off from here and if barring apart the commodity prices which is there which we can track. But what are the internal levers in terms of cost energies or cost management which you think especially we can go to 17%-18% EBITDA margin?

Tarun Arora: So, I'll just answer in summary because if you need more detailed questions, we can pick it up separately. But quickly speaking, I think we've

upped our investments largely to come back to our levels that we wanted to operate closer to 13%-14% of expense. But going forward, I don't think we see a substantial increase.

They may happen one-off led by some initiative, but rather we'll try and maintain a similar level. Margin expansion is led by the fact that our growths will come back to double-digit. We will continue to improve our gross margins and have our operating leverage. I can get into more details, but then it needs a separate discussion which you can pick it up with Saumil and we can have this conversation.

Shirish Pardeshi: Sure. Thank you and all the best.

Moderator: Thank you. Participants, you may press star and one to ask a question. Next question is from the line of Varun Singh. Please go ahead.

Varun Singh: Yes, thank you. So, my first question is - what is your reading on rural recovery?

Tarun Arora: So, our read is that there is improvement in rural recovery. Some of our brands showing it, some of the data from industry has also shown that there is improvement. So we are hopeful it will only get better in the coming quarters.

Varun Singh: So in our portfolio, compared to last quarter, if you would like to call out some number with

regards to how much the improvement appears to be for you?

Tarun Arora: So at an overall level, it's quite balanced across the whole categories and channels. So we've been fair across.

Varun Singh: Okay, understood. And so my second question is on Glucon-D. Maybe if you would like to call out your observation, analysis, etc. like before Covid and after Covid, how the category has grown and maybe anything structural observation into this category? If you can share some insight, that will be helpful.

Tarun Arora: So, I think Glucon-D has seen consistent penetration. It's only during the Covid that it had dropped substantially. But otherwise, we've seen a consistent penetration increase with the consumers.

Varun Singh: Okay, sure. Thank you, sir. That is from my side.

Moderator: Thank you. Participants, you may press star and 1 to ask a question. Next follow-up question is from the line of Mayur from Wealth Manager. Please go ahead.

Mayur: Hello. Also, thank you for taking my question. Sir, given that Glucon-D is a summer product for us, and last year, as we said, key markets and key geographies were impacted due to summer being impacted by rain. When we see the commentary here, the food and nutrition is much lower. Would you say that the growth has been much lower than your expectations and should have been much better given the good summer this year and given the low base effect last year?

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Tarun Arora: There is no base effect in Jan-Feb-March. I think our growth has been quite on the expected lines given the macro-economic factors. So I think it's quite balanced. This is also a quarter when a lot of trade loading happens. So we have to see the Glucon-D over a Jan-June period to really establish how the season has been.

Mayur: Right. So you believe a large part of the recovery in growth and demand will actually be more witnessed as we go ahead in the following quarter?

Tarun Arora: Yes.

Mayur: Okay. So, the second is a clarificatory question and not intended with respect to the company's strategy as such. But the sugar-free the new brand which the sugar substitute, which I'm lite, also has, on the face of it, lower calorie as one of the key aspects. And as per WHO, that has been something that the sugar substitutes can't do. So, is there something which we believe that these situations won't come to India, won't be implemented in India, or is something different, our understanding with respect to regulatory aspect? Because on the face of it, not that I'm an expert, just asking your view on your understanding on it.

Tarun Arora: I'm lite is a blended sugar. It's not a sugar substitute. It has Stevia blended with su

gar. So I think

it is not in the purview of WHO as we understand.

Mayur: So it won't come under the purview of sugar substitute and that?

Tarun Arora: No.

Mayur: Finally, the third question on Everyuth. So, do we have any B2B business on this segment in this category, or is it all B2C learning?

Tarun Arora: All B2C.

Mayur: And do we have any intent to tie up or go for B2B segments over here or will remain a B2C?

Tarun Arora: We focus on B2C, but we always look at all opportunities that come our way.

Mayur: Okay sir. Thank you so much.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Tarun Arora: Thank you everyone. Thank you for your patience and diligent questions. We'll see you next quarter.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

Zydus Wellness Limited

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CIN: L15201GJ1994PLC023490

August 7, 2024

Listing Department Code: 531 335

BSE LIMITED

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Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

Bandra (E),

Mumbai-400 051

Re: Transcript of the Earnings Conference call held on August 2, 2024

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q1 FY2025 Earnings Conference call held at 4:00 p.m. (IST) on Friday, August 2, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY

Encl.: As above

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"Zydus Wellness Limited

Q1 FY '25 Earnings Conference Call"

August 02, 2024

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN – ZYDUS WELLNESS LIMITED

MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER – ZYDUS WELLNESS LIMITED

MR. GANESH NAYAK – DIRECTOR – ZYDUS WELLNESS LIMITED

MR. UMESH PARIKH – CHIEF FINANCIAL OFFICER – ZYDUS WELLNESS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Zydus Wellness' Q1 FY '25 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. It's a wonderful good morning, good afternoon or good evening depending on the part of the world you are joining this call from. Representing ICICI Securities, it's our absolute pleasure to host the management of Zydus Wellness once again for the results conference call, this time, the Q1 FY '25 results. The company is represented today by Dr. Sharvil Patel, Chairman; Mr. Tarun Arora, CEO; Mr. Ganesh Nayak, Director; Mr. Umesh Parikh, CFO. Over to the management for the opening remarks and the detailing, post which we'll open the floor for Q&A. Thank you. Over to you, sir.

Tarun Arora: Thanks, Manoj, for the opening remarks and opening and sharing the introductions of the people joining. Good evening, everyone, and welcome to the post results teleconference of Zydus Wellness Limited for quarter 1 financial year 2024-25. And as Manoj has already introduced, we have from the management, Dr. Sharvil Patel, Mr. Ganesh Nayak, and Umesh Parikh with me.

During the quarter, demand continued the positive momentum, with growth across various categories. Rural demand outpaced urban growth narrowing the consumption gap. The Country also witnessed harsh and prolonged summers which helped boost the consumption of seasonal products like Glucon-D and Nycil.

As a result, the Company registered exceptional growth regarding its highest ever sales with a consolidated net sales growth of 20% on a year-on-year basis, of which 17.1% is due to volume. The Personal Care segment registered a whooping double-digit growth of 41.8%, thereby continuing its double-digit growth trajectory over the last few quarters. Growth was driven by strong consumer preference for the brands, further bo

osted by a favourable summer season.

At the same time, the Food & Nutrition segment also registered a good double-digit growth of 15% for the quarter riding on the back of brand Glucon-D, while Complian and Sweeteners portfolio continued to hold the fort. Nutralite brand showed a single-digit volume growth; however, value growth trailed volume due to market driven prices.

The company's research endorsement capabilities continue to be at the forefront, helping the company to launch new products and extensions, namely:

Complan's foray into immunity space with a new launch of Complian Immuno-Gro product in select states. Zydus
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Everyuth pink clay & charcoal infused antipollution face wash, scrub and face pack.

Nutralite professional mayonnaise with Tandoori range.

Nutralite Retail Mayonnaise with carrot & cucumber sandwich spread.

The Company launched Nycil soap in international market, introducing 4 distinct variants, which include aqua mint, neem & aloe, lime and sandal.

Beyond these five launches, the Company plans to launch four more innovations in the coming quarters.

Amidst the headwind of inflation and commodity prices, the gross margin further continues to be resilient, showing its upward move to 114 basis points on a sequential basis and 314 basis points on a year-on-year basis, driven by strong performance of product portfolio, favourable product mix, calibrated price increase taken earlier and inefficient hedging strategy for key commodities.

During the quarter, the company repaid its debt in full, thus deleveraging its balance sheet and yet retaining its strong cash position as of the quarter end.

Let me take you through some other highlights of the consolidated financial performance of quarter 1 financial year 2024, '25.

Our net sales grew by 20% to INR8,391 million.

We reinvested some part of our gross margin expansion into brand building, as a result of which advertisement expenses grew by 19.1% year-on-year on a lower base of brand investment last financial year.

Other expenses grew by 27.7% year-on-year basis, driven up by the cost of strategy consultant to co-create long-term growth plans. Excluding this cost, other expenses grew by 6%.

EBITDA grew by 33.3% year-on-year to INR1,553 million.

Other income net of finance cost has turned positive.

Net profit after tax grew by 33.8% to INR1,477 million.

The adjusted PAT grew by 39.6% on a year-on-year basis after eliminating exceptional items and onetime deferred tax effects from the comparable quarter of previous year.

With that, let me share some of the highlights of the operations for the quarter gone by, which will also cover category growth and market share numbers as per the MAT-June 2024 report of Nielsen and IQVIA.

We maintained a strong focus on marketing initiatives aimed at expanding our categories and enhancing the market share for our brands. Zydus

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On the Personal Care front, Everyuth brand continues to outpace category growth and has registered a strong growth. The face scrub category has grown by 14.3% at MAT level. Everyuth scrub has maintained its leadership position with a market share of 46.2% in the facial scrub category, which is an increase of 373 basis points over the same period last year. The Peel-off category has grown by 21.1% at MAT level. Everyuth peel-off maintained its number 1 position with a market share of 78.2% in peel-off, which is an increase of 200 basis points over the same period last year. Everyuth brand holds fifth position with a 6.6% market share in the overall facial cleansing segment level.

Nycil brand has witnessed robust growth, favourable summer season and consistent media visibility. The prickly heat powder category has grown by 20.2% at MAT level. Nycil has maintained its number one position with a market

share of 34.9% in the prickly heat powder

category. Nycil has recorded a consistent increase in household penetration in line with our strategy of recruiting new consumers.

On the Glucon-D front, the brand has achieved strong growth, propelled by sustained marketing efforts and favourable summer conditions. To amplify market penetration in strategic states, the brand implemented additional micro marketing initiatives. On the digital front, innovative campaigns, included launching 4 new digital films targeting specific cohorts. Brand penetration has increased by 160 basis points versus last year as per the MAT-May 24 report of Kantar Panel. The glucose powder category has grown by 21.3% at MAT level. Glucon-D continues to maintain its leadership position in glucose powder category with a value market share of 59.7% at MAT level.

On the Complan front, the nutrition drink category has continued showing signs of revival across key metrics. Brand penetration has grown by 23 basis points versus last year as per MAT May 24, report of Kantar Panel. The brand is sustained by a TV campaign featuring two popular celebrities, Madhuri and Sneha highlighting the criticality of protein for growing care, supported by a comprehensive 360-degree campaign across all mediums. The category has grown by 4.3% at MAT level. Complan market share stood at 4.3% at MT level.

On the Sweeteners front, sugar substitute category has grown by 5.8% at MAT level. The Sugar Free brand maintained its dominant position in the sugar substitute market with a commanding market share of 95.9%. Sugar Free Green continues to experience strong double-digit growth, driven by increasing volume uptake. We recently upgraded Sugar Free Gold to Sugar Free Gold Plus with a new formulation, Sucralose plus Chromium. Chromium contributes to the maintenance of normal blood glucose level, while removing aspartame helps clarify any doubt in consumers' mind.

l'mlite, a unique formulation of sugar blended with Stevia to offer consumers 50% less calories than regulator has gained a positive response in the market in the quarter immediately followed its launch.

On the Nutralite front, the brand showed a single-digit volume growth; however, value growth

trailed volume due to market-driven prices, which is largely a food service phenomenon. The brand was supported by several marketing initiatives, including awareness led digital campaign Zydu Wellness

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and summer digital campaign, Bachhon ka Khel with Nutralite, aimed at enhancing engagement for a professional range through social media.

Considering the expected normal monsoon in most parts of the country, we anticipate stable demand going forward. We intend to support this momentum through brand-led marketing initiatives and strengthen our supply chain capabilities, including the recent implementation of hub-and-spoke model for the suppliers. The company remains committed to ongoing innovation to align with evolving consumer preferences. Better macroeconomic indicators, combined with company's robust operational foundations are poised to support favourable growth prospects for our brands in the upcoming periods.

Thank you and we'll now start the Q&A. Over to the coordinator.

Moderator: The first question is from the line of Rishi Kothari from Pi Square Investments.

Rishi Kothari: Congratulations on good set of numbers. However, I would like to know our future prospects of the current plan that you are into. So what's the future outlook for us from here on? What type of growth rate we are looking at? And is there any margin exposure that we look at because right now demand is, margins over the years have gradually decreased for the company? So are we bottoming up of margins? Are we looking at an expansion of margin from here on?

Tarun Arora: Thanks for the question. I think our revenue growth expectations, like we've said

in the past, we

continue to focus on a double-digit growth trajectory and that's what we will -- when we -- is what we envisage going forward. From a margin, we do believe that we should be looking at expansion of our EBITDA margins and like we've also said in our last investor call, we are looking at over the next couple of years going back to a 17%, 18% kind of EBITDA margins through the journey, largely supported by gross margin improvement, which we've already seen and some operating leverage with growth...

Rishi Kothari: Okay. And this expansion of [OPA] margin by what time period are we looking at because right now, we are running at 13%, 14%. So the 17%, 18% will achieve in what, 2, 3 years' time period or is there any time line for that?

Tarun Arora: Exactly. I think next couple of years is what we've talked about.

Rishi Kothari: Okay. Okay. And my next question is in terms of the capex, what capex are we planning for FY '25?

Umesh Parikh: Yes. Currently, the capex is the maintenance line capex. And what we had on the depreciation, except the few balance sheet demand that we might have to procure.

Rishi Kothari: Sir, I was not able to get the amount that you said. Any amount...

Umesh Parikh: So in the range of INR30 crores, INR35 crores.

Rishi Kothari: Okay, INR30 crores to INR35 crores. And this will be purely -- where it will be deployed? Zydu Wellness

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Tarun Arora: So it's largely a maintenance capex and some capacity expansion equipment that we may need, no large capex that we envisage.

Rishi Kothari: Okay. And just are we planning to deploy -- to source it from the current cash flows that we have or is it true we are planning for debt increase?

Umesh Parikh: Yes. I mean, we plan to have the capex or the equipment deployed only through the current cash flow that we have.

Rishi Kothari: And we are also planning for the borrowing reduction eventually to go and achieve a debt-free company status?

Umesh Parikh: Yes, of course, unless there is some acquisition opportunity in the future.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: Thanks for the opportunity and congrats on a good summer, and good overall numbers. Just if you can help to slice and dice the number in terms of summer portfolio and non-summer portfolio and the overall volume and value growth to start with.

Tarun Arora: Tejash, thanks for this. We don't break it down with summer, non-summer. As we've started over the last five quarters, we started with food and nutrition and personal care, which you've

shared. So that's really what it is. But Volume, we've had a 17.1% growth so out of 20 overall growth. So remaining will be valued. No specific price increases right now taken, but it's all price which has already been taken...

Tejash Shah: Sure. Sir, the reason to why I asked on summer is we all know that there was a huge tailwind for demand in general for because of the heat wave. So just wanted to know, let's say, hypothetically, if next year, we don't get this tailwind, how should we think about is there a genuine demand uptick? Or you believe that irrespective of that or irrespective of the heat wave we would have done this well or slightly, let's say, in ballpark around this number only.

Tarun Arora: So Tejash, let me explain. I think clearly, this summer is a very important part of our portfolio, and this does contribute to the numbers. And the numbers won't be the same if the season is not as it was. But over any 3- to 4-year period of time, we do expect a consistent -- sorry, double-digit growth across the portfolio. Now if a bad season happens like last year, that can happen, but that doesn't put us out too substantially, but we believe our double-digit growth for the entire portfolio is on a consistent basis is how we continue to look at from our outlook.

Tejash Shah: Pe

fect, sir. Very clear. Sir, we also kind of witnessed tailwinds on margin -- gross margin front. So was it largely led by commodity deflation or there was a premiumization also which played a role here?

Tarun Arora: So everything else, you're right. There is a bit of commodity support, but there is also, in recent months, some of the products -- some of the commodity has seen a substantial increase. But we are well equipped for that. So we have taken time the price increases and premiumization across our portfolio. Action across our portfolio where we have acted on some premiumization. Zydus Wellness

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Tejash Shah: Sure. And sir, you also highlighted in your opening remarks that we reinvested some of these benefits in A&P and other expenses, which also has a sort of a one-off item in terms of some consultancy charges. But employee cost also jumped substantially. So any one-off there or this was just a regular uptick, which happens every year?

Umesh Parikh: So employee cost has gone up largely because of 2 reasons. One is that there is occupancy increase. So it's about 1.5% occupancy rise. And secondly, the reason is a one-off that we are transitioning from the private PF to government-based PF. And therefore, we had to make some shortfall there and therefore, you see a hike of 25%, which is not a normal hike.

Tejash Shah: So Umesh bhai, should I annualize this number? Or this is -- this quarter run rate is abnormally high to kind of bridge for the deficit...

Umesh Parikh: This is an abnormally high number and we should not evaluate bridges.

Tejash Shah: Okay. Okay. And last one, sir. So just wanted to know what percentage of our revenue now comes from -- quick commerce and what kind of trajectory of growth or relevance we are seeing in that channel?

Tarun Arora: So typically, the organized trade is 1/5 of our business, which includes small trade and e-commerce. And e-commerce like we have explained in our presentation also is e-commerce is overall about 9% to 10% kind of a 9.5% range. And it is growing at a much faster pace than other channels. But of course, last quarter, we've seen a good growth led by across all channels, but and quick commerce is growing portion of the overall e-commerce space, which is how the category is. Fortunately, for us, our market shares across our e-commerce platforms that we track are also ahead of our general market share. So we are in a good shape to embrace digital consumers.

Moderator: The next question is from the line of Karan Bhuwania from ICICI Securities.

Karan Bhuwania: Firstly, congratulations on good set of numbers. So I have 2 questions. Firstly, on Sugar Free, the change in formulation. Of course, it's good for -- good in the medium term given that there's a saving formulation removing aspartame. But do you envisage any short-term impact in terms of consumption because of the change in formulation of Sugar Free Gold?

Tarun Arora: We have done enough consumer tests, and we will have to finally play out whatever happens. But we expect actually to support consumer recruitment because one of the things there was a perception issue with aspartame, and that's why we've shipped it to sucralose + Chromium, which chromium is known to help maintain glucose level. So we do envisage some improvement in at least for -- overcome the negative perception that may happen. So we don't expect any disruption in any short or medium term.

Karan Bhuwania: Got it. So Sugar Free should ideally revert back to double-digit growth trajectory post this launch? Is that right... Zydus Wellness

Tarun Arora: Yes. Sweeteners, we are clearly expecting to remain on a double-digit growth trajectory over next year.

Karan Bhuwania: Got it. Secondly, sir, I see that we have done a few launches over the last few quarters. And then you also mention

d in opening remarks that 4 new products launches are expected over the coming quarters. So if you could just highlight what is the share of revenues from new product launches currently? And how do you see that over the next couple of years?

Tarun Arora: So the share of new products will be much smaller because they are at early stage. Typically, we look at share of products over 36 months rather than the same year because they start very small. And one of the things we have started doing in the last 1 or 2 years is also we launched in limited channels first or limited geographies, pilot it, learn it and then scaled it up, which is what we have done in Complian Immuno-Gro, which we've just launched end of last quarter, some of these launches will also go like that.

So I'm not seeing over the next 3 to 4 quarters, the numbers jumping up, but if they go right, we could really build up a much larger scale and our wish list is go up to 6% to 8% of our revenue could come in products from products launched in 36 months. But that's really what will really help us. So it's important to base them right rather than look at only short-term share of business...

Moderator: The next question is from line from Mayur Parkeria from Wealth Managers.

Mayur Parkeria: Congratulations on delivering a good set of numbers. After a long time, we are seeing such kind of growth. And as you alluded to, that while summer is an important element and there is a seasonality over the longest period of 3 to 4 years, we are positioned for a double-digit growth and hope that continues.

With that said, sir, just wanted to understand a few specific things on the recent change in trend in terms of quick commerce. If you look at our products, we'll call them as mass premium, will that be right in terms of Everyuth and other products. So with that, do you see quick commerce to be a big tailwind for us in terms of where we are in terms of growth and the changing trend, which is happening?

Tarun Arora: So quick commerce fits our products very well. They are regular essential use products. So quick commerce works. But I think it's also being relevant to the consumers as consumers are shifting their purchase behaviour across channels and there is an omnichannel world. So a lot of consumers who are buying probably from the neighbourhood stores are calling for deliveries are shifting to e-commerce, who find good traction with this. So our products are fairly well and we are engaging across quick commerce channels to be relevant and partner better with these channels.

Mayur Parkeria: So you're not seeing any additional tailwind in that sense. It is more like just an expansion at the margin in terms of another channel adding up.

Tarun Arora: So this tailwind really works, but it's also available to everyone. So finally, it's the consumer consumption habits, which will drive and where they buy from. Because we are well placed with Zydus Wellness

quick commerce, we definitely think we are better placed and we will gain from it. But eventually, it will be a function of your engagement with them and how this works because finally consumers' consumption habits will drive the larger change at the category level. We're being the leader in most of the categories we operate.

Mayur Parkeria: Sir, one question on Nycil. At the overall -- from a little longish perspective and at an overall category level, talcum powder is a slow or is a diminution category in terms of consumer preferences as we see the newer generation and you know what is happening. So while we are doing all that is required in terms of positioning, repositioning and the brand innovations and freshness, but at a very broad level in terms of where the young generation is and when we see talcum power, it is -- any thoughts on that from a long list perspective, where is it positioned? And how do you see this?

Tarun

Arora: So yes, if you look at our overall talc level, which includes sensorial as well as functional talcs, there is obviously some loss in consumers over a long period of time in the past where a lot of people have shifted out of sensorial talcs to a newer formats like the deodorants, perfumes and

sprays, but functional talcs has seen a more consistent performance because this has been consumed not just for the fragrancing but for actual product performance against prickly heat, cooling.

Talc is one of the best ways to absorb sweat. Sweat absorption space has not worked in the country. So from a consumer perspective, I think there is still enough opportunity to build on talcs, especially the prickly heat and cooling talcs and at least over the next 3 to 5 years, I'm not seeing a big challenge.

Having said this, we have also piloted the product with the spray format, the mist, spray, which has not got, I would say, a great acceptance in the consumer. So we're still at it. We'll keep experimenting and learning with the consumers. But talc as a format works very well in the tropical climate of India, where the extreme summer and the perspiration is best absorbed by talcs and with the prickly proposition, it's a great match to consumer needs.

Mayur Parkeria: Right, sir. Sir, last question on my side is on the margin front, you have been saying that we'll move to 17%, 18% over a 2 to 3 years period. Last 2 quarters have been put together shows that we are on track. How do we see the little near term? I'm not looking for a number, but what the question is, is the -- are there going to be negative surprises in terms of margins, in terms of the -- as we go ahead on FY '25 because the summer has helped us, the strong tailwind has helped us. Are we positioned to continue to deliver in the next 2, 3 quarters alone. It's from a little near-term perspective. Do we -- are we going to see any -- do you see any headwind or any risk on that side?

Tarun Arora: Typically, quarter 2 and quarter 3 are smaller quarters from a revenue point of view, typically only 1/3 of our revenue comes from these quarters. And because of the fixed cost impact, there's a deleverage which happened. So obviously, you will find the bottom line, the EBITDA numbers or operating margins much lower than quarter 4, quarter 1. Therefore, our near term, if you look at the same level of margin, for sure, it will not play out. Zydus Wellness

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But we think at an annualized level, we are on the right path where we see this trend to be secular unless some big, large disruption happens, which is out of control, we do see that this trend will continue in terms of improving our margin levels. And that's why we are planning for this or hoping to deliver the numbers that we are talking about from EBITDA margins in the next 2 years.

Moderator: The next question is from the line of Devang Shah: from D.D Enterprise.

Devang Shah: I was just like quarter 1 is a very pretty good quarter. I mean we got EBITDA level margins of around 18%. So recently, I heard on the con call, the quarter 2 and quarter 3, that cannot be achievable, like they are the sluggish quarters, correct?

Tarun Arora: I think I won't call them sluggish quarter, typically because the summer brands have a quarter 4, quarter 1, the Jan-June bias because that's how seasons play out. And therefore, our revenue has that bias. But I won't call them sluggish quarters, they will typically be lower and that has a deleverage impact on the overall payment.

Devang Shah: Okay. And sir, does it was like last quarter, like in the last con call also, you had like the price also has been like a price hike was there in some of the products. So is it like they got a good -- appreciated by the market or like the we've seen that on the basis of the prices, the demand has come down or something or the price has been acceptable. What a

accepted, sorry?

Tarun Arora: So simply put, we are leaders across categories, and we have the pricing power across our brands. Typically, we won't lead with the pricing, especially in a hyperinflation scenario, which happened over the last couple of years, which can lead to also demand drop. But now that extreme high inflation is out of the way, I think we are well equipped to manage with the pricing. And given our brand building and constant leadership, we are able to also get across to the consumer. And that's how we think it will be over the coming quarters as well.

Devang Shah: Okay. Just a small question. Like this -- like this quarter 2 and quarter 3, every year, this is like that only going on, if I'm not wrong, like I have seen that from the last 3, 4 years, right? And after thinking over the Heinz also. So quarter 2 and quarter 3 is not our production like our products are basically majorly been accepted in the quarter 4 and quarter 1 like the demand hike is there. So quarter 2 and quarter 3, does company has bought any of the thing for out of the box, like some of the products or some of the things to add some product, to add something in which quarter 2 and 3, like also like some of the products or anything like after taken over Heinz like is there any plan for the company? To just catch up the consistency, like...

Tarun Arora: So there is the seasonality has a long legacy to it. And we're cognizant of quarter 2, quarter 3 opportunity where we can do a lot more, but we are not built overnight. We do have launched

several products like body lotion in Everyuth, which has a bias towards the quarter 2, quarter 3, but they are still very small.
And given the scale of Glucon-D, Nycil, it cannot be overcome by just doing that. So we are working to even out, but this is a reality of the business. So I think we are added to do better in Zydus Wellness

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the off season as somebody would call it in a -- against the summer products, but this take a longer period of time. And as long as we know how to manage it, it's fine, we are balancing it...
Moderator: The next question is from the line of Kruttika from Sharekhan by BNP Paribas.
Kruttika: Congratulations on good set of numbers. My first question would be on the demand output. So we are discussing that Q2 and Q3 are generally not feasible for the company but how do you see the demand going ahead in Q3 and Q4 specifically? Are there any specific headwinds that are likely to impact the performance? Or how is the overall demand scenario in the near term?
Tarun Arora: So overall demand scenario, we are only expecting it to get better. Now those -- the tailwinds on summer is out, but that's a separate issue. At the overall demand level, we do expect things to only get better as we have seen over the last couple of quarters. It's only got better. Good monsoon should help us improve the demand scenario. The product mix may change the overall output of the company, but we are still on, I would say, optimistic of how it will play out over the next couple of -- next 2 to 3 quarters.
Kruttika: Okay. So next would be the revenue growth for the current year. So we are eying double-digit growth for the year. So any specifics like in mid-teens or high double digits, any specific guidance regarding that if you can provide them?
Tarun Arora: No, we're not going to be able to do that.
Kruttika: Okay. All right. And my last question would be on the effective tax rate for '25 and '26. So what are we expecting it to be?
Umesh Parikh: So '24, '25 and '25, '26, there won't be any cash outflow as such that we are expecting, though there could be a deferred liability because we'll be utilizing the accumulated losses. So there could be a different liability but no actual tax outflow on that front, cash payment.
Kruttika: Okay. So the effective tax base would be around the same as last year?
Umes

h Parikh : Yes.

Moderator: The next question is from the line of Malhar Sanghavi from Bodhi Capital.
Malhar Sanghavi: Congratulations on the good set. And in the presentation, in the first slide, you mentioned that rural demand is now outpacing urban demand. So when do you see this trend sustaining? And what products of our portfolio basically cater to rural demand per se.
Tarun Arora: So rural matters to most part of the portfolio, it's obviously differential numbers across brands. So Glucon-D, Nycil are more than 30% coming from rural and the regular products like Complian, Sugar Free, and Everyuth are in the range of 18 to 25 as a part of rural. Nutralite has much lower rural component though.
So overall, I think rural matters, and rural plays not just a role of direct consumption, it also plays out at the channel impact also because wholesale in all parts of other channels also get that Zydus Wellness

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much more vibrant when the rural demand is good. So for us, while we may be a little lower than the typical average industry levels of rural, but it does play a valuable role in building up our business.
Malhar Sanghavi: Right. Okay. And what's the outlook for like when do you see rural demand outpacing urban demand, if you can provide some insights?
Tarun Arora: I don't have any specific number, but we are quite hopeful given the fact that monsoons have been good, and inflation is in better control given what we went through. We do expect that rural incomes will help -- will get better and rural demand will continue to build up because that's really impacted the overall consumption in industry.
Malhar Sanghavi: Yes. Lastly, I may have missed this, but have there been any new product launches in the last quarter? Or is there anything launching in the next coming quarters, which is something about materiality?
Tarun Arora: So maybe you missed it, we've launched 7 new products in the last quarter, which we talked

about Complian Immuno-Gro, Everyuth pink clay and charcoal, a couple of products, Nutralite and Nycil soap in international market. We have 4 more products like I explained in my opening remarks, we have 4 more products planned over the next few quarters. So we are quite positive on the new product launches. While some of them are specific to channels or market that we are building on those as we go forward.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: Just a couple of follow-ups from my side. Sir, this quarter was slightly tricky to understand the actual underlying consumer sentiment because it got muffled with the heat wave tailwind also.

But if you remove those noise from the numbers, how do you see the consumer sentiment? Are we better players than we were, let's say, 2 quarters back?

Tarun Arora: Yes. That's what -- I think we are better placed than earlier quarters from a consumer sentiment and some of our products we thought consumption has -- is looking more positive, but we'll have to see how it plays out.

Tejash Shah: Okay. And just second, you spoke about some consultant engagement that we are doing. If you can elaborate what problem statement are we working on?

Tarun Arora: So we've got a strategy consultant who can work co-create with us to build strength because we believe we are on the right path. We are focusing on the brand building, category building. But given the task we have and we've discussed this earlier also, we are market leaders in 5 of our brands, which means that we are not just fighting for market share, but category building. And therefore, to add bandwidth and focus even more strongly on international market, if I add to that, we believe we're adding bandwidth and more strength to our actions. And that's why we've got them for -- to work and co-create with us this path over the next few quarters. Zydu Wellne

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Tejash Shah: And sir, all the cost pertaining to this has been booked in this quarter? Or there will be some follow-up cost also?

Tarun Arora: No, no. This is a continued engagement. It's not just onetime engagement. So it's not just put a strategy, but work with us on strategy, cocreate and co-own with us with link this to performance outcomes. It will be continued. And therefore, if we do well, it helps them also. So it works for everyone. It's a win-win that we try to work...

Tejash Shah: And this is performance-based or there is a large fixed component also?

Tarun Arora: Performance base, like you said.

Tejash Shah: Okay. And last one for Umesh. Umesh bhai, any guidance on tax rate? And if you can call out the one-off that you spoke about in employee cost, how should we kind of built in coming quarters and for the year?

Umesh Parikh: Sure, Tejash. So on the tax rate, I have just sped out that we will not be having any tax cash outflow in '24, '25 and '25, '26. After that, we'll be a new tax regime. So that will be paying '25 plus etcetera. As far as the employee cost is concerned, I think I alluded earlier also that's a one-off account of the PF transition to government PF that we are doing. And we also -- the occupancy that has been factored in now.

Tejash Shah: But Umesh bhai, how should we build the rest -- if you can call out the number that was one-off in this quarter that will help to normalize the number.

Umesh Parikh: Tejash, I don't have it handy, but I will -- maybe we can circle back on this.

Moderator: The next question is from the line of Lokesh from BOB Capital Markets.

Lokesh: I just had a couple of questions. First one is on your hedging policy, like how much -- like what's the typical hedging period? And how much are you covered for...

Tarun Arora: Sorry, we are not able to hear clearly. I think there is -- we are not able to make out clearly.

Lokesh: So just a couple of questions. First one is on your margins. So what's your typical hedging period? And how much are you covered for FY '25 for your commodities? And what percentage of your COGS do you actually hedge? Just to understand like how much of the inflationary impact is going to have on your margins in the current financial year? That's the first one.

And then the second one is, obviously, you like the FMCG industry is relying on the rural recovery for an acceleration in the sales growth as we progress through FY '25. I wanted to understand your margin profile between rural and urban, whether that's going to have -- like once your sales start becoming more skewed towards rural through the year, then is that going to have an impact on your margins, if you could clarify it by gross level as well at EBITDA level, that would be helpful. Zydu Wellness

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Tarun Arora: So let me just first address your first question, which was on the hedging and buying of commodity. So first of all, we don't do long-term hedge. We take a low to medium risk only on this, where we have a line of sight on certain products, which also allow for a certain taking costs, we do that. Otherwise, we don't risk ourselves because our business is actually on brands. We just try to manage and balance our costs. So our hedging is only to be more, should I say, more short to medium term and defensive rather than being very aggressive in hedging. So the overall direction of the commodities have been helpful and with a little bit of smarter buying leading -- understanding those better and wherever possible to hedge, it's helped us, and we continue to remain focused on that. But we don't lose sight of the fact that our bigger value sits in building the brands, and that's where we are doing. And that's what is helping us improve our gross margin level. If that answers your question or if there's something more to this

commodity?

Lokesh: No, that's actually helpful. So you're saying it's actually the mix that you're trying to improve that's impacting your gross margins that what you're trying to imply...

Tarun Arora: Correct. Correct.

Lokesh: Yes. And so just clarifying, I'm sorry. But so you said you don't hedge for long term. So is it 3 months like a good period to think of or is there too much...

Umesh Parikh: Yes. That's right. 2 to 3 months.

Tarun Arora: Second question is on the rural, correct?

Lokesh: Yes.

Tarun Arora: So rural, like I have explained in the earlier question also, it ranges between 20% to 30% across most of the brands from a consumption point of view. But from a distribution -- general trade distribution point of view, the rule in urban splits are almost 50-50 out of 2.9 million or 3 million outlets that we are available. Our products are available in, it's 50-50 between urban and rural. So obviously, rural plays an important role. But we are also seeing, and we are hopeful that it will continue to build. But we are also seeing a good traction within the urban, which is beyond the general trade in e-commerce and non-trade. So we are not like only depending upon rural, but we hope that we build up right and help the overall mix.

And from a margin point of view, I think we are balanced across channels. We ensure because there are risks of channel conflicts, consumer conflicts. So we try to avoid any margin differences across geographies or channels.

Lokesh: Got it. And do you have any products that are like specifically meant for rural areas like smaller packs or anything like that. So the -- I guess, the price realization might be a bit better over there and the gross margin as well.

Moderator: The next question is from the line of Akshat Haria from Multi-Act PMS. Zydus Wellness

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Akshat Haria: Congratulations on good numbers. So my question was more on the consultant that we've appointed. So if I look at this year -- this quarter's number, it works out to be around INR20 crores, INR21 crores, which is around 2.5 percentage of sales. And as you clarified with Tejash, this is more on a proportionate basis, and it's more recurring in nature. So just wanted to understand, overall, whether there is any fixed element also involved to the consultant cost? And what could be this cost on an annual basis?

Moderator: Ladies and gentlemen, the line for the Chairperson has connected. We will begin the question and answer. Yes Akshat, please go ahead.

Akshat Haria: Yes, so I'll just repeat my question. So my question is around the consultant that we've appointed. So for this quarter, if you work out some rough numbers, the amount comes to around INR20 crores, which is around 2.5% of current quarter sales.

So just wanted to understand a few things, in terms of the nature of this agreement as you confirmed with Tejash that this is more recurring in nature, so I wanted to understand if there is also some fixed element which is involved and for the full quarter -- a full year, what could be the cost overall involved on the consultant side? And also what is the total periodicity for which we've appointed the consultant?

Tarun Arora: So I'll close Lokesh's question, which was cut in between, which was largely regarding -- we can address it. Do you want to take Akshat's question first?

Moderator: Hello, Akshat, please go ahead for your question. The management has disconnected. Now it's connected again.

Akshat Haria: Yes. So on the consultant cost for this quarter, it comes to around INR20 crores, which is around 2.5% of the quarter sales. So I wanted to understand on a full year basis, what this cost could be? And also whether there is any fixed element involved in this agreement with our consultant and the overall periodicity for which we've appointed this particular concept?

Tarun Arora: So there is a longer period engagement

with a consultant. We can't -- we're not sharing the exact numbers, which at this stage, and there is clearly a performance-linked engagement where there is a smaller portion for the fixed element, and there is a larger portion for the performance-linked element on consultant cost.

Akshat Haria: Right. So this quarter, because we've called out the cost specifically, is it that it has been slightly on the higher side for this particular quarter and going ahead, it would be more streamlined with our overall other expenses or this run rate we should expect it to continue for...

Tarun Arora: No, it's not the run rate. It is also linked to the business performance. And that's why we have accrued it accordingly.

Akshat Haria: Understood. Understood. So we should link it more to sales?

Tarun Arora: Sales and bottom line both. So there is multiple metrics that we are using on this. Zydus Wellness

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Akshat Haria: Okay. Understood. And as you already explained, this is for all the brands. So any particular focused brand for which this consultant is going to focus more of their effort or it is across brands for domestic as well as international. It is equal focus.

Tarun Arora: So we -- this is the fact that, as I've explained earlier, we are looking at a growth across -- I mean, we are a leader, at least in 5 of the categories. Our task is not just market share growth but also growing the categories. We are looking at partnerships or co-creation where we can help build the categories ahead and provides additional bandwidth to the team, which is already focused on doing a reasonably good job, but we could ensure that our sustainable models are built around these growth, which could include both domestic and international and wherever the opportunities are. So it is PAN business approach.

Akshat Haria: Right, right. Understood. And as you explained, it is not just based on a single metric, but it all multiple metrics, which involves profitability as well. It's more so important because the profitability is really higher in the first and fourth quarter, while it is more on the tablet side in the second and third quarter. so.

Tarun Arora: Correct.

Akshat Haria: Okay. Understood. Thank you.

Moderator: The next question is from the line of Lokesh from BOB Capital Markets.

Lokesh: So this -- so yes, I was just saying that do you have a different kind of product profile for your rural areas? Like I imagine if those are like small packs and the move popular in the rural areas, and there might be slightly higher margin compared to the urban areas.

Tarun Arora: So what we're doing is, and I think it's -- what consumers are today buying from multiple channels and places of where they're located and how they are buying. And therefore, the regular channel is now getting fragmented and there is rural consumer, urban consumers, there are also multiple subchannels or retail environments, which could be chemists, cosmetics, grocers. There are, of course, e-commerce and non-trade. So there are multiple subchannels and large channels within e-commerce, quick commerce and end marketplaces.

So we are being constantly revisiting and improving our pack price architecture to meet different consumer expectation in each state across channels. Typically, yes, it's a reality that rural consumers, as is expected, do buy a lot of lower unit price packs, but that's not the only way they are buying.

So we have specific products which are targeted at rural consumers. We have targeted specific packs which are targeted e-commerce or non-trade consumers. And within that, we also prioritize sometimes based on the opportunity between food or chemists where we focus or drive certain packs because the consumption is more driven from these subchannels.

Largely, there are opportunities of increasing margin at each and every level, but it's not that there is one size fits

all. So we balance overall margins, and any of the specific packs, which are Zydus Wellness

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going by channel, if there is opportunity, we will obviously look at it. But I can't have a very simple answer for this. And we are doing whatever it takes to meet the consumer needs given the way they buy across channels and subchannels and geographies.

Moderator: As this was the last question, I would now like to hand the conference over to the management for the closing remarks.

Tarun Arora: Thank you, everyone, for the time and attention. We've had a good quarter. We are hoping to build on this momentum for the remaining 3 quarters. We have a set of launches and execution planned. Thank you very much, and we'll see you in the next quarter results. Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Zydus

Wellness

Call: Nov 2024

Zydus Wellness Limited

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November 15, 2024

Listing Department Code: 531 335

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NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

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Mumbai-400 051

Re: Transcript of the Earnings Conference call held on November 11, 2024

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q2 FY2025 Earnings Conference call held at 4:00 p.m. (IST) on Monday, November 11, 2024.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY

Encl.: As above

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"Zydus Wellness Limited

Q2 FY '25 Earnings Conference Call"

November 11, 2024

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN – ZYDUS WELLNESS LIMITED

M R. TARUN ARORA – CHIEF EXECUTIVE OFFICER – ZYDUS WELLNESS LIMITED

M R. GANESH NAYAK – DIRECTOR – ZYDUS WELLNESS LIMITED

M R. UMESH PARIKH – CHIEF FINANCIAL OFFICER –

ZYDUS WELLNESS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Zydus Wellness Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I will now hand the conference over to your host, Mr. Manoj Menon from ICICI Securities. Please go ahead, sir.

Manoj Menon: Hello everyone. Representing ICICI Securities, It's our absolute pleasure once again to hold the management team from Zydus Wellness for the Q2 FY'25 results conference call. The management is represented today by Dr. Sharvil Patel, Chairman, Mr. Tarun Arora, CEO; Mr. Ganesh Nayak, Director; and Mr. Umesh Parikh, CFO.

Over to the management for the opening remarks, post which we'll open the floor for Q&A. Over to you, sir.

Tarun Arora: Thank you, Manoj. Good evening, everyone, and welcome to the Post Results Teleconference of Zydus Wellness Limited for the quarter 2 financial year 2024-25. Like Manoj mentioned, we have with us Dr. Sharvil Patel, Chairman; Mr. Ganesh Nayak, Director; and Mr. Umesh Parikh, CFO, on the call from our side.

During the quarter, we continued to see robust demand across multiple categories driving strong overall growth. While urban demand has been under pressure, the rural demand continues its gradual recovery. The organized trade continues to outperform expectations with both e-commerce and Modern trade channels experiencing sustained upward momentum.

On the input cost side, the sequential rise in commodity prices for certain key imports led to increased costs. This was actively managed through operational efficiencies and strategic sourcing as well as calibrated price increases.

As a result, the company registered consolidated net sales growth of 12.1% year-on-year basis, of which 8.4% is due to strong volume growth.

The Personal Care segment registered strong consumer demand driving a double-digit growth of 26% for the quarter and continuing its upward trajectory over the last few quarters.

At the same time, Food & Nutrition segment also posted a growth of 9.7% for the quarter.

Complan, Sweetener and Nutralite showed positive value and volume growth.

The Company's research and development capabilities continues to be at the forefront, helping the company to launch new products and extensions, namely:

Complan's foray into adult nutrition space, delivering high-quality protein with pre- and probiotics to support gut muscle axis with this offering - Complan VieMax.

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Nutralite plant-based spread is a 100% plant-based buttery spread now available in two delicious variants, Olive, Garlic, and Herbs.

Nutralite professional enters the Cheese category and launched a few variants of mayonnaise and fat spread.

Following strong positive response from international markets, the company has launched sugar free D'lite cookies in India as well.

Amidst the headwind of rising commodity prices, the gross margin has remained resilient, showing its upward move of 261 basis points on a year-on-year basis, which outlines operating efficiencies and strengthening of product portfolio to absorb input prices inflation.

Let me take you through other highlights of the consolidated financial performance for the quarter 2 financial year 2024-25 and subsequent events.

Our net sales grew by 12.1% to INR 4,907 million. EBITDA grew by 16.7% year-on-year to INR 196 million. Net profit after tax grew by 254.2% to INR 209 million, adjusted PAT grew by 154.2% on a year-on-year basis after eliminating exceptional items from current quarter.

As one of the growth pillars, the company keeps on evaluating the business and assets, which has potential of fostering future growth, with product pipeline to meet evolving consumer

preferences. As a result, the company entered into a definitive agreement to acquire Naturell India Private Limited, a leading healthy snacking company with a turnover of approximately INR119 crores for the financial year 2023-24 as per Ind AS.

Naturell company is engaged in the business of manufacturing, research and development marketing and selling of nutrition bars, protein cookies, protein chips and health food products under brands RiteBite Max Protein, protein fueled healthy snacks and RiteBite which is a fiber-enriched snacks.

The transaction is proposed to be funded by cash. It is expected to be EPS accretive for Zydus Wellness from the very next year post acquisition.

The transaction is proposed to be consummated within 60 days. We believe the product portfolio is innovative enough to meet the rising needs of consumers preferring balanced and nutritional diet.

With that, let me share some of the highlights of operations for the quarter gone by, which will also cover category growth and market share numbers as per MAT September 2024 report of Nielsen and IQVIA.

On the personal care front, Nycil brand has witnessed robust growth, favourable summer season and consistent media visibility. The prickly heat powder category has grown by 21.6% at MAT level. Nycil has maintained its number one position with market share of 34.3%.

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Everyuth brand continues to outpace category growth and have registered a strong growth. The face scrub category has grown by 17.3% at MAT level. Everyuth scrub has maintained its leadership position with market share of 46% in the facial scrub category, which is an increase of 355 basis points over the same period last year. The peel-off category has grown by 26.4% at MAT level, Everyuth peel-off maintained its number1 position with market share of 77.9% in the peel-off, which is an increase of 189 basis points over the same period last year. Everyuth brand holds fifth position with a 6.9% market share in the overall facial cleansing segment as well.

On the Glucon-D front, Glucon-D continues to maintain its leadership position in the glucose powder category with a value market share of 59.4% at MAT level. The glucose powder category has grown by 20.8% at MAT level.

On the Complian front, the nutrition drink category has continued showing signs of revival across key metrics. Complian has added 9 lakh households over last year as per MAT August 24 reports of Kantar Panel. The category has grown by 2.8% at MAT level. Complian market share stood at 4.1% at MAT level.

On the sweeteners front, the Sugar Free maintained its dominant position with a commanding market share of 93.9% in the sugar substitute category, which has grown by 5.4% at MAT. Sugar Free Green continues to experience strong double-digit growth, driven by increasing volume uptick.

On the Nutralite front, Nutralite showed positive value and volume growth, contributing significantly to the overall performance of the segment.

As we move forward, we remain confident in our strategy and deeply committed to ongoing innovation, ensuring that we stay aligned with evolving consumer preferences.

Thank you, and we will now start with Q&A session over to the coordinator.

Moderator: The first question comes from the line of Avnish Roy from Nuvama. Please go ahead.

Avnish Roy: Congrats on good revenue growth. My first question is on Complian. So you have seen good penetration growth for 3 successive years. If you could comment on specific growth numbers Y-o-Y revenue terms. Now milk, which is the key requirement in terms of adding this has also seen a lot of stability and impact many markets correction also. So would you say that in terms of outlo

ok, in terms of growth, where things could improve a bit and what is your sense on growth of market, because the market where leader continues to struggle here. So what will be your take on the overall growth for the industry in this market?

Tarun Arora: Thanks, Avnish, for your questions. Thanks for your wishes as well. Overall, if you look at nutritional beverages or HFD as been called traditionally, I think we've seen some growth coming back on the category maybe because the milk inflation is more stable and not growing so much. But largely also, I think the right actions will drive it which is that the consumers are

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looking at new segments and there are different products coming to meet those needs. And if we focus on that, that's the best chance to grow this segment.

At an overall level, our view is over a medium to long term, 5% to 6% growth is a fair for this category, which is close to a billion as we understand. But our view is that we can grow much faster than that if all the initiatives play out, we have seen good recovery of growth for us in the recent past, but we -- ourselves are very conscious that we will have to demonstrate a consistency over a period of time to be able to do that. But the nutrition needs stay consistent from a consumer point of view. And therefore, positive growth is what we will -- 5% to 6% is a fair expectation of that.

I don't know If that answers your question. We also launched -- because we believe that since there are multiple segments, we need a full play in nutrition. And that's why we were largely playing in the main part of the category, which is the kid segment, 7 to 17. We have launched few years back the Toddler segment with Complan NutriGro. We have launched for the adult, which we did not have any play in Complan VieMax, early days, just a couple of months in the market. We'll have to see how that plays out, but that should help us we play this overall well. Avnish Roy: Sir, last question, again, 26% growth in Personal Care is a good number. So is there any one-off here? And in terms of the urban slowdown, which I think every company is mentioning, which categories will be most worried on in terms of the H2 in terms of urban slowdown impact?

Tarun Arora: So there are 2 parts to it. I think, first of all, Personal Care doesn't have any one-off. If you look at last 6 quarters since we've been reporting segment wise Food and Nutrition and Personal Care separately, you will see that consistently over 6 quarters that we have reported, we are showing a good double-digit growth. It's not an exception, but more of a trend for us, and both our brands have consistently demonstrated that. So just to rest assured that there is nothing one-off, hopefully, and we'll continue our momentum.

As far as the urban growth is concerned, when we look at our internal numbers in sync with the market, we find that urban growth is lower and sub-stockers which caters to rural and suburban, there is a clear difference. But part of urban is also going to q-commerce or e-commerce as well. But I'm not particularly worried about any segment as we stand today because most of our very urban products other than Nutralite, which is only urban. Most of the other products are seeing good rural momentum also in the recent past, including Sugar Free and Complan. Glucon-D and Nycil anyway have a very large urban -- sorry, rural exposure. So I think I'm reasonably comfortable with the way it is. It will be good for us to get both the markets growing both the consumers responding.

Avnish Roy: Just one small follow-up on the urban slowdown. So if you combine general trade and quick commerce, e-commerce, modern trade, then for the sector, is there a real issue? Or is it more of the seasonal impact, I say, rain or whatever other issue? Because see, the food inflation is a real thing, right? Everything is so expens

ive in terms of food currently. And obviously, then the customer does cut back. So if you could comment on totality how challenging is the urban demand for the sector? I think for you it may not be that challenging.

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Tarun Arora: Yes. So I think the reality is it's quite challenging in urban. And if you look at multiple segments, not just beyond us, both staples and discretionary, you'll find that everyone is struggling. So we believe it's real. It's just that we've been able to overcome this better. We've been lucky around that.

Moderator: The next question comes from the line of Manoj Menon from ICICI Securities.

Manoj Menon: Tarun, just continuing on this macro bit, it does appear a case of snake and ladder. Now in the rural bit, you mentioned that there's a bit of momentum for you currently. So could you elaborate on, let's say, what exactly you're doing in terms of any specific projects, either numeric expansion with selling, etcetera?

Tarun Arora: Not really. It's just that we've been executing. We've had a set of products, which we have focused on rural, we have a product architecture, which caters to specific markets. But just -- I think the team has executed better, and we're getting better traction on those.

Manoj Menon: So let me put it this way. So let's say, of this 8% volume growth, is there a number which would attribute to, let's say, sales execution or, let's say, additional number of outlets or with selling? Any quantification possible?

Tarun Arora: So we've seen very good growth, both from rural and e-commerce and modern trade. But traditional trade is also not like been -- has done better than urban trade, traditional trade has also done reasonably well versus the market. So I would find that our growth is -- for especially the last quarter has been well rounded.

Manoj Menon: Understood. Just on the urban deceleration comment in your presentation as well -- is there something which you are seeing in parts of your portfolio specifically? Or is the generic comment?

Tarun Arora: Sorry, I didn't understand, Manoj?

Manoj Menon: So is there any parts of your portfolio which actually -- basically, is it a macro comment? Or is it something you're already finding in your portfolio, let's say, apart for this urban deceleration you could have grown faster?

Tarun Arora: No. I think we are seeing a very consistency across in personal care, like we mentioned, is seeing fairly good traction.

Dr. Sharvil Patel: I think to what Tarun said earlier, I think only where because of food inflation, we have to worry about what happens going forward. But because we are sort of category leaders in many of the areas we are in, I think we are okay, but the food inflation is something we need to worry about.

Tarun Arora: And the other impact I'm a little worried about for future is the palm oil substantial increase because for Nutralite and food service becomes harder to pass on. It may give us growth, but it just becomes that much harder to deal with the market because it's quite price sensitive. So we deal with it. We have done it well in the past, but those are a few challenges that we foresee.

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Manoj Menon: Understood, Thank You. Secondly, if you could elaborate a bit about -- a little more on I'm Lite actually, let's say, the activities or saw some medium-term targets, et cetera, or ambitions?

Tarun Arora: So it's -- we are now -- most of the places that we were doing, the traditional trade specific markets, for example, East was responding very well. We are well encouraged. E-commerce has started picking up some of the chains like DMart, etcetera, have done well. So it's not reasonable numbers, but it is picking up well. So we are quite hopeful that it will keep inching up. We've also upped the price. So it's working in the right direction. So should be okay.

Long term, we obviously believe it is a much larger opportunity.

Manoj Menon: Understood, sir. And lastly, on international, again, what is the template, what's the thought process? Is it the Indian diaspora you would target or good international ambitions?

Tarun Arora: So Indian diaspora will never be able to meet my ambitions on our international business. We're clearly seeing that Sugar Free D'Lite range being accepted by across consumer segments and across geographies. So typical Indian diaspora in Middle East was an earlier customer. Now with this Sugar Free D'Lite, we are able to cut across all kind of segments, whether it's local population, European population, we've seen Middle East, Hong Kong, Singapore, where we have introduced using traction.

Similarly, Complian is doing -- is getting traction in Nigeria which is a local population. So for us, we are looking at doubling every 3 years kind of growth and we are looking at being -- doing innovations, which are relevant to each of the focus markets.

On Bangladesh, which we are building, we believe the local population will be relevant. So being local, focused around those specific markets, especially around 2 lead brands, the sweeteners and nutrition, but also within tactically other brands also to widen the scope. That's how we're going to be looking at it.

Moderator: The next question comes from the line of Ajay Thakur from Anand Rathi Securities.

Ajay Thakur: I wanted to understand a bit better on the food segment. So like we have seen quite a bit of a slowdown from many of the companies in this food segment, but we still are kind of growing more like 9%. So if you can share some bit of a detail or more color in terms of this segment is driving this -- and what is kind of leading to a better growth for us in the food space, that would be helpful.

Tarun Arora: So we had a very good traction, both with the sweeteners and nutrition spaces last quarter, even Nutralite has had us a reasonable growth, Glucon-D is small and was a little bit under pressure because of the heavy rains, but otherwise, it's been rounded off growth.

Ajay Thakur: I understand. And sir, you have already launched VieMax, if you can share some bit of color around VieMax in terms of the pricing, what kind of differentiated proposition we have in VieMax, and what kind of revenue targets we are having for VieMax in the first year? Maybe some kind of a detail around the same will be helpful?

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Tarun Arora: Yes. So it is focused on adult nutrition where we are saying that adults see a atrophy on muscle.

And because we have a high protein content due to the presence of prebiotics and probiotics, which help better absorption of nutrients that VieMax offers. So it's a great way to deliver on the gut muscle axis. And that's the differentiator we built around and our pricing is about INR900 for 1 jar of 400 grams, which is in sync with a similar high-quality products that adult nutrition has.

We will focus in the top states, which are on adult nutrition and Complan, which is largely around East, South and part of North where we will use the HCP route, healthcare professionals route to promote our products. We are not planning to launch any advertising. That's a broad play that we're looking at. Our revenue targets are not very huge. We believe we want to do the seeding right promotions first, and then we'll build it as we go along.

Ajay Thakur: Understood, sir. Sir, last question was on more of the Naturell products that you have actually acquired. If you can share some bit on their EBITDA margin and what kind of benefits we can accrue from this interesting benefit from the acquisition. Since the fact that you mentioned about the kind of help that we can be accretive -- in terms of the acquisition can be accretive within the next year. So if you can share some details around the same, that will be helpful.

Tarun Arora: So first of all, to give you a big picture, I think we've always said that we look at only bolt-on acquisition. We believe food and nutrition is an important portfolio for us. In the nutrition, we already have a presence. We were looking for a category which has high growth potential, good tailwinds and meet the nutrition requirements and we've talked about a lot about focus on protein and other micronutrients as well, and this is exactly in the space that we have focusing ourselves on. And therefore, this RiteBite and RiteBite Max Protein brands fit into our portfolio. This business has seen good high double-digit growth momentum in the recent past, and we believe that's what will help us build it forward.

From a business scale point of view, like we mentioned, it has done about INR119 crores in the last financial year as per the Ind AS. It has got a small EBITDA positive, which for a scale of this size, I think is a great thing because most of the companies we have evaluated at this level typically tend to be substantially negative, and that's what we really liked about this that the current owners have run it in a very disciplined way, building it on the right reasons and the right ways of working. We are hopeful that with our actions in place we will continue to drive the growth and also make it EPS accretive by the next financial year.

Moderator: The next question comes from the line of Mayur Parkeria from Wealth Managers India Private Limited.

Mayur Parkeria: Congratulations on a decent set -- a good set of top line growth. Sir, given the top line growth of 12% volume growth of 8%, which is assumably much better than other peers in the -- even in the food side or on the general category of consumer side, would you say that while our EBITDA has increased by 16%, 17%, but the margin expansion is only 20 bps compared to. I understand this is a low quarter for us.

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But do you believe that margin expansion could have been better or if yes, then what led to this slightly muted in terms of the growth margin expansion trajectory. While it is higher, I understand, but would you -- is it lower than your expectation? Or could have been better in the light of the macro or specific company situation?

Umesh Parilh: So in terms of PAT expansion we have actually last year we were at 1.3%. Now we are at 4.2%. So there is a margin expansion. So there is an impact of the exceptional item. But if we take that out, still there is a margin expansion that has happened. Secondly, margin expansion is more than the expected because of the high investment that we made in the advertisement and some other expenses, including some expenses which are there by -- the consultant fees etcetera.

Mayur Parkeria: And how do we see that...

Tarun Arora: But I think that trajectory is consistent. I think we will -- like we've mentioned in the past, we have continued to increase our gross margin. And continue to deploy as is required based on advertising is required, because we had cut it when the gross margins were under pressure. So it's a balanced approach of trying to focus on growth and development of the business as well as improve our profitability parallelly.

Mayur Parkeria: Sir, in the same light, given that we have seen a good gross margin expansion over the last couple of quarters, now we are at a stage where the base of the gross margins have been higher and we are now seeing some inflation seeping in, in terms of a couple of categories. So do you believe that the best of gross margins is behind us? Or do we believe we have more levers for expansion as premiumization or other trends continue, especially from a next 1-year perspective?

Tarun Arora: So one year is a little hard to predict at this stage. But in, I would say, next 1 or 2 quarters, we still believe there is room for us to keep pushing it, and that's really what

at we are working here.

Over a period of time if things work out, we'll continue to push further on gross margin and other.

Mayur Parkeria: That's great to hear, sir. Sir, last question from my side on the acquisition which we made. Sir, we have seen who has been in the right health and fitness side, they would have surely tasted or had exposure to the Max brand. The point which I just wanted to understand from the seller's perspective, what was the key reason to sell this brand.

It's a little longish question in terms of -- is it the distribution which they wanted to expand, which we can add to it? Is it the product which is there the R&D part? Or what is it that led to there -- they moving out? Is it get some management which they want to push it to the professional to us.

And finally, in terms of valuation it's attractive in that sense, when we look at the positioning.

So given the market share of this protein bars than where Max spends? What led to sellers selling at this? And what were the key reasons behind that? If you can highlight, it will help us understand. And it's a great positioning from a long-term perspective. So congratulations on that.

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Tarun Arora: Thank you very much. I think largely, it is scale of challenges. The business has done rather well. But for the next level of growth, we felt it would be better fit for a large strategic company to, has been support both from an infrastructure and expansion point of view, and it covers all the points that you said. So all those things made sense to them. And there was a fair amount of time we have spent talking to each other and working on. So there's a good reason they expansion.

Mayur Parkeria: Sir, do we see 15%, 17% kind of percent or even a higher kind of growth -- the company for this specific acquisition given the runway which it has? Or how do we see? Just a broad qualitative understanding. Is it mid-double digits? Is it high double digits? How do we see this, sir?

Tarun Arora: We are hopeful to do more than that. We have a track record is even better than that. So we intend to in the next couple of years, at least say on that.

Moderator: The next question comes from the line of Karan Bhuvania from ICICI Securities.

Karan Bhuvania: I have a couple of questions. Firstly, on Naturell acquisition, right? If you could highlight a few things in terms of what is the geographical mix, channel mix, et cetera, for the brand right? And also in terms of what is the distribution needs for the brand and how can we leverage our own distribution to expand the footprint for the brand?

Tarun Arora: So from a geographical mix, where top cities contribute top 10 cities will be, I guess, 70%, 80% of the business. So it's a very high top urban-centric brand. They are largely traditional trade and e-commerce focused. These 2 contribute to about 80%, 90% of the business substantially, e-commerce and that too specifically quick-commerce and traditional trade in these markets.

For us, the leverage is not just distribution, but the focused distribution, and that's why we'll work with them and have a specific plan to do the right things with the business and not just look at because we have a larger infrastructure and just put it in our regular infrastructure, but what is right fit for purpose distribution and grow the category along with them -- they've been the leaders in the space. So that's really how we're going to be working with them on this.

Karan Bhuvania: Got it, sir. And any brand extensions -- category expansion that you're thinking with this kind of positioning for the brand right now...

Tarun Arora: So they already have -- they already have bars, which is the mainstay, they've launched chips. They also have cookies, protein cookies, so protein chips, protein cookies that itself and granula bars. So they already have enough on the portfolio. We can launch

1 or 2 more products, but I

think enough to grow on this and some of the products in the pipeline which we are working with them and figure out what is the right way to expand. But enough room for this, a lot of SKUs to expand on and making all of them available at the right place, that itself is a good opportunity for us.

Karan Bhuvania: Got it. Sir, secondly, in terms of margins, if you could highlight what would have been the margins excluding the consultancy fee that you're paying, right? If you could just highlight that to understand the margin expansions story much better?

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Dr. Sharvil Patel: So I think it's -- because we use consultants in different programs and there is different act is going on. So I think -- some of this, we cannot call it as one-off because we will continue to have

different programs that we run. So I think it's difficult to give each consultant one-offs.

Moderator: The next question comes from the line of Mayur Parkeria from Wealth Managers India Private Limited.

Mayur Parkeria: Sir, one slightly 30,000 square feet above the question on a very macro side and not with a negative, but just to understand the thought process from a slightly -- of the management on a slightly different. Sir, Nutralite the presence in dairy, cheese across product lines. So here the elephant in the room is Amul and doing reasonably and very strongly across it, so do we believe that at some point -- and when we look at this segment, the capital which we deploy in terms of resources, bandwidth, monetary and otherwise.

Do we believe that there is a case at some point in time to look at Nutralite differently and look at -- because the competition also remains very strong, and there's a very big elephant who's doing phenomenally well in this category, and it is becoming difficult. And then there is a pricing pressure also which keeps coming every few quarters, if not longer. Sir, any thought on that side, sir?

Tarun Arora: So Nutralite brand has built some of the segments or categories that it existing, so namely the fat spread. It's an extremely efficient business. It has -- it needs a certain kind of management because the consumer or the customers involved are price sensitive. But I think we have demonstrated that we have made the so-called big elephants to dance for what actions we have taken in the past. So I think we know reasonably well how to do it. The opportunity is much bigger, and we are reasonably efficient on it.

So today, I don't see the reason for us to reconsider our position. But at some point, in time where we feel that it is taking more than what it adds, we will obviously relook at it.

Moderator: As there are no further questions, I would now hand the conference over to the management for its closing comments.

Tarun Arora: Thank you, everyone, and we'll see you next quarter.

Moderator: Thanks, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Zydus Wellness Limited

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CIN: L15201GJ1994PLC023490

February 10, 2025

Listing Department Code: 531 335

BSE LIMITED

P. J. Towers, Dalal Street,

Mumbai-400 001

Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

Bandra (E),

Mumbai-400 051

Re: Transcript of the Earnings Conference call held on February 4, 2025

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa)(iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q3 FY2025 Earnings Conference call held at 5:30 p.m. (IST) on Tuesday, February 4, 2025.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY

Encl.: As above

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"Zydus Wellness Limited

Q3 FY '25 Earnings Conference Call"

February 04, 2025

MANAGEMENT : MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER AND
WHOLE-TIME DIRECTOR – ZYDUS WELLNESS
LIMITED

M R. UMESH PARIKH – CHIEF FINANCIAL OFFICER –
ZYDUS WELLNESS LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Zydus Wellness Q3 FY '25 Results Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

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I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities Limited. Thank you, and over to you, sir.

Karan Bhuwania: Thank you. It's our pleasure at I-Sec to host Q3 FY '25 Earnings Conference Call of Zydus Wellness. From the management, we have Mr. Tarun Arora, CEO and Whole-Time Director; we have Mr. Umesh Parikh, CFO. I would now hand over the call to management for their opening remarks, post which we can open it for Q&A. Thank you. Over to you, sir.

Tarun Arora: Thank you, Karan. Good evening, and welcome to the post-results teleconference of Zydus Wellness Limited for quarter 3 financial year 2024-25. We have with me Mr. Umesh Parikh, CFO, on the call.

During the quarter, amidst muted demand in the FMCG industry, we have observed green shoots of growth in some of the categories. While rural consumption continued to expand steadily, the urban demand remains sluggish. Notably, small unit packs are growing at a faster pace, while the trend towards premiumization remains strong. Inflationary pressures are impacting consumption patterns and driving input costs higher. However, these challenges were managed through operational efficiencies, strategic sourcing and calibrated price adjustments.

Meanwhile, organized trade continues to surpass expectations with both e-commerce and modern trade channels experiencing sustained upward momentum.

During the quarter, company successfully completed the acquisition of 100% equity share capital of Naturell (India) Private Limited. As a result, the financial results include about one month's performance of the Naturell business.

As a result, the company recorded a consolidated net sales growth of 12.7% with volume growth of 4.8% year-on-year. Since the acquisition concluded in the later part of the quarter, a few weeks of business contributed low single-digit share of top line and operated at breakeven EBITDA level.

The Personal Care segment witnessed strong consumer demand, achieving a remarkable double-digit growth of 50.3% for the quarter and continuing its upward trajectory over the last few quarters.

At the same time, Food & Nutrition segment recorded a growth of 8.8% for the quarter.

Leveraging on company's strong research and development capability, a few more product launches and extensions were introduced this quarter.

■ Nutralite DoodhShakti professional range expanded into processed cheese category.

■ Naturell business introduced a choco-filled fiber bar, melting chocolate, along with 2 variants under the fruit-filled bar range, Blueberry Blast and Berry Delight as well as protein bar bytes.

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Despite inflationary pressure, gross margin has held steady with a slight upward trajectory in both sequential and year-on-year basis. This stability is driven by effective hedging strategies of favourable product mix and well calibrated price adjustments.

Here are some highlights of the consolidated financial performance of quarter 3 financial year 2024-25.

■ Our net sales grew by 12.7% to INR 4,508 million.

■ EBITDA grew by 16.5% year-on-year to INR148 million. Net profit after tax surged to INR 64 million.

With that, let me share some of the highlights of the operations for the quarter gone by, which will also cover category growth and market share numbers as per MAT December 2024 report of Nielsen and IQVIA.

On the Personal Care front, Everyuth continues to outgrow the category growth, maintaining a strong and consistent performance. Recently launched Everyuth Pink Clay and charcoal infused antipollution range has received a good response in the market. Face scrub category has grown by 18.8% at MAT level. Everyuth scrub has maintained its leadership position with 47.3% market share in the facial scrub category, marking a remarkable increase of 418 basis points over the sa

me period last year. The peel off category has grown by 29% at MAT level. Everyuth peel off maintains -- remains the market leader with a 77.8% market share, reflecting a 106.7 basis points increase over the same period last year. Everyuth brand holds the fifth position in the overall facial cleaning segment with a 7.2% market share.

Nycil surpassed category growth, delivering strong and consistent performance. The Prickly Heat Powder category has grown by 20.3% at MAT level. Nycil has maintained its number one position with a market share of 33.9%. On the Glucon-D front, Glucon-D maintained its leadership in glucose powder category with a 58.9% market share at MAT level. The glucose powder category has grown by 18.7% at MAT level.

On the Complan front, the nutrition category shows a sign of revival across key metrics. The category has grown by 0.9% and Complan holds up 4.1% as a market share at MAT level. Sugar Free brand continues to maintain its dominant position, holding a commanding 95.4% market share in the sugar substitute category, which has grown by 6.3% at MAT level. Sugar Free Green is experiencing a strong double-digit growth driven by increasing volume uptake. In quarter 2 of financial year 2025 company extended Sugar Free Delight cookies offering in the domestic market, which has received favorable feedback and contribute to build on it.

On the Nutralite front, the brand launched AI-powered recipe platform to tap into digital food market, offering unlimited recipes at a touch of a button through various methods, such as uploading a photo to get a recipe or sending a message with a dish name to a Whatsapp number. Nutralite brand continues its upward trajectory this quarter, driven by well-planned digital and on-ground activations.

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On the Naturell business, engaged in the business of manufacturing, research and development, marketing and selling of nutrition bars, cookies, chips and other food products under the brand Right Bite and Right Bite Max Protein. This business continued to support the brand through digital media, e-commerce activation and consumer engagement at marathons and other events. Looking ahead, we are confident in our strategy to drive sustainable long-term growth on the back of innovation and staying in tune with changing consumer preferences. We expect that the demand setback, especially in urban areas is temporary in nature and anticipate a revival in the coming quarters. Additionally, supportive measures in budget 2025 are expected to boost the user sentiment and drive upward consumption trends.

Thank you, and we will now begin the Q&A session. Over to the coordinator.

Moderator: Thank you very much. First question is from the line of Madhur Rathii from Counter Cyclical Investments. Please go ahead.

Madhur Rathii: Sir, I wanted to understand, sir, what would be the margin differential? Or how -- what percentage would be the margin lower for smaller packs, which has grown at a faster rate?

Tarun Arora: Typically, it varies from category to category. Some of the categories actually see a very similar margin, some have a tendency to be lower because it's a low unit price tag, so some of the categories will work. So, on an average, we are able to balance between -- across the portfolio.

Madhur Rathii: Okay. And sir, what percentage of our revenue would come from smaller packs, if I consider YTD FY '25?

Tarun Arora: It's small. We don't share those specifics, but it's building up much faster. In some of the categories like Personal Care, we've seen a very smart uptick of that, which is driven by, like I mentioned, small packs being low unit price, but also consumer behaviour, which is shifting to onetime use packs for freshness and experience. So, here, the share of the smaller packs is much higher than other categories.

Madhur Rathii: Sir, when would we come to come to pay 21% tax

es? When will the tax rate shift to that?

Umesh Parikh: Yes, from FY '27.

Madhur Rathii: Okay. Got it. And sir, you've guided that our margins should improve to 17%, 18% with some gross margin improvement as well as operating leverage. So, we have already seen some improvement in our gross margin. I realize -- when do you expect this to improve from 15% to 17%, 18%? And what kind of operating leverage would Zydus require. So right now, we are growing at mid-20. So, does it need to grow at mid-20 to improve the margin?

Tarun Arora: So, I think you've got it right. We continue to focus on 2 drivers of our journey to a 17%, 18% EBITDA margins with the mix of gross margin and operating leverage. We are already seeing, like you mentioned, gross margins moving up, and operating leverage is also moving up. Now the specifics will vary because it's also a function of the quarter-by-quarter what is happening in the environment.

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But if you see last 4 quarters, I think we've consisted -- actually more than 4 quarters, about 5 to 6 quarters, our gross margins are constantly going up. And we have also been very sharp in focus -- in cutting our operating costs.

The only place where we are investing more aggressively is that since '21 to '23, FY '21 to FY '23, we saw gross margin dilution and we had cut some advertising. So, we have invested part of the gross margins back into advertising, which will not necessarily continue to grow at that same pace.

So it will be a balancing effect where some of the gross margin improvements will -- and operating leverage will translate into this. But most other things, we are very conscious of balancing our cost structures as we move forward. So, in next, I think 6 to 8 quarters, we should see us touching a much higher level of EBITDA margins.

Madhur Rath: Okay. And sir, how is the Q4 -- this summer season which is starting right now, so how is that panning out?

Tarun Arora: So it's early days. We can't share any specifics, but we remain optimistic given our last 4 quarters of how our business performance is. We remain optimistic on our numbers, and we've been able to demonstrate also over the last few quarters.

Madhur Rath: Okay. Sir, the final question from my side. So, in FY '26, what would be our ballpark range of guidance? Where we see our revenue and margins going?

Tarun Arora: Double-digit growth. I think we remain double-digit growth on our top line and EBITDA growth to be in sync or faster than our top line growth.

Moderator: The next question is from the line of Anshan Jain from Integer Consultants Private Limited.

Anshan Jain: Actually I had two questions. So first one would be, can you give some insights on the sauce/condiment category like Heinz?

Tarun Arora: We don't sell Heinz. We do a third-party manufacturer for them, which is a very small portion of the business. So it's not something we can share. I mean we don't have anything. We don't -- it's not a part of our business.

Anshan Jain: Right. Any broad high-level sense on the size of margin or growth for this category?

Tarun Arora: No, we are not into -- that's not our business. Heinz ketchup is not our business. Sauces, condiments, that's not our business. I think...

Tarun Arora: We are just third-party manufacturer for them.

Tarun Arora: That is, which is continuing since the acquisition, which is a very small portion, not being meaningful for any number. We are just a third-party doing work for them, small.

Moderator: The next question is from the line of Kinjal Mota from Banyan Tree Advisors.

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Kinjal Mota: I have two questions. First question is on the acquisition that we have done of Ritebite. If you could give some flavour on what would be the sustainable margin that we see moving forward once it turns profitable?

Tarun Arora: So I think we can't say sp

ecifics, but what we can tell you is, prior to acquisition, we saw a 3% to 5% kind of margins, but with synergy and scale and our work with them, we obviously expect the margins to grow in -- to a much higher level. And we believe FY '26, we could have an EPS accretive on this business.

Kinjal Mota: Okay. And sir, second question is, given that our beauty and personal care segment, very good growth in the last couple of quarters. Given the market is really suffering a loss on that part, sir, if you could elaborate that what has driven this sort of growth? Is this the new products that have come in, on what has changed? Because Everyuth has been there for so long and scrub and peel off, we have always been the market leader and the good chunk of market share. So, what has led to this kind of growth?

Tarun Arora: So I'll just say that we have now reported segmental numbers on Personal Care for now 7 quarters, if I remember correctly. And you would see that we have consistently delivered a good double-digit growth. That has gone up further, specifically in recent quarters because we've been very consistent with our strategy on building the category, especially building around the spaces where we are market leaders both in Everyuth and Nycil.

Everyuth, particularly since you asked about it, scrub and peel off, we are the market leaders -- and significant market leaders, our task is to grow the categories. And that focus on category building is helping us not just expand the categories but also help us improve our share. So we are getting the benefit of both of them coming together, and that really is helping us size up the whole personal care space.

Moderator: The next question is from the line of Aiswrya Dave from ithought PMS.

Aiswrya Dave: So, I wanted to ask you about your revenue share from all your brands. If you could give me a breakup of all the revenue share coming from your brand, the segment share?

Tarun Arora: Unfortunately, we do not share brand wise revenue share.

Aiswrya Dave: Okay. So one question I had regarding Nutralite, I would love to know where are these markets, where Nutralite is being performing good, like which are Nutralite markets?

Tarun Arora: So there are two or three spaces where Nutralite is performing extremely well. One is the food service, where we are able to sell a lot of focus on both fat spreads. We're also building mayonnaise and now launching more products like cheese like that I mentioned in my conversation. The other space we are seeing a good traction is the CSD market where we are able to sell this well, especially Nutralite Sampriti. And these are the main markets. We are also seeing good traction now when the quick commerce is picking up the cold chain, we're seeing good traction there, though it's still very small, but we are seeing good traction on that as well.

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Aiswrya Dave: Okay. So it is mentioned that you have certain B2B like you sell to restaurants, if I'm right...

Tarun Arora: Yes. Food services, largely what is also called as HoReCa - Hotel restaurant catering. So it could be a small dhaba, sandwich guy, it could be a large 5-star hotel, could be a catering house, cloud kitchens, whole lot of them, all varieties. There are various segments within that food service that we cover.

Aiswrya Dave: Okay. So why I'm asking this is because since Zydus Nutralite brands is like the Nutralite is also from Gujarat, and Gujarat has Amul everywhere. Like if I see a small dhaba, there also I see people making food in a mode, for example. So I just wanted to know what kind of -- what is the different thing that we are doing to -- for distribution that we are doing good from other competitors? What is the different things?

Tarun Arora: I think this needs a little bit more conversation, but sufficient to say that if -- especially on a fat spread, if Amul launches a product away from

the dairy into their brand Delicious, they

obviously think we are doing something meaningful impacting their business. Otherwise, why would they move out of dairy and get into butter substitute with another brand. So that shows that we have a decent reach through our cold chain, which is Pan-India, and we are able to do a good job in terms of reaching out to food service channel.

Aiswrya Dave: Okay. Sir, one last question? Which -- is it doing really good in the South, West, North, East, where is it more?

Tarun Arora: Sells across India. We are a Pan-India distribution. We have more than 20 cold room servicing across the country, across states from Northeast to Kashmir to Gujarat to right down to Kerala.

Moderator: The next question is from the line of Madhur Rath from Counter Cyclical PMS.

Madhur Rath: Sir, I wanted to understand, when I look at our market share, in most of the categories that we are, we are number one player. Sir, so that would mean that it is good concession -- is difficult for us to protect our market share as well as difficult for us to grow. So sir, I wanted to understand how are we planning to either grow these segments or get market share from other players?

On complementary portion would be, sir, why are we not focusing on launching extension -- branch or extension products of these brands that we have rather than going and acquiring brands and turning it around? So these are my questions.

Tarun Arora: Mr. Rath, I think you had mentioned your question, but could you -- if you could -- because we lost you in between when you were saying that why are we not launching extensions...

Madhur Rath: I wanted to understand like in most of our brands, either we are a market leader or we have a majority of market share. So that would mean that it's difficult for us to grow this because the market is growing at a certain amount of pace to grow at a faster pace as well as to protect our market share. Sir, I wanted to understand how are you protecting this or what are the strategies that we are following? And the second thing was our rather than going and acquiring the brands with lower margin and then turning it around, why are we not launching extension brands?

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Tarun Arora: So thanks for asking this question. You're right, and that's a good observation because if you look at it, most of our brands with an exception of one is actually a market leader. And we have -- most of the brands are market leaders. So therefore, you will see that all our conversations are focused on category growth and category development rather than just market shares. A good

example will be on, say, Glucon-D, where I'm focusing on how do I grow the category, which is about INR1,100 crores to INR1,500 crores rather than worry about a 1% market share gain because, for us, that's a bigger opportunity.

We have been able to demonstrate, and just now somebody was asking us about what is driving Personal Care. Over the last 7, 8 years, we have demonstrated since we focused on scrubs, peel-off where we are a significant market player where we've grown the segments and also strengthened our shares. So our focus remains on priority one, to grow the segments we play because we do believe that penetration levels are still much lower than what the opportunity is, and therefore, expand through increasing penetration and also drive consumption.

Having said this, the second opportunity obviously does exist in terms of extending our brands into spaces which are adjacent to us. A good example, let me take you through is Nutralite. Now Nutralite till 5 to 8 years back was only a fat spread brand, which was basically a butter substitute. Over the years, we've been able to extend it into other spreads like mayonnaise, chocolate spread, we've also been able to extend it into daily range where we have Ghee, we have butter and we are also launching c

heese.

So clearly, the brand has got into a much wider presence and much larger scale. Having said this, there are opportunities where we are not able to extend everything. So acquisition comes, like we have explained even in earlier calls, more from a point of view as a bolt-ons where we believe there are gaps which the external opportunities can fill much faster than we'll be able to extend.

But be assured that we are quite focused on growing the categories and segments, and therefore, our investment is largely focused on category development, followed by extending -- making our brands much larger so leverage our brand presence, which is much larger than the category that we already operate in.

A good and other example will be Sugar Free extending into chocolates and cookies, which is what we are doing. And within the Sugar Free portfolio, the sugar substitutes, we also launched Stevia and building that segment. So a lot of our work goes around this. And acquisition is clearly a bolt-on gap filling. And there also, we are very focused on being, should I say, financially prudent where we see an opportunity of bottom-line expansion is where we are looking at.

Madhur Rath: Sir, just a follow-up question. What I understand was like launching extension brands, what we are doing in Nutralite but sir, the market is already -- there are a lot of competitors in either chocolate spread or mayonnaise. But when we think about the sugar free cookies maybe there are not. So how do we decide on this extension brands to follow? Yes. So that will be my last question.

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Tarun Arora: Largely, we look at differentiation, what do we bring to the table? If we are launching a new extension, how will we differentiate in an already crowded market. I don't think we can shy away from the fact that market is going to be crowded. So I can't shy away from that. So if I have a differentiation, I am new to the market, I will do it.

A good example is while we are doing a lot of extensions, we realized, we could launch a blended sugar. And that's what we have right now. And like we had launched this SugarLite, it got into some trademark issues, which will resolve at a period of time, but we launched I'm lite, which is a completely new space, no player, and we are doing category building there as well. But existing spaces like cookies and chocolates, I think there are very few sugar -- I mean, low calorie players. And we believe there is -- by replacing sugar with sugar-free, we are able to bring some differentiation. And finally, we have to deliver on the category codes of taste and experience. So we clearly look at extendable -- what is extendable within our portfolio, and how do we bring differentiation.

Madhur Rath: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Jay Modi from EML. Please go ahead.

Jay Modi: I had a question around Foods business. So while we've been growing really well in our other portfolio, how do you look at growth in the Food and Nutrition segment? Because, see, if you were to consider the lower base of Q2 and Q3, the growth would be around 3% or 4%. So how are we looking to address the growth for this segment?

Tarun Arora: No, you're talking about how you are calculating lower growth?

Jay Modi: No, no. So basically, my question is that if I were to adjust for the lower base in Food and Nutrition, right, Q2 of last year had a decline of 1% and Q3 a decline of 5%. On that base, we've grown at around 10% and 9%, respectively for Q2, Q3, right? So if you were to adjust for lower base, the growth would be around 4%, 5% for this segment. So I just wanted to understand your

views on this segment and the growth that we should look forward to?

Tarun Arora: So there are 2 or 3 factors when we look at Food & Nutrition. I think one of the factors that really impacts us on the growth from

a Food & Nutrition part is that, we have a low growth sizable brand, which is basically the nutrition drink, Complan, which impacts our mix. Now we have launched some various initiatives that's building up, but that's a larger category issue, which we are tackling and building on. So that's one thing that impacts us. And I think having said that, we have few things which do very well. For example, Glucon-D becomes a very small portion of this business and a lower growth sizable brand. So therefore, there is, I think, I don't have to look at in isolation in one quarter. But, at an overall level, if you look at moving averages, I think it's improving and moving faster. But obviously, there are opportunities for us to do -- to keep working at it in Food & Nutrition. And since it's a large -- it's a sizable portion of our business, we do aspire to improve our growth.

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It is also something which has got impacted by the consumption because of the inflationary impact on this category where the consumption has got impacted. So we hope that we will bid further on it as we move forward.

Jay Modi: Okay. And also, sir, the inflation for this, so for HFD category, the input costs have been fairly stable for past two quarters. So have we seen any improvement in demand with stability of prices?

Tarun Arora: So yes, it's a still -- if I look at a moving average thing, it's still a low -- very low single digit is what Nielsen is reporting as I mentioned earlier, and therefore, yes, we've seen improvement in the category growth, but they are still very small. And at MAT level, Nielsen is still reporting a 1% kind of growth, 0.9% as I mentioned in my conversation earlier. So we're seeing improvement.

What I'm seeing improvement actually is better traction on organized channel and which is working for us. So if I look at e-commerce, we are seeing a good traction. We are seeing a good traction in non-trade as well. In the general trade, we are finding that the low-price packs are driving much faster, which we are a little bit held back in our effort on because we are also conscious of a profitable mix of our portfolio

Jay Modi: Okay. Understood. And sir, I know it is early days, but any read-through for protein chips and cookies that we've launched? How has the demand been acceptance...?

Tarun Arora: So we are quite -- should I say, positive and optimistic on this category. There are good tailwinds given the fact that we are operating in the protein range and Max Protein as a brand fits in very well for it. So we remain optimistic and bullish about the prospects of it. We've now had it for a couple of months, and we're seeing a good build-up. We'll have the full quarter results at the end of this -- once we report our Jan -- our quarter 4 Jan, March results, and we'll be able to share more color to this.

Jay Modi: Got it. And sir, a last bookkeeping question. Have you recorded any consultant expense for the quarter and 9 months? And if so, could you give the numbers, if possible?

Umesh Parikh: Yes. So we have recorded consultant expense, but we won't be able to share that number specific engagement confidentiality. But...

Tarun Arora: But we've recorded those numbers.

Moderator: The next question is from the line of Akshay Krishnan from ICICI Securities Limited.

Akshay Krishnan: So FY '25 indeed, it's been a great quarter-on-quarter with double-digit growth. But given the current macroeconomic condition, how do you see the company plan to maintain or sustain the growth momentum in the coming quarters? And second thing is, is there any specific market or a segment that we are targeting on to see expansion opportunities to contribute meaningfully to the growth lever down the line?

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Tarun Arora: So we do believe that current momentum on growth will continue. And our be

lief is because if

we look at last to 6 to 7 quarters, I think Personal Care has shown a consistent growth. So across both the brands, Personal Care has shown a consistent growth. Glucon-D also over the last 3 to 4 years, if I see I can tell you that it's a double-digit growth. So it's a function of season, but in

the short term, that impacts, but over 2 to 3 years, there is no concern about growth. Nutralite also continues to move forward in the right direction. We had challenges in FY '24, largely in the early part of FY '24, which is related to Sweeteners, both from WHO and some trademark issues, which have got reversed and which have been addressed by us, and we've seen a positive momentum back on the brand on the portfolio of sweeteners between Sugar Free, Sugar Free Delight and I'm lite.

And Complian also has seen at least a positive movement. It's not to my satisfaction, but yes, we have work to do. So, across our portfolio, we're seeing a good reason to believe that we will continue the momentum. Plus our acquisition also is showing good tailwind in terms of moving forward. So my belief is, our double-digit growth is something we can sustain over the next few quarters and build further on it.

Akshay Krishnan: Perfect. Perfect. Sir, on the margin side, so we've been sustaining our gross margin despite the commodity price inflation. Now are there any strategic pricing action that is on the pipeline?

And how are we mitigating the cost so that we maintain this margin level? Any strategic supply chain back-end integration that's coming into play? Or what is the efficiency improvement that's getting up so that you can ramp up your expectations of EBITDA margin reaching up to 17%? How is the play and action that's working around in this particular segment?

Tarun Arora: So as a company, I think we are quite focused on playing both back and front, the full value chain on this. Typically, being a leader and premium player across most of the segments that we operate, we are able to price up our products and drive the margins individually. Sometimes, the product mix can be not necessarily in our Favor. What we saw in between the years of '21, '23 range where -- they were -- I mean the whole commodities across the board went shot up, and it was no way we could escape that.

But otherwise, we are well equipped to hedge ourselves when some commodities go up. It could be through a mix of buying forwards wherever we see opportunity, do a replacement opportunity, various things that we are doing in terms of formulations, buying forward and pricing up to ensure that our gross margins are protected. So FY '21, '23 was really a tough time across the board for the industry. But as Zydus Wellness being the market leader, we have a decent pricing power across our portfolio.

So we are -- we remain focused that we have to keep moving up our gross margins as a part of strategy to build up.

Akshay Krishnan: But is there any pricing that's coming into play in the coming quarters?

Tarun Arora: Yes. So there would be a price increase across multiple products wherever we are seeing the costs going up, largely commodity-led products, we are taking whatever required price

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increases. Even the last quarter, if you see, our volumes are 4.8% versus 12.7% overall sales growth -- revenue growth. So clearly, there is a price space that we work on.

Akshay Krishnan: Okay. One final on the e-com or the quick commerce channel, that's becoming a very important space, especially for all the FMCG brands. And you did allude that it's a strong growth area that you'll have to focus on. So what is the total revenue that the digital channel is actually contributing to our company as a whole? And second thing is, how are we leveraging the digital transformation through AI or data analytics so that you get some consumer insights, which will help you in improving yo

ur distribution efficiency as a whole?

Tarun Arora: So Digital, AI and data, I think we use at multiple levels. So first of all, from the online business perspective, about 10% to 11% of our revenue comes from selling in online platforms. And that's been growing at a much faster pace than the rest of the business, and we are quite conscious of the fact that since the consumers are shifting to this, we should be ahead of the curve. And typically, we find most of our market shares higher in these channels, and therefore, we are embracing it very fast.

But we don't stop here because if you have to win in the online marketplace, we must engage with our consumers in various formats. So the share of digital marketing, online marketing as an overall investment has gone up significantly over the last couple of years. And even the TV channels are struggling today and we find a lot of shift happening to online marketing. Having said this, we are using AI in various forms. One such example is where we've launched Nutralite Chef, where consumers can engage any idea, any food product they want, they have a picture, they have an idea, ingredient, anything, we are able to recommend them recipes of what to do. And simultaneously also support with some Nutralite product in that recipe.

Having said this, we're also using AI -- not AI, but digital data and analytics on recommendation engine for our salesmen at the last mile. So almost 1,500, 1,600 of our salesmen at the last mile who service more than 6 lakh outlets, they work on handles, which are -- where they pickup

orders. Now there is a recommendation engine based on data and analytics which suggests them what they could sell more in this shop given a certain profile of outlets.

So we're using our data analytics engine to build on that as well. So we're using data analytics, AI, all those things as we build forward. We are also building a strong back end in terms of dashboards, which is, again, will rely on a lot of digital data that we are pulling together. So as an organization, we are focused and we believe decision-making business will shift a lot more to data and digital world, and we are well equipped to be ready for the future for that.

Moderator: The next question is from the line of Viren Deshpande from Alphapeak Investments.

Viren Deshpande: Okay. Congratulations for good results. I would like to know what will be our effective tax rate for the year because if you take in this quarter because of a comparatively lower profit, our tax rate has gone up to 35%-odd, but what will be the effective tax rate for the entire year, '24, '25?

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Umesh Parikh: So yes, it all depends on the amount of EBITDA and profit that they're going to generate, the profit before tax. But certainly for 3 quarters, you would have noticed that we have recorded deferred tax liability in the range of about INR3.5 crores to INR4 crores, right? So that's the deferred tax liability and that is the reversal of the earlier gains that we have accrued in the books of account. So that the reversal of deferred tax asset, which is happening now. And about INR3.5 crores to INR4 crores, you can assume as a deferred tax liability getting recorded in the Q4 as well.

Viren Deshpande: Because in 9 months...

Umesh Parikh: It's a non-cash item.

Tarun Arora: It's a not non-cash item. So we don't really pay it around deferred tax.

Viren Deshpande: No. That is true. But in the 9 months, if we see the tax, it is only INR10.5 crores, if you take the net of deferred. So INR10 crores on...

Umesh Parikh: Whatever has been accrued so far, which you are seeing INR10 crores, what I'm saying is that we are going to accrue more about INR3.5 crores to INR4 crores in next quarter.

Viren Deshpande: So our effective tax rate will continue to remain low for the last quarter?

Umesh Parikh: It will depends because the quarter 4 is very heavy

in terms of the sales and EBITDA and profit

before tax. So the effective tax rate will come down significantly. Amount-wise, it will remain the same, about INR3.5 crores to INR4 crores, but the effective tax rate will come down.

Viren Deshpande: Naturally because of the higher profit before tax. Normally our Q4 and Q1 are the -- constituting almost 85% to 90% of the total profits of the year?

Umesh Parikh: Yes.

Tarun Arora: Yes.

Viren Deshpande: And they will continue to be there. The -- is there any way we can even it out with some product line, which can be addressing that issue?

Tarun Arora: We would love to, but I think to change the structure of business takes a much longer time. We are keen, but we will see. It will take some time. But for now and next -- in short to medium term, I don't see that changing.

Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical Investments.

Madhur Rathi: Sir, do we sell our sweeteners to FMCG companies or pharma companies?

Tarun Arora: You tell us. We believe we are largely FMCG company, but...

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Madhur Rathi: Sir, so my question was regarding -- my question was regarding the company called Blue Jet Healthcare that does high-intensity sweeteners. So they earn very high margin. So my question was regarding that. Do we plan to sell this? Or are we selling them currently?

Tarun Arora: I don't understand.

Umesh Parikh: In fact, we serve every channel, including GT/MT e-commerce as well as we serve B2B as well, some part of a very small part, but we serve most of the channels.

Tarun Arora: Yes, we have food services. We have CSD. We have grocers, chemists, even cosmetic outlets, food outlets, all sorts of -- so we have -- actually our variety of outlets, the retail environments service is wider than many FMCGs typically, you'll find that because most FMCGs are very limited. Because of our diversity of portfolio, we have more FMCG than many others.

Madhur Rathi: Okay. And sir, what would be the B2B portion of our overall sales as well as modern trade and general trade?

Tarun Arora: So B2B, how would you define B2B? If you are saying food service -- if you're looking for food service, which is largely the HoReCa channel, that would be about 8% to 10% range.

Madhur Rath: Okay. And for the institutional kind of clients, that would be additional or...?

Umesh Parikh: Also about it is just not...

Tarun Arora: It's just not institutional clients. It is a lot of -- I mean, these are businesses, therefore, we're calling B2B, but there is also a distribution part to it. There are wholesalers, vendors who buy from us and sell to some of these institutions, some of the small outlets, dhabas, small bakeries, food stores, a lot of variety of spaces who are making food and use Nutralite as -- largely Nutralite as ingredients. And even large hotels and cloud kitchens also.

Madhur Rath: Sir, I'm trying to understand that between our general sales trade business, between modern trade, e-commerce and quick commerce which channel has the highest return on capital? Which is the lowest credit period and the highest margin? So if you could tell us in each of these segments, how does our profitability differ?

Tarun Arora: We -- that would not be possible for us to share. What I can tell you at a high level is that our general trade business and our food service business is serviced through distributors who are on same-day payment -- I mean, cash, and carry kind of a system. We don't have any significant credit on a routine involved. The e-commerce and non-trade business, since we deal directly with the banners, large organizations.

We have a credit system, which is standard to any terms of trade that we would have, whether it's Reliance, Amazon, Flipkart. We deal directly with them or through the sellers. So there is a standard thing. So those are things, but beyond that, return

on investment and margin profile, I think we'll not be able to share...

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Madhur Rath: So sir, I'm not asking a specific number. If you could just tell us that whether the profitability overall that the company enjoys with each of these channels, sir, for example, if the profitability is highest in general trade than sir the mix is shifting towards e-com and modern trade. So that means that over the long period, the profitability is expected to decline. So that's what I'm trying to understand.

Tarun Arora: So all I can explain you is cost to serve are fairly comparable because general trade also, while may have supposedly higher profitability, but there is a cost to serve because there's a large number of people involved to serve it while e-commerce has fewer. So it's also a how we manage it, but cost to serve are reasonably similar across channels as we find.

Umesh Parikh: And in the evolved channel like e-commerce, we also tried to sell the big, big packs with a higher profit. We balance the profitability.

Tarun Arora: So we largely are cost-to-serve level. We are -- with the profitability we are quite balanced across.

Madhur Rath: So sir, is it fair to assume that going forward, as the proportion of e-comm and modern trade increases, the working capital intensity of the business will increase, though the margins might not get impacted by that?

Tarun Arora: Yes. Yes.

Umesh Parikh: Yes, that's how we see it. That's right.

Tarun Arora: That's right. That's how what we are dealing with.

Madhur Rath: Sir, but on the other hand, in the general trade, I think we are more and more -- we are doing direct selling to the retailer and setting out the distributors. So will that not balance out the working capital increase on the e-comm and modern trade side?

Tarun Arora: So I think the market is shifting towards organized trade in the urban India, while we are expanding our general trade. And we are continuing to work with distributors. So I mean, we'll have to see how the market moves, but we are responding to the consumer purchase behaviours, and we see that the shift towards organized trade to be a secular trend and that will continue to move at least in medium term.

Moderator: The next question is from the line of Lokesh Gusain from BOB Capital.

Lokesh Gusain: So my question is around growth margins percentage. Just a follow-up on that on how you have been able to offset the inflation to maintain improved gross margins? So you mentioned buying forward replacement opportunity, formulation and pricing as the key drivers. Are you able to -- I understand the breakup won't be possible, but are you at least able to rank them in the order of which ones have helped you the most and which ones down the rank?

Tarun Arora: So I think one of the important thing is when the costs go up, we look to increase the pricing. So that remains the number 1 lever for us more often than not only in the categories where we are

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not able to be the price driver or there is a significant problem in the market, which seldom happens, but sometimes it does happen, we usually drive the pricing as the first lever. We also look at what we can do from a sourcing point of view if there are opportunities or reformulation part. But reformulation is a very long-run process. So unless there is a fundamental issue, we don't go back to changing structural issues. But largely, it's led by pricing. Of course, there is a product mix issue. There is a cost measures in terms of our actions. They also follow through.

Lokesh Gusain: And in terms of cost efficiency, do you have a certain -- like some FMCG companies have a certain annual run rate at some quoted as 2% of sales. They take out 2% of sales equivalent of cost every year from their operations. Is that -- do you also have a similar internal target

on...?

Tarun Arora: Yes. We have a fairly stiff taken by manufacturing and supply chain teams, both procurement and manufacturing teams who work on cost efficiency and improving costs on a regular basis. In fact, we've -- Zydus Wellness does it consistently, but Zydus Group also has a very strong program, which we work with them, and we've been constantly been able to build our capability around that. So these targets are taken by the teams on a consistent basis.

Lokesh Gusain: So is there like a standard thing that you follow like some companies follow 6% of sales, some follow 2% of sales on an annual basis to take the cost out, just so they have some lever against inflation as and when it comes? Or they can use that efficiency to kind of get more volume share.

So just trying to understand if you have a similar target and what it is, if you can share that?

Tarun Arora: We -- I cannot share a specific target, but I can tell you that there is, every year, we plan a certain numbers to come through, better efficiency, better cost takeouts, which work across various levers, which could be in terms of vendor negotiation, vendor develop -- new vendor development.

Various -- I mean these are standard things that most procurement teams will do. There is yield improvement. There are so many other factors that we do, which work on -- which contribute to this. So there is a clear targets taken by the team, which are gone into several level of details and do not work at just high level of saying 3%, 5%. If the opportunity is 8%, why would I do a fixed 5%.

So I would look at every year as a part of the process. We go into depth of what are the opportunities, identify and work through a plan. Some are aspirational targets also taken sometimes because I think that we don't have a visibility, but the business needs it, we do that as well. But we don't have just a fixed number and just deliver on that, but look at opportunities specific to each space that we work on.

Lokesh Gusain: That's very clear. So just one more follow-up. You mentioned you're using buying forward, like you're buying your raw materials in advance. So is there a company-level policy like how much in advance do you buy?

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Tarun Arora: Category to category. For example, when we buy palm oil, Malaysian palm oil would share the forward numbers for several quarters. Now if the procurement team with some advice does feel forward, we will do it. And that too also the seller should be available. It's not just palm board because we buy refined palm oil. We do some cover.

So it's specific to categories that we have commodities we are buying. We -- there have been opportunities in the past where we said the price was right. We have covered for a full year also, not on this specific, but other categories. So it's opportunity and understanding led. But we are - - we do have product-wise policies of what we would cover and what we would not, which is based on our learning and experience and some advice that we get from expert groups.

Lokesh Gusain: Understood. So just one more clarification. So when you're buying your raw materials, is that sourced from the local like the Indian vendors or you directly buy it from overseas, for example, palm oil requirements?

Tarun Arora: So I think our -- we are clear that we are sizable. Wherever required, we work with our global vendors also. But like you mentioned, palm, no -- there's no point buying from international vendors because we buy refined palm oil. International vendors will be selling crude. So refined has to be bought locally.

So I mean, these are things which matter step -- product to product, and therefore, we try to buy from the best sources available, which have a strong capability. And whenever global is required, we are able to work with the global partners as well.

Moderator: The next question is from the line of Mayu

r from Wealth Managers.

Mayur: So sir, just two questions. One is on the margin side. And if you have given some answer on that, sorry for repeating it. Just to get some clarification again. When you look at the margin performance over September and December quarter related to the September and December of previous year. So we understand that is good seasonality. We understand it is a weaker quarter? So keeping that in mind this question, so it's not that we don't understand. We understand the seasonality for both these 2 quarters as weak. The margin improvement has been largely flattish and the year to date, which is a 9-month performance, margin improvement of more than 200 basis points has largely come in the June quarter, which was a -- which is normally a very strong quarter for us.

And March is also a very strong quarter for us. So what I just wanted to understand is the fact that the margin performance in September and December is lower despite we are comparing year-on-year is only because of the lower seasonality and product mix issues and this should -- the improvement should come back in the March quarter, again in June quarter?

Or there is -- the large part of that improvement is now behind us as far as the whole year is concerned, and we are heading into -- the low-hanging fruits are behind us, and we may be heading into some kind of margin stability as we go ahead, sir?

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Tarun Arora: So let me ask you -- are you talking about operating margins or gross margins?

Mayur: Sir, while the focus is on the EBITDA margin, but if there is a lever on the gross margin also, you can -- because gross margins have been improving, and now they are getting stabilized. So maybe if you can along combine that to the gross margin, it will be okay. But the primary question is largely about profit?

Tarun Arora: So let me answer at 3 levels, gross margin, EBITDA margin and net profit. So first of all, if you look at it, almost for 6, 7 quarters, except for last quarter, which is flattish, we have constantly improved our gross margins like-for-like over previous year. So gross margins, we've been very, very focused on driving it back to the levels.

And I think October, December numbers would reasonably matched October, December '21 kind of level. So we've been able to recover back what we lost between FY '21 and '23. So our focus remains on improving our gross margins because that's the first port of call in terms of improving our profitability, and we are, as an organization, quite focused on driving that inflationary challenges.

So it's a journey which will continue. We believe there is some more margins to pull out if there is a stable inflation, we could manage to build further on this. But we'll have to see how much our actions play out versus the environment.

Now looking at EBITDA margins, I think you will find that last 2 quarters, our EBITDA growth is faster than our top line growth. So there is a small movement consistently up on our EBITDA margins versus the earlier year. Yes, one would like to see more, but like you also mentioned, it's a small quarter so you can't really show a significant shift, but our EBITDA growth has been faster and leading to a small improvement on EBITDA margins as well.

Net profit is a different piece altogether because it's a function of 2 or 3 non-operating variables coming into the piece, which is largely impacted by tax. And that impact, whatever is happening, is because we have a deferred tax liability, which plays out. But otherwise, from an operating piece, we are quite focused at our margins -- operating margins will continue to improve.

So beyond EBITDA, in fact, because our -- largely the debt has also come down over the coming years. So we believe our -- we'll keep getting better at it, and therefore, you should see some further improvement. And depreciation is...

Mayur: Th

e point was the fact that March and June is a good quarter, the improvement which we have seen in the past, last March and June should broadly continue because we will get the benefit of seasonal mix and operating. It's not that the -- all the low-hanging fruits are behind and we may see stagnation of the improvement?

Tarun Arora: No. We do believe that there is still scope for us to continue. We believe our journey is still not completed where we have stabilized. It's still going to go up.

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Mayur: Right. Sir, one more question is in a slightly different direction. I understand -- we understand for so many years in markets that what market does is not in the hands of the -- in terms of the investor returns is not in the hands of the management fully, but just to give a broad point, and I'm sure you will also be sensitive to it.

And if you can add some understanding for long-term investors. We have seen last 5 to 4, 5 years have been -- investor returns from our side has been lower. And yes, there have been reasons we understand, there's no --

But the point I was trying to understand is from twofold. One is just when we have started to improve the performance, the overall market sentiments are down. So that much more pull we will require in terms of our execution, because the past 5 years has been many years low for us in terms of investor wealth creation and significantly lower compared to even in many other? So that is on one side, do we believe that we will be able to recover this and the pull will be -- which is required and expected will be there? And secondly, a slightly more specific question, Shakti has been now the private equity kind of I don't know too much about it, but they have been on the selling side?

And given the large stake which we had, there's a continuous selling pressure, which from Shakti, which has been there. So just -- we are not trying to understand that strategy and not -- given the large holdings, is there any kind of understanding that by when this is expected to complete and what -- any directionally -- anything which you have, any color?

Because I'm sure, given that stake of holdings, there will be some understanding which directionally, nothing specific on strategy and company, but just directionally, how does it play out?

Tarun Arora: Sure. Let me answer the first question. I think you've rightly said management has that much limited degrees of freedom. If I look at trailing 12 months numbers for us, from a top line point of view and not just last 1 year, but even a 3-year, we've been growing -- top line has been growing much faster than most of the other peers that you could bunch up as a group.

We do believe that our -- the expectation from the management is to improve performance, and therefore, we are quite focused on driving growth ahead of the industry. So we are -- I would look at it not just 1 year, trailing 12 months, but even a 3 year, if you look at it, our growth rates have done reasonably well. 23' was a hard year because of seasonality, but 1 and 3, if you look at it, we are reasonably sorted.

Secondly, having said that, within that, profitability, the journey, which we've seen 5, 6 quarters, we hope that we will continue. So we appreciate your point of view, and we believe that as a management, we -- the expectation from our critical stakeholders, the shareholders, specifically, is to have a better performance, and we are quite focused on that. And that, at least from our execution and our intent, you will see those things playing out where results will start to speak for themselves.

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Having said this, moving on to your second question, I think True North is a large investor who came on board at the time of acquisition. They have run the full cycle from their fund point of view. We're not specific

privy to their plans. So they will take the call when they have to.

So I'm here, the selling pressure, but I also hear some investors also talking about liquidity of our shares. So I can only say that you will have to reach out to them to understand. But beyond that, we would not be privy to any of those things.

Moderator: Thank you. As that was the last question for the day. I now hand the conference over to the management for closing comments. Over to you, sir.

Tarun Arora: Thank you very much. We've had a good run over the last few quarters. With the government also showing signs of taking -- supporting consumption, there is a movement on rural. We also believe that our actions are in place. We are hopeful that we'll continue this double-digit journey and execute well on our existing brands as well as new product portfolio. So look forward to talking to you again after this quarter and the full year performance. Thank you. All the best and take care.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

May 23, 2025

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P. J. Towers, Dalal Street,
Mumbai-400 001

Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400 051

Re: Transcript of the Earnings Conference call held on May 19, 2025

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa)(iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q4 FY2025 Earnings Conference call held at 5:00 p.m. (IST) on Monday, May 19, 2025.

Please find the same in order.

Thanking you,

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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"Zydus Wellness Limited Q4 FY-25 Earnings
Conference Call"

May 19, 2025

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN , ZYDUS WELLNESS
LIMITED

MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE TIME DIRECTOR, ZYDUS WELLNESS LIMITED
MR. GANESH NAYAK – DIRECTOR, ZYDUS WELLNESS
LIMITED

MR. UMESH PARIKH – CHIEF FINANCIAL OFFICER,
ZYDUS WELLNESS LIMITED
MODERATORS : MR. DHIRAJ MISTRY – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Zydus Wellness Limited, hosted by ICICI Securities Limited.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhiraj Mistry from ICICI Securities. Thank you, and over to you, sir.

Dhiraj Mistry: Thank you, and good evening to everyone. I would like to thank the Management of Zydus Wellness to give this opportunity to host this call.

We have with us Dr. Sharvil Patel – Chairman; Mr. Tarun Arora – CEO; Mr. Ganesh Nayak – Director; and Mr. Umesh Parikh – CFO.

I would like to hand over the call to the Management for their Opening Remarks. Thank you.

Tarun Arora: Thank you. Good evening, and welcome to the Post Results Teleconference of Zydus Wellness Limited for Quarter 4 Financial Year 2024-'25. Like mentioned earlier, I have with me Dr. Sharvil Patel – Chairman; Mr. Ganesh Nayak – Director; and Mr. Umesh Parikh – CFO on the call.

During the quarter, while the overall FMCG demand remained stable, several categories exhibited notable growth, reflecting positive consumer traction and evolving preferences. Consumption trend overview indicates that rural markets continue to outperform urban areas, buoyed by stronger consumer sentiment. This momentum is reflected in the robust growth of smaller unit packs, indicating increased accessibility in consumption at the grassroots levels. At the same time, the trend towards premiumization remains strong across geographies. Digital commerce continues its rapid expansion. Quick commerce is accelerating instant small basket purchases in metropolitan areas, while marketplaces are deepening their reach into smaller towns, supported by rising digital adoption and increasing appetite for premium offerings. On the macroeconomic front, easing food inflation is contributing to a decline in overall inflation, though volatility in edible oil prices and dextrose monohydrate remains a key concern.

The Company recorded its consolidated net sales growth of 17%, reaching INR 9,106 million rupees, accompanied by a volume growth of 13% on a year-on-year basis for the quarter. For the Financial Year 2025, the Company achieved growth of 16.2% with a volume growth of 12.4%, amounting to INR 26,912 million rupees, resulting in a healthy CAGR of about 10% in revenue from operations based on the FY '21 base.

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The Personal Care segment continued to demonstrate strong consumer traction, achieving notable double-digit growth of 22.5% for the quarter, along with 33.4% growth for Financial Year 2025. This sustained momentum highlights the segment's resilience and brand strength, giving a robust CAGR of 16.5% from our FY '21 base. Concurrently, the Food & Nutrition segment maintained its upward trajectory, registering a solid quarterly growth of 15.4%, along with 13% growth for Financial Year 2025, fueled by category expansion, product innovation, and strategic acquisitions. This translated into a consistent CAGR of about 8.5 % from FY '21 base, reinforcing segment's long-term growth potential.

Organized trade saliency continued to improve, reaching 23% for Financial Year 2025, of this e-commerce contributed 10% and non-trade contributed 13%. Quick commerce now accounts for 41% of total e-commerce, benefiting from a lower cost to serve compared to overall e-commerce.

As per MAT March 2025, Nielsen and Kantar Worldpanel household data reported that the overall FMCG market in India, both urban plus rural, grew by 9% in value, 6% in volume

, and

at an overall level saw a 3% increase in household penetration. While Zydus Wellness outperformed in all these parameters, primarily driven by rural markets where it was higher, while urban also contributed well on this platform.

Let me give you an example. The Overall you know the household penetration for Zydus Wellness grew almost 4x that of the market average, reflecting the strong brand equity,

expanding reach, and strong resonance across households.

We continue to drive innovation by leveraging Company's strong research and development capabilities. While a comprehensive list of launches and extensions for FY '25 is available on our website, this quarter saw Everyuth brand entering sheet mask category with the launch of 3 exciting variants, Golden Glow, anti-pollution, and Aloe Cucumber.

Gross margins have demonstrated stability with modest upward trend in a year-to-year comparison, despite ongoing inflationary challenges. The performance is a result of prudent strategic hedging, favorable product mix, and a calibrated pricing strategy. Consequently, we have seen consistent margin expansion to net sales across all quarters on a year-on-year basis, delivering 42 basis points in the quarter, 168 basis points for the year, and a total of 361 basis points over 2 years, financial year '24 and financial year '25. These results further strengthen our confidence in the effectiveness of our plans and actions.

On the EBITDA front, the Company delivered a growth of 17.1%, reaching INR 1,900 million rupees for the quarter, while net profit after tax increased 14.4% to INR 1,719 million rupees. For the Financial Year 2025, EBITDA grew by 23.2%, closing the year to INR 3,797 million rupees. And net profit, excluding exceptional item and one-time deferred tax assets rose by 30% to INR 3,410 million rupees.

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Additionally, reported net profit as a percentage of revenue from operations improved by 1.3% on a year-on-year basis. Earnings per share also registered a strong growth from INR 41.94 to INR 54.52 in Financial Year 2025.

We remain focused on consistently enhancing shareholder value. In line with this, the Board has recommended a final dividend of INR 6 rupees per equity share of face value INR 10, which is 60%, representing a 20% increase over the dividend declared in the previous financial year.

The Board has also recommended a stock split in the ratio of 1:5, reducing the face value of INR rupees 10:2 to improve share accessibility. Both proposals are subject to shareholder approval at the upcoming AGM.

The Company's cash conversion from operations at INR 3,800 rupees million to EBITDA of INR 3,797 million rupees reflects a strong realization of 100%, demonstrating its ability to effectively support growth initiatives, maintain financial flexibility and reinforce its commitment to disciplined capital allocation.

Alongside financial performance, the Company recognizes its responsibility towards environmental, social and governance factors. As a result, our recent ESG publication and S&P Global rating for FY '24 reflect a significant increase of 36.2%, reaching ESG score of 79.

Notably, we have secured 99 percentiles amongst 390 companies in our peer group with a 96% disclosure rate covering both required and additional disclosures.

With that, let me share some of the highlights of the operations for the year gone by, which will also cover category growth market share numbers as per MAT March 2025 report of Nielsen and IQVIA.

On the Personal Care front, Everyuth continues to outperform the category, delivering strong and consistent performance. The face scrub category grew by 20% at MAT level. Everyuth's Scrub maintained its leadership position with 48.5% market share, marking a remarkable increase of 321.4 basis points over the same period last year.

The Peel-off category grew by 24% at the MAT level. Everyuth Peel-o

ff remains the market

leader with 77.7% market share, reflecting a 6.1 basis point gain over the previous year. Everyuth brand holds the fifth position in the overall facial cleansing segment holding 7.7% market share.

Nycil outperformed category growth, continuing its strong and consistent performance. The prickly heat powder category grew by 21% at MAT level. Nycil has maintained its #1 position with a market share of 33.8%.

On the Glucon D front, Glucon D maintained its leadership in the glucose powder category with a market share of 58.8% at the MAT level. The glucose powder category grew by 19.7% at the MAT level, reflecting the continued consumer demand and regional relevance. The nutritional

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drink category has reported a decline of 2.1% at MAT level with a continued softness across key metrics. Brand currently holds a market share of 4.0% at the MAT level.

On the sweeteners' front, Sugar Free brand continues to maintain its dominant position, holding a commanding 95.9% market share in the sugar substitute category, which has grown by 6.7% at a MAT level. Sugar Free Green is delivering strong double-digit growth, fueled by rising consumer demand and increased volume uptake over the last several quarters.

During the year, Company extended Sugarfree D'Lite cookies through organized channels in the domestic market, receiving favorable consumer feedback. I'm Lite, a low-calorie sugar alternative blended with stevia, continues to receive positive market feedback, showcasing strong consumer adoption and potential for future growth.

On the Nutralite front, continuously expanding and diversifying the product portfolio, delivering double-digit growth with a 5-year CAGR supported by consistent volume growth in a wide-ranging product portfolio, growth driven by dedicated B2B and B2C teams, ensuring sustained demand across multiple channels.

On the new business of Rite Bite, following the 100% acquisition of Naturell India Private Limited in the later part of the previous quarter, the business is performing as expected. The integration and digitalization transformation are progressing smoothly and with the business continuing to deliver strong growth across its product portfolio.

Operational and strategic initiatives are on track, further reinforcing confidence in the long-term potential of the acquisition. We remain committed to improving margins and profitability in the coming quarters.

Thank you, and we will now begin the Q&A. Over to the coordinator.

Operator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press * and 1 on their touchtone telephone, if you wish to remove yourself from the question queue you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembled. The first question is from the line of Tejash Shah from Avendus Spark. Please go ahead.

Tejash Shah: Hi sir, thanks for the opportunity. Actually, the first couple of questions are around the quarterly numbers. So how did the organic volume and value growth trend this quarter? And employee costs seem to have some inflation in this quarter. So, any one-off or should we consider this as a new run rate?

Tarun Arora: Thank you, Tejash. First, I think comparable base business growth is low double digits. So, we continue on a double-digit trajectory on a business as is and reflected in mid- to high single-digit volume growth. So, it's backed by consistent volume growth as well.

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Employee spends growth is driven by a couple of factors. One, of course, is the fact that we have variable pay as part of the cost structure, and there has been good performance, which we have to do.

Secondly, there is a higher cost of people, because the entire team

of the acquired business is on

payroll, some of yes, the last mile sales, which typically most FMCGs work on a third-party payroll or a distributor payroll. So therefore, there's a slightly higher percentage cost, therefore, there is a disproportionate increase in the base. But going forward, I think there should be some moderation, but this is the base. This is the broad reason.

Tejash Shah: Perfect, sir. Very clear. Sir, EBITDA margins on an annual basis have improved after a gap of 4 years on a Y-o-Y basis. So, first of all, congrats for that. But is there a sustainable shift here?

Or any guidance would you like to call out at this point?

Tarun Arora: So, Tejash, I think we have been maintaining our clear intent is to move these numbers to 17%, 18% in the next couple of years. Most of our actions are in this space where we are strongly starting with our gross margins to stay positive.

So, basis of some gross margin, which is going back into investing for the brand and growth, rest of that, we'll take it to EBITDA, and we'll also hope that with this growth momentum, we can also get some operating leverage. So, we do believe that structurally, we want to drive the EBITDA back to higher levels that we missed over the last 3, 4 years on a consistent basis.

Tejash Shah: Yes, got it sir. Sir, last one, if I may squeeze in on quick commerce. You made a very strong remark on that, that channel is doing fabulously well. So, is it helping us to premiumize and reach new consumers, which we were not catering before? Or is it largely serving the existing customers through a new channel?

Tarun Arora: I think it's a bit of both because quick commerce increases accessibility in the urban space, top 10, 15 towns, top 10, 12 towns is where the max impact you find, and it increases the accessibility because distribution, however good it may be, has its own nuances, has its own challenges. So, it obviously helps democratize better, and therefore, be able to reach some new consumers. We are finding at least a few of our new spaces that we have got ourselves, we get much better, faster response in quick commerce. The challenges in the limited availability of retail shelf is overcome by this. So, it's doing both. It is obviously replacing some of the existing spaces, but it is also helping us reach out to a new set of consumers.

Tejash Shah: And sir, any brand which is over-indexed on growth in this channel?

Tarun Arora: There are 2 or 3 brands which we believe is doing very well. But let me give you one example

which stands out to my mind, one is Complan. We find online and quick commerce has a higher than Company index. Even a cold chain product like a butter does exceedingly well in this than in retail. So clearly, some of these brands do find good traction with this.

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Tejash Shah: That's all from my side, and sir all the best for coming quarters.

Moderator: Thank you. We'll take our next question from the line of Kinjal Mota from Banyan Tree Advisors. Please go ahead.

Kinjal Mota: Hi. Thank you for the opportunity. My question is on the Rite Bite acquisition that we did. If you can give any comments on what is the growth that the brand saw in FY '25? And moving forward, what is the growth and margins that we could expect from Rite Bite coming off?

Tarun Arora: So, while we don't share exact, but we can tell you right now, because to give you a flavor of it, the business has been only for about 4 months with us. We have seen higher than 50% growth on this brand, supported by tailwinds and a lot of good execution by the team. The margins have been positive, low single digits, and we hope to build on this as we go along with the operating leverage and synergy benefits coming.

Kinjal Mota: Sure, sure. So, moving ahead, what would be the sustainable growth that we expect in the next 3 years or so, if you could comment on that?

Tarun Arora:

I think it's early days because we do believe there is a very high growth, something we mentioned at the time of acquisition also that over the last 3 to 5 years, the business has done about 25% plus as a CAGR. We hope to continue doing that. Right now, we are tracking reasonably well on that.

Kinjal Mota: Sure, sure. Thank you. That's all from my end. Best of luck.

Moderator: Thank You, the next question is from the line of Mayur from Wealth Managers. Please go ahead.

Mayur Parkeria : Good evening, sir, and thank you for taking my question. So, sir, actually, just a couple of questions from a seasonality perspective. For us as a Company overall, this Q4 and then the upcoming Q1 is the lion's share.

Now I understand it's a very short duration of the quarter, but it's an important season because it's almost a reflection of the entire coming year. So, in the early Jan, Feb, March, we saw South and East summer were not so strong. It was much milder compared to previous trends.

And then lately, we have also seen West early monsoons and things like that. And then on the other side, the previous year, we have seen phenomenal growth, which was there in the 2 quarters. So, the base to that extent is larger.

Would you like to call out something on that and how do you see the current quarter going by, since we are already almost close to 1.5 months going by? And the inventory channel for some of our main products, especially for Q1? And how does that pan out and impact the margins overall, sir?

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Tarun Arora: Thank you, Mayur, for detailing it out, but we do not give forward guidance, so we'll not be able to comment specifically on it.

Mayur Parkeria : Sir, some qualitative understanding of how is the market shaping up broadly, because it's a very important understanding. I am sure you will appreciate all investors understanding on that. And it's been some time since we have seen such good improvement. So, we would like to understand if it is possible, some trajectory, some color, whatever you feel comfortable, not numbers, not but how qualitatively you see growth panning out? And how do you see the FY '26, if at all, broadly?

Tarun Arora: So, I think let me just give you just a little bit of qualitative view. First of all, I think it's just 2 months, and we have the full year, and yes, quarter 4, quarter 1 are the most crucial ones, and quarter 4 is far away.

Quarter 1, some markets have got affected, but we do believe that we are working our bit to ensure our commitment to our double-digit remains on track. So that's really what I would say.

Everyone is seeing what you have seen in terms of some markets getting impacted. Some of them are crucial markets for us, but we are working on solving for those, given our portfolio and opportunities we have to double down on markets where there's still positivity.

Mayur Parkeria: Okay sir. Just a small extension in a different way just to understand. Sir, especially for Glucon D and Nycil, what kind of percentage of demand broadly is non-seasonal, because while these are seasonal products, we understand, but there is a base demand also and these are products which are consumed broadly throughout at different places, geography. India is a very tropical. So, from that perspective, just some broad understanding, will it be fair to say that 20%, 25% of these products are consumed throughout the year? Or is the skewness much larger? Some way

to understand the seasonality of especially these 2, which are heavy quarters for us, which are heavy products in the quarter?

Tarun Arora: For these 2 products, skewness is much larger. So only 10%, 15% of these products sell in the quarter 2, quarter 3.

Mayur Parkeria: Quarter 2, quarter 3. Okay. That's it from my side, sir. Thank you and wish you all the best.

Tarun Arora: Thank you.

Moderator: Thank you. Participants in order to ask the question please

press * and 1 now. The next question

is from the line of Madhur Rath from Counter Cyclical Investments. Please go ahead.

Madhur Rath: Sir, thank you for the opportunity, Sir, I wanted to understand regarding our Rite Bite acquisition and the capital allocation policy regarding that. So, sir, if I consider the Complian and Glucon D brand that we bought for INR 4,600 crores in FY '19, sir, that has incrementally added only INR 100 crores to INR 150 crores in our PBT.

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So, sir, that is less than 3% yield, if I can understand and that too after 4, 5 years. So if I am trying to understand that some valuation multiple that you did for Rite Bite, and sir, how has the valuation policy changed in acquiring different businesses, post this disaster that we had for Complian, where considering inflation, it's even lower the incremental PBT that we have added.

Tarun Arora: First of all, your assessment on the other acquisition is not accurate, but we'll let that be. We will focus our answer on NIPL on the valuation piece.

I'll let Umesh answer that.

Umesh Parikh: Yes. So, we actually do due diligence and value the Company using multiple parameters and methods. So also, the latest one that we use is the market benchmark of the recent acquisition.

So based on that, because generally, first start-ups, which are growing at a high speed, there is a likelihood that there is hardly any operating margin there. But we were, I think it's a good acquisition because when we acquired it was almost out to breakeven.

So, in terms of the sales multiple, it was about 3x of sales multiple by FY '24. And that we thought is really a good price to pay. And that's what we have been currently also realizing that the growth that we have been getting through this acquisition and the operating margin, we have, it has become positive over the last 4 months.

Tarun Arora: And we expect it to be FY '26 cash EPS accretive.

Umesh Parikh: Yes. If it runs the same way, and we are hopeful, it's going to be EPS accretive by 2026.

Tarun Arora: Cash EPS accretive, yes.

Madhur Rath: Got it. So, if I look at our Company, so the main strategy that we are following is acquiring brands, dominantly market leaders in smaller segments and growing them out. So, sir, going forward, is there a certain criteria like IRR or a payback period we would expect before doing any of these internal acquisition going forward?

Tarun Arora: So, we can discuss in more detail, but we do follow a detailed discounting method for valuation.

Madhur Rath: Got it, Sir, those were questions from my end. So, thank you so much and all the best.

Operator: Thank you. We'll take our next question from the line of Umang Shah from Banyan Tree Advisors. Please go ahead.

Umang Shah: Hi sir, thank you for the opportunity. Sir, first question was how is the response to our new launches, especially in adult nutrition, in Complian and Activors in Glucon D?

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Tarun Arora: So, I think Glucon D Activors we have got a reasonably good response. It's in line with the numbers we have set internally. So, we are satisfied with the direction which it is building up.

It's small, but it is meeting all the milestones.

On the adult nutrition, VieMax, we have got a fairly good response. The market is sluggish, but we are quite hopeful to build on it, and it's a long haul because these brands, we have taken a route of expert marketing, which is we are only detailing to doctors and a little bit of digital. So, it will be a slow burn, but that's also looks to be on track on most of the feedback that we have got. So early days, but very important for us to build on the new products that we have started off on.

Umang Shah: Right, sir. And sir, of the INR 6,900 crores category of nutrition drink, how much would be adult nutrition? Any idea?

Tarun Arora: It will be, I

think, if I remember the numbers right, about 18% to 20% approximately.

Umang Shah: And we would like to index our presence here as much as we have in children nutrition, right?

Tarun Arora: At least that. Our wish list is that at least that, maybe more, but we'll get there first, we have to

get our fair share.

Umang Shah: Sure, sir. And sir, in facial cleansing segment, we have been present in this segment through scrub and peel-offs since many years now. But it's only last 2 years that we see a slew of launches in segments like facial masks and face wash, the anti-pollution, anti-tan range, et cetera. So, sir, what gives us this confidence right now to enter into this category in such an aggressive way, considering the fact that we are #5 in this market?

Tarun Arora: So, the good news is we were #7 in the overall facial cleansing. We have reached #5, and we are growing our market share. The growth on this brand is coming from the core, which is led by scrubs and peel-off. We launched tan removal in 2018, if I remember right. We had very good response during COVID. So, 2022, we had some drops, but we have recovered, and we are building it back. And we have also been in the process of launching more products.

So, we have seen the activity levels for us has gone up. In between, we also launched, which you probably missed, the body lotions. So, we have had every 1 or 2 years, a launch. Some of them have had fairly good success and each one of them have contributed to the revenue. So, we are quite positive about playing a larger role in skin care, led by more facial cleansing, but in other parts of the skin care through this brand.

Umang Shah: Right sir. Great sir. And sir, last question, if I may add. How are we positioning I'm Lite Sugar in the market? And what has been the feedback so far?

Tarun Arora: So, I'm Lite was launched only last year, because we had the earlier brand Sugarlite, which got into trademark issues. So, we are almost recovering. We are still a little behind, but most of the

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critical markets we have started recovering whatever we had on the earlier brand that we have built over 4 years, we started recovering closer to those numbers in key markets and key platforms, not fully there in a couple of them, but some markets, some channels, we have already recovered those numbers, so at a higher price. So, we are quite positive that in another 6, 8 months, we should be beyond the past and building forward on it. The proposition...

Tarun Arora: We believe it is still --

Tarun Arora: So, we obviously believe most of our brands, and this is practically while it's in the sweeteners' platform, it's a brand on its own right, should be sizable at least 3 figures eventually. So, it's a journey which we are doing. So first, let it cross those milestones and then eventually, it should have a 3-figure number, which is necessary for it to be. So at least 15%, 20% of the overall sweeteners' portfolio should come from this brand eventually.

Umang Shah: Great sir. Thank you so much, and all the best.

Operator: Thank you. Participants who wish to ask the question please press * and 1 at this time. The next question is from the line of Lokesh Gusain from BOB Capital Markets. Please go ahead.

Lokesh Gusain: Hi, thanks for taking my question. So, it's on your margin guidance. So, 17% to 18% over the next 2 to 3 years, I am assuming FY '27 to FY '28. I wanted to understand the drivers for that, because in the current inflationary environment, commodities have obviously gone up quite a bit, and that's probably a base as well.

Your gross margin expansion slowed down to about 25, 30 basis points in the fourth quarter. So, while I understand percentage margin is a target, but maybe at this time, it's more about offsetting inflation, like just the rupee inflation rather than restoring percentage margins. So, is there any revision req

quired in the percentage margin guidance that is 17% to 18% right now which was called out before this phase of inflation, I guess?

Tarun Arora: I would say this is a business objective that we have taken, because we believe to even invest back in the business, we need to make it profitable. And therefore, we are looking to 17%, 18% as a journey. We do recognize that there will be ups and downs. There will be inflationary points. It's been a volatile market. We have seen last year, the oil prices shooting up substantially, which are cooling down right now, and we have been able to pass in steps as a following measure on those costs. Now the milk is going up in recent few weeks, we have seen. So, some of these parts are part of life and part of doing business.

We are quite conscious of the fact that we intend to get there. We will, therefore, use our pricing power, mix of cost management actions to keep on the journey of gross margin improvement, which still has scope for another couple of percentage point improvement over the next couple of years. And remaining is to be a bit of operating leverage to get there.

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That's how I would look at it. But I can't tie myself and say this is exactly what it is, and I'll change my guidance every time I face pressure. This is the intent, and our action is going to be guided by this intent. But we will not compromise short term, we'll not compromise on the

growth actions. So you have seen part of our gross margins being invested in the growth as well through marketing activity. So that's a broad way we are envisaging our business to build up.

Lokesh Gusain: Got it. And then just a follow-up on that. First, for operating leverage, so wanted to clarify if you are going to maintain the A&P to sales ratio going forward since these are good categories.

And secondly, are you assuming any certain level of commodity inflation when you are looking at a couple of percentage points improvement in your gross margins?

I know there could be quarter-to-quarter fluctuations, but palm oil was up quite a bit in December quarter and in March as well, but then cooling down. So, there would be that volatility, but then you must be building in some level of commodity inflation to come up with the 200 basis points improvement that you are looking for in gross margins.

Tarun Arora: So, I think it's a mix of product mix portfolio that we want to drive as an agenda. Second is large part of our business, we have been the leaders, we are able to pass on the prices. So, we do believe with the lag maybe we should be able to pass on the prices. The past challenges we faced between FY '21 and '23, which led to a large drop in gross margins, which we faced was a global issue where the commodity cycle was globally badly impacted, which impacted our ability to price up disproportionately at the pace it went through.

Going forward, we do believe better product mix, catching up on the commodity inflation should help us move this up. But any specifics will have to be dealt quarter-to-quarter. I can't give you more details than that today, but we do believe there is room for us to keep building further on that, especially for our top brands.

Lokesh Gusain: Got it. And the A&P then?

Tarun Arora: A&P, I think we have started hitting closer to our wish list percentage to sales. Maybe there is room for another 0.5% or 1% improvement, but that will play by the year essentially because it will be led by initiatives and what growth we can handle. So, I think we typically want to operate closer to a 13% (+/-0.5%) as a way to build our business.

Lokesh Gusain: Got it. Thank you.

Moderator: Thank You, before we take a next question, we will like to remind participants that you may press * 1 to ask a question. The next question is from the line of Agam Shah, an individual investor. Please go ahead.

Agam Shah: Yes. Sir, quick

question. So, 2 things, depreciation has increased, and the employee count has also increased. So, I missed your earlier remark on that. So, if you can elaborate on that. And broadly, qualitatively or quantitatively, whichever you want to answer. So where are we seeing Zyklus Wellness Limited

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provisions here, let's say, 2030 or 2028 as the Company evolves? Thanks. These are my 2 questions.

Umesh Parikh: So, on depreciation, because on a consol level, we are depreciating the acquired brand from NIPL, Rite Bite and Max Protein for a period of 15 years. So that has led to the increase in depreciation in the brand. And about your second question, can you please repeat the question?

Agam Shah: On the employee cost?

Umesh Parikh: Employee cost has already been answered, but if you were to tell that of the acquired entities of the employee costs have been part of our regular payroll, and generally, such field force employee costs go and sit in the other expenses is not part of the employee cost.

Agam Shah: Okay. And my second question was, in terms of FY'28 or FY'30, if you can broadly talk on your terms of vision, where do we see the Company heading towards as an organization of whatever it can come in quantitatively or qualitatively?

Tarun Arora: So as a Company, I think there are 2 or 3 things that we would like to see over the next 3 to 4 years. I think first, qualitatively, we want to strengthen and broad base our consumer franchise. We are market leader, and therefore, we want to play a significant role in category development. And therefore, you would find our presentations reflecting our intent to increase the penetration level.

So, we want more consumers to come in the fold of these categories, and we, being market leaders, are playing the categories development role. So, we want to be a stronger, larger science-based, high-performing product business with credible evidence of performance in 2 spaces.

One is food and nutrition, which is like macro nutrients like protein, micronutrients could be vitamins, probiotics, several other factors. The other is, of course, calorie management, which is cutting calories through sweeteners or high calories through energy products that we have. So, food and nutrition is a very critical base, which we expect an expansion on.

We also want to expand our portfolio around personal care, where we are looking at both facial cleansing and eventual a larger play in skin care through Everyuth as well as the prickly heat, and its extension through Nycil. So, we believe that each of these have enough room for growth. Put together, quantitatively, we would like to cross a benchmark of INR 5,000 crores, whether it happens in 3 years or 5 years is mathematics. But I think our actions are basically driven in

franchise expansion and getting more consumers to the base.

We are also seeking to expand our presence outside India. We do believe there have been some challenges in our critical markets. Earlier, some African markets were under pressure. Of late, some South Asian markets have been under pressure. But having said that, we do believe that every 3 years, that business can double eventually getting to 8% to 10% of our portfolio.

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So that's really the gist of our business. We have already talked about the bottom-line profile of the business, which we believe 17%, 18% can be done. So good profitable, sizable business as we enter in the next quarters.

Agam Shah: And just last question on the tax front. So next year, will be in tax or how is it on the tax front?

Umesh Parikh: So, FY '26 and FY '27, there won't be any cash tax payout. There would be certainly deferred tax liability on the tax front, but there won't be any cash tax payout.

Agam Shah: Similar to the current levels?

Umesh Parikh: You are talking about the deferred tax liability?

Agam Shah: Yes. So,

for FY '25, also we haven't paid much, right? Similar...

Umesh Parikh: Yes, we won't be paying in cash tax up to FY '27.

Agam Shah: Okay. Got it. Okay, sir. Thank you and all the best.

Moderator: Thank you. The next follow-up question is from the line of Umang Shah from Banyan Tree Advisors. Please go ahead.

Umang Shah: Hi sir, thank you for the opportunity again. Sir, the channel inventory currently, especially in Glucon D and Nycil, is it significantly different as of now, compared to last May?

Tarun Arora: No, I think it's in line with what we expect the sales. So, we have a replenishment-based system and any challenges that we see are corrected fairly quickly. So, we expect in line in terms of days of our forward covers. That's how we work. So, channel inventory should be there.

Umang Shah: And sir, ideally, how much inventory since it is a seasonal product, ideally, what is the level of inventory that you are comfortable at the dealer level in terms of days?

Tarun Arora: So typically, there is a spike which comes at the start of the season. So, we start building the inventory. So typically, Jan, Feb, March, especially January and February, the distributors are carrying fairly high inventory, and we support them in various ways for the inventory buildup.

Towards the May, June, the inventory actually starts dropping. So, the peak can go up to 40 days. When it drops, it comes down to almost 30 days, sometimes 20, 25 days level also. So, it varies. And also, it's a function of how the season plays out.

Umang Shah: Right, sir. Right, sir. Fair point. And sir, just last one thing. On the Sugar Free India website, we were not able to look at the D'Lite cookies, while you have chocolates and sugar free and everything. So that was one thing. And second question was how have we positioned Sugar Free Plus as opposed to Sugar Free and a lot of things and how are we reshaping the brand in any way?

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Tarun Arora: Sorry. So, thanks for the feedback. I will check it because we are also building our Sugar Free D'Lite site, which will eventually capture a lot of our domestic and international portfolio on sugar free extensions, but I'll check on the cookies as well. So, your next question was how are we positioning Sugar Free Gold Plus versus Sugar Free Gold? Is that the question?

Umang Shah: Yes.

Tarun Arora: So, what has happened is if you go back to May '23, WHO had put aspartame in possibly carcinogenic, not enough evidence of grouping. And therefore, last year, we had moved out of aspartame to sucralose plus chromium, which offers a better experience to consumer with an added benefit of better insulin management, which the chromium offers. And therefore, the positioning is that it is more suitable for people who want to control their insulin levels while keeping the calories lower and not have sugar.

And it's been liked by a lot of diabetics because a lot of new consumers come through Sugar Free Gold Plus and many of them are diabetic. So, it's been received very well with both the consumers, new consumers as well as by the doctors.

Umang Shah: Got it, sir. Got it. Thanks a lot sir.

Tarun Arora: Thank You.

Moderator: Thank you. We'll take our last question from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.

Dhiraj Mistry: Yes. Hi. Thank you very much, sir. Sir, my only question is regarding capital allocation that how should we think that whether there would be any inorganic growth going ahead, and in which category we can look for? And also, in that line, what would be the key metrics we look for,

while acquisition? Thank you.

Tarun Arora: I think, first of all, we stick to what we have said over the last 2 to 3 years. We are not seeking acquisition for scale. That's one of the key tasks we did when we did with Kraft Heinz India acquisition. Right now, the only way we will look at acquisition will be bolt-o

n spaces which

we believe are very good. We organically, would like to participate. Those are the spaces where we will evaluate acquisitions coming from.

So typically, something that we would have loved to do ourselves. The Naturell India is a classic example of we wanted to participate in protein and nutrition, protein-based nutrition. It fits in very well. It's a market leader, science-based product. So, we are looking for products which fit into our portfolio. and therefore, are synergistic with that, adjacent to our existing category.

Secondly, we are looking at which are relevant for India or outside India, which help us expand our base outside India, for example, something in Sub-Saharan Africa, Nigeria, et cetera, GCC or South Asia or even the Southeast Asia, wherever there is opportunity for us as a Zydus

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wellness to expand on. So, there is a clear geography space we have defined. There's a clearly product portfolio space we have defined.

And largely, the mandate we have right now, we would look at any acquisition to come forward will be from our internal accruals. We'll see if there is something disproportionate comes, but I don't see that in the current horizon. So, we will stick to this knitting for our approach to acquisition. And therefore, if you look at it, even Naturell is something which has been acquired from our existing resources, and that is the existing approach and our own ability to grow those organically. Those will be extremely critical for us to make it work.

Dhiraj Mistry: Got it. Got it. Any financial metrics that we would be looking out for the revenue side of, let's say, INR 200 crores to INR 300 crores or whether we will not be paying certain x amount for the acquisition?

Tarun Arora: So, we won't do anything very small, INR 25 crore, INR 30 crore, INR 50 crore. Chances are we'll not do that unless we are too excited about it, which is an exception. INR 100 crores, INR 200 crores typically does fit in. It gets consummated far more easily. There is a proof point of the performance and there is a headroom for growth. Those are typically spaces which we like from a bolt-on acquisition.

But obviously, these are evolving things. They are also opportunity based, but these are typically something which will get worked from us, our point of view. These are broad guidance but not cast in stone though. But these are something which work best for us.

Dhiraj Mistry: Got it. Thank you. That's it from my side.

Moderator: Thank You, Ladies and gentlemen, this is our last question. I now hand the conference over to the Management for closing comments.

Tarun Arora: Thank you, and we will see you in next quarter call.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 5, 2025

Listing Department Code: 531 335

BSE LIMITED

P. J. Towers, Dalal Street,
Mumbai-400 001

Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex,

Bandra (E),

Mumbai-400 051

Sub: Transcript of the Earnings Conference call held on July 30, 2025

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(a)(iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q1 FY2026 Earnings Conference call held at 4:00 p.m. (IST) on Wednesday, July 30, 2025.

Please find the same in order.

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl. As above

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"Zydus Wellness Limited Q1 FY'26 Results Conference
Call"

July 30, 2025

MANAGEMENT : MR. GANESH NAYAK - DIRECTOR, ZYDUS WELLNESS
LIMITED

MR. TARUN ARORA - CEO & WHOLE-TIME
DIRECTOR, ZYDUS WELLNESS LIMITED

MR. UMESH PARIKH - CFO, ZYDUS WELLNESS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Zydus Wellness Q1 FY'26 Results Conference Call.

As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhiraj Mistry. Thank you and over to you, sir.

Dhiraj Mistry: Thank you and good evening, all. First of all, I would like to thank management of Zydus Wellness to give this opportunity to us. From the management, we have with us Mr. Ganesh Nayak, Director; Mr. Tarun Arora, CEO and Whole Time Director and Mr. Umesh Parikh, CFO. Over to you, sir.

Tarun Arora: Good evening and welcome to the post-results teleconference of Zydus Wellness Limited for Quarter 1 Financial Year 2025-'26. I have with me, like Dhiraj mentioned, Mr. Ganesh Nayak, who is the Director on the Board, Mr. Umesh Parikh, CFO on the call.

During the quarter, consumption trends highlighted a continued divergence across geographies. Rural markets sustained their growth leadership outpacing urban areas. Driven by strong performance in branded commodities, personal care, and daily segments, while seasonal categories faced headwinds due to a shorter summer and unseasonal rains. The non-seasonal portfolio remained strong, cushioning overall performance.

On the cost front, persistent input inflation is beginning to show signs of easing, providing our optimism for margin recovery in the coming quarters. Meanwhile, the digital channels such as quick commerce and e-commerce continue to deliver strong growth. Tier-2 and Tier-3 cities are emerging as key growth drivers, positioning the business well for its next phase of expansion. The company reported a consolidated net sales growth of 2.2%, amounting to Rs. 8,577 million for the quarter, navigating through the challenges posed by early monsoon conditions, which impacted seasonal brand performance. Encouragingly, excluding seasonal brands, the company delivered a strong double-digit growth, which includes Rite Bite Max Protein business that is not in the base, hence reflecting the underlying strength of its portfolio and balanced business model.

At the segment level, the personal care segment grew 3.8% year-on-year for the quarter, despite early monsoons impacting Nycil brand and dampening the demand in weather-sensitive categories. A healthy CAGR of 21.1% over Q1 of FY'22 underscores the portfolio's structural strength and long-term potential. The food and nutrition segment recorded subdued year-on-year growth of 1.6% for the quarter, as softer seasonal demand significantly impacted Glucon D.

Ongoing portfolio diversification and contributions from acquired business helped mitigate the

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impact at the segment level. Importantly, the segment maintained a consistent CAGR of 7.3% over Q1 of FY'22, reinforcing its relevant and sustained growth momentum. Organized trade saliency continued to improve, reaching 30.9% in Q1 of FY'26, up from 23.3% in Q1 of FY'25, while e-commerce contributed 14.5% and non-trade 16.4%.

Over the past two fiscal years, FY'24 and FY'25, we have delivered a cumulative gross margin expansion of 361 basis points, driven by proactive strategic hedging, a favorable product mix, and disciplined pricing actions, despite the challenging inflationary backdrop that we had experienced. In the current quarter, however, gross margins registered a marginal decline of 73 basis points at the overall level. Nonetheless, the majority of our brands continued to deliver strong gross margin expansion, underscoring the inherent strength of our portfolio. The saliency of seasonal brands was tempo

rarily impacted by shorter-than-usual summers and unseasonal rains.

On the EBITDA front, the company delivered a growth of 0.2%, reaching Rs. 1,556 million for the quarter. At the PAT level, the decline of 13.4% was primarily driven by non-cash items like amortization of intangible assets from acquired business and deferred tax impacts. During the quarter, the company returned to a net cash positive position, strengthening its ability to participate in large projects, infrastructure development, and automation initiatives aimed at building the business for the next phase of growth.

With that, let me share some of the highlights of operations:

For the period gone by, which will also cover category growth and market share numbers as per MAT June 2025 report of Nielsen. On the personal care front, EverYuth has shown a consistent growth that is led by sustained double-digit performance driven by innovation, product excellence, strong distribution, and customer-centric experiences. Our superior offerings and

targeted marketing have successfully expanded the user base year-after-year. EverYuth leads key sub-segments with a 48.7% share in scrubs, which is a positive of 262.3 basis points year-on-year and 77.2% in peel-off masks, a drop of 56.4 basis points.

Overall presence, the brand ranks fifth in facial cleansing with a 7.8% share, up 88.8 basis points year-on-year. Nycil saw a temporary dip this quarter due to early monsoons, but maintained its number one position with a market share of 33.3%. On the Glucon D front, Glucon D maintained its leadership in the glucose powder category with a market share of 58.9% at the MAT level.

The glucose powder category grew by 2.8% at the MAT level. However, the category declined for the quarter. Glucon D Activors the electrolyte energy drink, was rolled out across the broader national footprint, performing as expected under the revised distribution strategy aligned with the weather-driven demand patterns.

On the Complian front, the nutrition drink category has reported a decline of 2.6% at the MAT level with the continued softness across key metrics. The brand currently holds a market share

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of 4.0% at the MAT level. On the Sweetness front, Sugar Free brand continues to maintain its dominant position, holding a commanding 96.1% market share in the sugar substitute category, which has grown by 4.9% at the MAT level. Sugar Free Delight delivered encouraging results with deeper distribution and health-conscious snacking trends driving the momentum. Sugar Free Green continued to outperform, reflecting strong consumer affinity for natural alternatives and sustained volume-led growth. I'm Lite continues to promote healthier living through ongoing campaigns, encouraging consumers to switch from regular sugar and cut calorie intake by half, supporting easier weight management and better daily choices. On the Nutralite front, we continue to broaden the portfolio through focused innovation year-after-year, growth momentum sustained by robust execution from focused B2B and B2C teams, enabling deeper market penetration and operational efficiency. On the Rite Bite front, post the successful acquisition of Naturell (India) Private Limited in the later part of the previous year. The business continues to outperform the earlier estimates, reinforcing our strategic intent and portfolio expansion strategy. Brand delivered robust growth during the quarter with Rite Bite daily bars leading the performance and further strengthening the brand's position in the high-growth, better-for-you snacking category. Our strategic priorities continue to focus on margin resilience, tech-enabled efficiencies and sustainable growth through innovation and discipline expansion. Thank you. We will now begin the Q&A session. Over to the coordinator.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question

is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: Hi, sir. Thanks for the opportunity. So, just the first, I wanted to start with organic volume growth and value growth for the quarter would be?

Tarun Arora: It is near to flattish. We do not give specific, but it is near to flattish. The incremental has largely come from...And excluding seasonal brands, it is anyway double-digit on its own as well.

Tejas Shah: Double-digit is volume as well or only value?

Tarun Arora: The ongoing business without the acquisition, without seasonal brands is both volume and value. So, if I add the seasonal brands back for organic growth, it becomes flattish.

Tejas Shah: Flattish. Okay. Clear, sir. The second, I was not able to reconcile two statements on your presentation. We are still seeing that rural is doing better than urban, but when I see our organized trade saliency, it has actually gone from 23% to 30%. I am assuming that will be largely urban index. So, just wanted to understand where am I missing the point?

Tarun Arora: So, I think the point I have made was initially at an overall level, what we see as a direction when we read the market and we look at the data from the secondary markets and our own read of the market that rural markets are performing. For us, actually, the significant movement, this

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23 to 30 is driven by also amalgamation of this new business, which has substantial quick commerce, e-commerce business. And therefore, the share of that business has gone well, has shot up. But they are both right in that sense. Rural markets are performing consistently. We see better traction in the general trade from our small pop strata, lower population towns, more than the top metros. But having said that, in the metros, the growth is largely driven by organized, the large towns are driven by organized trade. And that's, I think, a shift we all know about. And this number has shot up further because more than half our business of the acquired business is coming from e-commerce and therefore the saliency shifts. And the third element driving this is also because both Glucon D, Nycil are seasonal brands, have a highest share coming from rural. And therefore, the mix also changes. So, there will be that element also which changes. So, one

is data, the other is of the overall market range that is playing out.

Tejas Shah: Very clear, sir. Sir, just wanted to understand as we enter the low saliency quarters now, which have low impact on revenue and profitability, the seasonal pushback that we saw this quarter, does it carry forward in 2Q-3Q or it's done and dusted in this quarter and 2Q-3Q are kind of clean slate from growth perspective?

Tarun Arora: So, mostly it is done and dusted. There is some numbers which flow into July because especially Nycil plays out here and a little bit of Glucon D also. Post July-August, there is a very, very little impact. So, some bit you might find in 3Q but not significant. But after that, there's limited impact.

Tejas Shah: Perfect. And the last one, if I may, looking at the rough start that we had for the year because of this unseasonal rains, where do we kind of land up on our margin expansion guidance for 2 years? I know that it is 18% but what part of that guidance we can achieve this year as well?

Tarun Arora: So, I will tell you, I would look at what are the fundamental actions we need to take and there is external part to it. First of all, we need to drive through 2 or 3 actions which we have talked about. One is product-by-product gross margin expansion, which is a tick mark. Yes, we are product-by-product, SQ by SQ, we are focusing on growth margin expansion, some of which has already played out and will continue to play out. This quarter, the gross margin reported is lower, which is more of a product mix issue but my actions are in place.

In a normal year, you

will find that giving the results that we intend to. The second key action that we believe that will help us improve our EBITDA margins will be, as we scale up, some of the operating leverages playing out. That also, we are a quite cost conscious company and our growth intent is playing out very well. So, seasonal is, as we have mentioned earlier also, over a 3- to 4-year period, continues to be double-digit and therefore, the basic thesis of higher growth leading to operating leverage will also play out. A percentage here and there but the two-year journey of enhancing my EBITDA, I do not think we are moving away from that basic view. To my mind, you may find a quarter here and there but directionally, we think we have taken right actions will play out.

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Tejas Shah: Thanks. That's all from my side and best wishes for coming quarters.

Tarun Arora: Thank you.

Moderator: Thank you. The next question is from the line of Mayur Parkeria from Wealth Managers India Pvt. Ltd Please go ahead.

Mayur Parkeria: Good evening. So, first of all, congratulations to the management for delivering double-digit ex off the seasonal impact and in an environment where consumption trends still remain relatively weaker overall, that's a great thing to look at. So, with that comment, just a small two questions from my side. One is actually you just partly mentioned that but maybe to get more clarity, irrespective of the seasonality and quarterly ups and downs, do we believe that in the last FY'25, entirely we grew almost 15% more than that. Do we believe that structurally over the next two years, we are in a double-digit revenue growth cycle? One is at an overall industry level and especially for the products where we are and at a company level more firmly.

Tarun Arora: So, I can talk about company level. For sure, we believe that we are on that path. So, over the next 2 to 3 years, we will continue on a structural double-digit growth journey. And most of our products will be doing that. One or two products may have some challenges, which you've talked in the past, some category-led challenges, but largely most of our products will remain in that path.

Mayur Parkeria: Okay. And we were on our journey to increase our advertisement and advertisement spend structurally over the last two years. On an annual basis, can you give us an understanding where should we see this number stabilizing from FY'25 levels till in the next two to three years? And will the operating leverage also come from there or we are still in the phase where percentage of sales will continue to slightly move up?

Tarun Arora: So, in short to medium term, it will remain at a similar level as FY'25 because we also want to invest back, increase gross margins into helping us increase our growth momentum and it's essential for us. But over a longer term, yes, we will see more efficiencies coming through. But advertisement is just one of the things. There are several other fixed expenses which come from other expenses, the overheads, people expenses, where we do see that operating leverages will play out even better.

Mayur Parkeria: Right. And just to, along with this, from a distribution setup, can you give us some qualitative numbers in terms of our direct reach, where do we reach? And in the light of quick commerce becoming more and more dominant from an incremental growth perspective, do we still believe and see that direct reach and traditional channels reach will become critical for our growth as we go ahead?

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Tarun Arora: It is an interesting and a very important question. Because these are things that we have to think given the way market is reorganizing itself. So, from a very urban top city point of view, I think quick commerce is changing consumer habits significantly and therefore we may or may not be

not be

necessarily driving our distribution expansion. But at national level our current direct reach is, direct coverage is about 6.1 lakh-6.2 lakh outlet. We are available as reported by Nielsen by 2.8 million outlets. Our wish list is to expand that 2.8 to 3.5 first and maybe eventually 4 million assuming there's no major restructuring of the market that happens. Towards that, we are looking at expanding another 80,000 outlets in this financial year. We still believe there's enough room for expansion because we are building the categories. Our job is to, being a market leader, to expand the categories, drive penetration. Therefore, we are still committed to drive a direct distribution and take it to hopefully to about 7 lakh by the end of this financial year and that's something we will continue to do, while building our capability both in e-commerce, quick commerce as well as monetary. So, organized trade continues to increase but we continue to also invest in general trade because the smaller population towns, rural is still under-served as far as organized trade is concerned and therefore this will continue to play a more important role.

Mayur Parkeria: That's great to hear. Can I squeeze in one more question, please?

Tarun Arora: Okay.

Mayur Parkeria: Thank you for that. Actually, from the product side, can we get an understanding of what is our plan for the next 18 months in terms of new product, whether enhancements or changes because just like in automobile, we see there is the importance of new product launches and enhancements are also very critical whether small changes or big changes. So, in terms of number of products, if you can give some perspective, what are we planning over the next 18 months relative to FY'25, what all we did? Thank you.

Tarun Arora: I understood your question. So, FY'25, we had 12 launches. I will tell you, I don't have a specific number to share over the next 18 months but I will tell you two things that will drive our strategy or our choices. One is that consumers' expectations are changing at a much faster pace than most of us can handle. I had some industry leader from FMCG talk about smaller brands are no more, cannot be taken lightly. The fact is that new brands are coming in and disrupting the space. So, keeping our brands relevant for the future is extremely important. So, we will be constantly working on upgrading our existing products, which of them will come up for launch in 18 months, I cannot share. So, that's one fundamental we will do. Plus, we have a few more products in our pipeline, in our innovation pipeline, which will follow through, some of which in the coming months, since they are not in public space, I am not able to share, but we will continue to build it. So, both NPDs and relaunch of our existing portfolio is very high on our agenda to stay ahead of the curve and grow ahead of the industry.

Mayur Parkeria: Thank you. Wish you all the best. I will come in the queue if there are any.

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Moderator: Thank you. The next question is from the line of Nikhil Upadhyay from SIMPL. Please go ahead.

Nikhil Upadhyay: Good evening. And appreciation for the good results and the good performance the company has displayed this quarter. Sir, one question. As you mentioned that if we adjust for the summer-heavy brands, we have grown double-digit. Can you rank which would be the brands which have grown fastest? And specifically, zooming on Nutralite, because if we have seen a lot of product launches and product innovation we have done in the last one and a half years, how are those new product launches playing out now and what proportion of revenue of total Nutralite there would be today?

Tarun Arora: So, I could say that from a last year's base and a comparable base, I think three brands that stand out in terms of growth is a new acquisition Rite Bite Max Protein and EverYuth f

ollowed by

Nutralite. These three brands have had a significant growth driving our non-seasonal brand growth agenda and pulling the numbers up substantially. For your second question on Nutralite specifically, what is really driving our portfolio up? I think 2 or 3 things that is helping us. Our base business, our core which is fat spread, continues to drive the momentum. So, that's essential for us to get right and that continues to keep moving up. Having said this, the new part of the portfolio where we want to be a fair dairy and spreads, mayonnaise as well as our branded fat, if I were to say butter and ghee branded ones, that has really helped us also move it up. But that's I think most part of the portfolio is playing out. Our chocolate spread has not kept to the promise but it's still very small but we have also not talked very big about it. But fat spread, value-added dairy as well as mayonnaise, all have played out as per expectation ahead of our budgets. In fact,

we have also launched cheese in the food service, early days, but early response looks good. So, we continue to move forward on Nutralite on a consistent basis.

Moderator: Sorry to interrupt, the current participant got disconnected. We will move to the next question. The next question is from the line of Kinjal Mota from Banyan Tree Advisors. Please go ahead.

Kinjal Mota: Hi, thank you for the opportunity. Sir, I wanted to understand what is your long-term view on the HFD category, the Nutrition drink category and how much does the South currently contributes to this business?

Tarun Arora: So, I think it's an interesting question. I think all players in HFD are grappling with this, but let me just put it like this. There are 2 or 3 parts which we need to keep in mind. First of all, HFD has long stood for nutrition. Now, nutrition is something which today's consumer is very concerned and tuned on to. Having said this, consumers relevance, I mean relevance of HFD as a single source of nutrition has dialed down and people are seeking various other ways of getting nutrition and that's why this category has come under pressure. People have gone on to several other formats, products, new age brands and traditional ways of getting nutrition and that's really impacted this category. In my view, it will in medium to long term still deliver a sustainable low single digit growth. I don't know that's my view still there is good reasons for it. Only time will tell but and we do believe that done right by playing the right segments there is still room for
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growth and therefore we are still working on it and some of our initiatives support that and that's why we have done slightly better than the category largely because of being trying to differentiate ourselves by offering some superior nutrition and consistently pushing ourselves into new ways of working. Having said this, I can't share the specific share of business as we don't. So, overall category is about Rs. 7,000 crore on a MAT basis and our market share is 4% though of course large part of category is also shifted to e-commerce which is not reported. So, I mean you could do your mathematics but this is some of the direction that we could help you with.

Kinjal Mota: Sure. We understand that you could not share the number of how much does south contributes currently but any direction on whether the contribution from south region has declined over the years and if so what are the reasons behind the same?

Tarun Arora: So, incidentally I won't say by South or North, I think Tamil Nadu in the south region is one of our key markets that has stayed consistent for us overall at the category level it has come under pressure but for us it has remained quite consistent via our action, in fact we were more under pressure earlier day earlier years after acquisition but we have done rather well in last 2 to 3 years on sustain

ing that business.

Kinjal Mota: Sure. That makes sense. Thank you and if I could pull out one bookkeeping question, so in our financials we report other marketing expenses which are categorized as a part of other expenses. If I were to look at that number it has grown significantly in last five years that is at 30% cable. I was just trying to understand that how is it different from normal A&P spent because it is categorized separately, if you could just help me understand that?

Tarun Arora: Are you pulling it out of the annual report is it?

Kinjal Mota: Yes. In the consolidated financials if I were to look down into the other expenses head there is a separate line item called other marketing expenses.

Tarun Arora: So, these are which are non-traditional expenses, things like doctor detailing and some CSD commission which are kind of marketing but not real marketing advertising and marketing expenses but impact our business support. So, some of those things get captured in those. Some go-to-market expenses may happen, so some of those things get captured in that. And therefore since we have increased our presence with doctor detailing for Sugar Free and Complian, some of those will look disproportionately high growth but may not be significant in absolute.

Kinjal Mota: Yes, sir. Thank you. I am a colleague of Kinjal's. Just had one question if I can ask. Sir, we subsumed the Sampriti brand into the Nutralite brand and now we have also launched soap under Nycil sometime back. So, just wanted to understand your thought process behind brand extension especially in segments which are not closely related to the core segment and again
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these new segments are more competitive than your existing segments. So, how do you think about strengthening your brand there?

Tarun Arora: So, these are two different things. First of all, soap extension of Nycil is very tactical one and only directed at Middle East which is more opportunistic. At a strategic level in most of our, largely our business is India centric we haven't done it and therefore there is no specific plan ready to share as far as the soap and Nycil is concerned. As far as converging Sampriti brand

into Nutralite is concerned, it was a very strategic call taken right at the time of acquisition we had thought through it because we believe that Nutralite is a large brand it has huge potential and consumers don't see it as dairy or non-dairy but it actually meets our all dairy and spreads requirement and can become one of our largest brands in future if we run it right and therefore this convergence of Sampriti into Nutralite, Doodh Shakti has really helped the brand grow much bigger and much faster and also becomes more efficient from our investment perspective as well. Kinjal Mota: Got it. And Nutrilite to a large extent was a B2B brand but do the consumers still retain or recollect the Nutralite brand?

Tarun Arora: So, our share from food service still remains much higher but the retail leg to it is consistently expanding and we continue to believe that both these parts both the food service as well as B2C will continue to grow both and therefore make it a much larger brand.

Kinjal Mota: Got it. Thank you so much sir.

Moderator: Thank you. The next question is from the line of Nikhil Upadhyay from SIMPL. Please go ahead.

Nikhil Upadhyay: Yes, hi sorry, I got dropped off. My second question actually was if you look at Max Protein and historical numbers it was sustaining that 30%-35% kind of CAGR growth. Coming into our fold, have we been able to increase the rates or how is the distribution acceptance of the brand and is it sustaining that historical run rate of growth?

Tarun Arora: So, I will go back to what I talked about when we acquired the Max Protein business. Rite Bite brand has historically grown more than 25% and we had said that we envisage a 25% plus over

ne
xt 4 to 5 years. I am happy to share that our actual while we don't give specific brand wise growth but happy to share that the current momentum for six months of actually seven months of acquisition is much higher than what we had accounted for and it is gaining substantial acceptance across all channels. We have also launched or in the process of launching more products through this portfolio and we believe there is it has been a strategically a good purchase for the business and we see a long-term potential only enhancing ahead of what we had imagined at the time of acquisition.

Nikhil Upadhyay: Okay, I just have two questions. One is, have we been able to put Max Protein into the GT channel now and how is the acceptance across the GT channel where we have placed it?

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Tarun Arora: Max Protein does very well in GT. We have a significant share in general trade. We are probably by far the largest brand in bars in this space.

Nikhil Upadhyay: Okay, and last question, see this is a quarter when the summer portfolio used to always drive the margins but even though and I could be wrong here by my calculation it's like our summer portfolio is down at least 10% to 15% but still the margins are sustained. Would you say that to a large extent with the growth of the other brands to some extent our profitability is now immune of the summer portfolio performing like even if they don't perform the company can sustain the profitability because historically it used to be a summer portfolio did not perform the margins used to take a hit, so is it a good inference to make now?

Tarun Arora: I think it's taken a lot of effort by the team to ensure that we are able to manage and overcome the challenge of summer brands. I am not imagining a situation that we will be immune to seasonal brands not performing. It does impact us because they are a very critical part of our portfolio over the last four years, like I mentioned we have seen a good double-digit growth from both the brands and they add to our operating leverage, they add to our gross margins disproportionately. So, it's very important. Yes, I think I would credit a great work by the ZyduS Wellness team in managing a tough environment, but yes the team has really come up to the challenge and handle it but immune to seasonal impacts not yet.

Nikhil Upadhyay: Sure. Thanks, I will come back in the queue.

Moderator: Thank you. The next question is from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur: Hi sir, thanks for taking my question. I just wanted to check on the breakup between EverYuth and Nycil, how it would have panned out given the fact that Nycil is more summer centric? So, we would obviously have seen some decline, maybe if you can just specify, if not quantitatively but it's more on qualitative basis the growth for Nycil and also if you can also highlight the growth for EverYuth in the same way?

Tarun Arora: Ajay, I think while we do not, like you rightly also figure out, we do not share brand specific numbers. This is one of the few exceptional quarters where we have struggled on Nycil because of the sustained monsoon. Otherwise historically even in difficult seasons also Nycil does manage to do well. So, obviously that shows how deep and how long sustained the rainy season has been and impacted the overall seasonal impact. Having said this, EverYuth has had a phenomenal continued a phenomenal run that is it has had and we continue to be very excited about the opportunities that EverYuth has created for our growth. So, that's all I can share at this.

Ajay Thakur: Okay. So, would it be fair to say that EverYuth growth momentum which was there or the similar

kind of a growth momentum that we had seen last year is kind of maintained even in Q1, will that be a fair statement?
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Tarun Aro

ra: Yes, momentum has continued, absolutely.

Ajay Thakur: Okay, and you had alluded to cheese segment being entered in the food services domain. How big this segment would be and who would be the players over here? It's going to still give some more details in terms of what kind of opportunity lies ahead and can it be as big as maybe something like a margarine for us in the B2B?

Tarun Arora: We are early days into it. Look our biggest part on food service is still fat spreads. We have got into mayonnaise. Cheese is early days we have just done few months of numbers. So, I cannot say but yes potentially it could, it can because cheese as a segment is so large it could catch up with a margarine fat spread kind of business, but that's a long way off. It's a lot of hard work for the team to work on but yes it's promising and it also strengthens our Nutralite Doodh Shakti platform and the initial acceptance has been very good, so we are quite positive about what we could build on as we speak. The other players of course are the regulars that you would know in dairy segment or analog segment which includes the likes of Amul, Parag etc. All those players have their presence in this.

Ajay Thakur: Understood. Also wanted to understand a bit more on the Viemax. If you can share some light on how the Complian Viemax actually doing post its launch? What kind of growth are we seeing in this launch over here? And how can we expect the momentum or what can be expected going forward in Complian Viemax?

Tarun Arora: So, Complian Viemax is basically adult nutrition space. Overall the category is not growing super, but I think we made our initial good impact. We have seen a lot of doctors. We have taken a hard route of following something which is not our inherent strength, go to an expert route marketing which is the healthcare professionals the doctors supporting it. So, it's a strength that we are building and learning. We are seen some doctors really prescribing it and that gives us confidence that a formulation is good, the doctors are happy with our proposition and recommending or prescribing it to their patients and that helps us believe that there is good potential in it, but it's early days. It's still small and it's a long haul. We believe will only strengthen the overall mother brand Complian as a superior nutrition space spanning several segments from toddler to kids to adult now and we need to do more work and probably in next 2 to 3 quarters we can share more updates as we move along when we have more sizable actions on this.

Ajay Thakur: Understood. Quite helpful. Thank you sir.

Moderator: Thank you. The next question is from the line of Yashvardhan Agarwal from IIFL Capital Services AMC. Please go ahead.

Yashvardhan Agarwal: Hello. Hi sir. Thanks for the opportunity. I had a couple of questions. My question is on the growth. So, most of the products that we are present in, most of the categories are actually
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penetrated and we market leaders in it. So, just wanted to know that will our growth be linked to the category growth or won't it be and if not what are the steps that we are taking so that we can assume that our growth would be better than the category if not in line. So, that's the first question.

Tarun Arora: Can i answer or you want to ask your second question simultaneously in advance?

Yashvardhan Agarwal: Sir, you can answer this and I will ask the question again.

Tarun Arora: Okay. So, first of all, I think if you really look at it other than Complian most of the brands that we have they operate as market leaders in the space in their core categories, whether you look at Nutralite Sugar Free, EverYuth scrubs, EverYuth peel-off, Glucon D, Nycil and we have significant market shares in most of these categories. So, we see our role as driving the category. We are not driving market share. Market share of course is

a by-product, we are very happy to take higher market share. But if i were to take an example, I would be very happy if Glucose Powder becomes from Rs. 1,100 crore category to a Rs. 1,500 crore category rather worry about whether my market share is 59% or 61% because if the category grows, I will grow and therefore as a market leader our task is to grow those categories. Having said that and while working the core on category development which is through brand-led communication, building relevance, driving distribution, being available across omni-channels, the other opportunity is because our brands are so large and so strongly franchised with the consumers where there's a very strong

pull for that, we are also leveraging our brands into extensions where there's opportunity to grow much faster and there may be larger categories and we may start as a challenger. And for example, we just talked about Nutralite and mayonnaise or a cheese for example, EverYuth getting into body lotion, Sugar-free extending into foods like chocolates and cookies, so these are much larger categories. So, while my core job is to expand the categories and category development, I am using extensions to play in larger categories and leverage our brand with a differentiation which will help us drive growth. So, that's an overall playbook of how Zydus Wellness will play across categories and therefore innovation engine which works on improving and continuing our relevance in core and building our brands there as well as getting into new spaces is how this comes together and we believe that will be the way to success for our overall business as we move forward.

Yashvardhan Agarwal: Got it, sir. And the second question is on the margins. So, also we have guided earlier as well that we are trying to improve our gross profit margins. So, is it on the basis of we are expecting softness and raw material prices or change in SKU or probably launching new products, so what are the reasons for it?

Tarun Arora: I am not going to rely only on new products to improve our gross margin. Some places we can, some places it's harder. So, new products will follow a certain minimum margin levels, but the core categories have to improve margins which happens through a multiple actions which is price increases, calibrated price increases where there is opportunity and the consumers are Zydus Wellness Limited

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willing to pay, but more importantly managing a cost side very well. So, managing a commodity is right, taking future hedges and whatever actions contracting for a period of time, all set of actions and if the costs are not managed then passing it on to the consumers because being market leaders we have a reasonable pricing path. So, all these actions come together to drive product-by-product enhancement of gross margins.

Yashvardhan Agarwal: Got it, sir. That's it from my side. Thank you and good luck.

Moderator: Thank you. The next question is from the line of Shreni Makharia from Finspurt Analytics. Please go ahead.

Shreni Makharia: Hello, sir. Actually I wanted to ask about your products such as Complian Viemax, Sugar Free and Nutralite because do you think that they will benefit from GLP-1 trend also?

Tarun Arora: Yes, there is a GLP-1 trend that we are aware of. I can't answer anything in specific because those things will play out in the marketplace. So, obviously there will be impacts of how GLP-1 plays out.

Shreni Makharia: Because your Complian Viemax was prescribed by doctors, so there might be a chance that because for the GLP-1 nutrition has been prescribed by doctors. That is why I was asking, that will there be any like a subsequent benefit to them also?

Tarun Arora: So, our products are supportive of GLP-1 but we leave it to the doctors to understand and do the needful.

Shreni Makharia: Okay, I have one more question regarding the taxation. So, for '26 and '27, you said that there

will be zero tax and so what will be the guidance for like further years, if you can tell us?

Umesh Parikh: For this FY'25-'26, there won't be any tax. For next year, there could be some minimum maybe marginal tax, maybe you can take it about 8 -10 % and going forward in the next year it will be at a full tax rate which is at the rate 25%.

Shreni Makharia: Okay, yes. Thank you so much. That's all from my side.

Moderator: Thank you. The next question is from the line of Harshit from Golecha Family Office. Please go ahead.

Harshit: Very good evening. Sir, you have mentioned that in July-August there will be a slight impact for the seasonal product. So, despite of this on a like-to-like basis are we confident of showing double-digit growth in first half of this year, sir? This is my first question, sir.

Tarun Arora: We can't give you any specific quarter-by-quarter guidance. We have just given you a sense of what happens, but you'll have to take the interpretations yourself for that.

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Harshit: So, is it fair to assume the majority of the impact has already been absorbed in Q1 and July-August is not going to be a majority for Glucon D and Nycil, only for the seasonal part of the business I am asking.

Tarun Arora: Correct. So, most of it has been absorbed in quarter one the impacts. July-August is a much smaller part of it.

Harshit: Got it, sir. Thank you, sir. That was my only question, sir. Thank you.

Moderator: Thank you. The next question is from the line of Ravi Purohit from Securities Investment

Management Private Limited. Please go ahead.

Ravi Purohit: Hi, thanks for taking my questions. A couple of questions. One was, we don't share brand wise sales and numbers for the business but we do provide a table in our presentations which give you the category size and the market share that we have in that category. So, is it fair to assume that when I multiply the market share and the category size I should get the broad sense of the revenues for those particular products and if I map those out over a period of time that should give me like a trend of how the sales have progressed for those individual brands?

Tarun Arora: So, we don't share those brand wise specific numbers. What we put out there is what is available in the public space which the syndicated data from Nielsen shows. It may be helpful for you from a directional point of view, but its adequacy is for you to judge.

Ravi Purohit: Would you take it? Would you reply on it?

Tarun Arora: Because beyond on those spaces so it may vary from brand-to-brand basis of the coverage of Nielsen sub brands covered or not covered. So, therefore you will have to put your own judgments to it.

Ravi Purohit: No, I know, but I am just saying as an industry participant and as a contributor to new surveys, would you rely on that those numbers or should we kind of avoid because it will kind of you're putting it out in the presentation for us to see and if it is put by the company then we should be able to make some sense out of it right? So, that's what I am trying to understand. So, if you could help me give some context whether the data is reliable, less reliable, partially reliable, not reliable at all so at least we can use it from an analysis point of view and we can do it like a five-year trend numbers on those. For example sugar substitute Sugar Free says Rs. 370 crore category size and our market share is 96% which effectively means our sales for Sugar Free alone should be Rs. 350 crores. So, that's the place that I am coming from.

Tarun Arora: Like I explained to you, it is directional in nature. It cannot be precise because the coverage category-by-category is different. Also with e-commerce covering it does not cover e-commerce sales also. So, actually Nielsen relies only on part of modern trade and general trade and they

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give their numbers. So, therefore these are directional. So okay our trust on Nielsen is not like we are believing but it helps syndicated third-party data for you to assess on that, that's why you put it out. We are not saying that please judge us only on that. We have real numbers which we are sharing with you.

Ravi Purohit: Right, fair sir. And the second question is, when we acquired Heinz's business right and we merged into our own company, so Heinz, when it was part of Heinz was a full tax paying business. When it came and folded into our company that business became tax-free so to speak, at least from the reported tax. The same thing will also happen with Rite Bite once it kind of gets liquidated into our company that will also have no tax liability so to speak.

Umesh Parikh: Not fully because Heinz business there was a very high amount of intangibles playing out and that time the depreciation of intangibles was allowed. Now under the income tax but the depreciation of goodwill has gone. So, to the extent of the brand valuation, we get the taxes but not fully.

Ravi Purohit: Okay, so there will be some tax, is that reason why we are kind of liquidating that Company into this listed company right? I am assuming to get the tax...

Umesh Parikh: There are business rationales for liquidating your company and liquidation is much faster route for integrating the business activity.

Moderator: Thank you. The next question is from the line of Pawan Tiwari from 9 M Vala Securities. Please go ahead.

Pawan Tiwari: As I know the company is not disclosing the numbers for Rite Bite. But if they can share for the FY'25 numbers for Rite Bite?

Tarun Arora: Sorry, we cannot share numbers for the acquired business like we mentioned.

Umesh Parikh: But you have the numbers at the time of acquisition and we told you that the business has grown at the pace of 25% CAGR and currently it has exceeded the projections that we have built in at the time of acquisition.

Tarun Arora: You can get the directional numbers from that, but we don't share.

Pawan Tiwari: For '25 we don't disclose because in '25 we have for just one quarter and for overall year what was the numbers for?

Umesh Parikh: They are the number at the time of acquisition, that at the time of acquisition for the last financial year, it was Rs. 130 crores, 120 odd crores-140 crores for FY'24.

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Tarun Arora: After the acquisition it's part of our business and we follow the same system as for other brands. So, it will be not possible for us to.

Pawan Tiwari: Okay and does it continue the same group in Q1 of this year?

Tarun Arora: It is like explained even in the earlier question. It is higher than what we had envisaged.

Pawan Tiwari: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of my Mayur Parkeria from Wealth Managers (India) Private Limited. Please go ahead.

Mayur Parkeria: Thank you, sir for taking my questions again. Before I go to the questions, one congratulation in terms of now participants have started asking you quarterly numbers. So, that's a change in the from some of the long term in questions and investors which we were seeing earlier. So, now there's a lot of interest. So, congratulation on that narrative. On the question side sir, I had a specific question on Nutralite, our bigger competitors in terms of, one of the biggest competitor has been struggling significantly as far as the milk sourcing is concerned as far as because of the dairy on the dairy side for quite some time, what is our sourcing strategy for from that perspective given that now we have launched cheese and other ghee and butter, sorry not Ghee and butter, but other dairy products which we are looking at so what is our sourcing strategy on uh the milk side that is first and secondly I will again on the Nutralite but I will ask after your response sir.

Tarun Arora: So, for Nutralite there are two parts which we have. One is of course the traditional fat spread margarine and then mayonnaise business which is an oil-based product where we continue to work with large oil suppliers and we are able, we have good working relationship with them from a sourcing strategy and we do publish directional rates and which follows a global rate charts. Talking about dairy, we are largely focused on western UP dairy sourcing which is based out of a Aligarh plant which has a history dating back to 1959 when it was started and we have a own network of societies and farmers who provide milk and therefore we have been fairly consistent with them, we have worked and grown with them. So, we believe that we have sufficient support from that space and that that is what we will restrict ourselves to. We are not a big dairy player, we want to be restricted to this space as of now.

Mayur Parkeria: So, whatever our internal plans we don't see sourcing issues coming in our way for the next few years at least, that's the right way to look at?

Tarun Arora: Yes, we don't see the sourcing issues we do see pricing issues which comes with dairy, with any commoditized business, that's it.

Mayur Parkeria: Second on the Nutralite itself is again of mainly from the reason is, normally when there is a elephant in the room like Amul which is there on that side it becomes very difficult for to create

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a right to win strategy, especially when they are so agile and so successful in across the categories. What is our thought process in that side and from that perspective, one was from sourcing the other is from the marketing side and the product side, when you know there's a player and there are multiple players others also, but it's a large one. So, what is our overall strategy to right to win over the next three years if you can lay out that?

Tarun Arora: Let me put 3 or 4 things very quickly. One, I think the market is very large and therefore one large player doesn't perturb us. Secondly Nutralite has stood for healthier alternative to the core and each of our products clearly differentiates on some differentiated offering like recent launches the butter we have launched with the probiotic butter where there is a probiotic added, in mayonnaise we have added some vitamin fortification. So, we are quite focused that we provide high quality products, formulated with health in mind. A strong marketing and sales capability and there is room for multiple players that should take care of us.

Mayur Parkeria: Okay. Thank you so much. Wish you all the best.

Moderator: Thank you. The next question is from the line of Jai Amin from Ardeko Asset Management. Please go ahead.

Jai Amin: Congratulations Tarun on a strong set of execution in a challenging external environment. I just have one question. Could you elaborate on key insights of strategic - that emerge from the consultancy engagement especially concerning to the HFD category when Complian continues to underperform like 6% market share from acquisition base to currently 4%? And I wanted a follow-up, how do you look at the opportunity cost in terms of the management bandwidth as well as the innovation capital and at which point of time would you like to draw a line and dramatically alter the strategy? Or like get an exit from this category and double down on category where you are clear right to win and expand those categories?

Tarun Arora: So, I think there are 2 or 3 ways to look at it. Our market share has moved from 5-5.5 from June 2019 when we acquired numbers to June '25 if we were to look at. So, it's about a percentage point reported by Nielsen. Our own read is because Nielsen doesn't cover e-commerce where we have slightly higher than Nielsen reported shares, so our real blended share is better than what we report publicly because it's not public

data I cannot share it with you. Having said that, I think it's largely got to do with the category challenge. We believe that there is opportunity still in the nutrition space and how do we find relevance for our brand in the new world which where there is a struggle for HFD category, but Complan can still thrive by charging a premium by offering superior products and launching products relevant for the consumers for the new age consumer will be the only way to do it. If that works and it plays out, I think we should be sorted. If it doesn't, then we will have to do some strategic calls at some point of time in next couple of years.

Jai Amin: Okay. Thank you so much. That is it from my side.

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Moderator: Thank you. Ladies and gentlemen, this was the last question. I now hand the conference over to the management for the closing comments thank you and over to sir.

Tarun Arora: Thank you everyone for the interest shown and asking us some insightful questions on Zydus Wellness. I hope you have good health and good season ahead. Thank you very much and we will reconnect after the results of next quarter. Thank you.

Moderator: Thank you. On behalf of Zydus Wellness Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

November 10, 2025

Listing Department Code: 531 335
BSE LIMITED
P. J. Towers, Dalal Street,
Mumbai-400 001

Listing Department Code: ZYDUSWELL
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
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Sub: Transcript of the Earnings Conference call held on November 5, 2025

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(a)(iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q2 FY2026 Earnings Conference call held at 4:00 p.m. (IST) on Wednesday, November 5, 2025.

Please find the same in order.

Yours faithfully,
For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl. As above

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"Zydus Wellness Limited
Q2 & H1 FY '26 Earnings Conference Call"
November 05, 2025

MANAGEMENT : MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER AND
WHOLE-TIME DIRECTOR – ZYDUS WELLNESS
LIMITED
MR. GANESH NAYAK – DIRECTOR – ZYDUS WELLNESS
LIMITED
M R. UMESH PARIKH – CHIEF FINANCIAL OFFICER –
ZYDUS WELLNESS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Zydus Wellness Q2 and H1 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is

being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities Limited. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. As always, it's our absolute pleasure to host the management of Zydus Wellness for another quarter call. Today, the management is represented by Mr. Tarun Arora, CEO and Whole Time Director; Mr. Ganesh Nayak, Director; and Mr. Umesh Parikh, CFO.

Now over to Tarun and team for the opening remarks, post which we will open the floor for Q&A. Thank you so much. Over to Tarun, sir.

Tarun Arora: Hello, Good evening, and welcome to the post results teleconference of Zydus Wellness Limited for quarter 2 financial year 2025-2026. Like Manoj mentioned, I have with me Mr. Ganesh Nayak, Director; and Mr. Umesh Parikh, CFO, on the call from our side.

During the quarter, consumption trends were influenced by early and extended monsoons impacting sales in key seasonal categories. Despite this moderation, the non-seasonal portfolio demonstrated strong resilience, cushioning the overall business performance and ensuring steady momentum across core segments. Key commodities continue to exhibit divergent pricing trends, while certain inputs witnessed easing prices, others remained firm, leading to the mixed impact on the overall cost basket.

Quick commerce and e-commerce channels continue to maintain strong growth momentum, underscoring the sustained shift in consumer purchasing behavior towards digital platforms. Tier 2 and Tier 3 cities are emerging as the next phase of growth drivers. The implementation of GST 2.0 led to transitory business disruptions, particularly within trade channels adapting to the new compliance framework. These short-term effects have mostly stabilized as we speak. We believe that the next generation of GST reforms is a welcome and progressive move.

Currently, more than 85% of the company's products in the domestic market fall under the 5% tax bracket. This reform, coupled with changes in the direct tax rate and increased government spending are likely to enhance product affordability, stimulate consumer demand and strengthen overall value proposition of our brands.

During the quarter, the company acquired Comfort Click Limited and its subsidiaries, strengthening its international presence across key markets in the U.K., European Union and the U.S.A. as it builds it forward. This acquisition has enhanced company's overseas digital business platform and expanded its footprint in the fast-growing consumer healthcare segment.

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Comfort Click through its brands, WeightWorld, maxmedix and Animigo is among the fastest-growing digital consumer health care platforms in the VMS, which is Vitamins, Minerals and Supplements category. Supported by strong brand equity, loyal consumers and Amazon ratings above 4.6 across major European markets, the business derives most of its revenue from e-commerce and D2C channels.

It is well positioned to benefit from rising health awareness and the growing focus on preventive health care. The post-acquisition performance in the initial months have been broadly in line with the expectation.

Latest additions to our portfolio includes Nutralite Activ Peanut Butter, a plant-based range available in multiple exciting flavors, catering to growing consumer demand for healthy snacking options.

There is RiteBite millet wafer protein bar made from jowar. Each bar consists of 10 grams of protein, contains no maida, no palm oil and zero added sugar, again available in multiple flavors.

The company registered strong double-digit growth, excluding impact of seasonal brands and the newly acquired Comfort Click business. The performance of seasonal brands was temporarily affected by early and prolonged rainfall conditions across the country. However, company's structural growth drivers remain intact.

On a consolidated basis, the company reported net sales growth of 31% for the quarter and 12.8% for half year 1 financial year '26, driven by strong sales performance of newly acquired entities, which offset the impact of seasonal products. The company on a consolidated basis reported EBITDA of INR230 million with a growth of 17.3% year-on-year.

The acquisition has been funded through a low-cost bridge loan at an interest rate of 5% and the related interest cost has been included under finance costs. The brands recognized on acquisition are being amortized over a period of 15 years, resulting in a sequential increase in depreciation and amortization expenses during the quarter.

Exceptional items include one-off expenses related to the acquisition of Comfort Click and costs associated with the voluntary liquidation of Naturell (India) Private Limited, enabling the expeditious consolidation of its business with Zydus Wellness Limited on a going concern basis.

The net loss, including exceptional items and other non-cash amortization is INR528 million. The adjusted net loss, excluding exceptional items is INR186 million. The acquisition of Comfort Click is cash EPS accretive, excluding exceptional items such as onetime acquisition-related costs. Alongside its financial performance, the company remains deeply committed to environmental, social and to governance, the ESG principles. For financial year '25, the company's latest ESG publication and S&P Global rating showed a 6.3% improvement, taking the overall ESG score to 84. The company now ranks in the 99th percentile amongst the 331 global companies on the FOA food products industry group, securing the third highest position globally as of 24th October 2025. Brand highlights and market share details are provided in the investor presentation. Notably, Complan has maintained its market

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share and improved its position from fifth to fourth place according to the Nielsen report of September 2025.

Everyuth launched its Anti-Pollution Scrub sachet. Sweetener recorded a 97.9 basis point increase in market share also as per the Nielsen report, while Sugar Free continues its double-digit growth for -- Sugar Free Green continues its double-digit growth for 18th consecutive quarter.

The RiteBite Max Protein business has been integrated into company's broader distribution network, remains on track with its strategic growth plan, and also entered international markets. Strategic initiatives are underway across the portfolio to enhance product awareness, expand the consumer base and drive sustainable long-term growth. Thank you, and we will now begin the Q&A session. Over to the coordinator.

Moderator: Thank you. The first question is from the line of Mayur Parkeria from Wealth Managers. Please go ahead.

Mayur Parkeria: So actually, couple of questions from my side. Is it possible to give what is the actual number of -- for the quarterly, which is included for the Comfort Click, which is there for 1 month and 2 days?

Tarun Arora: We don't give separate numbers.

Mayur Parkeria: But to understand the like-to-like performance of our core business, it would have been a little helpful since this is the first time the consolidation has started.

Tarun Arora: So for your help, what we can say is that we have given the full year financial numbers at the time of acquisition.

We just have a 1 month of numbers that have come in, and it's largely in line with that. So that should be able to -- I mean, that's the most we could help you with.

Mayur Parkeria: Okay. Sir, segmental reporting, while business-wise we may not be mitigating the business into various segments, means we have begun for Personal Care and I think now that. But from a geographical segmentation also, will it make sense to now have a geographical segment given that we have 2 separate clearly geographies in terms of domestic and U.K. business as we go ahead for the year?

Tarun Arora: So I think it's a good suggestion. We will review it at the end of this financial year, because we do believe that the best way to do segmental reporting is at the beginning of a financial year. So over the next few months, we will consider this suggestion and relook at it if we need to revisit the segmental support disclosures.

Mayur Parkeria: Thirdly, finally, from a amortization of the brand over the 15 years, just to get a slightly better nuanced understanding, we have increased our intangibles by roughly INR2,500 crores, and we have increased our goodwill by roughly around INR800 crores. That's a INR3,300 crores increase. So here, the amortization amount, which will be sitting on the P&L for the next 15

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years into 4 quarters, which will be 60 quarters, if I say, will it be an equal amortization of this INR2,400 crores, INR2,500 crores or INR3,300 crores.

Umesh Parikh: The amortization will be of INR2,400 crores. And one thing for you -- for your clarification is that probably the goodwill brand and the total amortization amount, which is there mentioned, right, that exceeds the acquisition cost already paid, but that is because of the creation of the deferred tax liability, which is a sort of benefit to us, right? I mean in terms of financial, not really, because accounting standard requires us to create a deferred tax liability for that. Now the amortization will be on INR2,400 crores equally spread across 15 years.

Mayur Parkeria: So INR40 crores per quarter will be what the additional charge will come?

Umesh Parikh: Yes, roughly around that. Approximately, yes.

Mayur Parkeria: Roughly around that. And we will have the interest cost also on the bridge loan, which is there for the -- as we go ahead, right?

Umesh Parikh: Yes. Currently, it is 5% on this about GBP240 million. And as we go and make part payment, repayment, it will go on reducing.

Mayur Parkeria: Sir, just on this bridge loan, sorry, I was not the part of the call when I think you acquired CCL, I missed that, if there was a call there. So I may not be knowing this, so pardon for duplication.

But do we have plans for equity raising to reduce this at one time? Or do we plan to take it as we go as internal accruals?

Umesh Parikh: So currently, what we have done is that we have taken a bridge loan for 15 months. And we have a time to take it out and replace it by another capital type, could be a form of mix of equity or borrowing. But currently, we don't have any plan and we'll decide as we go along, maybe in a couple of quarters. But currently, we'll live with the bridge loan.

Moderator: The next question is from the line of Ronak Shah from Equirus Securities.

Ronak Shah: Yes, sir. So first of all, can you highlight what can be the quantified impact of the GST 2.0 implementation on the reported top line in the second quarter? And how do you expect these to normalize going into the third quarter given the ongoing adverse monsoon seasons, which we are seeing?

Tarun Arora: So we can't quantify the specific number that we faced. We did see a slowing down of purchases, both in general trade as well as organized trade, whether you look at modern trade and e-commerce. And there was a period of time when some of the larger players did not buy, but hard to specifically quantify

y. But what we've seen is largely everything has come back and stabilized and it is business as usual. So we look forward to business as usual.

From a consumer point of view, I don't think there would have been any significant shift from our business, may have just impacted some change in inventory, which will also catch up eventually.

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Umesh Parikh: Yes. It did impact the primary, though secondary and tertiary they remain and we did not lose any sales there.

Ronak Shah: Okay. Got it. Sir, my second question is on -- that -- despite one-off cost of the acquisition-related costs, which has accounted for the exceptional item, despite that our reported EBITDA margin stand relatively lower compared to the last year. So does it play that -- it is purely because of the deleverage of the Personal Care segment or the Comfort Click is currently operating at a lower margin compared to what we have acquired?

Tarun Arora: I don't think there is anything to do with Comfort Click. It just stays -- I mean, too early to even imagine any changes there as it is. It's a deleverage of the seasonal brands. Both Glucon-D and Nycil came under significant pressure and with that deleverage because our margins are anyway thin in this quarter has played out. But otherwise, which is, again, like we have explained earlier in my statement and consistently, that's the only impact that we see.

Ronak Shah: Okay, sir. And sir, lastly, as the acquisition has been done, are we seeing any structural or operational intervention by the Zydus Wellness into the Comfort Click operational to have a different sort of growth trajectory or profitability metrics right now?

Tarun Arora: Not required. I think it's too early. There is a capable management, which is running it. They've been incentivized. We'll work with them wherever required.

But they are -- it's a strong team, and they're building Europe, they're taking it to U.S. Nothing specific to talk about. We are obviously working more in finance and HR to start with and then we will see. I think too early to talk any specifics.

Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: This is regarding this Comfort Click. If we -- are they continuing to grow at that 57% growth that they were growing previously? And if I remove that 1 month revenue, then our revenues are basically flat. Is that the right number?

Tarun Arora: So I think 57% is what we've reported the last 5 year series, yes. The growth rates are -- continue to be in good double digits. What we've seen is the teens growth in the category at East Europe level. They have been beating that for a long period of time, and we do believe they will continue to build that. But 1 month is too short a period to start even looking at these numbers from a clear point of view.

Coming back to how is our performance without them, yes, we've had a tough quarter, largely impacted by the seasonal brands. Without seasonal brands and without counting Comfort Click, it's a good double-digit growth. Adding seasonal growth -- seasonal brands back, it is largely

flattish.

Pallavi Deshpande: And sir, my last question would be, when would they be foraying into the U.S. and -- in terms of the margins in that side of the business?

Tarun Arora: Sorry, I didn't get your question.

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Pallavi Deshpande: When will -- you mentioned that they are looking to foray into the U.S. also, so when is that planned for Comfort Click foray into the U.S.

Tarun Arora: They've already started last year, so it's a long-drawn process. They've already started. They already have actions in place, including approvals, setting up the whole thing. So it takes time, and there -- it's a work in progress.

Pallavi Deshpande: Sir, my last question is what would have been the growth in FY '25 -- Comfort Click's growth?

Tarun Arora: Off hand, I don't have it specific. We have the 5-year specific, but will be good high double digit.

Moderator: The next question is from the line of Mayur Parkeria from Wealth Managers.

Mayur Parkeria: Is it possible to share some of the operating data from an e-commerce platform, which we normally track in terms of monthly transacting customers or active customers, what kind of average order values are there? Some of the -- because we...

Moderator: Sorry to interrupt, Mayur. Your voice is breaking.

Mayur Parkeria: Yes. Is it okay now?

Tarun Arora: Yes.

Mayur Parkeria: So will it be possible to share some of the operating metrics from a platform perspective in terms of active users, monthly transacting users, average order sizes and -- because I wasn't able to track some of these private entities with that first data otherwise and again I --

Moderator: Sorry to interrupt, Mayur. Could you please check your network connection and rejoin the queue? Your voice is muffled.

Mayur Parkeria: Is it okay now?

Moderator: Still the same. Could you please rejoin the queue? The next question is from the line of Ronak Shah from Equirus Securities.

Ronak Shah: Sir, my next questions are on the RiteBite Max Protein. So sir, can you first of all, highlight how the growth rates are considering we are now integrating the distribution channel of the Zydus Wellness into that? Secondly, how we are seeing the profitability of the business considering the high scale expansion?

Tarun Arora: So while we don't give number specifics, but I can give you a broad sense of how the business is doing. So business, so far almost 10 months since we bought it has actually beaten all the past trends and our estimates from a top line point of view. Similarly, from a bottom line point of view, it has exceeded the estimates set for it. So we are quite bullish about the possibilities of this business, and we believe we'll continue to invest and innovate on this platform to make it more meaningful and sizable in our portfolio.

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Ronak Shah: Okay, sir. And sir, from the understanding perspective, over the last 10-odd months, how we have shifted to channel saliency considering we are now pouring and increasing the presence into the offline market as well. Can you highlight something on that?

Tarun Arora: So we have expanded general trade distribution significantly, adding more towns, adding people, and we have plans to continue doing that. Similarly, quick commerce has been a big driver for this. The category has been growing, and we've been investing and growing significantly on the quick commerce platform. So overall, it's been a good growth story across channels. We have also started taking it international.

So some of the markets we've got, as we have introduced these products, we seem to be getting good response. But it's a work in progress and early days to say about international.

Ronak Shah: Okay, sir. And sir, secondly, from the accounting perspective, we just want to have understanding what is the amount at which we have reported the Comfort Click acquisition in INR terms? And when we split into the intangibles and goodwill, what is the proportion of that?

Umesh Parikh: Portion between the brand and goodwill is roughly about 75:25. And as Tarun sir say that we don't share the numbers in INR. But anyway, you will have these numbers at the end of the year when we share the subsidiary performance.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: A couple of questions. First, looking at the headwinds that you called out in the quarter, which is pertaining to GST transition and the seasonality, margin seems to have done well. So are there any one-offs there? Or this we have done in such a difficult quarter, should we assume that once normalcy come

s back from 3Q, 4Q onwards, our margin trajectory will improve disproportionately and perhaps that ambition to reach 18%, 19% margin can be preponed?

Tarun Arora: I think while we are very focused on that, we have -- you got the right point that given the deleverage we had because of loss on seasonal brands as well as GST, the impact is very steep, but I think it's been a difficult quarter. We still do believe that we are on path to doing 17%, 18% that we have committed on EBITDA on the base business as per original plan. If Comfort Click also shapes up, then that also, we hope to get there. But these are, I think, work in progress and early days to comment.

But the base business, I think the story remains intact. And I think there's no specific shift I could report. Yes, we are committed to drive that much harder with improved gross margins, and you'll see some actions on that as we move forward, improvement in gross margins. And if we can take the leverage out, may be able to do it more smoothly.

Tejash Shah: Very clear. Sir, second, it's more of a request. The way our business is growing and expanding, the complexity is also increasing both in terms of domestic portfolio and overseas, how would you like us to kind of track the progress? And it's a request also, which was made earlier on the call that if you can share at least international and India slightly separately so that we can have some fair sense of asking right questions.

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Tarun Arora: Tejash, thanks. I think somebody else also pointed out. We will seriously be looking at it, and we'll work towards it. Ideally, we change this at the beginning of a quarter, even when we started the disclosure between Food & Nutrition and Personal Care, started at the beginning of the year -- sorry, not quarter. So we'll see how quickly we can because we do recognize that these disclosures will help you to track us better, and we'll figure it out and come back to you.

Moderator: The next question is from the line of Mayur Parkeria from Wealth Managers.

Mayur Parkeria: Sorry, the voice was muffled. Am I audible and clear now?

Tarun Arora: Yes.

Mayur Parkeria: Sir, what I was trying to understand is it will be helpful along with the -- while the current quarter, you can share some of the details, but make it a disclosure is with respect to how the platform -- some of the operating highlights of the platform, which normally most platforms disclose in terms of what would be our -- the average ticket size, what are monthly transacting customers, monthly active customers, how has been the growth in those channels?

Also in terms of -- sorry, but again, I could not get understanding. Are we operating more like a marketplace model? Or is it more like an inventory kind of -- sorry, just what we call non-marketplace kind of, not an inventory model. So how do we operate?

And in that case, our take rates and -- because I understand EBITDA margins are more in the region of 15%, so it would be a marketplace kind of model. So just to share some of the understanding on the quarterly basis and make it a standard practice for us to understand and get rather than asking it on the call, will help us to get a little more color on the international business as we go ahead, sir.

Tarun Arora: I hear you. We understand what you're saying. So first of all, it's largely -- and we've explained it earlier also, if you look at it, it's largely a marketplace. So about 75% to 80% of the business is right now on Amazon, which is a marketplace model. Remaining is their own website.

There are other platforms which we are exploring and we're building, but that's largely what reflects on this. Some of the metrics we could start sharing at this stage, while we have reviewed and we are working on it, we could start sharing some of those things eventually. But some of them are also competitive in nature.

So

we'll review this and come back to you with some more details and color on this in terms of both the number of customers and revenue per customer from -- on each of the 2 platforms, whether it is marketplace, which is largely Amazon or D2C website. These are things that we do review, but start sharing we'll come back to you on the possibilities of that.

Mayur Parkeria: That will be great, sir. Sir, last question on the Comfort Click. Strategically, when at the time of our acquisition and now our plan, if we look at the next 3 years, strategically, will the focus be more on growth or will the focus be more on getting efficiency and repeat customers? How are

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our geographical expansion? Which of the 3 would be our focus and your milestones which you have given to the management team as we go ahead.

Tarun Arora: So there are 3 or 4 metrics that we could look at. One is they have a very good, strong proven model of working with marketplaces, which is reasonably efficient. Trying to work on improving our market shares in each of the markets, top 6 markets, constitute a significant proportion of their business, and they will continue to focus on growth on the same country growth.

And that's one metric or one KPI they will drive growing within the geographies which are sizable for them because there is still enough room for growth within those geographies. Second parameter that they will focus is expanding to new markets, which are large, high potential markets, like we talked about U.S., which is the largest of markets. That's a very large deliverable for them.

Having done all these, the profitability and other operational metrics are also part of their KPIs to look at. At the overall -- at the end of it, it should translate into ahead of the industry growth from a top line point of view, but a stronger journey on EBITDA. This is the broad framework that we will be looking at this model if we look at over the next 3 to 5 years.

Moderator: The next question is from the line of Lakshminarayanan Ganapathi from Tunga Investments.

Lakshminarayanan G: Sir, a couple of questions. When I just look at the category size of Glucon-D, Complian and Nycil, which was given at the time of you acquiring those brands, they're something like INR850 crores, INR6,700 crores and INR750 crores. When I look at it, they have -- I mean, as we speak right now, Glucon-D has gone from INR850 crores to INR1,050 crores. Complian has gone from INR6,700 crores to INR6,800 crores and Nycil also hasn't gone up. So is there a problem with the category that the category doesn't seem to grow from the time of you acquiring till now? That is number one. Second, if I look at your 2022 data and 2025 data in terms of market share, which you have actually provided, there seems to be a market share drop in Nycil and also in Complian. So I just want to know why category itself is not growing? And second, why on a slightly long-term point of view, like a 3-year point of view, our market share actually have dropped.

Tarun Arora: Okay. So there are 2 or 3 parts to this question. Let me just break down into 2 parts. One is Complian and second is Glucon, Nycil. First of all, Glucon-D, Nycil, if I look at last 3 to 4 years, they've been growing at a good pace, much faster than pre-acquisition growth rate.

Despite this being a low performance year, we have seen actual degrowth in this category. But the fact is that these are growing. Nielsen doesn't do justice. We have been engaging with Nielsen to give us better numbers. I only see across 3 brands their coverage has actually reduced, and that's a problem.

One reason, of course, also is at the time of acquisition the e-commerce was 1%. Today, the share of e-commerce in each of these brands has gone up and going up to 15% to 20% for

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Complian, which is not even

captured in the numbers we share at an industry and our market share levels. So if I were to redo my Complian market shares, including e-commerce, which is not reported by Nielsen, they will be in line with what we had at the time of acquisition, a little lower, but then that's also a choice.

We have a disproportionately lower presence in sachets, which we believe is more value eroding. So we've played as per the right consumer metrics, where we have grown on the larger packs, more profitable part of the business and let go or played lower on the sachets.

So directionally, I think Complian, the bigger issue is category has been under pressure, and it's been very public because the other 2 players, 3 players also talk about the same thing. Having said this, the market share is largely protected in the spaces which matter to us. If anything, UP and Bihar have actually been grown significantly from before acquisition to now. Critical markets of West Bengal and Tamil Nadu, we are fighting. Tamil Nadu, our market share is still as good or bad as it was before acquisition.

West Bengal has been a bit of pressure, but the business is still holding well. So overall, I would say Complian, a larger category issue, but we've managed kind of well. Looking forward, we do believe that the brand is getting stronger, how do we reframe and pivot it to potentially better spaces to build this brand.

Coming back to Glucon-D, Nycil question that you raised, those categories were growing at very

low single digits in 4 to 5 years before acquisition. Now Glucon-D in last 4 to 5 years is growing at good rates, almost 1.5x to 2x of what they were growing earlier. Nycil has also grown post acquisition at a good double-digit rate. Market share at the time of acquisition was close to -- for Nycil was 30%, which went to 35%. Right now, it's 33%.

I mean, these market share movements are competitive in nature. I don't think we are any weaker than others, but a little bit of percentage here and there will move. But the brand has been growing at a good double digit. So I'm not too worried about Nycil trajectory or Glucon-D trajectory. Glucon-D, we are also pivoting to RTD, which we've launched this year, for example, we had the Activors and there may be more stuff that we'll be doing in terms of -- so broadly, this is the broad space I could give.

You have more specifics, we can pick it up quickly or maybe you want to have a more detailed conversation scheduled?

Lakshminarayanan G: Just one question on addition to that, right? So if I look at the category itself, which has been reported, even including Sugar Free, hasn't really grown since acquisition. It's nothing to do with any category of what you -- even you mentioned the category size of Glucon-D, Complian, Nycil and Sugar Free, they have not really grown. They have grown at like 1%, 2%, 3% kind of thing or even stayed flat. So is it -- is that category size also was reported wrongly?

Or how do we take this up? Because as investors, we find that the category itself is not growing. However, you are growing, that's one part. But how to think about it?

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Tarun Arora: So there are 2 parts on this. Let me go to sweeteners, and I think that's to be looked at from a different lens. So between 2018, '19, I don't remember the specific year, Nielsen stopped reporting because globally they sold the category space to IQVIA in their relationship. So for almost 1 or 2 years, they did not report the category. And when Nielsen, IQVIA restarted the reporting, they reported a category drop of, I think, 15%, 20%, while we never dropped 15%, 20%.

They have been rebuilding the category estimates for last 3 to 4 years. And therefore, there is an asymmetric growth capture between Nielsen -- or Nielsen, IQVIA and us. Having said this, I think last 3, 4 years may be a better reflection, but around '18 to '20, I think,

'19 to '20 or '21, I

think almost 1.5, 2 years, we had limited reporting of Sugar Free or the sweeteners category from Nielsen, IQVIA.

So there's a bit of struggle on that. And they suddenly dropped because if you look at all our reports, I don't have it handy, suddenly from INR360 crores, INR370 crores, they dropped it down to INR310 crores, INR320 crores. And then after that, they've been rebuilding the category.

Our -- coming back to how we've been performing, I think we've been very clear. We've been growing. But at a single digit, our challenge has been that this category can do better with recent actions on sweeteners with Sugarlite, which again went through a trouble, but I'm lite, Sugar Free D'lite and Sugar Free Green, these are our pivots of driving double-digit growth and should overcome the challenge that the category -- base category has faced. But that's a broad sense of what has happened. And also just on that, I think this category has also had a high e-commerce presence now, which again is missing in the Nielsen, IQVIA reporting.

Lakshminarayanan G: So just to summarize, right, I think it would be helpful to actually put the right category size number as well as perhaps your -- what do you think is your market share. Otherwise, it doesn't -- it's not a good presentation, I would say, because it either undervalues your company's performance or we get -- we are unable to really understand what's going on. So if you just perhaps maybe you can relook at it and see whether the way in which you want to represent the segment or market share and growth.

Tarun Arora: I understand what you're saying. The problem is that we report best third-party estimates available. We don't -- I mean, it will be unfair for us to start putting our estimates because then there is the biases that come. We have our view. But from a fair, transparent reporting point of view, I try to give you the best possible estimate that we can give you available in the market. We have impressed upon Nielsen to get e-commerce estimates so that we are able to represent the category better. It helps us to drive our actions internally. It helps us to share with you more transparently what the category is. But any playing with those numbers while reporting to you is, I think --

Lakshminarayanan G: Since you acquired these 3 brands, Glucon, Complian and Nycil, if you just index it at 100, what has been the CAGR of these 3 things put together? If you can just say...

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Tarun Arora: At double digit on Nielsen for the last 4, 5 years, high singles or closer to double digit for Glucon-D. Complian has not been so good, but that's more category because the category has been flattish for almost 4, 5 years --

Lakshminarayanan G: So these 3 brands put together, what has been the CAGR growth you said -- for all of them put together.

Tarun Arora: I think we can set up a more detailed conversation separately. Sanketh will -- you can reach out to Mr. Sanketh Parikh on this.

Moderator: The next question is from the line of Mohit Dodeja from Emkay Global.

Mohit Dodeja: A couple of questions from my end. So this new acquisition, Comfort Click, what are the target return ratios? And when do you anticipate crossing the hurdle rate? And second question being like what has been the initial consumer traction like for the millet wafer protein bar?

And how does the margin profile of the next-gen products are compared to the established heritage portfolio like Sugar Free or Glucon-D? And these new launches are driving new consumer acquisition or are they capturing wallet share from your existing brand users? That's it from my end.

Tarun Arora: So let me answer the consumer questions first. First of all, the millet bar, I think it's early days, but we see a fairly good traction because most of the people who tried the product have loved it. We see both on e-commerce as we

Il as GT a good traction. So we are quite excited about the possibilities. From a gross margin perspective, overall Max Protein business and this included, we're largely in line with our overall gross margins before Comfort Click, and that's what we have stated earlier also and largely in line with that.

We can't give you more specifics than that. And third was how is the growth coming? I think the share of growth is not coming from any of the internal brands. Most of the innovations are actually helping us gain a wider set of consumers who have not been consuming our brands.

And that's really what the value of innovations will be.

If I were to cannibalize or share -- take wallet share from within my portfolio, then it's not a valuable innovation. The only brand, only innovation or only piece that I see, which partially cannibalizes is Sugar Free Green because all the Sugar Free consumers who may be considering exiting may come back on natural-based products. Most of our innovations really focus on acquiring new set of consumers, including Sugar Free Green. So I think that remains our fundamental ways of working. Coming back to your question on earnings, I'll let Umesh handle it.

Umesh Parikh: Yes. So on the Comfort Click acquisition, as such, you may be aware that whatever the acquisition has happened over the last past 2 years in the FMCG segment, the likely payback period always have exceeded 8, 10 years. But here, we are quite optimistic. Even as per our internal conservative estimates, we are really optimistic about this particular acquisition, how it plays out. But it is too early to say.

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But no specific hurdle rate or internal targets have been set out currently on this, but we are working on the future strategy and the growth aspects.

Mohit Dodeja: Okay. Sir, like, is the hurdle rate high-single digit or in mid-teens? Can you quantify that number?

Umesh Parikh: So if you are -- by hurdle rate, if you mean the volume growth or the sales growth or any specific like --

Mohit Dodeja: No, no. I need the margin --

Umesh Parikh: -- or looking at the IRR. Margin. If you are looking at the margins, we have already published our margin at the time of acquisition. We hope that they will either remain the same or continue to improve. But what is going to drive this profitability is not the margin percentage, but the growth in the volume and the growth in the sales and that we are very optimistic about.

Mohit Dodeja: Okay. Got it. And one more question just for -- my last one. I noticed the A&P spends have gone up significantly this year, while when we include the effect of seasonal brands, the top line, as you mentioned, is flattish. So just wanted to know whether this hike is a result of competitive intensity or any other reason?

Umesh Parikh: So it's just because inclusion of the results of 1 month and 2 days --

Tarun Arora: As well as the NIPL which is --

Umesh Parikh: As well as the RiteBite and Max Protein, those advertising and marketing spend were not in the

base numbers of the last year.

Tarun Arora: Like-for-like portfolio has seen -- the sales are a bit lower only. So we've managed the advertising.

Moderator: The next question is from the line of Rajeev Anand from Narnolia Financial Services Limited.

Rajeev Anand: My question is on depreciation and amortization. So for full year basis, is it expected to be around INR160 crores?

Umesh Parikh: The brand depreciation on the Naturell (India) Private Limited as a competitive brand, the quarterly run rate will be in the range of INR46 crores, INR47 crores.

Rajeev Anand: Okay. And secondly, question related to Comfort Click. So did Comfort Click clock 15% plus EBITDA margin in this quarter?

Tarun Arora: It's just a 1 month of numbers. I think it's too early to comment specifically. Like Umesh has also mentioned, I think we'll be publishing the results of th

e subsidiary on an annual basis, and

that would be the best time to look at it. Month-to-month will be just too short. But we do believe it will be in line with the forecast at the time of acquisition, but 1 month is too early.

Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital.

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Pallavi Deshpande: Yes, sir, just wanted to understand the e-commerce part better. So you mentioned 15% of Complan sales is from e-commerce. Is that right?

Tarun Arora: Sorry, could you repeat the question, please.

Pallavi Deshpande: Yes, I wanted to understand this e-commerce part better. Are the margins in e-commerce this year lower than last year versus general trade, if I compare margins? That's the hint I'm getting from other FMCG companies.

Tarun Arora: No, no. For us, it's largely in line with the regular.

Pallavi Deshpande: Other channels. Okay. And it's 15% of sales for Complan, is that right?

Tarun Arora: I mean broadly, it varies from brand to brand. Some brands are much higher, some brands are much higher and some brands are much lower.

Pallavi Deshpande: Complan -- and for RiteBite and Complan?

Tarun Arora: So for RiteBite it is much higher and Complan will be more 15%, 18% range.

Pallavi Deshpande: Right, sir. And do we see -- I mean, in terms of the growth for -- like you said, the market share has improved 1%. So what drives that increase in market share? Is it more the e-commerce, change in channel or...

Tarun Arora: So we continue to focus more on channel-by-channel strategy, where we are seeing good traction. You're asking about Complan, I'm assuming.

Pallavi Deshpande: Yes.

Tarun Arora: We continue to focus on larger packs in organized channels, and that really helps us focus or get a better performance on that. There are different SKUs in different channels, and that channel-by-channel strategy helps us to execute better as per the consumer needs.

Pallavi Deshpande: All right, sir. And sir, my last question is on this Comfort Click, like you rightly said at the end of the year, we'll have a clearer picture. But since we are penetrating new markets like the U.S., more in Europe, so will that not take a toll on margins in the first year because of --

Tarun Arora: No, we don't expect...

Pallavi Deshpande: -- higher advertising spends for those markets.

Tarun Arora: No, no, no. We don't expect that challenge.

Pallavi Deshpande: And the strategy -- go-to-market strategy will be pretty much similar in terms of customer acquisition, what it has been in the U.K.?

Tarun Arora: Yes, largely built on the knowledge that we acquired from European.

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Moderator: The next question is from the line of Madhu Agrawal, an individual investor.

Madhu Agrawal: So I have 2 questions. One is trying to understand what Q3 and Q4 will look like. My understanding is that we've had a difficult Q2 because of the challenges in the seasonal category, which is I understand Nycil and Glucon-D. I also remember from last quarter's call that 80% to 90% of sales for Glucon-D and Nycil are booked in Q1 and Q2.

So while you're still targeting that 17%-ish margin for the full year, do you have any thoughts on where will that specifically come from? Or how do we achieve that? Because I'm assuming these 2 products will continue to underperform for Q3 and Q4?

Tarun Arora: I think let me just say that I think some part of your understanding is not exactly correct. Actually, it's not Q -- it's quarter 4 and quarter 1 of a financial year, which constitutes the largest portion of these businesses. It's just that we have had a bad season or tough season because of the continuous rains that our quarter 1 and quarter 2 have got impacted. There is no reason for us to believe that this is what will continue. Quarter 3 is anyway a small quarter for these brands and quarter 4 is a new season altogether.

er 4 is a new season altogether.

So it just resets and there is a new thing which happens, which is more of a pipeline fill. So we do not have any estimates specifically to give, like you said, but this is the broad direction that I can share with you.

As far as 17%, 18% EBITDA journey you've talked about, we have stated at the beginning of the year that over next 2 years, we intend to get to a 17%, 18%, which is through a mix of gross margin improvements and operating leverage as the scale goes up and it translates into a better operating leverage helping us get to it. We are on track. Most of our actions are in place.

Temporary or short-term impact of business doesn't change our broad strategic approach to get there.

Madhu Agrawal: Understood. And good to know that Q4 still presents potential on those categories. My second question is really about how you're looking at the business over a 3- to 5-year horizon. Are you seeing all of the different product categories contributing more or less evenly to the growth? Or are you seeing 1 or 2 categories as being the blockbusters that will really drive the future of the company?

Tarun Arora: We are a multi-category, multichannel and multi-geography now. And each of the sales, if I were to look at, we have plans and strategies to build it. So it's not just 1 or 2, but a whole lot of sales, if I were to break down by channel, brand, geography, et cetera. We've got our strategy in place, and therefore, that should help us get to our double-digit growth that we aspire over the next 3 to 5 years.

Madhu Agrawal: Understood. Are there any -- let me rephrase. Are there any specific ones that you see as being from outperformers or contributing disproportionately to growth? Or are there any categories that perhaps -- and you may not, but perhaps have more of a focus than the others?

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Tarun Arora: No. I think like I explained, each one has their own task, and we have clearly got this. If you want to pick up more questions, I think you should reach out to Sanketh, and he'll be able to help you with some of those more specific things.

Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors.

Umang Shah: First of all, congratulations on the acquisition of Comfort Click. I think it's a very interesting addition to the Zydus portfolio. The question I had was, with respect to distribution, we are a company which started with distribution at the chemist channel. And over time, we have also expanded our distribution to the general trade in the form of kirana stores. Today, if you were to look at on a pan-India basis, what percentage would we have covered? And is there -- is distribution a lever for us to expand both for RiteBite and for the legacy Zydus portfolio?

Tarun Arora: Yes. Distribution will continue in our FMCG business to be a strong lever for growth. We have -- at an overall level, as explained in the past, from our traditional portfolio before even the Max Protein business, about 28 lakh, 29 lakh outlets, which stock Zydus Wellness products with a direct reach of more than 6, 6.2 lakh outlets.

We are planning to go up further over the next couple of quarters to increase our direct distribution and our wish list is to take overall availability to 3 million first and then get to 3.5 million and further beyond. So distribution will remain a focus. And we also look at other channels as they grow from a consumer behavior point of view. We think we have to be wherever the consumers shop.

Umang Shah: Great, sir. And sir, just one question on RiteBite. Any plans to foray into protein powder or more of fitness level SKUs?

Tarun Arora: We are evaluating multiple new products. We will share once we have something specific.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question for today. I now hand the conference over to the management for closing comments.

gement for closing comments.

Tarun Arora: Thank you. Thank you for your support. We look forward to seeing you at the end of quarter 3. Thank you and best wishes.

Moderator: Thank you very much, sir. On behalf of Zydus Wellness, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 9, 2026

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Listing Department Code: ZYDUSWELL

NATIONAL STOCK EXCHANGE OF INDIA LIMITED

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Bandra Kurla Complex,
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Sub: Transcript of the Earnings Conference call held on February 3, 2026

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(a)(iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q3 FY2026 Earnings Conference call held at 4:00 p.m. (IST) on Tuesday, February 3, 2026.

Please find the same in order.

Yours faithfully,

For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl. As above

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"Zydus Wellness Limited
Q3 FY '26 Earnings Conference Call"
February 03, 2026

MANAGEMENT : MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER AND
WHOLE-TIME DIRECTOR – ZYDUS WELLNESS
LIMITED

M R. UMESH PARIKH – CHIEF FINANCIAL OFFICER –
ZYDUS WELLNESS LIMITED

MODERATOR : MR. ASHUTOSH JOYTIRADITYA – ICICI SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Zydus Wellness Q3 FY '26 Earnings

Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashutosh Joytiraditya from ICICI Securities Limited. Thank you, and over to you.

Ashutosh Joytiraditya: Thank you, Ikra. Hello, and good afternoon, everyone, present on the call. I, on behalf of ICICI Securities, welcome you on Zydus Wellness Limited 3Q FY '26 earnings call. I would like to thank the management to give this opportunity of hosting the call. From the management, we have with us Mr. Tarun Arora, CEO and Whole-Time Director; and Mr. Umesh Parikh, CFO. I now hand the call over to the management for opening remarks, post which we will open the floor for Q&A session. Thank you, and over to you, sir.

Tarun Arora: Hello. Good evening, and welcome to the post results teleconference of Zydus Wellness Limited for quarter 3 financial year 2025-26. Like Ashutosh mentioned, I have with me Mr. Umesh Parikh, who is the CFO on the call from our side. During the quarter, consumption trends remained steady, led by sustained recovery in rural demand, which continued to outpace the gradual improvement in urban markets. Commodity input costs exhibited divergent pricing trends across categories.

Structural growth drivers remained intact with quick commerce and e-commerce continuing to scale the strong momentum. During the quarter, we continued to strengthen our portfolio and platform for sustained growth through targeted innovations and geographic expansion. Nutralite Professional expanded its offering with the launch of Cheesy Delight and Slim Mayonnaise variants, enhancing portfolio, addressing evolving taste preferences and enabling incremental growth across all food service channels.

On the Comfort Click business, it deepened its portfolio with the launch of 4 adult gummies variants, 1 probiotic gummies variant for kids and Pure Himalayan Shilajit Resin, reinforcing its position in high-growth Wellness categories. Additionally, the WeightWorld brand advanced its European expansion by entering Poland, Finland, and Portugal, strengthening Comfort Click's regional footprint and unlocking access to fast-growing Wellness markets in Europe.

RiteBite Max Protein expanded into 2 additional international markets, taking its presence to 9 countries within the first year. The recently launched Wafer Bar continues to contribute to category growth and market expansion within India. Zydus Wellness initiated marketing and distribution for the Cuticolor brand in the organized channel. The brand is Number 1 doctor prescribed in the hair coloring space and is strengthening the company's focus on functional skin and hair care.

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Coming to company's financial performance. Net sales for quarter 3 financial year 2026 registered growth of 113.7%. Within this, Food & Nutrition segment delivered growth of 134%, while Personal Care segment declined by 1.4% during the quarter. Volumes for quarter 3 financial year 2026, excluding the newly acquired Comfort Click business, delivered double-digit growth, reflecting underlying demand momentum.

On a year-to-date basis, financial year '26, excluding Comfort Click and seasonal brands, recorded strong growth of double-digit, in the high teens range, supported by mid-teen volume growth. On a like-to-like basis, RiteBite business doubled its legacy performance and exceeded internal projections. The Comfort Clic

k continues to perform in line with the expectations.

Most brands recorded gross margin expansion, underscoring the strength of our portfolio with the improvement further supported by the newly acquired brands. On the raw material front, except for milk, other key inputs remained largely under control ahead of the upcoming season. Other operating income declined year-on-year due to GST budgetary support of INR90 million recognized in Q3 financial year '25, in the prior year.

On a consolidated basis, the company recorded EBITDA of INR610 million, representing a quarter year-on-year growth of 312.2%. EBITDA margin expanded to 6.3%, up from 3.2% in the previous year. Key growth drivers -- sorry, key drivers impacting the movement of EBITDA to PBT for Q3 and Y-T-D FY '26 include the acquisition was funded through a low-cost bridge loan at 5% with the related interest expense reflected under finance costs amounting to approximately INR371 million for the quarter 3.

Amortization of acquired brands resulted in higher depreciation and amortization charges, about INR472 million for the quarter 3. Exceptional items primarily represent onetime impacts arising from the implementation of new labour code, acquisition-related costs, and expense associated

with liquidation of Naturell India Private Limited, a subsidiary of the company on a going concern basis. Importantly, Comfort Click acquisition remains cash EPS accretive even after accounting for interest and tax.

The net loss, including exceptional items and noncash amortization is INR399 million. The adjusted net loss, excluding exceptional items is INR333 million. During the quarter, company further strengthened its organizational capabilities and culture. The company was certified as a Great Place to Work for the fourth consecutive year, reflecting its continued commitment to talent development, employee engagement, and a workplace excellence.

Brand performance and market share developments are detailed in the investor presentation.

Notably, Complan maintained its fourth rank market share position. Going forward, building on the strong brand equity, we plan to reframe Complan's participation in the nutrition space with a set of relaunches and new product introductions to be more relevant for contemporary need states.

We are also expanding its celebrity-led outreach by partnering with emerging 14-year-old cricket sensation, Vaibhav Suryavanshi, to connect with younger audiences. Everyuth continued to lead

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in the niche subsegments delivering double-digit growth in Y-T-D FY '26. The Tan Removal segment sustained strong growth, further enhancing brand saliency.

Within the sweetener portfolio, market share expanded by 80 basis points as per MAT December 2025 report of Nielsen and IQVIA while Sugar Free Green delivered 19th consecutive quarter of double-digit growth. Sugar Free Delight cookies have now been extended into multiple markets and the entire Delight range continues to witness strong growth.

Nutralite continued to broaden the portfolio through focused innovation supported by strong execution from dedicated B2B and B2C teams. The brand delivered double-digit growth with a 6-year CAGR, driven by consistent performance across the portfolio.

One year post acquisition, the RiteBite Max Protein business continues to significantly outperform its internal expectations across both value and volume metrics. The brand retains its leadership position in protein snacking with EBITDA improving from breakeven at acquisition to levels approaching double-digit margins, supported by innovation, integration synergies, scale benefits, and enhanced operational efficiencies.

We are focusing on delivering innovative products, advancing strategic initiatives and leveraging AI-powered creatives and data-driven decision-making to enhance product experience, expand our consumer base, and

drive sustainable long-term growth.

In addition, upcoming new product developments, geographic market expansion and seasonal opportunities are anticipated to provide incremental growth momentum through calendar year 2026. Thank you. And now we will begin the Q&A session. Over to the coordinator.

Moderator: The first question is from the line of Tejash Shah from Avendus Spark Institutional Equities.

Tejash Shah: Sir, quarter 3 GM jumped to gross margin jumped to 63%. So just wanted to know, is this new normal or a seasonal peak? Because specifically on Comfort Click, are there any seasonality in margins at gross level? And should we take this GM as a baseline margin ahead for the combined portfolio?

Umesh Parikh: Yes. So Tejash, the gross margin jumped because of combination of the business, mainly the Comfort Click business coming in for the whole quarter. And therefore it has jumped to where it is where you can see it right now.

Tarun Arora: So they operate at a higher gross margin levels, and therefore, the mix has been -- but that's why we explained individually, each of the product has improved gross margins. But typically, because of the mix, you would have seen that our quarter 4, quarter 1 operated at higher margins. This quarter, the whole mix has got lifted further because Comfort Click operates at a much higher level.

Umesh Parikh: Yes.

Tarun Arora: So it's basically a business mix this time.

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Umesh Parikh: Yes.

Tejash Shah: Yes. So definitely, Comfort Click is margin accretive. So just wanted to understand, henceforth, how should we kind of think about or forecast this particular line item because without not very

conducive seasonality for our core portfolio, the margins have actually expanded handsomely? So just wanted to know what is the baseline number on an annual basis, not seasonality, keeping aside, how should we think about this number going ahead?

Umesh Parikh: So keeping aside the seasonality, on an annualized basis, you can assume it about 66%, 67% on a consolidated basis on an annualized basis.

Tejash Shah: Okay. Okay. Pretty helpful. And second, the flow-through of the same seems to be slightly low, though we have done reasonably well on a Y-o-Y basis on EBITDA margin, but other expenses and A&P also seems to be higher. See, what essentially, I'm trying to understand is how to think about Comfort Click's the whole cost architect in terms of, is there any seasonality which plays out in 3Q or this is new normal and then this is how it should play out going ahead irrespective of the season for at least Comfort Click portfolio?

Tarun Arora: This is the new normal because, I mean, the increase in advertisement expenses is largely because Comfort Click operates at a certain expenses, which are variable in nature due to high marketing spends, which are linked to digital marketing that they do. And that's in sync with their business scale. So this would be a new normal and this is a full quarter view how it will shape up.

Tejash Shah: And sir, how to forecast or think about then sustainable EBITDA margins or our aspirational EBITDA margins for next 2 years on an annual basis, not quarterly?

Tarun Arora: Yes. So annual, I think we remain steadfast on 2 parts, if I were to break and breakeven I mean, break it down for you. I think Comfort Click, we are looking at continued growth of top line in good double-digits, as we have mentioned. And hopefully, with that business operating between 14% plus kind of EBITDA margins.

Our base business, we are where it was, and we are looking at taking it to 16%, 17%, or 18% levels, which is work in progress. And therefore, the mix will be slightly higher than that over the next 1 or 2 years. And it will be, again, a function of how the business mix shapes up. So that's how we are looking at it.

Tejash Shah: Okay. And sir, growth on Comfort Click, is it la

rgely as of now penetrating the existing markets?

Or we have added new geographies, but when you say double-digit growth, what would be the key drivers for that going ahead?

Tarun Arora: So let me just break it down into 2 or 3 parts. I think the big reliance will remain on growing the existing markets because there is enough room to grow, where their focus is within Europe to grow more reliably, increasing their share of D2C performance. Where there anyway, Amazon will continue. The marketplaces will grow, but they're wanting the mix to shift more towards D2C.

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They've entered new markets, still very small, but promising, which is these Poland, Finland, et cetera. U.S. also still very small. So largely, the whole growth is right now relying on the core markets and organic growth from that point of view, like-for-like growth, where they're relying more on D2C, which is also helping them grow.

They're also launching new products and building around their existing portfolio to build it. It may take some time for some large market like U.S. to shape up, if it works, but it's a ball in the air, which we believe has a potential. But big belief is that existing markets will expand as we move forward.

Tejash Shah: The other lever, which is working for us, which is RiteBite, is it largely, as of now, distribution led because I'm assuming it must be under-indexed versus our overall potential? Or is it both that we are seeing product expansion also and distribution expansion both working together?

Tarun Arora: Everything, actually. So we are seeing substantial growth within the platforms we've been existing we've existed in q-commerce and e-commerce. We are seeing distribution expansion. We are seeing more sell-through through the existing outlets. We have added more products, which have expanded, like we mentioned Wafer Bars and we just launched RTD as we speak. So we are rolling out more products.

We are reaching out more outlets. This is not going to follow our overall distribution because that's much larger. This is focused sharp distribution, while available in 40, 50 cities, but top 10 cities contribute disproportionately. Top outlets contribute disproportionately.

So it is more sharp targeted weighted distribution, quality of distribution presence rather than just numbers, which we are building on and plus e-commerce and more institutions and more consumption points. So it's a very different approach, and we have a dedicated team to build on it.

Tejash Shah: Sir, and the last repeating my request, earlier request, if we can improve our segmental disclosure, it will help us to track because the portfolio is getting more complex. So it will help

us to track it more effectively and the engagement will be much more effective going ahead.
Tarun Arora: No, no, your point is noted, Tejash. We are aware of it. So over the next few months, by end of the year, we'll come back and work on some of these things so that we can give you a better visibility. We have improved in the past, but this whole piece has come up in a certain way. So we will look at helping you guys to be able to understand this better.

Tejash Shah: Thanks, Tarun. All the best for coming quarters.

Moderator: The next question is from the line of Jaymin from ARDEKO Asset Management.

Jaymin Shah: On the RiteBite, while in your top line momentum for the RiteBite looks very strong, can you just share how your repeat purchase or cross SKU adoption, I mean, that trends are evolving for the Max Protein franchisee. So how does, I mean, the retention compare to your pre-acquisition level? And any specific levers, I mean, fully most reflecting in driving repeat behaviour?

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Tarun Arora: While I don't have a specific data to share, but I can tell you that our repeat purchase rates are only getting better, st

ronger. And we have seen both online as well as even at I mean, I won't have the consumer data at the for the general trade, but the store data shows a stronger repeat purchase rates, more sell-through within the outlets while we are also expanding outlets. Every month we are sequentially expanding the outlets, which I covered, and selling more to the same outlets, and we are seeing our repeat purchase rates getting better.

I think our focus has been that we have I mean, it's a positive spiral where the brand where there is a tailwind and business is going better. And we have also increased our investments. And we are getting operating leverage, which is increasing our margins, and we are investing back. So it's a positive spiral we have worked. So better distribution, better investment on the brand is leading to better throughputs. And our innovation engine is also playing out. So we are seeing a good repeat purchase rates on the Max Protein business.

Jaymin Shah: Got it, sir. And sir, on the Comfort Click, I mean, we understand a key pillar for your international strategy. However, I mean, since the acquisition, there has been very limited public disclosure of operating or the unit economics KPI. And it has become a little challenging to understand or how the integration process are going on. So you can just help us to understand any, I mean, core performance metrics that you track internally and how those metrics, I mean, outperforming your initial post-acquisition assumption?

Tarun Arora: So I think, one, of course, we look at I mean, I'll give you 2, 3 factors that we are tracking at a high level, which may be helpful to you. We will work out a more comprehensive thing, like I mentioned to the other earlier speaker as well, which will come by the end of the year to help you understand. But at a high level, we are looking at 3 or 4 metrics. We look at country-by-country performance, especially the top 5, 6 countries like U.K., Germany, France, Italy, Spain, which are the top significant business contributing markets.

And each one of the growth, we look at it. While we may not be able to give you specifics because of the confidentiality, but we are clearly looking at that, and maybe we'll figure out a metric for it. We've seen a good traction across this. Second metrics we are looking at is marketplace performance and the D2C performance. So we have seen D2C performance has been ahead of the plans, while marketplace has been in line with largely what we were expecting. One or 2 small hiccups, but largely it's all sorted. But D2C has been rather well, and it falls also in line with the strategy because you own the consumers, you have a long-term value with the consumers and you are able to throughput better. So we are seeing a good D2C performance. The third may be a repeat purchase rate, while we do not publish, but I can share with you, we have seen above 50 percentage repeat purchase rate on marketplaces, which is very, very healthy. There are only a few brands that we have seen seeing a repeat purchase rates of more than 50%. So clearly, we are among the stronger brands. Fourth could be in terms of the brand ratings across marketplaces where we are above 4.6 on 5 in across all the markets. The next metrics that we look at is our market shares within the markets we operate, which is typically 8% to 10%, which gives us enough room for growth across these. Early days to look at new markets because they are very, very small.

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So these are some of the metrics that we are looking at. The other is the investment metrics, early days, but for you to share, but we'll be able to keep tracking that as well that are because

it's a variable structure in I mean, structure of P&L given very digital business. So a lot of investments happen.

On the bottom of the funnel, they have started investing in the middle of

the funnel, including,

like I mentioned in the probably in the last call also, some Wimbledon led investments and some other middle funnel investments. So we're looking at the quality of investments as well in terms of advertising and other marketing-led investments.

So overall, I think these are the broad metrics that we are looking at apart from growth and high-level numbers that we would look at. Some of these things we'll see how we can share with you in case you guys have any other questions. Unfortunately, unlike Indian businesses, where a lot of this data is in public space and you guys can pick it up more easily, we'll figure out a way to help you understand this business better.

Jaymin Shah: Sure, sir. And if I ask one more question. I mean, as you already expand the 3 European market. So has the management and the existing management of the Comfort Click on a mandate to follow your multi-country break first approach? Or are you focusing on deepening the existing market?

Tarun Arora: Sorry, I didn't understand. Basically, what the existing management of Comfort Click and they work very closely with us. Our task is, if I were to put it in strategic terms, first is to grow existing markets. Even marketplaces, we are 8% to 10% market share. There is enough room to grow to own the customers better in terms of our loyalty and long-term value, we are looking at improving our D2C. The other is grow new markets, which includes U.S., some of the markets like Poland, Finland, we mentioned, or UAE, which we are also expanding into.

Third is within the brands, our significant dependence is on WeightWorld, which is where we have a large presence. We're also looking at expanding Animigo, which is an animal pet care, which we have relaunched, which is work in progress. It will take some time to build up. And then new products within the WeightWorld and Animigo, which we're doing. So and these are aligned initiatives, and they are tracked on a monthly basis with the management there.

Moderator: The next question is from the line of Mayur Parkeria from Wealth Managers India Private Limited.

Mayur Parkeria: So one is a slightly clarification understanding on the backdrop of the remarks we have in the presentation and your initial remarks. Normally, December and September quarter, we understand because of seasonality is a low-margin business. And the last 2 years, we have been in the region of 3% to 4% kind of in these 2 quarters, I was saying. So that is about the base business.

The base business, excluding Comfort Click, you mentioned that has volume growth has been also double-digits. But when we look at the mid-teens of Comfort Click EBITDA margins, but the overall consolidated entity is around 6% today. Is it that the base business, excluding Comfort

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Click and RiteBite, would have been even lower than the previous year? Is this a clarification, I just wanted to understand, sir?

Tarun Arora: Yes, it would have been lower. There are 2 or 3 anchors in it. One of the points I also made in my speech was also there's almost INR90 million GST, which was budgeting support, which was in the last quarter, and some of the additional expenses in terms of investing in the additional people field that we have created. So some of those expenses have impacted the margin. So it is therefore lower.

Mayur Parkeria: But then you think this is a yearly situation because our whole understanding while it's a quarter, the whole understanding was we were moving from 13%, 14% on the base business to 16%, 17%. And you also mentioned that we are looking forward to that. So every quarter also we'll have some improvement broadly. So will it be fair to say that this was a quarter which one should not read too much and the longest trend remains of improving margins in the next 2 years to 16%, 17% on the base business?

Tarun Arora: So typically,

and without Comfort Click, if you look at it, our margins are so thin, like INR10 crores, INR15 crores, you take any INR5 crores, INR8 crores spend, it just moves the margin by 30%, 40%. So these quarters, I would say, either we'll be as a management, we'll be held back in our long-term actions if we were over protective about this. So some of these things you should read.

Mayur Parkeria: No, sir, yearly I was asking.

Tarun Arora: Yes. Annually, I don't think there is any major impact from our actions. And some of these actions.

Mayur Parkeria: Yes. But despite all these investments which you are mentioning, we are in a position to say that we will be in the 16%, 17% range in 2 years' time?

Tarun Arora: I don't think yes, they will not have any impact. So some of these calls you take, you're not protecting this quarter, you are more focused on how do we build the business from a next few quarters forward. So that's how I would read it. Nothing beyond that.

Mayur Parkeria: Okay. Sir, is the Everyuth growth in this quarter has been below our expectation or below the historical numbers, it looks like, because the segment is negative? I understand that we have other products seasonally, which was weak. But is also Everyuth anything to would you like to add any color that, is there any difference in trend line growths, which we are seeing over there? Or is it in line with the previous one? Or is it just because of Nycil, which must have impacted it?

Tarun Arora: I think largely it's Nycil, which has impacted, but Everyuth has also been lower, but I think I will be more worried from a more medium and long-term. And even if we look at Y-T-D, we are in good double-digit growth. A quarter here and there will not matter because the underlying trends remain consistent. Our offtakes are building up. So some of those things can happen.

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But yes, it is less than within the quarter, less than what I would like it to be. But that's okay. Some of those things happen. If I look at over the last 5 to 6 years, we've seen a very consistent performance at Everyuth, but there have been quarters one-off like this earlier also, where it gets impacted, but sometimes this is trade sentiment, something or the other. Nothing much to read about. We are steadfast on that.

Mayur Parkeria: Sir, last question, a little longish. And again, it's just, while we may think like a modeling question, but just trying to understand a very long-term addressable market from a Comfort Click, and I understand you would share more in this understanding in the next quarter for us to look at long-term understanding?

But just shoot moonshot in terms of our base business is almost quite large compared to the Comfort Click in the current position, while we understand that the quarterly run rate has started to come in. But do you think that in 3 years' time, Comfort Click, given the high growth rates at which it operates, can be bigger than the entity, our stand-alone entity, Indian entity?

Is it possible given the growth rate? Just as a very broad, again, not holding on the projection in that sense. But as of is the addressable market long enough? Or do we think that we can be that business that top line can be larger than where we operate currently in 3 to 4 years' time?

Tarun Arora: Anything is possible because the market is large enough. So if you're saying, is it possible? Yes. Will it be? Hard to say. Right now, I would say, annualized because we have published pre-acquisition numbers, if you look at it, our estimate is almost one-third of our business is international, which is largely led by Comfort Click and a little bit of our existing non-Comfort Click international business.

That amounts to about one-third of our overall revenue. But can it be larger? We'll have to wait and watch. The market is addressable and large enough. But trust us, we are also

doing enough

initiatives to drive other businesses.

Moderator: The next question is from the line of Kinjal Mota from Banyan Tree Advisors.

Kinjal Mota: One clarification, excluding the impact of RiteBite and Comfort Click, what would be our Y-o-Y growth of our core legacy business?

Tarun Arora: I don't think we're sharing these numbers because then I'll have to so if I were to give you, excluding Comfort Click and seasonal brands, we have registered double-digit growth. But this is the only level of details we are sharing at this stage. Because if I start giving all the specific details, it practically opens up everything.

So we are helping improve disclosures, but that will just get down to a lot more details. In any case, without Comfort Click and RiteBite, for 9 months, there's a large chunk sitting on Glucon-D and Nycil, which have a deep impact. So therefore it just becomes harder to keep sharing that.

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Kinjal Mota: Sure. No problem. Second question was in terms of other expenses, I understand that Comfort Click is now the part like Comfort Click is integrated. But is there any line item which has like significantly grew because other expenses went up by almost 3x Y-o-Y?

Umesh Parikh: It's largely led by the comparison, which is not like-to-like because of the inclusion of Comfort

Click and RiteBite business expenses. Otherwise, structurally, nothing has changed in the other expense line item.

Kinjal Mota: Sure. And the last question was with the consolidation of RiteBite and the incremental interest and depreciation related expenses that would come because of Comfort Click and on the top of that, the new MAT provisions which were discussed in the budget, what would be the impact on our tax rate? Like how should we look at our effective tax rate going forward? Is there any change in the guidance?

Umesh Parikh: Yes. So there was a budget announcement just a couple of days before, and our team is working on finalizing the impact on the of this revised MAT as well as evaluating the setup of the MAT as per the new regime. And our team will be ready with the analysis in about a week's time. And once we are ready, we'll be able to disseminate the information to all of you guys in about week's time.

Moderator: Next, we have the follow-up question from the line of Jaymin from ARDEKO Asset Management. Jaymin, you're on unmute, you can speak. Sir, as there is no response from Jaymin's line, can we move forward to the next question?

Tarun Arora: Yes.

Moderator: So the next question is from the line of Naveen Trivedi from Motilal Oswal Financial Services Limited.

Naveen Trivedi: So my first question is on the Max Protein side. Is it possible to give some gross margin understanding about this business? And at what revenue scale you think that this business can also reach double-digit EBITDA margin?

Tarun Arora: So largely gross margins have been similar to our rest of the business.

Umesh Parikh: Excluding Comfort Click.

Tarun Arora: Excluding Comfort Click, so it's largely in line with that. And it was breakeven when we acquired. We it's touching I mean, if you hear from my commentary, it's touching we're seeing it touching double-digit stand-alone EBITDA margins, and we are hopeful that it can be a much larger, more profitable business while it expands.

Naveen Trivedi: Sir, in one of your comments, you had mentioned that this is a business which can achieve around even the INR500 crores kind of revenue mark. Given we have seen a couple of quarters and the pace of the business has also kind of exceed our expectations. Do you think that this INR500 crores kind of aspirational revenue scale is achievable in another 2 years' time frame?

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Tarun Arora: Hypothetically, yes. I can't comment on the specifics. But yes, of course, it's possible. There is a good

potential in this.

Naveen Trivedi: Sure. And since we are like I think next, we kind of commenting about more disclosures from the next quarter onwards. Any kind of color about the Comfort Click constant currency growth rates, if you can share?

Tarun Arora: We are not right now specifically sharing the growth rates as a separate line item.

Naveen Trivedi: Sure, sir. Sure.

Umesh Parikh: And, hello, Naveen.

Naveen Trivedi: Yes.

Umesh Parikh: Naveen, if you want I mean, it's just we have acquired a business that has been 4, 5 months now. And euro-rupee depreciation or GBP-rupee depreciation is in the range of 3%, 4% on an annualized basis. But we'll keep your suggestion into account. And from maybe next year onwards, we'll start reporting constant currency growth also.

Naveen Trivedi: Yes. Sure, sir. Just last question. Typically, our organic business seasonality is between Jan to June. Any color about how has been the first 30 days sort of a demand trend? Is it in line with kind of our expectations? That's all from my side.

Tarun Arora: Overall, I mean, early days to say, everything is in line. This I mean, 30 days, the real season starts from March-April. So these 30 days, yes, we are it's in line with our expectation, but that's it. Nothing beyond that.

Moderator: The next question is from the line of Mayur Parkeria from Wealth Managers India Private Limited.

Mayur Parkeria: Sir, on the Nycil and Glucon-D side, we had we know we understand that FY '26 was a washout year kind of situation because of rains and seasonality situation. So from an inventory channel perspective and from the next year perspective, would you say that it is important to have a normal year for us to report the kind of margins which we look at incremental margin growth because that portfolio will be important and it didn't happen in FY '26?

But or have we already is the inventory or the stocks are already absorbed and the impact of that is now behind us? Or will it be very important for us to have a normal year or a good year

from those 2 product perspective so that the impact can be understood on the seasonality as we go ahead, sir, for the next year?

Tarun Arora: Okay. Let me just break it down into 2 parts. So you are talking about margin and you're talking about trade inventory. So first, from a trade inventory point of view, I think calendar year 2025, the seasonality was worse than what I've seen in the last 6 to 8 years data. And therefore, the trade channel inventory was worse than what we've seen. But we've taken enough actions to ensure that that's all accounted for.

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Some of the retail or distributors, we also took a hit and absorbed the inventory because at the end of it, if it is not selling to a consumer, it is our responsibility. So we've taken some of the actions. And we believe as the buildup to the season, which really picks up around April, we would have helped the market clean up that inventory and fresh stocks are built in. So that I think we know how to do it, and there's a whole learning in the organization for that. So that shall be sorted.

How will GD and Nycil Glucon-D and Nycil impact our margin? I think it's very, very crucial because they have a much higher than fair share of margin. So they have a higher index to our average margins without the Comfort Click business. And therefore, it is very, very important for us to get this right. They provide us not just improved average gross margins, but also have an operating leverage on our overall business. So it is very important for us to get this right. My own understanding and whatever we have seen of it, it's very hard to have back-to-back seasons go wrong. Even if the seasons back-to-back seasons don't I mean, do not work out, the normalized base will certainly give us a growth. So I'm not worried about growth, but the potential to grow much more and d

eliver a much better results is definitely exists. And therefore, we're looking forward to a better season leading to better both revenue and EBITDA impact. Hope that answers...

Mayur Parkeria: So it will be very important for us to have I mean just an improvement over previous year will not be sufficient. We need a normal year or a good year for us to reach our expectation?

Tarun Arora: Of course. Of course. Yes.

Mayur Parkeria: Okay. Sir, the second question is slightly qualitative in nature. From a Comfort Click point of view, that business is platform and digital driven. And for us, it's to that extent, it's a newer business to handle relative to the brick-and-mortar in India, largely brick-and-mortar, I'm saying largely. It's not that we don't have experience, I understand, but of the modern trade and e-commerce is. But then that's a full business which is largely driven that way.

The mindset or the sales activities, the promotion expenses, everything in the business model is different. Even the perspective from employee and the markets are also developed markets. What I wanted to understand is, I understand it's only 4 months, but has there been any issues or your experience in terms of employee retention, in terms of also expenditure profile, which is which will undergo a meaningful change or has undergone a meaningful change compared to what when you acquired this?

Or is it are there any risks which are emerging? Or are there any things which is changing, has changed compared to when you acquired? Or is it business as usual and continuity is there and it is expected to stay over the next 2, 3 years?

Tarun Arora: So I think a simple answer is that over the last 4 months, we have not seen any significant surprises upside or downside for the business. A small little ups and downs within the business cycles that happen, we've seen, but nothing surprising. We've spent significant time

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understanding the business as a part of due diligence. And I think a lot of those things have been consistent over the last 4 months.

As far as retention of the critical talent is concerned, we have spoken earlier also. We have committed to a long-term LTIs, long-term incentive program for critical employees. And we are working with them closely, both in trying to engage with them and help them work through their business in the right way.

So at this stage, I think no surprises. Will it stay, is your last question, 2, 3 years like this? We hope to and build on this. But we'll see as it plays out. But right now, last 4 months have not given us any reason to believe either way.

Mayur Parkeria: Okay. Sir, what would be the total strength in the Comfort Click, sir, employees?

Tarun Arora: About 340, 300 plus, largely Indian resident, large offices between Hyderabad and Baroda.

Moderator: The next question is from the line of Aditya from Sowilo Investment Managers LLP.

Aditya: My question was like if I just look at your numbers at the current moment, I understand from

EBITDA to PAT, the journey basically is being affected because of the acquisitions, right, both

within the interest cost or the amortization. So how long do you think that this will continue?

And I'm just trying to understand where which is the current quarter the bottom or we would

we should expect this to continue, say, for the near future as well?

Umesh Parikh: So as we talked about this earlier also, maybe the current year current financial year will be the

bottom. And from next financial year onwards, we'll have even EPS accretive P&L even for the

new entity newly acquired entity.

Tarun Arora: At the PAT level as well.

Umesh Parikh: At PAT level as well.

Moderator: The next question is from the line of Sandeep Abhange from LKP Securities.

Sandeep Abhange So I just had one question regarding company preferred recent acquisitions that you have made.

So we

have seen quite a bit of new launches in this vitamins and supplements base in India as

well. There have been a lot of brands which have been growing very fast and if they are available

in all the channels. Just wanted to understand that are you planning to introduce this portfolio in

India as well going forward? I'm trying to ask this question from a perspective of like 2 to 3year

perspective. If you can just throw some light on this, that will be great?

Tarun Arora: So I think I would review this from the lens of Comfort Click rather than review of the fact that

we are an India resident business. I think from a Comfort Click U.K.-based entity, they would

first want to, where should I be? And I think Europe and U.S. are much larger, much potentially

bigger markets to play, have a more similar opportunity.

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So I think that's a bigger priority. India is clearly one of the priorities, but we'll evaluate maybe in some time as things go along. But the business has done rather well in those more developed larger markets. So India falls a little lower on priority, we'll obviously evaluate. We'll continue to evaluate and at appropriate time, we'll take our calls.

Sandeep Abhange Okay. So no plans in near future?

Tarun Arora: Yes.

Sandeep Abhange Okay. And just one last bookkeeping question I had regarding the base business. I think you mentioned the margins of the base business. So can you mention it again on the margins of base business?

Tarun Arora: So we don't share those numbers separately.

Moderator: We'll take the last question from the line of Jaymin from ARDEKO Asset Management. It seems like there's a network issue on Jaymin's side.

Tarun Arora: Yes. So if there are no more questions, we can end the call.

Umesh Parikh: We can end the call.

Moderator: Okay, sir. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Tarun Arora: Thank you, everyone. And from our perspective, we've started the new year and new budget and new season from our perspective. And we're hopeful that we will be able to build further on where we have seen the last few quarters gone by and close the year productively as we wish to.

Look forward to you, engaging with you in the next quarter. Thank you, and best wishes.

Moderator: On behalf of Zydus Wellness Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 22 , 202 6

Listing Department Code: 531 335
BSE LIMITED
P. J. Towers, Dalal Street,
Mumbai-400 001

Listing Department Code: ZYDUSWELL
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex,
Bandra (E),
Mumbai-400 051

Sub: Transcript of the Earnings Conference call held on May 18 , 202 6

Dear Sir / Madam,

Pursuant to Regulations 30 and 46(2)(oa)(iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached Transcript of the Company's Q4 FY202 6 Earnings Conference call held at 4:00 p.m. (IST) on Monday, May 18, 2026 .

Please find the same in order .

Yours faithfully,
For, ZYDUS WELLNESS LIMITED

NANDISH P. JOSHI
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl. As above

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"Zydus Wellness Limited
Q4 FY '26 Results Conference Call "
May 18, 202 6

MANAGEMENT : DR. SHARVIL PATEL – CHAIRMAN – ZYDUS WELLNESS
LIMITED
GANESH NAYAK – NON-EXECUTIVE DIRECTOR –
ZYDUS WELLNESS LIMITED
MR. TARUN ARORA – CHIEF EXECUTIVE OFFICER –
ZYDUS WELLNESS LIMITED
MR. UMESH PARIKH – CHIEF FINANCIAL OFFICER –
ZYDUS WELLNESS LIMITED

MODERATOR : MR. AKSHAY KRISHNAN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Zydus Wellness Limited Q4 FY '26 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

I now hand the conference over to Akshay Krishnan. Thank you, and over to you.

Akshay Krishnan: Hi, It's an absolute pleasure from ICICI Securities to host the Q4 FY '26 Earnings Call for Zydus Wellness. From the management, we are being represented by Dr. Sharvil Patel, the Chairman; Mr. Ganesh Nayak, the Non-Executive Director; Mr. Tarun Arora, CEO; Mr. Umesh Parikh, the CFO.

I hand over the call to the management for the further remarks. Thank you, and over to you, sir.

Tarun Arora: Good evening, and welcome to the post results teleconference of Zydus Wellness Limited for quarter 4, financial year 2025-26. Like Akshay mentioned, I have with me Dr. Sharvil Patel, Chairman; Mr. Ganesh Nayak, Director; and Mr. Umesh Parikh, CFO, on the call from our side. During the quarter, consumption trends remained steady, supported by a sustained recovery in rural demand, which continued to outpace the gradual improvement in urban markets.

Commodity input costs showed divergent trends across categories, while structural growth drivers remained intact, with quick commerce and e-commerce sustaining strong momentum. The ongoing geopolitical disruptions have had a limited impact on the company with proactive mitigation measures in place.

Innovation always has remained one of the core drivers of portfolio growth, and we continue to leverage our R&D capabilities to enter new demand spaces, address evolving consumer needs, and deepen category relevance.

An exhaustive list of launches and extensions is available in the investor presentations. To name a few in the quarter gone by, under the RiteBite Max Protein franchise, we expanded its offering with the launch of Max Protein Ultimate Protein Boost Ready-to-Drink beverage, Max Protein Roots Ghee Jagged Bar and Korean flavor chips with multiple flavors.

These launches expand the portfolio beyond the core bar format, widen consumption occasions, and position the brand to participate more meaningfully in the growing on-the-go protein and healthy snacking space across channels.

Sugar Free D'Lite, we added a new variant, Sugar Free D'Lite Choco Spread, to the domestic portfolio during the quarter, further strengthening the presence in organized channels. The Sugar Free D'Lite range continues to see steady consumer traction, supported by increasing adoption in the better-for-you dessert segments.

In the Everyuth franchise, the tan removal segment continues to gain saliency within the portfolio, supported by quarter 4, financial year '26 launch of the Tan Removal Face Wash. This

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strengthens the brand's play in functional skincare and builds a more comprehensive offering for its core consumer segment.

Under Glucon-D, we entered a performance hydration segment with the launch of Recharge across two formats, liquid in orange and green apple flavors, and sachets in orange and lime flavors, targeting active and health-conscious consumers. Initial response has been encouraging, providing a credible entry into fast-growing adjacency within the wellness space.

Under the Comfort Click portfolio, we expanded its portfolio with seven product launches across WeightWorld and Animigo, strengthening its presence in high-growth, digital-first health segments and improving portfolio depth across key markets. Across all new launches, we are leveraging AI-led consumer targeting and data-driven media all

ocation to improve precision, optimize spends, and enhance returns on brand investments.

Coming to the company's financial performance, net sales for quarter 4, financial year '26 registered growth of 62.1%. The international business, including Comfort Click business, delivered a like-to-like growth of 31.4%, while the domestic business grew by 1.7%. Within the domestic business, the seasonal brands declined by 9.8%, whereas the skin and hair care brands registered a growth of 39.7%, and food and nutrition brands grew by 9.4%.

For financial year '26, net sales registered growth of 46.4%. The international business, including Comfort Click business, delivered a like-to-like growth of 29.5%, while the domestic business grew by 2.4%. Within the domestic business, the seasonal brands declined by 18.8%, whereas the skin and hair care brands registered a growth of 21.9%, and food and nutrition brands grew by 15.5%.

As per the internal data, the domestic business continued to witness a steady shift towards organized channel, with saliency improving to 30% in financial year '26 from 24% in financial year '25, driven by premiumization as well as strong growth in modern trade and e-commerce channels.

On the EBITDA front, the company reported a growth of 42.2% for the quarter, reaching INR 2,701 million, an increase of 34.2% for the full year, closing at INR 5,097 million. Net profit declined by 5.8% during the quarter and 43.2% for the year. However, net profit excluding exceptional items and amortization of acquired brands registered a growth of 17% and 2.3% for quarter and year, respectively.

Key drivers impacting the movement from EBITDA to PBT for quarter 4 and financial year '26 include the acquisition that was strategically funded through a low -cost bridge loan in GBP, subsequently refinanced into a further lower cost Euro facility, with the related interest expense reflected in finance costs.

Amortization of acquired brands led to higher depreciation and amortization expenses.

Exceptional items that include one -time impacts from implementation of the new labor code, acquisition related costs and expenses related to liquidation of Naturell India Private Limited, a subsidiary of the company on a going concern basis.

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Brand performance and market share developments are detailed in the investor presentation. Notably, Complian maintained its 4th ranked market share position. During the quarter, the company transitioned to direct supply of Complian NutriGro in the kid segment, while simultaneously driving user acquisition across toddler and adult nutrition portfolios through digital, clinical, and expert -led interventions.

Everyuth delivered strong double -digit growth in financial year '26, driven by innovation, distribution expansion, and enhanced consumer experience. With Tan Removal further strengthening its saliency, supported by quarter 4 launch of Tan Removal Face Wash. Within the sweetener portfolio, market share expanded by 24 basis points as per MAT March 2026 report of Nielsen and IQVIA, while Sugar Free Green delivered 20th consecutive quarter of double -digit growth.

Sugar Free D'Lite range continued to deliver a strong quarter performance and recorded high double -digit growth compared to last year quarter. Nutralite brand delivered consistent double -digit growth despite gas supply headwinds, supported by a strong portfolio innovation and AI -led consumer insights.

The RiteBite Max Protein business continues to outperform expectations, reinforcing its leadership in protein snacking while driving category expansion through innovation, cultural relevance, and scale -led efficiencies, resulting in strong value, volume, and margin growth. Robust growth on quick commerce underpinned by a continued expansion and distribution footprint.

Successfully expanded the WeightWorld and Ma

xMedix brands through launches on

Boots.com, a leading U.K. health and beauty retailer. In a fast -growing vitamins and supplements category, established a presence on Amazon in UAE .

We are entering financial year 2026 -27, with a clear and execution -focused growth agenda anchored in innovation, portfolio scale -up, and margin expansion, and strengthened by data -driven and AI -led capabilities to deliver sustainable, profitable growth while continuing to accelerate the innovation momentum building on the strong foundation established in financial year 2025 -26.

Thank you. We will now begin the Q&A session. Over to the coordinator.

Moderator: Thank you. We will now begin the question -and-answer session. We have the first question from the line of Tejash Shah from Avendus Spark. Please go ahead.

Tejash Shah: Hi. Thanks for the opportunity . Sir, first question pertains to what specifically weighed on growth on the seasonal portfolio this quarter, and how soon we are confident to go back to the stronger trajectory because the last year base is also a weak one for this part of the portfolio?

Tarun Arora: I think sweetener portfolio is.. Sorry, Seasonal brands. So Seasonal brands, I think we've had, especially in North and East is where our strong markets are. We've seen, especially in March ,

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there were rains and East was particularly impacted. So we are hopeful that as summers progress things could get better, but sadly it was less than expected and the temperatures were lower than normal. There was a pipeline with the retail which also played out against the normal situation.

Dr. Sharvil Patel: So we see recovery from May onwards.

Tejash Shah: Okay. Because summer actually picked up a bit late, but it became stronger. So are we seeing - already seeing benefits of the same or the season has gone. So again, for this year, we should not count that now?

Tarun Arora: So I'll not comment on the forward, but we've seen a late summer. The initial - because comparatively, last year, the summers came in early, February onwards and the rain started in April. This year, it's been quite the opposite of that.

It was raining in March and right up to mid of April and therefore there has been a delayed summer. Too early to start predicting how the overall season will go, but we are hopeful that some of the misses of the earlier part of the season can be recovered if season progresses right.

Tejash Shah: Second, Comfort Click seems to be doing reasonably well. Just wanted to know how should we think about the growth trajectory from here on? And what extent of current supply chain volatility which we are witnessing globally can impact the plans there on growth and execution?

Tarun Arora: So right now, it's been seven months since we acquired it. We believe, like we've said in the past, we believe in the growth trajectory of this, and it is a widespread growth across five countries in Europe, which are the bulk of the business. And there are - they've been expanding into other European countries, U.S., UAE are small early bets we have taken.

So we believe the growth trajectory right now looks on a good drum, and we'll take it as it comes.

But the team is quite focused. The penetration levels in VMS on - online purchase is going up.

So we remain committed at this stage.

Tejash Shah: And sir, last one on margins. So we are now on a larger scale of revenue base, almost INR4,000 crores and we were hoping that our operating leverage will come through. But for whatever reason, the macro and micro both, that is not playing out. So from here on, what trajectory are we kind of channelizing our plans to? And how soon should we kind of reach that aspirational goal of 17% to 18% margin that you spoke about one or two years back also?

Tarun Arora: Yes. The line got disconnected. So we are still very positive about

the current direction of

growth, given our width of portfolio and the trajectory. And we have good bets, which should help us build in the right direction.

Tejash Shah: Sir, my last question was on margins. So despite a very high -margin portfolio getting added in the revenue, we are tracking lower than our near -term aspiration and even long -term aspiration, which is 17% -18%. So just wanted to know how soon can we kind of go back to those near -term aspiration and then the long -term aspirations as well?

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Tarun Arora: So our margins at a gross margin level has actually in line with what we have planned. I think the only thing that last quarter has seen is the mix where the seasonal brands have not fired to our expectations. So those are, I mean, external things which go beyond us. But all our actions are in place, and therefore, we believe that in a normal situation ...

Umesh Parikh: Largely due to headwinds on this seasonal portfolio, which has more than average gross margin for the company and which also has more than average EBITDA for the company has impacted the overall PBT and PAT.

Tejash Shah: Got it. Thanks and all the best. Thank you.

Moderator: Thank you. We have our next question from the line of Ronak Shah from Equirus Securities. Please go ahead.

Ronak Shah: Yes. Hi, team. So thanks for the opportunity. Sir, my first question is regarding the Comfort Click. So sir within the Comfort Click, what is driving this sharp growth? So in the PPT, you have highlighted a newer geography addition, on top of that a new platform addition.

However, from the strategic perspective from near to midterm, how we are seeing the newer geography addition, platform addition, how the higher customer acquisition or the other strategic part is shaping up? And secondly, on the U.S. A part, so could you share an update on how the scaling strategy for the U.S. A is working?

Tarun Arora: So on Comfort Click, I think it's been a high -growth business as we acquired, and we've talked about it, 57% CAGR five years before acquisition. We talked about the same growth may not happen, but we are quite positive about the growth - so it's a large 11 - more than €11 billion market in Europe for VMS.

Market is shifting towards online space, and we have been amongst the leading brands in driving that agenda. And top five markets continue to be a bulk of our business, and that's like Germany, Italy, Spain, France and U.K. We have also expanded to other European markets where we had limited presence like Portugal, Finland, etc.

So we are expanding our Europe presence, which is continuing to help us grow on the like -for-like growth within the core markets and new markets. We've taken a medium to long -term bets on some of the markets which we did not have presence, for example, on U.S., UAE and some

other markets which we'll decide. But they are more medium-term, long-term bets where we'll have to build over a period of time.

We continue to expand. Right now, the business is largely led by Marketplace Amazon and D2C. We are looking at other marketplaces like we have put it, like Boots.com or et c., where we are wanting to expand. So some of these actions are in place, and we are also - I think strength of this business is knowing the trends and being able to respond pretty fast. So we are launching new products which are relevant to consumers that as the trends shape up in the VMS space.

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So that's the strength we are playing on, and that's really what is working and giving us growth.

It's still seven months only since we acquired it. We are looking to continue to build in the current momentum that you've seen last quarter.

Ronak Shah: Understood. Understood. Just a small follow-up from the bookkeeping perspective. So now the annual numbers

are in, how the INR terms consideration and amortization amount will look like?

Umesh Parikh: Amortization, you know, what you see the number in this quarter, the quarter 4, will almost be on the similar line because that captures the full quarter's amortization.

Ronak Shah: Okay. And from the INR term overall consideration perspective, what can be the amount?

Umesh Parikh: Amount, in terms of what?

Ronak Shah: INR term consolidated amount from the Comfort Click acquisition and the goodwill part ...

Umesh Parikh: That is what I'm saying. The Q4 financials also financial capture the number and number is going to pan out for the whole year.

Ronak Shah: Okay. Sir, last question is from the RiteBite perspective. So just want to understand from the strategy perspective, though you have highlighted few newer launches and all. However, if we compare three years back story to now, how the distribution mix has shape up, how the subcategory or the newer category expansion will look like, and on the newer product aggression front, how the things are shaping up?

Tarun Arora: Before the acquisition, the business was growing at 25% CAGR for five years. Like we mentioned in the last call, we've seen more than double of that momentum on the business. We continue to focus on driving growth through category expansion and within the I mean, on the base products, which is our bars, protein bars.

We're also looking at expanding into newer categories through new launches, which we mentioned, RTD beverage, chips, et c., this snacking, healthy snacking approach. Our distribution is being built up, and we've seen online traction also going up through quick commerce.

Ronak Shah: Understood. Understood. That's it from side. Thank you.

Moderator: Thank you. We have the next question from the line of Akshay. Please go ahead.

Akshay: Hi, sir. Thanks for the opportunity. My question is on the quick commerce. So it appears to be scaling strongly across your multiple portfolios. Now, is this changing the company's approach towards innovation and the product launches and the channel investment versus the traditional FMCG distribution - process?

Dr. Sharvil Patel: I think, what you said is true. I think our products are more suited towards the new trends and the new consumers who are choosing to buy through quick commerce. And I think our

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assortment as well as our new introductions are well-designed both to make sure that the we - on this channel, we are relevant and we continue to gain share.

But also on the traditional channels also, we have the right SKUs and portfolio, which helps us also continue to grow in the rural and urban market. So I think we have a fit-for-purpose kind of portfolio now with the new acquisitions as well as well as the new SKUs that we have launched, and we would continue to see better traction on this channel.

Akshay: What would be the salience of the QC as in pointer on a Y-o-Y and a sequential basis?

Dr. Sharvil Patel: Can you repeat the first part?

Akshay: What will be the saliency of QC, the contribution of QC to our overall?

Tarun Arora: So overall, online - sorry modern trade plus e-commerce, organized trade is about 30% of our domestic business. Quick commerce will be 7% -8%.

Umesh Parikh: Yes, but out of e-commerce, quick commerce is about 44%, 45%, which is 7% to 8%.

Tarun Arora: 7% to 8% of total business.

Akshay : Okay. My second is on the Comfort Click. Now this gives Zydus the access to the global D2C and online -led wellness category. Now beyond the revenue growth, what are the key capabilities or the learnings that can be leveraged in the Indian side of the business, sir?

Tarun Arora: I think, the business is very strong in terms of their because they're online first business, so they have done rather well in terms of how they reach out to the online consumers and how they build

the franchise without worrying about the offline world. And there are various parts of doing so,

both in terms of building - looking at the trends, launching new products at a fast pace, and marketing to this online first consumers.

And I think this is the, largely the model that we are working together to sharpen as a company, because this really makes us almost one-third of our business being the online at a total level.

So we believe that it'll give us a good edge in preparing for the future in a more digital world.

Akshay : Got it. Got it. My third is a follow-up question on the gross margin from the previous participant.

So we've been, like, our gross margins are in the guided range. Now, are we seeing the scope for the operating leverage to improve further, or are you going to reinvest behind your categories?

Is the brand investment going to scale up now?

Umesh Parikh: Certainly, as we have been telling in various conferences, our operating leverage will definitely play out. Also we said that Comfort Click business is largely the variable spend, but on overall business, definitely operating leverage will play out and which will add to our EBITDA as a percentage to sales.

Akshay : Okay. The last question, on a medium-term basis, how should we think about the company's dependence on the seasonal categories, because now you have the stress on the seasonal aspect?

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And especially on Nycil and glucose versus the newer wellness category, so how are you looking at the company's overall dependence over here, especially in protein supplements and hydrations?

Tarun Arora: So I think seasonal will continue because it's a valuable part of our business. It gives us a good operating leverage. We've had four quarters of challenge, but that doesn't mean that it'll remain.

So we are quite hopeful that it should come back on track and over a three to four-year period should deliver a consistent double-digit growth.

And if we look at outside of seasonal portfolio, we continue, even last financial year, we delivered a fairly good double-digit growth, and we continue to believe, whether it's a RiteBite portfolio, Nutralite, Everyuth, each of these brands, even a Complian last quarter, Sugar Free, each of them have are showing a good momentum. So we believe a double-digit portfolio is the right way to continue to build us and we keep looking at expanding the categories for this through innovation and expansion to new consumers.

Akshay : Okay. One final question, if may I, now we've been seeing that many wellness categories, they initially scale up faster and they become heavily promotional and this is generally it's like more of a startup-led size. Now how do you plan to protect the profitability while continue to drive the category expansion into this?

Tarun Arora: So let's take the case of RiteBite. When we acquired the brand, it was very small scale, and we've scaled up at a fairly fast pace. And what we understand, in the protein snacking in a comparative space, it is the only profitable or most profitable brand that exists. So as a company, we are quite focused on category development. We're doing it profitably.

So each of our offerings that we work, we have a clear objective from a consumer side in terms of acquiring more consumers, volume-led growth through the right process, more contemporary touchpoints, whether digital or offline, whatever as well as on the profitability side, constantly have built profitability so that we have enough fuel to support the brand.

So that's a business model that we have been able to replicate. Some brands respond better, some takes longer time, but that's really a response that we have built. That is something you will see across our portfolio.

Akshay : So when you acquire a brand, so you also onboard the existing promoters and the brand guys

who's been running the business or is it like completely taken over by you and then you run your own perspective of it?

Tarun Arora: So when we take - even if we take 100%, we look at what are the fundamental drivers of the business and the value creation. Whether it's the management or the promoters, we are ready to take on those and work with the right teams that will help us build and transition into Zydus

Wellness we are working. There is no one-size-fits-all for all acquisition, but that's - those are fundamentals that we will look at.

Akshay : Okay. Thank you and good luck in all the best, sir.

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Tarun Arora: Thank you .

Moderator: Thank you. We have our next question from the line of Umang Shah from Banyan Tree Advisors. Please go ahead.

Umang Shah: Hi, Sir. Am I audible?

Tarun Arora: Yes.

Umang Shah: Hello. Yes. Hi. Thank you for taking my question. Sir, first question was within Food & Nutrition, if you could break out the full year growth between RiteBite and other products, that would be great.

Tarun Arora: I think you will appreciate that we've already given this time much higher level of detailing than we've ever given in the past. It will not be possible for us. We've already given a directional indication of what is the growth of RiteBite.

Beyond this may not be possible. I can tell you that actual branded level growth is much higher than what we reported because we've optimized some of the contract manufacturing portfolio like we used to do ketchup, so actual growth is higher. But beyond that, it'll not be possible for us to give us a specific brand by brand growth.

Umang Shah: No, got it, sir. Got it. Sir, the second clarity that I'm looking at is, can you comment on the tax rates for FY '27 and '28 at a consol level?

Umesh Parikh : Yes. So FY '27- '28 will be in the 25% bracket. But '26-'27, it will be kind of cash plus deferred tax asset used. So the mix of two.

Umang Shah: Okay. And the mix of two will also be 25% and FY '28, I'm assuming everything will be cash tax, full tax rate?

Umesh Parikh : Yes. Yes. That's right.

Umang Shah: Okay. Got it. Got it. And sir, you've also called out Cuticolor as a part of skin and hair care. I'm assuming that Cuticolor started operations for last quarter only or was it a full year number?

Tarun Arora: Cuticolor has been there in our portfolio about six months. It's only being played in the organized trade, modern trade and e-commerce.

Umang Shah: Got it. Got it . Thank you so much, I'll get back in the queue.

Moderator: Thank you. We have the next question from the line of Mayur Parkeria from Wealth Managers. Please go ahead.

Mayur Parkeria : Good evening, sir. And thank you for taking my questions. Sir, just wanted to understand that when we acquired Comfort Click , we were of the view that we can clock around 14% EBITDA

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margin, and it had clocked before our acquisition around 15 -odd, if I remember well. Where are we on that trajectory? Just will FY '27 come back to those numbers or - and with that in light, if you can just also add that at a PBT level, can we see - is it possible to see a breakeven in FY '27 or have we already seen that?

Umesh Parikh : So for Comfort Click, I think we are holding on to what we said earlier, and we are in line with our expectation or slightly exceeded. As far as Q4 is concerned, on Comfort Click business itself, we have become EPS accretive.

Mayur Parkeria : Okay. Would it be possible to quantify that slight - is there a benefit of pound in terms of pound INR, because when we acquired it was 116 around now 128 or average or so. So is there some element of that benefit flowing into the numbers?

Umesh Parikh : Yes. So we also mentioned in our investor presentation and between the total growth of Comfort

Click and Constant Currency growth, there is a gap of about 3%.

Dr. Sharvil Patel : There is a more international business always and knowing how the rupee over a long term will always depreciate, we'll always see that benefit of international business.

Mayur Parkeria: Right. So in short, we are on track for that margin, which we had seen and that possibly EBITDA. That's great to hear, sir. That's great to hear. I somehow feel that last quarter also, we had mentioned that we had taken aggressive steps to clear out the inventory issues on our seasonal portfolio with respect to Glucon -D and Nycil. But this quarter, it seems, again, we have got a little impacted by higher inventory.

That is what your initial comments, if I understood correctly. So I was just trying to reconcile

where again we got - where was the, lower -than-expected situation again, what came in this quarter as a negative surprise. But even with that, I somehow feel that whatever external issues are playing out, I think in the next quarter can be a - are we positioned in the next year actually? Are we positioning for a very strong comeback in terms of both the domestic portfolio, which is there and clicking the right metrics in the growth as well as the seasonal portfolio and the Comfort Click. As a broad directional, do you think are we on right track to understand that?

Tarun Arora: So I think as far as the seasonal portfolio is concerned, there is a pipeline which exists at different levels. Internal level, which is us, our distributors, the wholesalers and retailers. While we have over last few quarters after the season didn't play out last summers, we have managed our inventories well.

But retail and wholesalers also sitting on inventory and sometimes we help them, but we can't clean up the whole market inventory. Some of those - when the season is delayed, like this year it was. The typically wholesale and pipeline buildup happens. This time, it has not happened. And that's really what it is. It's not about that we have to clean up every time.

It is just that the pipeline buildup, which is in anticipation of summers, as the summer kick in, they start buying in advance. That has not really happened, and that's why that has really played

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out from the market is concerned. So it's not that something has gone wrong from that point of view.

So our actions are in place. We will respond to as the temperatures move up or down and as the optics happen. And therefore, since it's played opposite of last year where there was early summer and early rains, this time it seems to be playing opposite. We'll have to see how it plays out, but we are hopeful that with the late advent of summer, we should be able to recover some of the misses that we had in the early summers. But we'll have to see how this plays out.

Mayur Parkeria : Sir, I had one question and observation on the Sugar Free portfolio. And I noticed a very interesting trend and it - in the B2B segment, some of the local players, and this is observation in our market close to it was as by chance. They using -- till now, we are using the Green portfolio as well as the light. That is more as a B2C directly in terms of what consumers are consuming. Is there an element of B2B or I don't know if HoReCa is the right word for that, but B2B part , many players, local players and they using substitutes and promoting a better product in terms of sugar content. Is there an element of market expansion possible there? How are we playing that in terms of that?

Is there - because it's still a sub - INR400 crore s market in terms of that, while we are - our product is seeing double -digits, the green portfolio. But what I was looking at is, is there a double - is there a B2B play in this product also? And are we looking at that in composition right now?

Tarun Arora: So to ans

wer you, the HoReCa or B2B, as you're saying, a lot of that is sold as sachets, which are given free. So they only look at cost. Sometimes the brand and quality is not their priority in certain customers. And there are some local considerations or relationship considerations which also play. So - and it's a very small market. So it's not something that I will lose my sleep over. We work very hard to build this, but sometimes we do lose on some these grounds.

For Sugar Free to expand, I think the focus is on two -fold. One is to get new consumers, because there has been negativity around after WHO, which we've been able to overcome significantly using, one is Sugar Free Green, the stevia -based, plus also our communication on sucralose - based Sugar Free Gold Plus, et c. So we are building on that.

The other is around Sugar Free D'lite, which is our extension into food, which is the sugar -free foods, which is chocolates mainly on online and cookies, which is both online and offline. And we're looking at the overall franchise, therefore, getting into a larger space.

And I think we are moving - we're seeing good movement across both stevia -based product as well as the Sugar Free D'lite. We hope that we continue, it'll give us expansion of the brand and the category. Right now may not be the subscription.

Mayur Parkeria: Okay. Sir, from a reported segment - from a reported financials perspective, I just thought that if possible, you can consider, given the geographical spread, I think shouldn't geographical segmentation now form part of our reported numbers? And if you can consider that as we go

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ahead. With that, great disclosure this time around, from what we have seen in the past, and hope

we continue to maintain that. Thank you so much.

Umesh Parikh: Ok. Thank you.

Tarun Arora: We've given international and domestic. Beyond that, further geographical will be hard for us.

Mayur Parkeria: Sir, as a part of segmental - not as a presentation, I meant, as a segment information in the published financials.

Tarun Arora: Right. We'll consider it. Thank you.

Moderator: Thank you. We have the next question from the line of Harsh Dubey from LFC Securities. Please go ahead.

Harsh Dubey: Yes. So my question is related to the RiteBite segment. As we were saying, in the previous quarter also and, from the last three quarters that we are seeing approximately double of what growth rate before acquisition RiteBite was seeing. So for the whole year, we have seen that kind of growth of 50%, so INR244 crores or something.

But what is an expectation going forward as we are doing innovation in this segment? Do we feel that we are going to get into major adjacencies in this RiteBite segment? Or are we going to continue on the protein bar and the Ready-to-Drink segment only?

Tarun Arora: So we are evaluating more segments like we launched, RTD beverage. We're expanding within our portfolio. We've launched within bar. So I think there is enough room for growth within the portfolio and limited adjacencies we already explored as we talk. That 's really what our focus is right now.

Harsh Dubey: Perfect. On the seasonal portfolio, as you rightly mentioned that since this last year wasn't great for the seasonal portfolio. And since the summer is harsh this time, it has started, might be little late, but is harsh. So what I just wanted to understand when we say the category. So when we see the numbers, the category is degrowing, but we say that we are going to have a double-digit growth. So most probably we are going to take market share.

In Glucon -D or Complian, Complian is a degrowing segment. So where are you going to get growth from, in the sense that the category is degrowing, but you're saying that you're going to grow in double digit on a longer-term basis? So just wanted to know the thesis behind that.

Tarun Arora: So you are saying two things. One is seasonal and then you've got into Complian. So as far as seasonal is concerned, I think we are focused as the season improves, our numbers will go up.

Our market shares are well, they're in place, and we continue to get new consumers because we are market leaders in these spaces, and it's our job to grow the category. And we are also doing extensions like RTD, et c., we have done, Glucon -D that we've talked about.

As far as Complian is concerned, I think our focus is reframing Complian, we have talked about.

We have already started launches on adult nutrition, which we did not have a presence in through

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VieMax by Complian. We have also relaunched Complian NutriGo with - in about a quarter back.

We are seeing good traction on that, and we have a couple of more launches in place.

So put together, we believe there is a way to exploit Complian's very, very strong equity and be more relevant to consumers of today rather than just live in the past of traditional HFD in the kids space. So there are consumers seeking more, so we believe there is a path to getting growth.

Plus, we've also seen pour - we have reached our - we have a brand ambassador Vaibhav Sooryavanshi, which we've signed up last year, and we had the commercial rolled out this February as he started picking up. I think therefore, relevant to today's generation, buy our products by new communication, by better positioning will help us continue our growth momentum despite the category challenge - our core category.

Harsh Dubey: So it's going to be the adjacencies as well as the growth into the newer segment is what you're saying, right?

Tarun Arora: You could say that.

Harsh Dubey: Yes. Okay. On the Everyuth and the Nutralite segment, I just wanted understand. So we are seeing good growth in Everyuth and just wanted to understand, so is it going to be sure, so the market share that we are having right now, are we expecting it to grow going forward or there's going to be new innovations in this segment?

How do you see about this segment as well as the Nutralite, since in the Nutralite, we don't give the category size. I know that it's not possible because it's related to milk stuff and other things.

But how are you seeing both of these segments as well?

Tarun Arora: So first on Everyuth, I think we are market leaders if I look at sub-segments of scrubs and peel-off, and we've been - our focus has been growth, and we've been able to drive the growth and increase our shares as well. Therefore, we've started looking at overall facial cleansing, which includes face wash, masks, scrubs, everything, where we've been gaining share over the last few years, and we continue to hope to move in that momentum.

So our focus remains category development and market share growth, both. And we've seen good success in the last four to five - five to seven years on that. And we continue to build around innovation and brand building around that.

Coming on to Nutralite, that data is not available. No syndicated data is available, and that's why we do not publish. We've been again here focused on category development and expansion into adjacent spaces.

Our strength, our core remains our fat spreads, both in - sorry, both in professional as well as retail space. We have expanded on butter, ghee and professional cheese and as well as mayonnaise, which is helping us expand the brand and leverage our brand's strength, which is giving us the growth momentum.

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So put together, both these portfolios, we have brand building, leveraging our brand strength, innovations and distribution expansion driving our growth, and we see the momentum going forward as well.

Harsh Dubey: Perfect. Sir just want to ...

Moderator: Sorry to interrupt, Mr. Harsh

h. Request you to kindly come back in queue for follow-up questions.

Harsh Dubey: Yes sure. Thank you.

Moderator: Thank you. We have the next question in line of Tejash Shah from Aventus. Please go ahead.

Tejash, can you hear us?

Tejash Shah: Yes. Am I audible? Hello.

Moderator: Yes, you're audible now. Please go ahead.

Tejash Shah: Thank you. Thanks for the opportunity for follow-up. Sir, because how the portfolio has shaped up over the years now, a lot of our annual fortunes now get gravitated towards 4Q and 1Q and summer season. And then within that, also, we are over-indexed to North and East region.

So from a very strategic perspective, are you comfortable with this external driver to decide our annual fate in every year because no matter how much we put an effort for three quarters, one bad quarter and then we actually go back to square one because of the volatility of weather and external exigencies?

Tarun Arora: So I think if we segment the portfolio, this concern remains. But now if you look at the new portfolio and as the expanded portfolio, the saliency of this business has reduced. And therefore, with the expanded acquisitions of RiteBite, Comfort Click, the overall business, the dependency has obviously reduced.

But this is a very important and valuable portion of the portfolio. It's become a part of the base.

So I think we are okay with that. And we are extending ourselves into newer spaces like Glucon - D Activon, Glucon - D Recharge, which will help us grow beyond the traditional space.

So we are doing whatever we can, but I don't want to let go of what we already have. Some of those things will hamper a year or two, but over three to four years, I think should be able to give us a good double-digit growth as we've seen in the past.

Tejash Shah: Perfect. Second, despite the seasonal portfolio remaining under-indexed in the quarter, our gross margin remained very healthy. So is it that versus the new portfolio or the evolved portfolio that we have with RiteBite and Comfort Click, seasonal portfolio is gross margin dilutive, and it is a EBITDA when the operating leverage comes on the MP spend, it becomes accretive at EBITDA level?

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Umesh Parikh: So on the gross margin front, I think even on the portfolio at Comfort Click, we have improved our gross margin. And the Comfort Click gross margin is over-indexed to the company's gross margin. So therefore, you see the higher gross margin there.

Tarun Arora: So there are multiple actions we have taken. Each of the brands within our domestic range has increased our margins, and we have taken calls on some of the portfolio - some of the products which are low margin. So therefore, we are seeing right movement there.

Tejash Shah: Okay. And sir, last one on Cuticolor. It seems like a very clean slate organic attempt in a very competitive category. We haven't leveraged Everyuth also as a brand, perhaps because it's much more connotation with skin care. Just wanted to know what is the value proposition that we are banking on because it's very crowded space. And what has been initial response from the trade so far?

Tarun Arora: So Cuticolor as a brand is strongly derma supported as a safe hair color. It's Korean origins and very effective. It is a high -priced product because it is backed by strong influencers and derma - dermatologists. Therefore, it is getting good traction. And we believe we'll continue to build around that.

Dr. Sharvil Patel : I think it's one of a kind product, with the key ingredients being exceptionally high quality and free of many of the challenges that you face with traditional hair color. We are seeing very significant traction, with the consumers and repeat buying as well as new consumers. So we are seeing - I mean, we're seeing extremely good support to the brand now.

Teja

sh Shah: Okay. Have you activated our derma...

Moderator: Sorry to interrupt. We'll have to go to the next question, sir ...

Tejash Shah: Sure.

Moderator: As the other members are also online. Thank you. We have the next question on the line of Yashowardhan Agarwal from IIFL Capital. Please go ahead.

Yashowardhan Agarwal: Yes. Hi, team. Good evening. Am I audible?

Tarun Arora: Yes.

Yashowardhan Agarwal: Hello. Yes. Hi, sir. Thanks for this opportunity. Sir, in the initial remarks, you mentioned that the impact of war is limited. Just wanted to double -click on it. Are we seeing any supply side challenges or ...

Tarun Arora: Your voice is not clear ...

Yashowardhan Agarwal: Hello ?

Tarun Arora : Voice is not....

Yashowardhan Agarwal: Is it better now?

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Moderator: Yashowardhan if you could go off the speaker phone once.

Yashowardhan Agarwal: Hello ?

Moderator: If you could go off the speaker phone Mr. Yashowardhan.

Yashowardhan Agarwal: Yes, sure. Hello?

Moderator: Yes, go ahead.

Yashowardhan Agarwal: Yes is it better now. Hello.

Moderator: Yes, it is slightly better now .

Yashowardhan Agarwal: Sir, in the initial remarks, you mentioned that the impact of war is limited. Just wanted to double -click on it. Are we seeing any supply side challenges or inflationary pressures? Any early signs of it that you may want to call out?

Tarun Arora : So we've not had supply side challenges beyond certain businesses in Middle East, which is still a very small portion of our business. Rest of the things are largely so far have been in control.

Yashowardhan Agarwal: Okay, sir. Perfect. Sir, my second question is on the seasonality. You mentioned earlier that the seasonality versus last year has changed in the sense that summers were followed by rain in Q4 last year, whereas in this year, the situation is totally opposite. So is it fair to assume that we were sitting on a higher base in the Q4? And even if we witness a normal summers in the current quarter, seasonal brand portfolio could achieve good growth in Q1 FY '27?

Dr. Sharvil Patel : Yes. Yes.

Yashowardhan Agarwal: Thank you, sir . And sir, my last question is on the possibility of divesting any of the slow growing product category and investing that part of capital either to retire the debt or find newer high-growth categories such as RiteBite and Comfort Click. Any thoughts on that ?

Dr. Sharvil Patel : I think our allocation of funds are appropriate to the brand. So I don't see any major changes. I think all brands have appropriate funding required. So there's no other plans or any other changes to the business.

Yashowardhan Agarwal: Okay. No plans of divesting any of the product categories as well ?

Dr. Sharvil Patel: No

Yashowardhan Agarwal: Okay sir. That's it from my side, sir. Thank you and best wishes.

Moderator: Thank you. We have the next question from the line of Jaymin from ARDEKO Asset Management . Please go ahead.

Jaymin : Yes. Thanks for taking my questions. Firstly, on the Comfort Click, part, would it be possible to share your quarter -on-quarter growth rate for Comfort Click ?

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Dr. Sharvil Patel : Sorry .

Jaymin : Your quarter - on-quarter growth rate for a Comfort Click portfolio?

Dr. Sharvil Patel : We give year -on-year. We don't do quarter -on-quarter.

Jaymin : Okay. And for the Comfort Click, I mean, in core market that is U.K. and Europe, how are you looking at the offline channel from a two -year, I mean, two to three -year perspective?

Tarun Arora: We largely online play. Offline will be any opportunistic, it comes. But we are not building on it.

Jaymin : Okay. And I mean we are entering FY 27 with margin expansion as a stated priority in your initial remarks. So would it be possible to share any key levers that will protect o

r actively

improve margin if the commodity or the supply chain headwinds continue from here on ?

Dr. Sharvil Patel : I think the brand is - has good margins. The business is running on good margins, and we hope to maintain those margins.

Jaymin : Okay. And the last is on the Glucon -D Recharge. I mean now we have entering into powdered electrolytes in the hydration segment. Any early consumer or the channel signals that it gives you confidence that Recharge can sail into a material growth driver within th e broader Glucon - D portfolio?

Tarun Arora: Too early to discuss about it. We've just rolled it out. Once we have some input, we'll be happy to share.

Jaymin : Okay. That's it from my side.

Tarun Arora: Thank you.

Dr. Sharvil Patel : Thank you.

Moderator: Thank you. We have the next question from the line of Harsh Dubey from LFC Securities. Please go ahead.

Harsh Dubey: Yes. Thank you so much. I just wanted to understand, when we say about the operating leverage playing out on the seasonal portfolio is, suppose, is what I think you mean. So what are the parts that like - what are the segments in which you feel that there is a huge potential of the operating leverage to play out? And t he second thing is, going forward in the medium term as well as long term, what is our aspiration on the EBITDA margin front?

Umesh Parikh: As far as operating leverage is concerned, it is likely to play out on the entire business ex - Comfort Click, because as we told earlier also that Comfort Click is largely variable spend business. Apart from that, operating leverage will play out as we grow our revenue.

Harsh Dubey: Perfect. On the EBITDA margin, what is our aspiration?

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Tarun Arora: I think there are no new numbers. We've talked about in the next couple of years, we hope to get to our 17 -18. Now we have without Comfort Click. So those numbers stay and we focused on getting there.

Harsh Dubey: Okay. Perfect. And on the - just to understand, so when we said that Comfort Click is going to be EPS accretive, so we meant it by the end of FY 27. Is that correct?

Umesh Parikh: Yes. I mean, we have become EPS accretive last quarter, but for the next two years. We, as we said, we maintain our guidance.

Harsh Dubey: Perfect. Thank you so much and all the best.

Dr. Sharvil Patel : Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Tarun Arora: Thank you, and we'll see you next quarter.

Moderator: Thank you. On behalf of Zydus Wellness Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.